

Ion Exchange (IONEXCHANG)

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Call: Aug 2022

August 11, 2022

To

BSE Limited

The Corporate Relationship Dept.

P.J. Towers, Dalal Street

Mumbai-400 001

Scrip Code: 500214

Dear Sir/ Madam, National Stock Exchange of India Limited

Exchange Plaza, C-1, Block-G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400 051

Symbol: IONEXCHANG

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our letter dated July 21, 2022, we enclose herewith communication relating to conference call as per Regulation 30(6) Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015.

The said conference call with the Institutional Investor/Analyst on Thursday, August 4, 2022 was to discuss the financial performance of the Company for the first quarter ended June 30, 2022.

The aforesaid information is also disclosed on website of the company i.e.

www.ionexchangeindia.com

Kindly take the information on your record.

Thanking You,

Yours faithfully,

For Ion Exchange (India) Limited

Milind Puranik

Company Secretary

ION EXCHANGE (INDIA) LTD. J CIN: L74999MH1964PLC014258

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Q1 FY23 Earnings Conference Call

August 4, 2022

Moderator: Ladies and gentlemen, good day and welcome to the ION Exchange India Limited's Q1 FY23 Earnings Conference call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Anuj Sonpal, from Valorem Advisors. Thank you and over to you Mr. Sonpal.

Anuj Sonpal : Thank you. Good afternoon, everyone and a warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the investor relations for ION Exchange India Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings Conference Call for the first quarter and financial year 2023.

Before we begin, I would like to mention a short cautionary statement. Some of the statements made in today's Conference Call may be forward-looking in nature. Such forward-looking statements are subject to risk and uncertainties which could cause the actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's Earnings Conference Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Page 2 of 22 Now, let me introduce you to the management participating with us in today's earnings call. I'll hand it over to them for opening remarks.

We have with us Mr. Aankur Patni, Executive Director; Mr. N. M. Ranadive – Group CFO; Mr. Vasant Naik Executive Vice President of Finance and Mr. Milind Puranik Company secretary of the company. Without any further delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you Anuj. Good afternoon, everybody. It is a pleasure to welcome you to the earnings conference call for the first quarter of financial year 2023. Let me first take you through the financial

performance for first quarter of the current year on a consolidated basis. The operating income for the quarter was INR 3824 million, an increase of around 22% year-on-year. Operating EBITDA reported was INR 329 million, a decrease of around 8% year-on-year and EBITDA margin stood at around 8.6%. Net Profit After Tax reported was INR 274 million, an increase of 18% year-on-year while PAT margin percentage was 7.17%, a decrease of 22 basis points on a year-on-year basis. Let me now take you through the quarterly segmental performance on a consolidated basis. In the engineering division, the revenue for the quarter was INR 2024 million compared to INR 1767 million during the same period last year, an increase of 15%, EBIT for this segment was INR 81 million compared to INR 92 million on a year-on-year basis. The company witnessed robust order flow both in the domestic and international markets. Regarding the Sri Lanka order, the execution progressed at a slow pace due to the current political uncertainties and the commodity shortages. On the other hand, execution of the UP Jal Nigam is progressing satisfactorily and revenue has been recognized based on work completion. Margins in the engineering segment were impacted because the company has strengthened the infrastructure on the back of the increased order backlog to enable increased pace of execution in the subsequent quarters. Secondly, the rise in the input cost in the earlier quarter also affected the segment margin in the current quarter. Coming to the

Page 3 of 22 order book as of June 30, 2022, it stood at approximately INR 1529 crores excluding the Sri Lanka and the UP Jal Nigam order and if we add both to the order book, the cumulative order book would be in the region of INR 2912 crores. We also have a bid pipeline of INR 8000 crores. With this, we have a strong visibility revenue for the next two three years from the engineering segment. Moving to the chemical Division, the revenue for the quarter recorded was INR 145 million, which increased around 16% from INR 1251 million on a year-on-year basis. The EBIT was INR 313 million, which increased from INR 273 million year-on-year. The sales in the domestic segment continue to record steady growth. While there was reduced volatility in the raw material costs, the sharp appreciation of the dollar kept the input costs under pressure. Coming to the consumer division segments, the revenue for the quarter was INR 505 million, an increase of around 115% on a year-on-year basis. The profit for the quarter was INR 4 million compared to a loss of INR 13 million in the last year. The steady improvements in volumes driven by acceptance of new product launches enabled improvement in the financial performance. We expect the segment to sustain its growth momentum. With this, we can now open the floor for the question and answer session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question from the line of Pratik Kothari from Unique Asset Management. Please go ahead.

Pratik Kothari: Hi, thank you. Good afternoon. Sir my first question is on the engineering part and we have highlighted a point in our presentation that we invested some to strengthen our infrastructure for future orders. I mean, if you can just highlight where is it, what is it that we are strengthening and what is the outlook there?

Aankur Patni: Yes, Pratik. We have strengthened the design, planning and execution teams as far as the infrastructure for engineering is concerned. There

has also been upgradation of facilities which has impacted the expenditure side.

Page 4 of 22 Pratik Kothari: My question was more from the internally, what have you prepared for I mean, because we see very healthy growth in order book, the pipeline that we have, your outlook seems very positive for the near future

e. So wanted to understand what is it that we have done to spend on this, I understand I mean, you take a hit for a quarter or two on your margin, but what have you done to strengthen this, which are those areas that we are improving on it?

Aankur Patni : That is what I highlighted Pratik, the strengthening is in the design , engineering and execution teams and also of the facilities, this is going to have a direct impact on the scale of operations As we look at the coming quarters, there is a substantial order book which we need to execute , we will need these teams to work in parallel and hence the requirement for improvement of this internal infrastructure.

Pratik Kothari: Okay, sir my second question is on the chemical, if you can highlight the CAPEX plan that we had earlier announced any update on the same.

Aankur Patni : Yes, the CAPEX plan stays on course except that we had a long period of vacancy of the approving authority for statutory clearance, . We now understand that the seat has been filled up, we should be receiving the due approvals in the near future. Currently, our expectation is that the plant will go into operation in FY23 -24.

Pratik Kothari: Okay, so this will take about 12 odd months when we receive the approval to put up the plant and operationally.

Aankur Patni : That's right.

Pratik Kothari: Okay, fair enough and the other debottlenecking that you were doing in our other chemical division.

Aankur Patni : That's an ongoing process Pratik and it continues. We have a lot of headroom for expanding our revenues.

Pratik Kothari: Fair enough and sir last clarification we were invoked to consolidate all of the various subsidiaries that we have as part of the parent company. Anything you would like to highlight there.

Page 5 of 22 Aankur Patni : That consolidation of subsidiaries is also on course. We will start the formal process in the second half of the current year.

Pratik Kothari: Okay, great. Thank you, sir and all the best.

Moderator: Thank you. The next question is from the line of Kiran Sebastian from Franklin Templeton. Please go ahead.

Kiran Sebastian: Thanks for the opportunity. My first question was on CAPEX just wanted to be clear about this. So we are still awaiting the environment clearance right. Now is my understanding correct?

Aankur Patni : That's right .

Kiran Sebastian: Right and the person who is supposed to give the clearance finally I mean has been appointed that is the status.

Aankur Patni : That's right.

Kiran Sebastian: And there is a high chance that we will be getting the approval and then right away we can start the construction.

Aankur Patni : Again correct.

Kiran Sebastian: Yeah and parallelly is there any plans to augment the capacity inorganically in case we get delayed with this capacity expansion?

Aankur Patni : As of now, our expectation is there will be no further delay. That is our understanding based on discussions. We are always on the lookout for opportunities inorganically, if we do get something which is very interesting, we will certainly evaluate that also.

Kiran Sebastian: Right, right and the second question is related to Sri Lanka. So I see that not much execution is happening there. So have we at least ringfenced the liabilities. So sometimes you see projects where execution gets delayed and you keep burning cash and you end up with a lot of losses? Can you just give me some color around risk management around this particular exposure?

Aankur Patni : We do not expect to have any credit risk in this job. We are not getting paid directly from the Sri Lankan Government and this project is funded by Exim Bank. To that extent, credit risk is not something

which is on the top of the mind. Also, any overstay which is happening

Page 6 of 22 on site which is attributable to customer can be claimed by the company from the Water Board as per contractu

al conditions . So

there again, as far as overstay cost is concerned, it would not impact.

We remain hopeful that in a short period of time, we would get the necessary go ahead from Sri Lankan government and funding agencies to start execution at a faster pace.

Kiran Sebastian: Got it. Thank you, sir.

Moderator: The next question is from the line of Chetan Bohra from Abakus Asset Manager , please go ahead.

Chetan Bohra: Sir wanted to understand what will be the execution for UP during this quarter and what are the margins made on those. The execution for UP for the quarters.

Aankur Patni: Can I request Vasant if you have approximate number which we can suggest to them. Vasant can you share some approximate numbers for the up contract estimated revenue the second quarter.

Chetan Bohra: And sir my next question was till the time we get the answer. The margins in engineering for the quarter has gone down to nearly about close to 6%. So how should we consider keeping ahead because for the full year we were guiding out anywhere between 10 to 11% margin. So, how should one see this quarter particularly. I understand we should not call it a quarterly performance, but would like to understand how the commodity pressures are and how should we see the margin trajectory going ahead for the engineering division.

Aankur Patni : The margins for engineering segment as we discussed earlier, they have been impacted for primarily two or three reasons, one being that we have strengthened the infrastructure on the back of increased order backlog and expect increased pace of execution in the coming quarters. So, this cost which is currently hitting us on the bottom line would no longer be so in the coming quarters because the corresponding revenues would also come in. The second is the rise in input costs in earlier quarters affected the segment margin in the current quarter because of the inventory which was carried over and

Page 7 of 22 also purchase orders placed during earlier quarters, which got delivered during Q1 and were used for the invoicing. In the coming quarters, we expect to see a significant improvement on the engineering revenue for FY23 as a whole .. We also have a very strong order book at this point of time and further witnessing a good inquiry bank. From this inquiry bank, our prospects of converting orders are also bright. So with all that outlook, we are certainly hoping for a very good growth compared to what we have seen in the previous year, both in terms of the invoicing as well as the order book. So the margin percentage on conservative basis should be similar to what we achieved in the past year.

Chetan Bohra: Right. Sir thank you and for the UP would it possible to do the details. Sir wanted to understand what was the execution for UP during the quarter and the margins made on both for the quarter?

Vasant Naik: This quarter was around 27 crores and regarding the margin profile, we do not discuss the specifics of the contract in the call.

Chetan Bohra: So, I understand for Mr. Patni what he gave the answer to the next question that due to the strengthening of the infrastructure for the UP to gear up for the execution front, so the cost was front loaded and going forward, we will be seeing a healthy execution and accordingly the expenses will not be increasing in line with that and we would be seeing the operating leverage benefit. Is it right sir?

Aankur Patni: Yes, that is our expectation.

Chetan Bohra: Right. Certainly the other question was that during the quarter we have got other income nearly about in the standalone I am talking about close to 18 crores. Could you elaborate the details on that.

Aankur Patni: The other income primarily comprises of the interest income and also for this quarter because of the strengthening of the US dollar we have exchange gain of just around eight to nine crores.

Chetan

Bohra: Okay the Forex gain is 8 to 9 crores and the balances are the interest income basically.

Page 8 of 22 Aankur Patni: That is right.

Chetan Bohra: Okay, and then the chemical division performance was quite steady.

So, how should we see the remaining part of the year in terms of the revenue growth and the Greenfield plant has been postponed to the next year. So, how should because we were operating in nearly the optimal capacity. So, that is why there will be a growth on the chemical division.

Aankur Patni: We will certainly see a good growth in the coming periods, we expect the growth trends which we have seen in the first quarter to continue for the year as a whole, we should see better full year margin as compared to what we have achieved in the past year. However, we still should make it contingent upon stability in commodity prices. As also resolution of the supply chain issues which is affecting the commodity market. So, with those small caveats in place we should be seeing better full year margin compared to last year.

Chetan Bohra: Right sir largely the bid pipeline of over 8000 crores would it be possible to say how much percentage of the bid timeline we will be in the advanced stage of talking and the split between the domestic and whether it is in the domestic part of it or whether it is in overseas.

Aankur Patni: There is a mix of international as well as domestic opportunities in that bid pipeline. As far as the stage at which the discussions are, these are at varying stages of discussions. I would put roughly around 30% or so at relatively more advanced stage.

Chetan Bohra: Okay and sir CAPEX for the year would be what continuing Greenfield plant is postponed to the expansion is postponed to the next year as and when we should have clearances. So, keeping that aside what will be the maintenance CAPEX for the year

Aankur Patni: Vasant can you please elaborate on that?

Vasant Naik: Yeah, our total CAPEX will be in the region of around 60 crores and the major CAPEX would be in our enhancement of membrane facility, and also the incremental CAPEX, which we keep on doing in the chemical segment that will also be done.

Page 9 of 22 Chetan Bohra: Right and sir lastly, what would be the mobilization advance received from the up government and are we paying any interest on that?

Vasant Naik: We are not paying interest on the mobilization advance. But regarding the quantum as I mentioned earlier for another question on the same contract, we do not discuss the specifics of the contract.

Chetan Bohra: Okay. That's fine. Thank you.

Moderator: Thank you. The next question is from the line of Santosh Kumar Kesari from Kesari Wealth. Please go ahead.

Santosh Kumar Kesari: I had one question regarding all these projects that we have. Do you have any cost escalation clause built in, for example, rise in input costs. Did you receive any compensation from project owners? That is the first question.

Aankur Patni: So what is your second one?

Santosh Kumar Kesari: Yeah. The second one is about Sri Lanka project. As I understand from the previous participants question that there is some more going on. So, I wanted to ask that. Have you put any loss on that or an expected loss considering that this may not move for the year or so concerning the economic and political situation in Sri Lanka? So are we expecting any loss or have we booked any so far in the financials?

Aankur Patni: Let me answer the second one first. No, we do not expect any loss arising of it. As I explained, the overstay which is caused by the customer or because of the actions attributable to the customer is covered under the contract and we can claim for this stay. So those costs are not going to be a loss for us and the other risks attached to this are the credit risk, which, again, I explained that we do not have a direct exposure to the Sri Lanka

ankan Government and because of that credit risk is not there, we do not expect to have any loss on this.

Santosh Kumar Kesari: So do you have international body, for example, financial institution, which has given the contract to us.

Page 10 of 22 Aankur Patni: No, this contract funding is through Exim Bank, that is why the credit risk is not there.

Santosh Kumar Kesari: Okay. So, we are sure that the project is going to be finished sooner or later.

Aankur Patni: We remain hopeful that very shortly the conditions for execution of the contract will improve. And then we will go ahead with execution in consultation with the funding agencies and Sri Lankan government only when we feel that the recoverability is not going to be a challenge and execution can proceed at a desired pace. As far as price variation is concerned, some contracts, especially with the government and PSUs, do have a price variation clause. Because of the way the price volatility has impacted margins of not just company like us, but across the globe and across industries, the customers have been quite considerate and we have managed to get pricing escalations from customers, even where a price variation clause did not formally exist in the contract.

Santosh Kumar Kesari: Okay. Thank you so much. Thanks.

Moderator: Thank you. The next question is from the line of Vikas Boyal, an individual investor, please go ahead.

Vikas Boyal: Thank you sir. Thank you for the opportunity. Sir my question is what type of opportunity/opportunities we are looking for this Green hydrogen, because water is the key ingredient for this. What type of opportunities, we are looking in this field and how it can be for us.

Aankur Patni: This is an interesting opportunity for us and we are keenly working with all major players in India who are evaluating large scale infrastructure setup for green hydrogen. We would certainly be a part of almost all of these projects. You are right in saying that water is an important part of this entire process and we hope to be able to contribute to this particular industry in a big way.

Vikas Boyal: The next question is how hydrolysis is progressing? What is the progress electric to hydrolysis.

Page 11 of 22 Aankur Patni: The market acceptance of the product is very good and the revenue potential is very high. In coming times we should see much better numbers coming from this product compared to what we have done in the current quarter.

Vikas Boyal: Sir how much revenue percentage of consumer segment by this product.

Aankur Patni: I would not be able to disclose exact numbers. I am sorry for that. But it is a significant contributor. Apart from Hydrolife, there are other key product lines which also contribute significantly to the consumer product segment.

Vikas Boyal: Okay, thank you very much. Thank you.

Moderator: Thank you. The next question is from the line of Anurag Patel from Roha Asset Managers. Please go ahead.

Anurag Patel: Thank you for the opportunity. Sir what would be the contribution from private sector in our current order book?

Aankur Patni: Let me see if I have that number handy. They would contribute roughly around 40% to 50%. Am I right Vasant on that?

Vasant Naik: Yeah, I think around 40-45 will be a right figure.

Anurag Patel: Okay, chemicals, Greenfield CAPEX, what is the total CAPEX plan and how much we have spent till date. The total CAPEX on that is expected to be in excess of 200 crores. At the moment, the execution of this new plant has not started as we highlighted a little bit earlier on the call, we are waiting for the environmental clearance to be formally signed. Only after that we will start working in earnest.

Aankur Patni: You mentioned correctly.

Anurag Patel: Okay in terms of asset terms, can you expect around two times for this CAPEX?

Aankur Patni: Yes, it will be two to three

times it will take some time for us to reach the full capacity utilization. But when it does, it should be in that range of two to three times.

Page 12 of 22 Anurag Patel: Okay, one last question sir, any progress on our international orders,

we were looking at some large orders we were working with.

Aankur Patni: We continue to work on those, the movement on that unfortunately there is nothing yet to report on it. Hopefully, we will have something to inform you in the near future. As of now nothing has materialized out of those.

Anurag Patel: Okay sir. That is it from my side. Thank you very much. Thank you.

Moderator: Thank you. The next question is from the line of the Tushar Raghatate from Kamayakya Wealth Management Private Limited, please go ahead.

Tushar Raghatate: Sir what would be your gross profit margin for your chemical business and can you expect the chemical business increase in terms of share going 2/3 years down the line?

Aankur Patni: You are saying chemical business to increase in terms of share in the overall revenue?

Tushar Raghatate: Yes sir.

Aankur Patni: Let me answer and then we will ask Vasant to give you the chemical segment EBIT margins that we reported. But in terms of percentage share of chemicals in our overall revenue, we certainly expect the chemical segment volumes to improve substantially over a period of next 2-3 years, but likewise, we also expect the engineering volumes to climb as we have been talking about the overall order book and the pace of execution of it. These orders should be improving in the coming quarters and in the years to come. So given both of these, I am not able to accurately give you a statement on how much the percentage variations would take place in each of these segments from quarter to quarter, but on an absolute level, we should certainly see improvement on both of these segments.

Tushar Raghatate: Fair enough sir. Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Page 13 of 22 Saket Kapoor: Namaskar sir. Thank you for this opportunity. Sir I joined a bit late. So pardon me for any repetition. Sir firstly on the consumer products division, so how is this segment going to contribute going ahead and are we able to make the key changes or are the COVID factors now behind us where in that has affected the profitability and of this segment earlier.

Aankur Patni: COVID has certainly impacted the consumer segment substantially, I do believe that the current working environment has helped us to put the COVID factors significantly behind us. The segment as a whole is doing very well. On revenue terms, you would have seen that compared to the first quarter of the previous year, we have grown by more than 100% and the outlook going forward is also very strong. We will continue to maintain the growth momentum. Individual products which we have launched in recent times are also doing very well. The market acceptance is very good and I expect these new products to start contributing in a bigger way in the coming times.

Saket Kapoor: Sir what kind of margins, EBIT margins? What kind of sustainable margins can we look forward from this segment? I think on a top line, this time on a top line of 50 crores. We did PBT of 31 lakh. So what should be the normalized margin and a sustainable one on this and then I will come to the other two segments.

Aankur Patni: If you will evaluate the way consumer segment has moved in terms of its EBIT margin profile. It is a factor of the scale which we have been able to achieve for this segment. As scale of operation rises, you will see sequential improvements in the EBIT margins. The products are quite profitable and my expectation is that it will start contributing to a much bigger extent to the overall bottom line of the company in times to come.

Saket Kapoor: Okay, any ballpark idea that you can give because these are only be at the breakeven points, which we are currently looking.

Aankur Patni: That is right, we are only looking at the breakeven point now. I would not really like to forecast the exact year end number; it is a factor of

Page 14 of 22 scale which we are able to achieve. But you will certainly see

substantially better than what you are seeing now.

Saket Kapoor: Just dwelling one more line since you are dwelling upon the utilization. So, what is the potential of the segments going right on the top line basis sir.

Aankur Patni: See consumer segment has a very large potential. Potentially the revenue could even more than double in the coming 2-3 years time, but that is as far as potential is concerned. The market size is much more than that. Our market shares are in single digits at the moment.

Saket Kapoor: Dwelling into this, the engineering part. I missed your earlier commentary. So the factors that has led to the lower margins for the engineering segment for this quarter. They will be mitigating going ahead and for the full year as a whole what should be the normal margins in the engineering segment that one should look?

Aankur Patni: I did make a statement on this earlier. We will be able to certainly improve the margins significantly in the coming quarters.

Conservatively we should be able to maintain the full year margin percentage, similar to what we have achieved in the past year.

Saket Kapoor: Right sir and on the utilization level for the chemical segment if you have made any comment, what are currently our utilization levels and how was the raw material prices behave for the chemical segment.

Aankur Patni: Utilization level for the chemical segment is roughly in the range of 70 to 75% and you asked about.

Saket Kapoor: Do we see any uptake? Are these the optimum level?

Aankur Patni: So, there is a reasonable amount of headroom available, we would certainly be looking at higher utilizations in the coming period. As we have been mentioning over the past few calls, and we are eagerly awaiting the environmental clearance for our new Greenfield plant. Once those capacities come in, we will be hoping to increase the capacity utilization percentage in the new plant also quite rapidly. So

Page 15 of 22 certainly, we will be expecting a significant uptick from the current levels.

Saket Kapoor: Okay, and for the new plant environmental clearance, how much have been invested in the plant and the product profile is significantly different from what we are currently doing.

Aankur Patni: No the product profile is not going to be very different. Of course, there will be something new which will get added. But the overall product profile is similar to what we are doing currently. The plant is awaiting environment clearance so we have not really started in earnest to spend on that. Overall CAPEX plan is in excess of 200 crores and we should be expecting that plant to go on stream in FY23-24.

Saket Kapoor: How much have we invested sir and I will come in the queue for another two.

Aankur Patni: That is not a very significant amount as yet.

Saket Kapoor: But the total CAPEX is of 200 crore that will happen only once we get the requisite clearances from the government authority.

Aankur Patni: Yes it is significantly more than 200 crores.

Saket Kapoor: Okay and where it is located where the plant will be located?

Aankur Patni: It is going to be in Maharashtra

Saket Kapoor: Sir I will join the queue once again. Thank you for all the answers.

Moderator: Thank you. The next question is from the line of Sunil Kothari from Unique Investments. Please go ahead. Mr. Kothari if you are speaking right now, we cannot hear you I would request you to rejoin the session. The next question is from the line of Hemal, an individual investor. Please go ahead.

d.

Hemal: Thank you for taking the question. I appreciate it. Just very quick question on the chemical you said it was 70 to 75% utilization. I just wanted to know what is the last three to four year volume growth in our chemical business? Like if you have a CAGR or anything that you can give in volumes.

Page 16 of 22 Aankur Patni: Let me check. Vasant do you have readily available number to give as far as volume growth CAGR over the last four years is concerned.

Vasant Naik: Last four years, I am sorry Ankur. I will not be having.

Aankur Patni: I can try to give you a ballpark but I maybe off by a few percentage

points. So I will not hazard guess at the moment . You can get back through Valorem and we will be able to provide you that answer.

Hemal: Okay. So you believe like year -over -year , would it be at least last year to this year or do you believe there is a volume growth expected or this is all due to price realization.

Aankur Patni: Certainly over the last three or four years, we would have had volume growth, but I, unfortunately do not have ready reference to that number and hence my hesitation in offering you a reply. But as I mentioned I will ask our Investor Relations Firm to get in touch with us and we will provide that.

Hemal: Okay sir, thank you. I really appreciate. That is all from my end.

Moderator: Thank you. The next question is on the line of Sunil Kothari from Unique Investments. Please go ahead.

Sunil Kothari: Yeah, thanks for opportunity. Thank you sir. Very really hearty congratulation for such a good order book. After long we are having sizable order book, sizable deck for further inquiries. Sir my first query is now as expected after last two three years comparable of COVID situation and very difficult situation in commodity prices and volatility next two, three years seems to be reasonably hopefully better. So and you rightly only started investing in reasoning capability, execution capability. So, which are the major focus area which allow you to say generate substantially higher execution . engineering division.

Aankur Patni: I think the opportunities to grow on the engineering segment exists both domestically and internationally. We are now looking at an inquiry bank of more than 8000 crores. A significant portion of that is international . We are hopeful that we will be able to convert a good portion of this inquiry bank and hence the need to expand our overall

Page 17 of 22 infrastructure not just to execute the current order book, which we discussed was in the range of around 3000 crores, but also to prepare ourselves for the incoming order flow from the inquiries which are under discussion. So, we should be looking at a significant growth going forward , not just in the next couple of years, but the visibility which we seem to be building up is a good healthy engineering segment at least over the next 4 to 5 years .

Sunil Kothari: Sir for that you will be getting more vendor based supply chain or internally will be increasing our capability.

Aankur Patni: We are improving our internal capabilities in line with what we would normally be expected to do. The vendor base enhancement would be in accordance with the requirements of individual contracts. In general, the portion of contract which we execute internally remains substantially the same and there are significant amount of bought-outs which we source optimally through a wide group of vendors. There is no real necessity to exceptionally re-evaluate that vendor base in general, but certainly we do that on a case to case basis depending upon the requirement of the contract.

Sunil Kothari: Okay. Sir on chemical front, I think it seems that we have really good varied customer base internationally also, we have already proven our capability and product acceptance and because of this delay, the environment clearance or whatever reason, we

are not able to put new plants, but our existing capacity utilization is also low maybe 70 75%. So which are the roadblock for achieving 90% and 100% capacity before this new plant comes.

Aankur Patni: At the moment there is a slight demand stress or pressure on the demand in the international markets. There is some degree of demand contraction or suppression or deferment, which we witnessed during the quarter in some of the markets, especially Europe and the Americas. Because of this, the volume growth may not have happened to the extent that we would have liked, but it is also a question of movement from quarter to quarter. The first

Page 18 of 22 quarter is typically a light quarter as you may know from the trends . The capacity utilization will rise up as we move towards the next quarter.

Sunil Kothari: Sir, my last question is looking at higher utilization and the revenue

momentum trajectory what you are talking. Mr. Ranadive also mentioned about 2, 3, 5 years better engineering division. Overall trajectory of margin EBITA margin which currently we are achieving is 13-1/2 to 14% can it costs 2% plus. Would you really like to comment anything qualitatively on.

Aankur Patni: As I mentioned earlier, we are certainly hoping to equal or better the year end margins achieved on the engineering as well as the chemical segment. Certainly on the consumer product side, we are very hopeful that we will be in the black in this year. So, with all of this combined, I am very hopeful that we will improve the overall margin percentage.

Sunil Kothari: Great sir. With you Good luck, thanks a lot.

Moderator: Thank you. The next question is from the line of Madhusudan Reddy an individual investor. Please go ahead.

Madhusudan Reddy: Good afternoon, sir thanks for the opportunity. Sir this is regarding strengthening of our human resource as you elaborated we have a very good growth path for the next five years. So, you are strengthening in your research space. My question is regarding the strengthening of your human resource base with regard to both senior management this thing as if I am thinking out. Finding young talent into our goal or our senior management team without affecting any of our philosophy or our conversation, your thoughts on this?

Aankur Patni: Thanks for that question Mr. Reddy. We have a culture at Ion exchange which is pro employees and as a testament to that, a large number of our senior management team has been with the company for more than 25-30 years. We continue to adhere to the policy of being extremely pro employee and value the contributions made by our experienced team both in terms of their managerial and technical

Page 19 of 22 capabilities. Having said that, the induction of young blood into the entire team is also necessary, which happens at various levels. Both at middle management, junior management levels, and sometimes at relatively, more senior management level also. We certainly do not and will not compromise on the overall values and principles and ethics which the company stands for.

Moderator: Thank you. The next question is from the line of the Tushar Raghatate from Kamayakya Wealth Management Private Limited, please go ahead.

Tushar Raghatate: Sir just want to confirm about the CAPEX for the application. So, you are increasing the capacity of anion and cation raising by at 6000 metric ton each and the amount would be 400 crores. Is my understanding correct sir.

Aankur Patni: as I have been mentioning in this the figure is going to be well in excess of 200 crores and the capacity expansion would lead to doubling of our current capacities in the first phase.

Tushar Raghatate: Okay sir, again, can you please just tell me like how many phases are in this expansion?

Aankur Patni: There will be two phases. That is what is currently planned.

Tushar Raghatate: Okay fine sir.

Aankur

Patni: So in the first phase we will double our capacity and thereafter in the second phase we will again add an equivalent capacity.

Tushar Raghatate: Okay sir what would be our gross profit margin for chemical business?

Aankur Patni: Vasant can you indicate the EBIT margin for the chemical segment?

Tushar Raghatate: No sir gross margin I want.

Vasant Naik: The segment EBIT margin is 22% for the chemical segment.

Tushar Raghatate: Fair enough sir. Thank you, sir

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Page 20 of 22 Saket Kapoor: Sir for the capacity addition in the chemical segment, the expanded capacity which we were augmenting currently, what is our current market share and for the industry as a whole, how much whether the product is imported currently or totally indigenous?

Aankur Patni: Our current market share in India for resins would be around 40%. There are imported resins available in the market and they have been

so for large number of years. The capacity augmentation is targeted not just for India, but substantially for the international market. For the international market as a whole, our market share would be in single digits. So, there is a lot of headroom for expanding our volumes in the international market.

Saket Kapoor: And sir, how are sourcing our raw material, our dependability on the raw material. Having said it would be much affected by that also, so if you could throw some more light on the same that requirement will also go up in proportion.

Aankur Patni: Certainly raw material requirements will go up in proportion to the volumes which we will manufacture. These raw materials are sourced both domestically and internationally. The international component is quite widely sourced. We continuously strive to increase the geographic spread of our vendors to ensure that there is no individual geography which has a concentration or over-reliance on any individual vendor.

Saket Kapoor: And what would be the key raw material mix sir. In percentage terms, what are the key raw material for particular segment.

Aankur Patni: It is a wide group of raw materials. There are some which are petroleum based and there are some which are non-petroleum based.

A significant percentage would be petroleum based.

Saket Kapoor: Correct sir. Lastly, as you mentioned that first quarter is generally a soft quarter in terms of the executive one, execution cycle or the engineering segment and as you mentioned that we would be aiming for engineering segment posting revenue is higher than what the last year be and the margins if not it will be equal to what last year was.

Page 21 of 22 So this understanding is correct sir for the engineering segment as a whole?

Aankur Patni: Yes, we will certainly be posting more than what we did last year, in fact significantly more. For the company as a whole, I would expect a 30 to 35% growth on top line.

Saket Kapoor: But last year on a consolidated level it was 935 crores, we are looking at a growth of 35% on this number.

Aankur Patni: 30 to 35% for the company as a whole not just for the engineering segment.

Saket Kapoor: Okay, but if we could look for engineering as a segment, I think that is the major order contribution.

Aankur Patni: For engineering segment the growth should be more than 30 to 35%.

Saket Kapoor: More than 35%.

Aankur Patni: Yes.

Saket Kapoor: There will be lower growth for the chemical segment. My question was since you have already commented upon the consumer products growing significantly and that has been seen in the first quarter at 100% growth although last year was a COVID affected quarter so comparable are not there, but still we have grown and you guided you are looking for engineering to grow higher. So, there will be lower growth for the chemical

segment in that way, in that vicinity.

Otherwise, this identify on an overall how will it match the number

Aankur Patni: The engineering segments will go at a higher pace and as far as chemical segment is concerned, it will continue its growth momentum which is not as high as the engineering segment's.

Saket Kapoor: Correct sir and on the Sri Lankan part of the story sir what would be the receivable number from them as on date and do that have any interest component also as the delay deal?

Aankur Patni: Vasant can you answer that please?

Vasant Naik: The residual part of the contract which is remaining to be executed is just under 250 crores.

Page 22 of 22 Saket Kapoor: And the receivable number from them out of the one which we have executed also. Have we received all the money or the money is retained by them.

Vasant Naik: I cannot give any specific details about the contract.

Aankur Patni: But in any case, the receivables if any are not from the Sri Lankan government, but it would be the money which would be coming from

Exim and that is why there is no credit risk involved.

Moderator: Thank you. As that was the last question for today. I would now like to hand the conference over to Mr. N M. Ranadive from Ion Exchange India limited for closing comments.

Nandkumar Ranadive: Thank you all for participating in this Earnings Con Call. I hope we are being able to answer your question satisfactorily. If you have any further questions or would like to know more about the company, we will be happy to assist. We are very thankful to all our investors who stood by us and have also in confidence in the company's growth plan and focus and with this I wish everyone a great evening. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of ION Exchange India Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

November 18, 2022

To

BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P .J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG
Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our letter dated October 31, 2022, we enclose herewith communication relating to conference call as per Regulation 30(6) Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015.

The said conference call with the Institutional Investor/Analyst on Friday, November 11, 2022 was to discuss the financial performance of the Company for the second quarter ended September 30, 2022. The aforesaid information is also disclosed on website of the company i.e. www.ionexchangeindia.com

Kindly take the information on your record. Thanking You,
Yours faithfully,
For Ion Exchange (India) Limited

Milind Puranik
Company Secretary

Page 1 of 17 ION Exchange India Limited
Q2 and FY23 Earnings Conference Call
November 11, 2022

Moderator: Ladies and gentlemen, good day and welcome to Ion Exchange India Limited Q2 FY 23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. I, now, hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, Sir.

Anuj Sonpal: Thank you. Good afternoon, everyone a very warm welcome to you all. My names Anuj Sonpal from Valorem Advisors we represent the Investor Relations of Ion Exchange India Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the second quarter and first half of financial year 2023. Before we begin, let me mention a short cautionary statement.

Some of the statements made in today's earnings call may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward- looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr.

Aankur Patni – Executive Director, Mr. N M Ranadive – Group Chief Financial Officer, Mr. Vasant Naik – Executive Vice President of Finance and Mr. Milind Puranik – Company Secretary. Without any further delay, I request Mr. Vasant Naik to give his opening remarks. Thank you and over to you, sir.

NM Ranadive: Thank you Anuj. Good afternoon, everybody. It is a pleasure to welcome you to the earnings conference call for the second quarter and first half of the financial year 2023. Let me first take you through the financial performance of Q2 FY23 of our company on a consolidated basis. The operating income for the quarter was INR 4476 million, an increase of around 18% on a year -on-year basis and 17% quarter -

on-quarter. EBITDA reported was INR 533 million, an increase of around 34% on Page 2 of 17 year on year and 62% quarter- on-quarter. EBITDA margin stood at 11.91%. Net profit after tax reported was

INR 387 million, a increase of around 42% year on year and 41% quarter -on-quarter, while the PAT margin in percentage was 8.65%. For the first half of the year FY2023, the operating income stood at around 8,300 million an increase of around 20% year on year. EBITDA stood at INR 862 million, an increase of around 14% year on year. EBITDA margins were reported at 10.39% and that stood at INR 661 million and increase 31% year -on-year. PAT Margins improved to 7.96%. Let me now take you to the quarterly segmental performance on consolidated basis. In the engineering division, the revenue for the quarter was INR 2,577 million an increase of around 17% year on year. The EBIT for this segment was INR 182 million, an increase of 39% year on year. The company witnessed steady order book both in domestic and international markets. Regarding Sri Lanka order the execution remained affected due to the ongoing uncertainties in the Sri Lanka on the other hand, execution of the UP Jal Nigam project is progressing satisfactorily and revenue has been recognized based on the work completion. The order book as on 30th September 2022 is to approximately INR 1458 crores excluding Sri Lanka and UP Jal Nigam project. If we add these 2 to the order book, our total order book would be approximately INR 2795 crores and also we have a bid pipeline of INR 8025 crores. With this we have a strong revenue visibility for the next two to three years from engineering segment and we are well placed to undertake significantly increased pace of execution in the ensuing quarters. Going to the chemical sector, the revenue for the quarter recorded was INR 1,595 million, which increased around 18% year -on-year. EBIT was INR 377 million, which was an increase of 33% year over year. The sales in the domestic segment continued to record steady growth and export volume remained constrained. This segment improve margins in spite of the impact of rising US dollar rates on input prices. Lastly in the consumer division segment, revenue for the quarter was INR 455 million an increase of around 29%.

year on year. The loss for the quarter was 5 million. Investment in infrastructure and new product are giving encouraging results and we expect the segment to sustain its growth momentum. With this, we can now open the floor for questions and answer session. Moderator: Thank you, ladies and gentlemen, we will begin the question -and- answer session. The first question is from the line of Pratik Kothari from Unique Portfolio Manager. Please go ahead.

Pratik Kothari: Hi, good afternoon. Thank you for the opportunity. Sir my first question is on the engineering field. I mean, if we compare ourselves three years back, which is pre - COVID, our order book is substantially higher 2x when you look at the execution, it Page 3 of 17 is very similar to the run rate that we used to have them. So, you can just talk about our execution capabilities, what are we building to kind of shift to our highest trajectory in terms of the execution that we do on the engineering field.

Aankur Patni: Good afternoon Pratik, we are going to witness substantially increased level of execution in the coming quarters and we have strengthened the infrastructure including manpower, engineering, whatever is required to handle the execution, you will see the benefits of that in the coming quarters.

Pratik Kothari: Sir the investment or preparedness has already been done. It is just that is yet to reflect in on ground exhibition.

Aankur Patni: That's right.

Pratik Kothari: That's good to hear. And sir, for the last few quarters mentioning that we are almost on the verge of signing of a large order maybe in the international market or domestic market, but that has not gone through. So, I mean usually what are the reasons that this gets delayed or has some because of the recessionary etc, the narrative, which is that out there, I have something shift

ed the decision making is getting delayed, if you can just highlight something on those links.

Aankur Patni: These are generally infrastructure and government contracts. There is extended decision making process, various government approvals covering multiple departments and as you can understand, in a typical government contract, a lot of diligence takes place. Further, there is a lot of effort which we put in to ensure that our risks are mitigated to the maximum extent possible and the contract structuring itself takes some time. It is not generally possible to predict an exact timeline when the orders would eventually fructify, but we are certainly working on it and hopefully, we will be able to announce something soon. But till that happens, we will not want to come out and announce anything specific. Pratik Kothari: Thank you, sir, and all the best.

Moderator: Thank you. The next question is from the line of Chetan Vora from Abakkus Asset Manager. Please go ahead.

Chetan Vohra: Yeah, good afternoon sir I wanted to understand on the engineering front, growth has been like 5 to 10% and at the start of the year, we were riding out for like overall growth of 30% and chemical also has reported revenue growth of 16% the first half so where do we stand in that scheme of thing?

Aankur Patni: Chetan your voice was very unclear it's a bit muffled. Can you repeat it?

Chetan Vohra: What I was asking at the start of the year, we had given a looking out for the revenue growth of nearly about 25 to 20%, but in the first half our engineering Page 4 of 17 growth has been like 11% and the chemical has grown by like 16%. So, where do we stand in that scheme of things sir.

Aankur Patni: We should substantially increase the pace of execution in the coming quarters. We retain our expectation of the year end revenues from engineering segment and overall numbers.

Chetan Vohra: Which is 20 -30% right?

Aankur Patni: Yes, we should be looking at a growth of around 30 to 35%.

Chetan Vohra: Okay, and this is for the engineering or the overall?

Aankur Patni: We are talking of overall.

Chetan Vohra: Okay, fine, great. And so, basically, it will be the back ended thing and on the margin front also for the first half also and the engineering we saw pressure on the raw material and because of the margins has been like 5% while the chemicals margin has improved, so, how do we see situation going ahead?

Aankur Patni: Conservatively we should maintain the full year margin percentage similar to what we have achieved in the past year.

Chetan Vohra: Okay fine and how do we see the as the earlier question was also being asked that the bid pipeline which stands right now nearly about 8000 odd crores, and how much of that will be in the advanced stage of talking and that was the first thing and the second thing was of the UP thing, the UP order has started getting executed here under the execution. So, how much of that would have been got executed in this quarter?

Aankur Patni: The total invoicing which has happened on UP during the six months is 76 crores. In terms of the bid pipeline, roughly around 20 to 30% would be at a relatively advanced stage.

Chetan Vohra: Okay, then the last question would be what's the update on the Sri Lankan order, whether it is status quo or any work is going on?

Aankur Patni: The pace of execution has come down to almost a standstill. We still remain hopeful that very shortly the conditions for execution of the contract will improve and then we will go ahead with execution in consultation with the funding agencies and Sri Lankan government. Only when we feel that the recoverability is not going to be a challenge and execution can be at desired pace we will start again in earnest.

Chetan Vohra: And how much is receivable from them as of now? How much we are supposed to receive from Sri Lankan business?

Page 5 of 17 Aankur Patni: We do not give

the contract specific data but as we have been saying that we do not expect to have any credit risk in this job. We are not getting paid directly from the Sri Lankan government and this project is funded by Exim Bank. So, to that extent, credit risk is not something which is on top of the mind.

Chetan Vohra: And sir last one, what is the update on the Greenfield expansion view? It was delayed because of the approvals. So, what is the update on that?

Aankur Patni: We have heard some positive developments very recently and our expectation is that we will get the environmental clearance, that we were waiting for, within this month and we expect to start commercial production in FY 24-25.

Chetan Vohra: Okay, thank you sir.

Moderator: Thank you. The next question is from the line of Yog Rajani from KamayaKya Wealth Management. Please go ahead.

Yog Rajani: My first question is what is the maximum revenue potential of the consumer product division facility, chemical division facility and the membrane facility?

Aankur Patni: You are asking the maximum revenue potential.

Yog Rajani: Yes from the current capacities that we have in the three divisions.

Aankur Patni: Consumer Product division, we do not really have a significant capacity constraint. We can go to 2x or 3x of where we stand without much of a strain and likewise, our ability to ramp up revenues from our chemical division is pretty strong as we are able to add capacity modularly to the extent required and which is product line specific. In case of Resins, as we have announced, we are looking at a greenfield expansion, which will increase capacity to double of where we are at present. So, with expansion being in place, we should be able to increase our revenue by more

than double. In terms of engineering, the capacity constraints are not all that significant because a lot of the execution takes place at site. There is no typical manufacturing in the plant. So, capacity constraints do not work as they would in a typically manufactured product.

Yog Rajani: Okay. I had another question, what is the total addressable market of the consumer product division and what would our market share be in it and out of the total market what percentage of the total addressable market would be institutions?

Aankur Patni: It wasn't very clear, What percentage were you asking?

Yog Rajani: of the total market would be institutions for a consumer product division.

Aankur Patni: Institutions.

Yog Rajani: Yes.

Page 6 of 17 Aankur Patni: What do you mean by institutions?

Yog Rajani: By large corporate players

Aankur Patni: Okay. So, for consumer products, if you look at the home water equipment that we typically install in residences, that market itself is close to 10,000 crores plus. Apart from RO, there are other equipment's which go into residences, like softeners, the new product which we have introduced recently which is alkaline water. These add to the market number. As you would notice from the overall revenues, which we have been declaring, our market share is meagre in percentage terms and the opportunities remain quite big.

Yog Rajani: What EBITDA margins can we expect from this division over the next three years?

Aankur Patni: Segment is capable of generating high levels of EBITDA margins, however, it's the question of scale. There is substantial amount of fixed costs, which we incur in the segment and when we go past the threshold scale, the EBITDA margin additions will be substantial.

Yog Rajani: Alright, I understand. Thank you so much for the clarifications.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from Burman Capital. Please go ahead.

Pranay Roop Chatterjee: Sir my first question is pertaining to the engineering segment and it is more from a medium term perspective. So, if I look at your business mixes right, let's say five years from now

and more from a tenders perspective, which you define as your bid pipeline? What sort of mix do you expect, let's say, between private and public entities, like do you see public entities giving you more business in the next five years, if you could also break up on the private side, which are the sectors you know, where you expect to show a stronger performance versus the others and similarly, on the public side as well, which government programs would drive this incremental orders continuing on the mix side, also on the domestic versus international front, like do you expect International to increase in share or domestic to have a stronger mix going forward. So, just trying to understand how your business would look from a mix perspective, three to five years from now?

Aankur Patni: As of now the UP contract, which is one of the larger contracts is a government contract. Similarly, Sri Lanka contract, we would classify under the government contract. Typically, one large contract from the government side would tend to create significant bias towards that segment. It is difficult to give you very exact or accurate predictions of how these things would pan out in future. But based on

reasonable assumptions, I would expect that in a timeframe of three to five years, Page 7 of 17 the direct government contracts should be in the region of around 20 to 35%, somewhere in that bracket.

Pranay Roop Chatterjee: If you could also elaborate on the domestic versus international front?

Aankur Patni: See if we get a very large contract in the international market, something like Sri Lanka, which we have been talking about, that would tilt or skew the numbers slightly, but again, based on reasonable assumptions, I expect the domestic to be somewhere around 60 to 65%.

Pranay Roop Chatterjee: Got it all clear and my second question is on competition side, also on the engineering segment? If you could, it's okay if you don't give an exact number, but a broad range or as to what has been your bid win rate in the past and continuing on that given your bid pipeline and the type of projects you bid for. How does the competitive environment in India look like specifically India? For example, do you see the number of international players increasing due to the recent uptake in tenders being given out and also how many firms are really there who are capable and eligible? Sorry I think it was a cutoff. So, my question was on competition, if you could just help me with the bid win rate in the past and also talk about the competitive environment like if there are an increasing number of international players is simply coming in and bidding and number two, how many players are at all there who are eligible and capable to bid for the same contracts?

Aankur Patni: As a thumb rule, we assume that our bid win rate would be somewhere in the

vicinity of 20%. International players have been there in the market for many decades. There are new players which come in and there are players who exit almost every year. There is no significant uptick in terms of the competitive intensity.

Pranay Roop Chatterjee: Got it and if you could just this is the last thing, how many players would that be ballpark? Would it be 20, 30, 40 who are eligible and capable to bid for similar contracts, just to get a sense on how crowded the market is.

Aankur Patni: It is a very distributed market in terms of the type of competition and capabilities of various players. Further it is quite specific to sectors, segments of industry and to regions. As such quite a lot of players operate in this market.

Pranay Roop Chatterjee: Got it. Thanks a lot.

Moderator: Thank you. The next question is from the line of Romil Jain from Electrum PMS. Please go ahead.

Page 8 of 17 Romil Jain: Hello, thanks for the opportunity, sir and congrats on a good set of numbers. Sir, just want to understand at the at the ROC level, whether

our exports business will be doing better or domestic business will be doing better overall.

Aankur Patni: As a thumb rule, we would expect it to be almost the same maybe with a slight bias towards the international sector.

Romil Jain: Okay and currently of the order book how much is the export order book and how much is the export bid pipeline?

Aankur Patni: Roughly 20% is exports and bid pipeline in total is around 8000 odd crores, of which exports is roughly 30%.

Romil Jain: And in terms of Sri Lankan order project while I agree that we do not run a major credit risk, because of the Exim. Can you just let us know how much obviously only the small part of the execution is now left, so what kind of money have you already received on the process?

Aankur Patni: That unfortunately not a number which we have been declaring in the call.

Romil Jain: Okay. So, chemically related business, I just want to understand who are the competitors in India for the chemical business?

Aankur Patni: Two of the major players include Nalco, which is now Ecolab and SNF is another one. These are the largest of the multinational players,

Romil Jain: Okay, mostly international players are the competition in the sector.

Aankur Patni: There are domestic also. Thermax for example is also one of the players in the chemical segment.

Romil Jain: Okay, but I think the scale is different from you.

Aankur Patni: Okay.

Romil Jain: Okay sir, thanks a lot. All the best.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir in your presentation under this engineering order book and pipeline, it is mentioned that engineering project is 1458 crores, whereas outstanding for Sri Lanka is 256 crores. So, this is the worth of content pending to be executed for Sri Lanka.

Aankur Patni: That's right 1458 is excluding Sri Lanka and UP.

Saket Kapoor: Yes, separate figures are mentioned.

Aankur Patni: 256 is the outstanding portion of Sri Lankan contract.

Page 9 of 17 Saket Kapoor: And sir as you have correct me as you mentioned that for the Greenfield project, we are in the process of receiving the environment clearance within this month, we are expecting it for this month.

Aankur Patni: Yes, we are expecting to receive it this month.

Saket Kapoor: Okay. Sir could you give me some more color on the size of the investment we are going to and what are the contours of this resin project sir?

Aankur Patni: As I have been saying, we will be doubling the capacity of resin manufacturing in phase one and thereafter in Phase 2 we will be adding a similar capacity. The total CAPEX on this is expected to be upwards of 200 to 250 crores. The exact numbers would be given out at a later date, but it can certainly be in excess of 200 to 250 crores.

Saket Kapoor: And the completion date would be FY24.

Aankur Patni: FY24- 25 we expect to start commercial production.

Saket Kapoor: Okay and what should be the turnovers at optimum levels that would be expected from this plant at phase one.

Aankur Patni: As I said, we will be doubling our current resin capacities. At the minimum it will be more than two times.

Saket Kapoor: So, what is the current resin sales for us for last year or for the first half.

Aankur Patni: Approximately 60% of our chemical segment revenues are from resins.

Saket Kapoor: 60% of chemical segment.

Aankur Patni: That is right.

Saket Kapoor: Sir now, coming to the raw material I partner how have the raw material basket we are finding that there is a lot of price changes we are seeing in different commodities. So, how was raw material prices being and what is the outlook there going ahead.

Aankur Patni: While there was reduced volatility and downward trends in the raw material costs there has also been a sharp appreciation of US dollar and that continues to have some bearing on the input costs. We are continuously monitoring the RM price trends and taking corrective actions to mitigate impacts on the margins if any at all.

Saket Kapoor: Sir can you elaborate on the key components which constitute I think to the raw material basket as a cost of material consumed? If you could give the more granular details, what are the key components there?

Page 10 of 17 Aankur Patni: For the chemical segment, the mix of RM are both petroleum and otherwise and for the engineering segment, steel is one of the major raw materials. Further, wherever there is a significant civil contract, cement would be one of the key raw materials.

Saket Kapoor: Correct sir. We have also seen that the freight prices have corrected dramatically in some of the geographies or some of the locations. So, how has that impacted our business fall in the ocean freight prices?

Aankur Patni: That's a favorable impact as we have been facing these logistics related issues for quite some time now. There is certainly an improvement on that front and this will benefit us.

Moderator: The lines of the current participant has dropped off. We will move on to the next question that is in the line of Sunil Kothari from Unique Investment.

Sunil Kothari: Sir my question is basically as the industry grows and becomes highly profitable, like chemical industry becoming engineering also seems to be very lucrative or maybe it is next 2,3, 5 years, mutually competition will be increasing. So, how we will keep ourselves ahead of competition with profitable and really respectable profit and growth? So, what internally we will be doing with both the division or what we are doing so getting competition little bit at bay.

Aankur Patni: As it stands today, I believe our margins and control on various aspects of the business will possibly be amongst the best in both engineering and chemical segment, we will continue to be proactive on all fronts. We are taking continuous steps to improve productivity & efficiency of the manufacturing setup and also trying to ensure that we take these steps proactively. Our costs including input costs are under control and we continue to be vigilant on all fronts. We hope that we will be able to maintain the edge.

Sunil Kothari: This is all in terms of profitability and costs but in terms of product innovation R&D, if you can talk something more on maybe chemical segment.

Aankur Patni: We have a strong R&D setup with more than 100 member team on the front of R&D and there is a continuous effort to innovate on all fronts, work on existing product lines as well as introducing new products. We hope to continue maintaining our technical edge in the market.

Sunil Kothari: Okay great and sir the way you are explaining on Greenfield experts and what I understand is the current capacity of chemical segment is chemical resin segment is 100 then this new Greenfield capacity will add another 100 and with second line of expansion, it will reach 200 so combined capacity of resins will become a three time

Page 11 of 17 maybe over next three years or whatever timeframe. Is it right correct understanding?

Aankur Patni: That's correct.

Moderator: Thank you, the next question is from the line of Shriram Kapoor from Prabhudas Lilladher. Please go ahead.

Shriram Kapoor: Hi, thanks for the opportunity. My first question will be what is your growth outlook within each segment you expect your chemical segment to grow faster than engineering or overall are this 30% growth that you are guiding what will be the segmental growth outlook that you see?

Aankur Patni: We should see stronger growth in the engineering segment and relatively lesser growth in the chemical segment. The order book which we carry for the engineering segment is very strong. So, is the bid pipeline a

and expected wins, we should not only be having substantial revenue generation during the next two quarters, but we are hoping to carry forward very strong order book into the next year. Chemical segment would continue to grow at a good pace, but comparatively it would be engineering segments which would grow more.

Shriram Kapoor: Understood thanks and in terms of your export and domestic mix is, could you give that also split that up with new segments like how much of engineering, chemicals and consumer products is export and how much is domestic? Would you be able to share that?

Aankur Patni: The exports constitute roughly around 20% to 30% of our bid pipeline and we have quite a strong component of exports as far as our chemicals are concerned, which I would expect to be retained as we go forward.

Shriram Kapoor: Okay and lastly, so I understand Greenfield expansion. So, two questions on that

one is with your resins that you are doubling capacity for is that your highest value at the highest margin product within chemicals or is, what is the focus there? Like why resin will be the focus of expansion? Just to get an understanding of that and second would be other than this two hundred, 250 odd crores CAPEX outlay that you are going to have. Is there any other CAPEX projections that you have in any other aspects of your business?

Aankur Patni: We are expecting that we should be having around 60 to 70 crores of CAPEX apart from this Greenfield expansion that we have spoken about. In terms of profitability, you would have seen chemical segment does contribute significantly. Therefore, there is a good strong rationale for further improving our capabilities there. Further, there is a substantial market opportunity, especially in the export market. Our Page 12 of 17 overall market share in the international markets is very small and therefore is a good head room for growth there.

Shriram Kapoor: Okay, just to clarify that.

Moderator: Sorry to interrupt Mr. Kapoor. Sir may we request that you return to the question queue. There are our participants waiting for their turn.

Shriram Kapoor: Sure. No worries. Thanks a lot.

Moderator: Thank you very much. The next question is on the line of Pratik Giri from Vasoki India. Please go ahead.

Pratik Giri: Mr. Patni, I was just going to your EBIT margin segment I can see both in engineering chemicals, the margins have been improving since last three, four years. So, particularly in the engineering segment, do you see margin improvement from here also, and in chemical space too or is it the peak as per your calculation.

Aankur Patni: We should see improvement from here on. By the end of the year, we should be maintaining the full year margins similar to what we have achieved in the past and in chemical segments, we should be achieving the margins which we had in FY2021. So, we will certainly be seeing improvement from here on.

Pratik Giri: You are saying sir, in both the segments, we can see further improvement in EBIT margins.

Aankur Patni: That is right.

Pratik Giri: That is encouraging sir.

Aankur Patni: that's on full year basis.

Pratik Giri: Yeah, I understand sir. Second question is on the CPD on the consumer product segment. You on one previous question, you mentioned that on a scale we might see profits in the segment. Sir at what scale you think that this segment will start giving us some money?

Aankur Patni: Based on current trends, we feel that by the end of the current year, we will be breaking even in this segment.

Pratik Giri: Sorry, we'll be

Aankur Patni: Breaking even by the end of this financial year

Pratik Giri: At EBITDA level sir.

Aankur Patni: At EBIT level.

Pratik Giri: At EBIT level, that is quite encouraging sir, thank you that is from my side sir.

Page 13 of 17 Moderator: Thank you. The next question is from the line of Ranveer Singh from Edelweis

s

Wealth. Please go ahead. Mr. Singh please proceed with your question.

Ranveer Singh : Is my audio better now?

Moderator: Mr. Singh your audio is breaking up. Sir we are unable to hear you clearly. We request you to please come back in the queue. Thank you. So, we will move on to the next question that is on the line of Karthik Keyan from Suyash Advisors. Please go ahead.

Karthik Keyan: Couple of questions, one on the chemical segment. Are there any specific proprietary products for example, in this segment that we will be launching with the expanded capacities and B, would you be tying up somebody for white label manufacturing kind of a contract or would these all be under ion exchange own brand?

Aankur Patni: We have quite a few products within our portfolio which are proprietary in nature and the new capacity will look at a wide mix of products. We do offer our products

to various players in the market including competitors, but per se white labeling is not something which we have envisaged

Karthik Keyan: Given the substantial expansion we are looking at, whom would you be displacing sir in the international market and what specific advantages would we have versus them?

Aankur Patni: Sorry, your question was not very clear. Can you come again?

Karthik Keyan: I was asking you given that you would be displacing somebody because your expansion is a substantial. A, who would you be displacing and B, what specific advantages will you have over them to be able to achieve that?

Aankur Patni: We have already got substantial export presence in terms of our resins and we have been competing with the

market leaders in their favored geographies, which means we have been quite aggressive in the market and have been competing with them in the Americas and in the European markets. We do not foresee any challenges in being able to deliver both the quality of the products as well as the services if any required. Per se, the market share which we have in international market is very small and therefore, as I have been saying the headroom for growth is quite large. I do not foresee any problems in expanding our presence further.

Karthik Keyan: Right and in terms of raw material dependence on international markets sir, some thoughts on that could help. I am talking specifically on the chemical side.

Page 14 of 17 Aankur Patni: Some of our raw material is imported and we will continue to rely on at least some degree of imports. Although we are making a sustained effort to reduce reliance on any single geography or supplier.

Karthik Keyan: Who will be your primary imported in terms of countries.

Aankur Patni: It varies and it depends upon where we are able to get the best deal from and as I said that there is a continuous effort to reduce reliance on any single vendor or geography.

Karthik Keyan: If there is time, I would like to ask on question. Not a problem. I will get back into queue.

Moderator: Thank you. The next question is from the line of Ranveer Singh from Edelweiss Wealth. Please go ahead. Mr. Singh, please go ahead with your question.

Ranveer Singh: Yeah. So, wanted to understand and just wanted to reconcile some number. So, last quarter, we had total order book of 2912 and in this quarter, we have 2795 so 117 crore reduction in overall order book and I assume that whatever reduction is should reflect in incremental sales here in engineering side. So, is this understanding correct here?

Aankur Patni: That is right.

Ranveer Singh: So, incremental sales at 66 crore from Q1 to Q2 while our order book has contracted by 117 crores.

Aankur Patni: Yes, there is additional order inflow also during the quarter.

Ranveer Singh: Sir in initial order input has been executed earlier and then there has been no addition to order book that is what you are saying.

Aankur Patni: No, there has been an additional order inflow, it is around 120 crores.

Ranveer Singh: Okay. Yeah, I think we will understand it offline. Secondly, in balances sheet side also, you see that it is the inventory increase of some 50 odd crores. So, is this related to chemical or engineering.

Aankur Patni: This is largely engineering.

Ranveer Singh: Okay, this is from engineering side. Okay, fine and in your presentation, you have mentioned that there is constraint in export in chemical side. So, what kind of constraints currently you are facing?

Aankur Patni: We are talking about a demand constraint. Given the international, economic and geopolitical scenario, there is certainly an impact of that on demand, especially from Europe & America.

Page 15 of 17 Ranveer Singh: Okay and this is going to be a better going for long.

Aankur Patni: Hopefully as the situation improves in these respective geographies both on the economic as well as the geopolitical front, we expect the demand from these markets to improve.

Ranveer Singh: Okay. So, second half look like, there was some constraint here in first half. So, can we expect second half would be better in engineering segment specifically.

Aankur Patni: Second half should be substantially better. The pace of execution of the various contracts which are in hand will be going up. Overall, as mentioned earlier, we are looking at revenue growth on a full-year basis to be roughly around 30 to 35%.

Ranveer Singh: Okay and the last one, CAPEX 70 crores you mentioned for FY23 right.

Aankur Patni: The question was not very clear. Can you come again?

Ranveer Singh: You have mentioned the CAPEX of 70 crores if I heard correctly, so, that was related to FY23.

Aankur Patni: That's right.

Ranveer Singh: And how much we have spent in first half?

Aankur Patni: Around 25 crores.

Ranveer Singh: okay and this is related to which segment?

Aankur Patni: This is largely engineering.

Ranveer Singh: Okay. Thanks a lot, and all this is from my side. Thank you.

Moderator: Thank you. The next question is in the line of Romil Jain from Electrum PMS. Please go ahead.

Romil Jain: Sir just one follow up what I have seen the order inflow so far in the year and what is your annual target for this year?

Aankur Patni: The order inflow in engineering segment was around 528 crores for the first six months.

Romil Jain: Okay, any sense you can give us a full year what your target would be?

Aankur Patni: In the second half we should have substantially more than what we had in the first

half.

Romil Jain: Okay, okay. One question. I think we were also kind of doing some restructuring on the entire group level right the subsidiaries and all. So, one is what is the progress of that the treasury shares also and we have a substantial cash balance and we are also getting good cash flows. So, what is the thought process. Of course, 250 crores Page 16 of 17 of CAPEX is lined up for the chemicals business, but apart from that, will we see any allocation towards shareholders on the dividend side, just want to understand these things.

Aankur Patni: The treasury shares which you spoke about are the shares held by our Employee Benefit trusts. They are not intended for any transactions in the open market. They have very much been a stable holding. In terms of the cash available with us, we are certainly looking to deploy it for part funding the greenfield expansion, , and we are also evaluating other modes of inorganic growth.

Romil Jain: Okay. Got it. Thank you so much.

Moderator: Thank you. The next question is on the line of line of Pranay Roop Chatterjee from Burman Capital. Please go ahead.

Pranay Roop Chatterjee: Hi, good afternoon a gain. My question this time is almost chemical segments. You mentioned that 10,000 crore numbers sometime in the call. I could not catch it. So, if you just reiterate, what would be the total market size for you on the export front? That is one and you

are expanding capacity aggressively 2 to 3x. By when do you think you can fill up that capacity and I will tell you why I am asking this question. Firstly, your seller base is extremely diversified and you continue to strive to do the same both geographically and sector wise, and also the past annual growth rates has been quite volatile. If I just try to do a simple CAGR over the last 5 to 10 years, it is basically around 10%. Right. So, going forward, what do you think will drive growth substantially higher than that 10% past CAGR, which will actually fill up that capacity.

Aankur Patni: The overall market size for resins on a global basis is in excess of \$2 billion. That is why I have been talking about substantial headroom for growth being available there. The proposed greenfield capacity should take roughly three years to reach optimum levels of utilization.

Pranay Roop Chatterjee: Got it. Thanks a lot. I will be back in queue.

Moderator: Thank you. The next question is from the line of Shriram Kapoor from Prabhudas Lilladher. Please go ahead.

Shriram Kapoor: Hi, thanks for the opportunity for the follow up. So, just again, speaking about growth drivers going forward where you see the substantial growth opportunities, especially in your engineering segment is it going to be largely public and government related contracts, is going to be increased of private companies as they try to ramp up their ESG efforts and environmental efforts, where do you see majority of the growth happening going forward?

Page 17 of 17 Aankur Patni: I think we are seeing opportunities evolve on almost all fronts. Firstly, both domestic and international markets and secondly in each of these markets from all segments, including industry, the public sector, as well as from the government directly. Our effort is to make sure that the opportunities that we pick up do not put us to risk as far as our balance sheet or our bottom lines are concerned. We continue to be relatively conservative when we pick up these new opportunities to make sure that we maintain not just the growth trajectory, but also maintain a healthy bottom line. There would not really be a constraint of opportunities available in the market.

Shriram Kapoor: Thanks, and I think you are going to mention some numbers in terms of the full year target for your order inflows. Do you have that number available.

Aankur Patni: By the end of the year, we believe that our unexecuted Order Book would be at roughly an all-time high, close to 3000 crore number But there are still two more quarters to go. There is always a little bit of an uncertainty, but based on what we are seeing as of date, we feel pretty confident that we will end up at an all-time high order backlog.

Shriram Kapoor: Understood. Thanks so much, and best of luck.

Moderator: Thank you, ladies and gentlemen, due to time constraint that was the last question I now hand the conference over to the management for the closing comments.

NM Ranadive Thank you all for participating in this earnings Conference Call. I hope we have been able to answer your queries and questions satisfactorily. If you have any further questions or would like to know more about the company, we will be happy to be of assistance. We are very thankful to all our investors who stood by us and have also in confidence in the company's growth plan and focus. And with this I wish everyone a great evening. Thank you very much.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Ion Exchange India

Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

February 13, 2023

To

BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P .J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG
Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our letter dated February 3, 2023, we enclose herewith communication relating to conference call as per Regulation 30(6) Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015.

The said conference call with the Institutional Investor/Analyst on Tuesday, February 7, 2023 was to discuss the financial performance of the Company for the third quarter ended December 31, 2022. The aforesaid information is also disclosed on website of the company i.e. www.ionexchangeglobal.com

Kindly take the information on your record. Thanking You,
Yours faithfully,
For Ion Exchange (India) Limited

Milind Puranik
Company Secretary

Page 1 of 16 ION Exchange India Limited
Q3 FY23 Earnings Conference Call
February 07, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Ion Exchange India Limited Q3 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. I, now, hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.

Anuj Sonpal: Thank you. Good afternoon, everyone a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors we represent the Investor Relations of Ion Exchange India Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the third quarter and nine months end of financial year 2023. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review. Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. Aankur Patni – Executive Director, Mr. Vasant Naik – Group Chief Financial Officer, Mr. N M Ranadive – Group Head of Financial Planning & Risk Management and Mr. Milind Puranik – Company Secretary. Without any further delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you Anuj. Good afternoon everybody. It is a pleasure to welcome you to the earnings conference call for the third quarter and nine months ended of the financial year 2023. For the third quarter under review on a consolidated basis, the company reported operating income of INR 5121 million an increase of around 32% year-on-year and 14% Q-on-Q. EBITDA reported was INR 625

million increase of 46% year -on-year and 17% Q -on-Q. EBITDA margin stood at 12.2% and net profit after tax was INR 477 million an increase of around 70% year-on-year and 23% quarter-on-quarter while the PAT margin improved to 9.31%.

For nine months of financial year 2023 on a consolidated basis, the operating income stood at INR 13421 million an increase of 24% year -on-year. The EBITDA stood at INR 1486 million an increase of around 26% year -on-year and the EBITDA margin was reported at 11.07%. Profit after tax stood at 1138 million an increase of 45% on a year -on-year basis, and the PAT margin percentage improved to 8.48% .

Let me now take you through the quarterly segmented performance on a consolidated basis. In the engineering division, the revenue for the quarter was INR 3263 million, an increase of around 51% year -on-year. The EBIT for this segment was INR 310 million an increase of 174% year-on-year. The company witnessed steady order flow both in the domestic and international market. Whilst the execution of the Sri Lanka order remains significantly affected, the company has engaged in discussions for expediting the project closure on an acceptable way forward. On the other hand, execution of UP Jal Nigam project is progressing satisfactorily and revenue has been recognized based on work completion. Also execution of the other engineering orders picked up pace during the quarter and we expect the trend to continue on the back of the increased order flows and backlog.

The order book as of 31st December 2022 stood at approximately 1637 crores. This excludes the Sri Lanka and UP Jal Nigam and the recent IOCL order which we had won on 2

nd February, 2023 . If we add these to the order book , our total order book would be approximately 3650 crores and we also have a bid pipeline of 8405 crores . With this we have a strong visibility for the next two to three years from the engineering segment and we are well -placed to undertake a significant increased pace of execution in the ensuing quarters . Moving to the chemical division, the revenue for the quarter was INR 1515 million, which increased to around 3% year -on-year. The EBIT was INR 378 million , an increase by 23% on a year -on-year basis. The sales in the domestic segment continued to record steady growth while the export volume remained muted. This segment witnessed improved margins aided by stability in the input cost. Lastly in the consumer division, the revenue for the quarter was INR 457 million, an increase of around 30% year -on-year. The loss for the quarter was INR 15 million, this segment continues to record healthy top line growth. With this we can now open the floor for the question- and-answer session.

Page 3 of 16 Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Chetan from Abakus Asset Manager. Please go ahead.

Chetan Vora: Sir wanted to ask on the engineering front , what has been the execution on account of the UP project for the quarter and that will be at what margins ?

Management: The UP execution for this quarter was around 46 crores and as regards the margin as we have mentioned in the earlier Concall , we don't get into the specifics of the contract level margin.

Chetan Vora: Okay. And the capital employed in the engineering division has increased by close to 130 crores quarter -on-quarter. So, that will be towards what thing?

Management: Primarily, we have to take care of execution in the fourth quarter there has been a slight buildup in the inventory level and also because of the higher turnover , the debtor levels have also increased.

Chetan Vora: Okay. And the UP execution, the last quarter it was , I think so it was close to 76 crore. So, this quarter the billing has been lesser, is it right to summarize ?

Management: No, last quarter was around the 48 crores and cumulative for the nine months it is 121 crores.

Chetan Vora: And by when the traction in the execution will start happening, because the order book is quite high and we have to execute it in a span of two months or

less than two years. So, from which all quarter the execution will start ramping it up?

Management: You are talking specifically of the UP order ?

Chetan Vora: Yes, UP.

Management: Yes, we expect the traction to pick up from the fourth quarter onwards.

Chetan Vora: Okay, thank you. And can you elaborate how the Sri Lankan project right now, we are not doing any work so how this thing will be getting unfolded in the coming time or it will be a status quo and how much money is yet to be received from the Sri Lankan project?

Management: The pace of execution on the Sri Lankan order has almost come to a standstill.

While there are continuing discussions between the Indian government, the Sri Lankan government as well as Exim Bank and IMF, other agencies involved in

restructuring of the debt of that country. We remain in touch with all concerned agencies and we can only say that we are getting positive overtones from these

Page 4 of 16 discussions. But as of now, till the situation reaches a conclusion which is

acceptable to all these agencies, the fund flow to the Sri Lankan projects will

remain extremely constrained and hence our project execution also would be going at a, very slow pace.

Chetan Vora: And on the engineering margin from the last quarter of FY 22, we had posted

19% margin because of the strong other revenue growth. So, by the end of

nine months, so far our EBIT margins on the engineering front is close to 6.7%. So, are we on track to achieve that 10% guidance what you had said as a full

year?

Management: We still believe that we will reach close to the double digit figure for the full year.

Chetan Vora: Okay, thanks for that. And next on the chemical front. Can you update on the

Greenfield thing how it is seen getting progress because we are waiting for the

EC thing. And that was the first thing and the second thing is, the margins in

our chemical division has been quite good so the sustainability on that, the two

questions from my end. Thank you.

Management: We are still awaiting the environmental clearance for our project. So, there's

no movement on that front unfortunately. As it stands, we remain expectant

that it can happen anytime. Once it starts, as we had indicated earlier, it will

take roughly about a year and a half for the plants to get commissioned. So,

we are looking at around the last middle or last quarter of 24- 25.

Chetan Vora: Okay. And on the margins front?

Management: We have seen improvement in the margins and this has happened because of

the stability in input prices. And hopefully, the stability as well as lack of disruption in supply chains would get sustained, if that happens our feeling is

that for the full year we should be able to maintain the current levels or improve

it further.

Chetan Vora: For the full year FY 23 which has grown over 24% margin what you did for the quarter?

Management: Yes. So, for the full year we should be able to get to margin which is similar to

what we have achieved now and maybe improve it a little bit.

Chetan Vora: Okay. And then next year also we would like to do that number?

Page 5 of 16 Management: Yes, this margin is quite sustainable, barring some unforeseen movements in

raw material prices or some other unprecedented events, but per se it is quite

sustainable.

Moderator: Thank you. The next question is from the line of Prashant Sharma from

Quantum Securities. Please go ahead.

Prashant Sharma: Sir my question is regarding the new order that we got for IOCL. When we can

see the execution of that order starting?

Management: The execution of that order would start very soon. The contract is for

completing the execution in a 24 month period. We have just received the

order, the action on that contract will start in earnest very shortly.

Prashant Sharma: Okay. Then my second question is regarding the ch

emical sector. Our growth

has somewhat stalled because if you look at the Y-on-Y growth is a bit 3% and

Q-on-Q has declined by 5%. So, what's the challenges that we are facing and

what's the future growth projection in the chemical segment?

Management: Chemical segment is doing quite well on the domestic front. As such, we are

seeing good growth numbers and as you will be seeing the margins are also doing well. On the international front however

two of our important markets are

the North American markets and Europe. Those two markets continue to be

slightly constrained, and we remain hopeful that it will recover soon enough.

Once that happens, growth should happen on both sides which is domestic

and international.

Prashant Sharma: Okay. And my last question is regarding the consumer product, our revenue

has increased by 30%, but on a margin there is a decline of almost 200, 300

basis points. So, what's the reason for the decline in EBIT margin?

Management: Overall the consumer segment is doing well on the offtake of new products, as

we have been disclosing on the previous calls . We expect that the top line growth will remain quite good. As far as the margins and EBIT level are concerned, we are now investing a little bit more to ensure growth in coming quarters. And some of the expenditures which have been made in the current quarter are oriented to improve the top line as well as the overall operations of the company in the coming period. So, that accounts for a slight dip which you have seen. Overall, we are quite happy with the prospects of the segment.
Moderator: Thank you. We'll take the next question from the line of Akshat Mehta from Sameeksha Capital . Please go ahead.

Page 6 of 16 Akshat Mehta: So, my first question is regarding these advances that you've received over the last six years, because obviously working capital is negative and I believe five years back you said that these were mainly bought into Sri Lanka project. So, I just want to understand if these advances also relate through some other project and what is the sustainability of those advances going forward?

Management: Vasant can you comment on that question?

Vasant Naik: All engineering EPC contracts typically will have a certain percentage as advance and as the engineering order book increases or sustains at the current level the advances will keep on coming in, it's not only related to a specific Sri Lanka order, but all other large EPC orders or even the middle size orders always have a certain percentage as a mobilization advance.

Akshat Mehta: Okay. So, do you have some kind of a run rate that you can share that going forward let's say 3000 crores is the order book right now. So, what will be the kind of advances that we will receive , what will be the percentage maybe?

Vasant Naik: Typically, for an engineering contract , advance is around 10%.

Akshat Mehta: 10% of the total contract value?

Vasant Naik: That's right.

Akshat Mehta: Okay. Secondly, I just want to understand that in quarter three, we've seen a sharp dip in your gross margins on an year-on-year and quarter -on-quarter basis. So, what are your drivers for that dip in gross margin?

Management: Can you please repeat that question. Are you talking about cost , gross margin?

Akshat Mehta: Yes, we are talking about gross margins , in quarter three your gross margin have come down to around 37%. So, there has been a decline year -on-year as well as quarter -on-quarter in gross margin, so what is the key driver of that ?

Management: The engineering segment typically has a higher COGS structure compared to a chemical segment where the cost structure is more towards the operation and other expenses , So, as the share of the engineering segment increases there will be some deviation in the overall cost structure at the gross margin level.

Akshat Mehta: Okay. So, that is not an account of some

cost lag effect that we are not able to pass on correct. That is in account of change in mix ?

Page 7 of 16 Management: If you see for the quarter the engineering segment contributed around 61% of the overall revenue, it's almost 5% to 6% more than what was there in the earlier year.

Akshat Mehta: Okay. And another thing that I wanted to understand is , had any of the projects currently that are the re in the order book multilaterally funded?

Management: Other than the Sri Lanka project which is funded by Exim Bank of India, there are no other projects

Akshat Mehta: No other projects on multilateral fund?

Management: Yes.

Moderator: Thank you. We'll take the next question from the line of Pratik Kothari from Unique Portfolio Manager. Please go ahead.

Pratik Kothari: Sir my first question on the engineering, I believe the IOC L orders which we won the 350 crores and then the subsequent 750 crores . I wish this is the first thing that we have won as ZLD order for a refinery . Can you just throw some more light of what is driving this , what the opportunity can be, regarding the refinery orders ?

Management: Thank you for the compliments, Pratik . Yes, certainly this is an important achievement for us, but this is not the first ZLD. We have executed quite a few ZLDs in the past. This certainly is one of the largest contracts in the industry segment , and we look forward to more such opportunities from the refinery sector in India. As you would know, there is quite a bit of a push on the front of environmental management by all companies and especially the larger PSU s have been quite proactive on this front. So, the investments are coming not only with respect to new capacities or expansions, but also to ensure that the technologies are upgraded on the older plants . Therefore a significant amount

of Brownfield investments in ZLD and other such technologies are expected.

The prospects look good.

Pratik Kothari: Sir, any color on how much of these refining capacity that we have already covered i.e., the opportunity size available?

Management: I would not be able to give you an exact number on that Pratik right now, but certainly our team can get back to you at a later date.

Pratik Kothari: Sure. And sir my second question on chemical, like you highlighted due to some reason we are seeing, it is in the near term we are seeing subdued volume of take but given our stated ambition of doubling the capacity in the Page 8 of 16 first phase and then taking it to 3x. Can you just maybe qualitatively highlight what are those signals that we're receiving from our customers in Europe and North America, and what is giving us this optimism that after a long time, we are going on such an ambitious CAPEX at least on the chemical side?

Management: Per se the growth momentum which we had on international chemical sales was quite good, till we hit a sort of a stumbling block on account of COVID and because of the ongoing war in the Eastern part of Europe. We believe that our products have got good acceptance in that market and there are sustained positive feedbacks from the distribution chain as well as from the end customers. And indeed, our own appreciation of the specific requirements in

the different markets and of different customers has continued to improve. All these are coming together in a nice way and I am more than sure that it will translate into much bigger numbers in the coming years. Unfortunately, as we have been seeing over the last couple of quarters that the situation in Europe has not been favorable for a fast paced increase in the revenues coming from that market. But having said that, our expectations remain positive for the coming quarters. Once the growth momentum in both North America and Europe picks up, it would provide a good fillip to our aspirations.

Pratik Kothari: And we had guided for some 3

0%, 35% growth for FY 23, this is at a consolidated level.

Management: That's right.

Pratik Kothari: Okay, so last quarter would be very, very strong. Okay, thank you sir and all the best.

Moderator: Thank you. The next question is from the line of Sandeep Dixit from Arjav Partners. Please go ahead.

Sandeep Dikshit: Just wanted to understand on this Sri Lankan exposure, do we need to make any provisions, have we made any provisions?

Management: Ranadive can you briefly comment on that?

N M Ranadive: Can you repeat the question please?

Sandeep Dikshit: On the Sri Lankan project do we need to make any provisions for whatever, is there any debts or anything, is there any provisions required for the Sri Lanka project?

N M Ranadive: Right now we do not anticipate a need for making provision for our exposure.

Sandeep Dikshit: So, there is no debtors out there on the Sri Lankan project?

Page 9 of 16 N M Ranadive: While there are debtors against this contract including retentions, as of now we do not anticipate a need for making a provision.

Moderator: Thank you. The next question is from the line of Ruchita Gadge from I-Wealth Management. Please go ahead.

Ruchita Gadge: Sir, my question was on the chemical front. So, at the current capacity that you have, what is the revenue potential in it. So, first, I would like to know about that, if you could?

Management: We are continuously upgrading our product mix towards more value addition, and further we are in a continuous process of modular expansion of capacities for specific product lines. Keeping this in mind, we can expect that from the current levels, we will be able to deliver almost 50% kind of a growth based on current capacities. This is for the chemical segment as a whole.

Ruchita Gadge: Okay. And on the consumer business, I wanted to know that the production of these purifiers, are you outsourcing it or are you making it in-house?

Management: For the purifiers we have a vendor who provides us on an exclusive basis, based on the inputs that we give to them this is for the smaller equipment, the larger equipment's are all made in-house.

Ruchita Gadge: Okay, sir. And how is the distribution done?

Management: We use multiple channels for distribution, which includes direct sales channel, distributors, online sales and also the retail chains.

Ruchita Gadge: Okay. And sir this 60% growth that you said in the chemical side of it, that is sufficient for the kind of growth that you are expecting till this greenfield capacity comes in?

Management: Yes, roughly around 50% is what I indicated to you based on current capacities. But we are also, as I mentioned, continuously upgrading our facilities to fine tune our product mix towards more value addition.

We were certainly hoping that the clearance for our resin expansion project would have come in earlier. But as of now it seems that at least for the next year we should be reasonably okay in terms of our both plants.

Moderator: We will take the next question from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Page 10 of 16 Saket Kapoor: Couple of questions. Firstly, on the bid pipeline, you did mention about 8000 crore is a bid pipeline. So, if you could give us some color on the success ratio, what percentage should be a gain on an bid pipeline of 8000 crore?

Management: Typical success rate on the bid pipeline is around 20%.

Saket Kapoor: Okay. And what should be the timeline sir, the bids this is on a rolling basis?

Management: This is on a rolling basis, the smaller projects in the pipeline tend to close much faster, that could be between three to six months, the larger projects would typically take between 6 to 18 months.

Saket Kapoor: Sir just on a ballpark number, and on a very conservative bases what kind of order book built up we can expect on a quarterly run rate just to take into

account the optimistic scenario in the bid pipeline on a conservative basis, what should be the fillers we can work, our numbers with the confirmed order intake?

Management: On an overall basis we can make broad assumptions based on our current order book. And further to that there will be a few opportunities which would come in the next couple of quarters which will be short cycle and may not even get reflected in the quarterly disclosures of order bank. We are also witnessing an uptick in terms of the order conversions in the current year. If we exclude the extraordinary order of Sri Lanka then probably this year would end up being one of the best in terms of order intake, and I would expect this trend towards improving order books to continue into the next year and thereafter. Hence, to give a run rate based on the past would probably not be the best way to look at it. Further to that, sometimes a large order conversion happens in one big chunk like the recent, 700 crore order we just declared, that would create a bit skew in a particular quarter. And would not really follow the average run rate that we have been speaking about.

Saket Kapoor: So, we can work on maybe for at least a multi-year projection from this engineering segment, it is not a one off, one or two years business that we are currently looking into, we can very well look into the visibility even going ahead depending upon current business scenario.

Management: Absolutely. The current order book is expected to get executed over a period of two to three years. And as we keep converting the opportunity pipeline my guesses would be, we should be looking at progressive improvements in the order book as we go forward. We are getting good response both from the domestic market as well as from the international markets. So, if we factor both

of these, this is not a short term phenomena. The global market opportunities

Page 11 of 16 should offer good prospects to us over at least a five to seven year period, I don't see the opportunities going down

Saket Kapoor: Sir, intentionally we have always observed that H2 and especially quarter four the execution cycle, there is a good ramp up and also since the first quarter if I'm not wrong you did articulate the fact that you are building up the teams in order to improve the pace of execution. So, going by the last year numbers, or last year percentage of revenue booked under the engineering there is a very likelihood that we can look forward for even stronger execution cycle for big upcoming fourth quarter also, as have been the case historically, we can take reasonable expectation there?

Management: Yes, certainly the fourth quarter we will see much higher levels of executions than we have seen till now.

Moderator: Thank you. We will take the next question from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Sir, my question is on, I understand you won't be able to disclose or maybe analyze fully opportunity of this ZLD and PSU's water opportunity. So, what I understand is, this is the first time IOC has started with this size of project, this type of ZLD and so many technical involved water related cleaning projects. India across has many refineries, all the power plants also use so much water. So, if you can just try to analyze may not be in a revenue or other possibilities, but is the size of refineries, number of plants, number of power plants, those

will be also supposed to be converted in slowly directly because government is the only agency which can trigger this activity otherwise private sector will not follow this , so your thought process will be really helpful.

Management: Thank you for the question Mr Kothari . Yes, we are seeing the PSUs , in the process of looking at any and every opportunity where they can go greener . IOC in itself is a

very large organization and the recent contract is with respect to only one refinery . And we expect others apart from IOC also to be doing

expenditures on green technologies at a faster pace. Certainly the PSUs as a whole driven by the central government policies have been one of the more proactive entities on this front. But having said that, it is not that the private sector is lagging. A lot of the large entities have been taking very progressive steps to ensure that their respective entities comply with the highest level or highest standards in terms of environmental compliances and even beyond that. We are certainly standing at a threshold where the country as a whole will witness significant strides towards a much greener and much more responsible industrial attitude towards the environment. I am hopeful that this IOC order is Page 12 of 16 just beginning to substantially improve flow from similar organizations in the future.

Sunil Kothari: So, sir I just wanted to check is , how well prepared are we in terms of manpower or engineering capabilities , are we doing enough, because the opportunity seems to be very large. So, what preparation are we doing if you can say whatever possible?

Management: We continue to invest in people, in systems and in other resources to ensure that we are geared up to take on the upcoming opportunities. This is a continuous process . There is a degree of flexibility which one can have in resource planning for executing these projects. It's not that you have to have all the people on rolls of the organization in advance, it's possible to expand the workforce depending on the need of specific contract executions. As far as the infrastructure goes we have been working to get ourselves geared for much larger scale of operations than the current levels . I can confidently say

that with the capabilities that we have added over the last couple of years we are well positioned for a much higher level of execution than current. And we are in a continuous process of augmenting them further.

Moderator: Thank you. The next question is from the line of Tushar Raghatate from KamayaKya Wealth Management. Please go ahead.

Tushar Raghatate: Sir my question is on the engineering division, now we're getting a larger ticket size contract, so I just want to understand the guidance which you gave for the current year will that be maintained near to the range of 20% to 30% going forward looking at the current scenario, the order book which you are saying?

Management: Yes, for the year as a whole, we are maintaining the guidance of a 30% growth in the top line.

Tushar Raghatate: No, sir my question is for the next financial year, considering the bid pipeline, are we confident enough to maintain that growth guidance ?

Management: For the next financial year, I'm not giving out the guidance as yet. But directionally, I can say that the order book that we have, needs to get executed over a period of two to three years. And that itself would indicate that the growth in next couple of years should be quite strong. We will be adding more orders to this. And I am quite hopeful that the order flow over the next year will also will be quite good.

Tushar Raghatate: Fair enough sir. My second question is on the execution of UP project. In the percentage term the execution is seems to be very less. So, it's fair to assume that the heightened executions will be in the H2 of the contract, like any Page 13 of 16 contract to take for nearly two to three years, is it fair to assume that the larger execution will happen in the H2 of that respective contract?

Management: The invoicing for the contract tends to be a little bit skewed towards the later part, because in the initial few weeks or months, the effort is towards pre engineering, designing, mobilization and those kinds of things. Ultimately, the invoicing will happen when the

things start moving on the ground. So, there is a significant preparation which would come somewhere in the middle. And thereafter, as the contract moves towards closure, the invoicing will taper out . So, instead of saying that it is rear ended, I would rather say it is a little bit more towards the center of the contract.

Moderator: Thank you, The next question is from the line of Mahesh Agarwal an Individual

Investor . Please go ahead.

Mahesh Agarwal: First thing just wanted to understand was around the Portugal subsidiary. Is that a European company that we have acquired or is it something we are setting up ourselves and then kind of what is the scope of the business we are looking there is that for an EPC kind of business or something in the chemical space?

Management: The European subsidiary that we have reported is a subsidiary which we have set up. And that subsidiary would be looking at all businesses. Currently, the major focus would be towards the chemical segment. Having said that, we are actively looking at acquisitions in the European and in other markets including India. And we are in relatively advance stages of discussions on some of these. So, once those happen, they will add to our overall reach to these respective markets.

Mahesh Agarwal: Got it, so these would be manufacturing opportunities that we would be setting up or acquiring. So, like actual manufacturing on the ground in Europe?

Management: Yes, this would aid our manufacturing abilities in the continent once they reach that stage of maturity .

Mahesh Agarwal: Understood, got it. And then the next one was, again on the waste water industrial treatment side you already spoke a bit about the opportunity and kind of the change you're seeing and the mindset from companies to adopt these practices. Just wanted to double click a bit more on that, has there been a drastic shift in the government laws and enforcement from the environmental ministry to actually start enforcing this so that was one if you understand is there actually a drastic change in the laws which will kind of push this or is it more just being driven by promoters becoming more ESG friendly themselves
Page 14 of 16 and sort of the PSU in case of like IOCL setting the benchmark there for private sector to follow ?

Management: It's a mix of everything, there is certainly much more awareness today, amongst the industry captains about what they should be doing for the environment . This is being reinforced through the commentary by the various industrial bodies and associations as also by global agenda set by declarations like the COP 26. So, that certainly is a lot to push initiatives in this front. As far as the government regulations go, they have been tight for some time now and continue to become more stringent. As we increase in maturity of implementing these regulations, our infrastructure to monitor and control the various parameters associated with these implementations has improved further . As we go further, the intent of government would drive further strengthening the regulatory environment . And the incentive for the industries to not comply, will keep going down because more and more the investors and the consumers are also asking for environmentally friendly products and processes. So, all these factors are impacting it, not just one or two of these things.

Moderator: Thank you. The next question is from the line of Agam Shah an Individual

Investor . Please go ahead. The current participant has placed the line on hold.

We'll move on to the next question from the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: So, I just wanted to understand one thing , that in terms of , so you have all these large projects that are coming in, but can you share some details on what would be the average run rate of smaller projects on a quarterly or yearly basis , what kind of run rate

that would be?

Management: For the smaller projects on a yearly basis Ranadive will be able to give a broad kind of a number . On a yearly basis, we're looking at somewhere around an engineering revenue of roughly 400 to 500 crores . And some these contracts tend to be as short as about a month or two months. And on the higher side, these contracts could be around six to 12 months. So, these do move at a fast pace and not necessarily visible in our quarterly disclosures, Ranadive , please correct the number if that's required

N M Ranadive: What you explained is right.

Akshat Mehta: And, I just want to understand on the chemical segment side, your margin improved a lot in FY 21, from around 15%, to 20%, 24%. So, what was the key driver of that, sharp improvement in margins in FY 21?

Page 15 of 16 Management: As you would have noticed, in spite of a few unprecedented and unforeseen global events the margins have recovered back to near the 2021 levels. And my belief is that we will be able to sustain these numbers going forward. But I'll give a broad response to the kind of improvement that we have seen from around 15%, 16% levels to 20% plus level. One of the thing which has contributed is of course that we have improved operational efficiencies and

operational throughput. The second has been the improvement in the product mix. Thirdly improvements on controlling other cost on various fronts. So, a lot of factors have gone into make sure that the profits are at a higher level. And certainly, stable input prices have helped to maintain these margins without leakages because of supply chain issues.

Moderator: Thank you. The next question is from the line of Jani sh Shah an Individual Investor . Please go ahead.

Janice Shah: So, I have a couple of questions, especially one on the international opportunity that you spoke about, we have seen last number of large size projects which we have won largely from the domestic market. However, you always eluded that there are opportunities which we are pursuing in the international market, if you can just update what kind of situation out there given that the world is , the economies are going through an uncertain periods. And how are we placing and second question is, as you just mentioned t hat you are looking at acquisition opportunities. Could we just get some sense about which are the areas which you are trying to plug and what kind of a budget which we have assigned for that acquisition or for the acquisition purpose?

Management: The international market opportunities , unfortunately there isn't reportable update. B ut yes we have been pursuing some large opportunities and these are in the infrastructural segment of various countries . The target geographies being Middle East, Southeast Asia and as well as Africa. The current economic scenario, and the scenario which has unfolded for the last couple of years has not been the most conducive as far as these opportunities go. But as we have been maintaining in the past, while there is a slow progress on almost all of these, it's very uncertain to really make a remark as to when exactly this would culminate into an order. Once it happens, certainly we will come out and make a disclosure.

Janice Shah: Just to add up to this. This bid pipelines generally do contain this kind of opportunities or is it without that ?

Management: No, the bid pipeline do not reflect such opportunities . You had put a question on acquisitions. We are not looking at very large acquisitions. These are small acquisitions in sub 10 million USD range. T he target being better reach into

Page 16 of 16 the various geographies that we are interested in, maybe some technology related improvements and further also to creat e manufacturing / marketing base in the respective geographies.

Moderator: Thank you. The next question is from the line of Ramaswamy from IR Investments

. Please go ahead.

Ramaswamy: My question is that India is becoming a semiconductor hub. So, any improve visibility are you finding from the semiconductor side because purified water is one of the components there. So, if you kindly elaborate on it, thank you very much sir.

Management: Yes we are l ooking at various opportunities emanating from the semiconductors and related industries in India. W e are actively working on it and hope that industry would give us good numbers in the coming quarters .

Ramaswamy: And if I may ask, currently do we supply to any semiconductor industry , anything executed there?

Management: So, yes there are contracts under execution.

Moderator: Thank you. Ladies and gentleman due to time constraint, we will take that as a last question. I now hand the conference over to Mr. N M Ranadive from Ion Exchange India Limited for closing comments. Thank you and over to you sir.

N M Ranadive: Good evening. Thank you all for participating in this earning call. I hope we have been to answer your question satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our Investor Rel ations Manager at Valorem Advisors. Thank you.

Moderator: Thank you. Ladies and gentleman on behalf of Ion Exchange India Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2023

June 5, 2023

To

BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P .J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG
Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our intimation dated 25

th May, 2023, we enclose herewith communication relating to

conference call as per Regulation 30(6) Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015.

The said conference call with the Institutional Investor/Analyst on Tuesday, May 30, 2023 was to discuss the financial performance of the Company for the year ended March 31, 2023. The aforesaid information is also disclosed on website of the company i.e. www.ionexchangeindia.com

Kindly take the information on your record. Thanking You,

Yours faithfully,

For Ion Exchange (India) Limited

Milind Puranik
Company Secretary

ION Exchange India Limited
Q4 FY23 Earnings Conference Call
May 30, 2023

Moderator: Ladies and gentlemen, good day and welcome to ION Exchange India Limited Q4 FY23 Earnings Conference call. As a remainder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors, thank you and over to you.

Anuj Sonpal: Good afternoon, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the investor relations of ION Exchange India Limited. On behalf of the company and Valorem

Advisors, I would like to thank you all for participating in the Company's Earnings Conference Call for the 4th Quarter and financial year ending 2023. Before we begin let me mention a short cautionary statement. Some of the statements made in today's conference call may be forward-looking in nature. Such forward looking statements are subject to risks and uncertainty which could cause actual results to differ from those anticipated. Such statements are based on management believes as well as assumptions made by information currently available to management. Audiences are cautioned not to place undue reliance on these forward-looking statements in making any investment decision. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks we have with us Mr. Ankur Patni – Executive Director, Mr. Vasant Naik – Group Chief Financial Officer, Mr. N.M. Ranadive – Group Head of Financial Planning and Risk Management and Mr. Milind Puranik – Company Secretary. Without any further delay. I request Mr. Vasant Naik to start with his opening remarks.

Thank you and over to you, Sir.

Vasant Naik: Thank you, Anuj. Good afternoon, everybody. It is a pleasure to welcome you to the earnings conference call for the 4th Quarter and the financial year

ended 2023.

For the 4th Quarter under review on a consolidated basis, the company reported operating income of INR 6475 million, an increase of around 30%

year -on-year and 26% quarter -on-quarter . EBITDA reported was INR 1064 million, representing an increase of around 12% year -on-year and 70% quarter -on-quarter . EBITDA margins stood at 16.43% and net profit was INR 812 million, a decrease of around 2% ye

ar on year, but an increase of 70%

quarter -on-quarter, while the PAT margin was in the region of around 12.5%.

For the financial year 2023, on a consolidated basis, the operating incomes stood at INR 19,896 million, an increase of around 26% year -on-year . The EBITDA stood at INR 2550 million, an increase of around 20% year -on-year and the EBITDA margin was reported at 12.82%. Profit after tax was 1950 million, an increase of around 21% on a year -on-year basis and the PAT margin was reported at 9.8%. Let me now take you through the quarterly segmental performance on a consolidated basis. In the engineering division, the revenue for the quarter was INR 4526 million, an increase of 41% year -on-year . The EBIT for this segment was INR 560 million, a decrease of 23.5% year -on-year . While the exhibition of the Sri Lanka order remains significantly affected, the company's discussions amongst all the stakeholders are moving in a positive direction and we are hopeful of the project closure in FY24. The execution of the UP Jal Nigam Project is progressing satisfactorily and revenue has been recognized based on work completion. The execution of the other engineering orders picked up pace during the quarter on the back of the increased order flows and the high order backlog. The company continues to invest in engineering infrastructure, including manpower to enhance its execution capabilities for handling the increased order backlog. The company during the quarter also witnessed steady order flows both in the domestic and the international market.

market.

Moving to the chemicals division:

The revenue for the quarter was INR1,640 million, which increased to around 8.25% year -on-year . The EBIT was INR 482 million and increased by 40% on a year -on-year basis. The sales in the domestic segment continued to record steady growth, while the export volume remained muted. This segment witnessed improved margins aided by stability in the input costs and improved volumes of higher margin product lines.

The third segment, the consumer division segment, the revenue for the quarter was INR 515 million, an increase of around 21% year -on-year . The loss for the quarter was INR 7 million versus 16 million loss in the same period of the previous year . This segment continues to record healthy top-

line growth. With this, we can now open the floor for the question and answer session.

Moderator: Thank you. We will now begin the question and answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question comes from the line of Sameer Palod from AUM Fund Advisors. LP , please go ahead.

Sameer Palod: Thank you for the opportunity. If you can just tell us a little bit about what is going on in the engineering business, which has seen very good sales growth

during the quarter compared to the same quarter last year, but the EBIT margins have gone down by more than 10 percentage points. So a little bit of color on, what is going on in that business? What kind of work you have executed and why the margins have dipped so dramatically during the quarter?

Aankur Patni: While we have significantly higher revenue during the quarter, there were a few factors which have contributed to decrease in the overall margin percentages. Normally, when the cost to completion for major projects is forecasted, it tends to be conservative in the beginning of the contract and as the contract progresses it may get revised. There are a few large contracts which are still at a relatively initial stage and hence our current estimates may be conservative. We are hopeful of improvement in projects margins as contracts progress. The second aspect is that we have incurred expenditure on building infrastructure and capabilities for our engineering businesses to prepare for the upcoming substantial increase in execution compared to the past. And lastly there would al

ways be some variation because of the composition of projects or the project mix which gets executed during the particular quarter. With that background we hope that we would be able to keep delivering good growth and a reasonably good margin in the period coming forward.

Sameer Palod: Sir, I asked this question because same quarter last year the EBIT margins were almost 22% in this quarter is down to 12%. So if you were to look at this business on a slightly longer term basis, what is a reasonable EBIT margin to assume for the engineering business on a more sort of steady state basis, ignoring the quarter-to-quarter variation.

Aankur Patni: If we look at the kind of order book that we carry today and also the scale at which we hope to be executing orders in future, we should be seeing an improvement over what we have achieved in the current year.

Sameer Palod: OK and would you say that even in your bid pipeline of about 8000 odd crores you are building with those sorts of EBIT margins which are which will be higher than what you have achieved in the current year?

Aankur Patni: The EBIT margins are also a function of the scale at which we operate and that is why we see quarter to quarter variations. The scale of operation in different quarters tends to be different. But if you look at margins on individual contracts, they tend to be slightly better and we do expect that as these enquiries mature into orders, we should be able to maintain or better the EBIT margins which we have currently reported.

Sameer Palod: And the bid pipeline, sir, would consist mostly of projects like Jal Nigams of the various states like the one that you have for UP and Delhi who would it be a similar types of bids that you are making?

Aankur Patni: No, it is a good mix of industrial and PSU projects. The municipal or infrastructure projects would be relatively lesser.

Sameer Palod: OK. Thank you for that. I will jump back into the queue.

Moderator: Thank you. Next question comes from the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: Sir my question was only working capital side. What is the reason that receivables have gone up and your payables have come down sharply during the year?

Vasant Naik: We had a disproportionately high invoicing in the month of March. That was the reason why the receivables have gone up sharply as of March 2023. A good portion of this invoicing was done using accumulated inventory and hence proportionate impact on payables is not visible.

Akshat Mehta: So you were saying that we can maintain the cycle that we had in FY22 correct?

Aankur Patni: Yeah, Yes, we should be able to normalize the working capital cycle in FY23 - 24.

Akshat Mehta: OK. Secondly, if you can, you give a number on what is the kind of advance that we have received during the year from our customers and any color on order inflows that you are seeing coming in for next year.

Vasant Naik: The total advances, which are outstanding in the books as of March end, are in the region of around 200 crores.

Akshat Mehta: 200 crores and any color on ordering flows for the next year that you are seeing?

Vasant Naik: The total enquiry bank is at a healthy level of around 8124 crores. We are hopeful that we should be in a position to maintain or better the level of order inflow compared to previous years.

Moderator: Thank you, Mr. Mehta we request that you return to the question queue for follow up questions. Next question comes on the line of Pratik Kothari from Unique Portfolio Managers. Please go ahead and also please stick yourself to 2 questions. Thank you.

Pratik Kothari: Hi, good afternoon and thank you for the opportunity. So my first question on the engineering side, we for the last two or three quarters, we have been speaking about that we are kind of investing in our infra, in our manpower to execute much larger orders or much large

pace of execution going forward and this is quite reflected in the numbers like three years back our order book used to be 1000 crores. It is at 3500 crores right now, but the execution is not up to the mark you can if you can just talk about what kind of preparations have been made? What can this lead to or may be two to three years out.

Aankur Patni: Well, in terms of the capability enhancement, there has been significant investments in our ability to execute projects, in terms of manpower, engineering & design set-up, equipments, machineries, fabrications, site

establishments etc. So everything needs to go hand in hand and needs to be geared to handle the level of invoicing that we expect in the coming period. As you rightly pointed out, 3400 odd crores of order book of which a good portion will get executed during FY23- 24 and therefore execution capabilities needed to be enhanced. As I mentioned in my response to the first question, this capability buildup has reduced our overall engineering margins in this year.

Pratik Kothari: Fair enough, sure and a couple of clarifications. One, what would be our UP execution for this year and second just to clarify to your earlier comment, you did say that in quarter four we completed a few orders and we have not recognized the margins which we should be being conservative etcetera and hence the lower margins.

Aankur Patni : No, that's not what I meant. When we look at forecasting the cost to completion for major projects, it always tends to be conservative towards the beginning of the contract and then it gets revised as the contract progresses. So there would be a few large contracts which are still at a relatively early stage of execution and hence we would tend to be conservative when we estimate the cost of completion.

Pratik Kothari: Fair enough sir my last question is on the chemicals one we announced that we have started capex at Roha. So just wanted to clarify, this is the same that

we were waiting for environment clearance on and also there was some article which spoke about we putting our chemical facility in Orissa. So if we just clarify regarding the same.

Aankur Patni : Roha is the one for which we were waiting for the environmental clearance.

We have received that recently and the construction work has commenced.

We expect that the plant will be operational by FY25- FY26. Regarding the investment in Orissa - yes, there is another backward integration project which is planned there.

Pratik Kothari: What kind of CAPEX? What would you be doing there?

Aankur Patni : It is still, at a relatively early stage, I will certainly give more information once the detailing is completed.

Pratik Kothari: Fair enough. Thank you and all the best sir, thank you.

Moderator: Next question comes from the line of Dhruv Rathod from Solidarity Investment Managers. Please go ahead.

Dhruv Rathod: Good afternoon, Sir . So my first question was related to your engineering division. I just wanted to understand what is the red line while looking out for EPC contracts as there have been instances where players have burned money here by taking the wrong projects?

Aankur Patni : That's right, EPC business tends to be a little tricky because while it gives a large quantum of revenue, but it does come with the risks which needs to be managed. In terms of the type of errors one can make is by chasing topline and becoming too aggressive when bidding for the contract. We tend to be relatively conservative. We do not want to put our balance sheet and the bottom line at risk. So this is one area where we are very careful. The other is execution risk. Challenges, whether it is technical, logistic, geopolitical or anything else which we expect to face when we are executing the contract. We are also very careful about the commercial terms , and there are numerous other parameters which we take into account when we consider w

high contracts to bid and which not to. This has led to a slightly less aggressive topline growth but we prefer to be safe than sorry .

Dhruv Rathod: In your chemical business, what is the expectations for growth? What is exactly changing in that particular business? So initially your growth was not that strong, but now the expectation for growth is increasing. So how is it changing a lot?

Aankur Patni: Well, the chemical business has been progressing steadily over the last few years. Top line growth has been fueled both by improvements in the domestic market and in the international market and also, our continuous effort to improve the product mix. We keep striving to weed out underperforming product lines and to add more and more of value added products to our portfolio. This has helped in not just ensuring the top line growth , but also to provide an additional fillip to the bottom line. About couple of years back we faced quite a bit of a challenge when there were sudden spikes in commodity prices across the globe and there were also supply chain challenges. Fortunately, we have not encountered such issues during the last year and we had stability in commodity prices as well as relatively certain supply chain and exchange rate scenarios. The challenge continues to be the geopolitical situation which in some parts of the globe still affects the market. If we continue to have a stable scenario on all these

fronts, we should be able to maintain our growth momentum and the margins that we have seen.

Dhruv Rathod: Got it and just a final question, so you are still actually making losses on the consumer business. So what are your plans exactly and what needs to change in this particular business for it to improve?

Aankur Patni : Yes, we have not turned around in the consumer business as we continue to invest for future growth. We could potentially have reported just about a break even, but we have incurred good amount of expenditure during the last few quarters as we ramp up the capabilities of this segment for future growth. There have also been significant expenditures on marketing, which has gone up during the year . All of this has contributed to bottom line, which is slightly shy of a break even. But we will continue to see good growth in this segment and hopefully we will be better off as far as the bottom line is concerned in the next year

Dhruv Rathod: Alright, thank you so much for your answers.

Moderator: Thank you. Next question comes from the line of Mahesh Bendre from LIC Mutual funds. Please go ahead.

Mahesh Bendre: Sir, given the current order book and the business outlook you mentioned, I mean, what kind of growth we are possibly looking for our water business and chemical business in the current year?

Aankur Patni: Our order book is quite strong and a good portion of that order book would need to get executed in the current year and therefore, the prospects for the current year are quite good. I would desist from giving out exact number guidance as of now. I will certainly give it after the first quarter is over . But as of now, I would just say that we expect significant growth in the current year as far as engineering business is concerned. On the chemical segment, we should continue to grow at a reasonable pace. Last year we have done roughly around 11 percent, we should be able to deliver a better number if the geopolitical situation in Europe and the America improves and we do hope that the export numbers would start ramping up again. If those things fall in line, chemical segment should also grow at a good pace.

Mahesh Bendre: OK, sure and sir, what is the capital expenditure plan for next two years?

Aankur Patni : We have the Roha project which is the resin manufacturing expansion that project would have roughly around 400 crores of investments and apart from the Roha project, we should be looking at around 60 crores i

n FY23- FY24.

Mahesh Bendre: So cumulative will be for some 500 crores plus for the next two years.

Aankur Patni : Over the next two years, yes, more than 500 crores.

Mahesh Bendre: Thank you so much sir .

Moderator: Thank you. The next question comes from the line of Srishti Jain from Niveshaay. Please go ahead.

Srishti Jain: Thank you for the opportunity sir, we are seeing desalinization plans coming from countries like Saudi Arabia, Egypt or Africa. Are we looking for some opportunities there and for this quarter, like our exposure is the person with the sales has also decreased, what can be expected run rate moving forward till that?

Aankur Patni : Sorry, your voice was not very clear to me. I understood that you were asking about potential of getting engineering contracts, including desalination from the export market, is that right?

Srishti Jain: Right.

Aankur Patni : Yes, we are actively working on a few projects, which means we are executing a few projects of that nature in Africa and in the Middle East and we continue to look at more prospects including of larger sizes.

Srishti Jain: Sir exports has decreased significantly as of this quarter . So if you can give any number to that.

Srishti Jain: This quarter as a percentage of revenue.

Aankur Patni: I think for the year as a whole, our engineering exports have done quite well. If I exclude the Sri Lanka project, which you all know is for the moment going at a very slow pace. If I exclude the impact of the Sri Lanka project, exports have more than doubled.

Vasant Naik: Excluding Sri Lanka, yes.

Aankur Patni: As such we are doing well on engineering exports, and we should continue to do well the next year

Srishti Jain: Thank you sir and sir for the current order book and bid pipeline, can you just break up between municipal and industrial order?

Aankur Patni: Industrial would be roughly around 65%.

Srishti Jain: OK. Thank you, Sir . That is all.

Moderator: Thank you. The next question comes from the line of Rahul Shah from Crown Capital, please go ahead.

Rahul Shah: Hello, Sir . Good afternoon. My question was again on the, so you said you

are not giving a quick guidance, but I just wanted to ask, do you see an improvement in FY24 from here on in terms of top line and EBITDA margins, especially the EBITDA margins which have dropped on a console level.

Aankur Patni: I do expect significant growth on the top line. We spoke about order book that we carry, and additionally the expectations of reasonable conversions of the enquiry bank that we have. So the prospect for top line growth remains good. We also outlined the various reasons why the bottom line or the margin percentages have behaved in the way that they have. I would expect that if things remain in the channel of stability, we should be seeing an improvement here on.

Rahul Shah: OK and you mentioned the 500 odd crores of CAPEX for the next two years. How are you planning to fund it?

Aankur Patni: A portion of it would come from internal accruals and for the balance, we have already established conversation with the lenders, who would be in a position to fund it and we are pretty confident of getting whatever external funding that is required.

Rahul Shah: And which division you feel will be key driver in FY24. I am sorry if it is a repeating one, but.

Aankur Patni: Well, engineering has by far been the largest segment and it would continue to be the largest segment in the coming year also.

Rahul Shah: Okay sir and thank you and all the best

Moderator: Thank you. Next question comes from the line of Sanjay Kumar from iThought Financial Consulting. Please go ahead.

Sanjay Kumar: Hi Sir, thanks for the opportunity. First, just a clarification on the resin CAPEX. and in today's call you mentioned CAPEX of 500 crores in next two years. So are we doing both phase one and phase two back to back, if you

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could give the timeline for the recent CAPEX.

Aankur Patni: The resin project is 400 crores and there are other CAPEX which are planned in other works of the company, other segments of the company and these

CAPEX would add up to more than 100 crores over the next two years so the resin Project continues to be around 400 crores.

Sanjay Kumar: Got it and can you give the realization for the resin on average so in India

Mart, I am seeing a range from Rs. 100 per kg to even 250 and what is the application of these resin for which we are putting a CAPEX, the EC report says end use is water treatment or is it across the board and the capacity is kind of fungible?

Aankur Patni: The resin applications tend to be pretty wide. For most part it is used in water treatment, but the resin applications would also be in non- water kind of areas. It is used in purification, pharma, food- processing, extractions, enzymes and many more areas. So the applications tend to be very wide and depending upon the chemistry and the application and the complexity of the specific product involved, the prices of the product and also the margins vary.

Sanjay Kumar: And what will be the resin sir, per kg realization on average rough figures will help in the potential revenue.

Aankur Patni: They vary very widely. If you are trying to assess the kind of revenue that this CAPEX is going to bring in - Out of this CAPEX of 400 Cr, about 125 Cr is for a backward integration project, which is integrated with the resin plant. So if I exclude the impact of that, the project cost would be roughly around 275 Cr .

The revenue potential would be roughly 2x of that.

Sanjay Kumar: Got it sir and what is driving this Capex because Thermax is also talking about a CAPEX in 18 months? Is there a ready import substitution opportunity or are we gaining market share from global players and exports? If you could give us a sense of why you are putting up this huge CAPEX given a competitor is also putting up CAPEX?

Aankur Patni: Ion Exchange would have roughly a 40% market share in the Indian market and the Indian market continues to grow. Apart from that, in the international market, our market share would be a very small number, maybe around the 2% mark. So the headroom for growth in the international market is phenomenal and that is what we would tap into. We have got in the past, quite a good response from the international market and we expect that as we bring this capacity on board, we would be able to expand our share in international market.

Sanjay Kumar: Predominantly for exports, so just one final request, Sir . I do not know if you have gone through the investor presentation of WABAG. They give very detailed information like breakup of geography

segment wise not just for revenue they give for order intake and order book. They also list the key orders received and the order intake figure every quarter so if you could give that that will be very helpful and in terms of our order book and pipeline, can you give the breakup in terms of desalinating, ETP, STP and drinking water so that we could judge our forte of within these four and how do we compete with WABAG?

Aankur Patni: Well, that is not a breakup that we typically provide. I can tell you that as far as industrial versus municipal is concerned, our order book would be roughly

65% in favor of industry and as far as domestic versus international is concerned, we would be roughly around 85% domestic.

Sanjay Kumar: And in terms of water versus desal or ETP, do we have an upper hand in any of these segments or does WABAG have upper hand in desal for example.

Aankur Patni: I am not getting into a competitive analysis, but I can tell you that we continue to do well on all product lines. We do not have a strong presence in the municipal segment and that is where some of our competitors may be stronger.

Sanjay Kumar: Got it. Thank

you. That's it from my side.

Moderator: Thank you. Next question comes from the line of Mahesh Agarwal from Agarwal Family Office. Please go ahead.

Mahesh Agarwal: Congratulations on a good set of numbers to you and the team. I wanted to take a step back and understand something at a bit more high level. So if you look at the Ion Exchange resins product that we have wanted to understand how our prices compared to Chinese manufacturers who sort of you know dominate I think around close to 40% of the market share and then either we that what is the risk of dumping by these players ever in India and if there is any import duties in place of that sort to protect against any kind of actions by Chinese players.

Aankur Patni: In order to answer that question, let me give you a perspective of how a typical large user of resins would go about selecting the right product. He would not just look at price, but would also look at the quality of the products, the kind of support and service that one would provide and also the extent to which our products have been proven for the specific application. So in a typical scenario where the resins are used for critical or semi critical operation they would not go in for something which is not very well proven. So that is one aspect to consider. Chinese manufacturers of resins have been in the market for long number of years and they have tried to position themselves not just in the international market, but also in the Indian market. We managed to cope up with that scenario reasonably well till now and we hope that we would be able to continue with our strategies and be able to maintain market share in the domestic market. As far as the international market is concerned, the Chinese have been in a way, cost leaders for some time but their costs have undergone an increase over the last few years because of various issues including increased degree of compliance with environmental laws. So their costs are now at a higher level compared to what they were earlier. Over the past few years, we have been competing quite well with them on domestic front, and internationally as well. We hope that we will be able to further scale our market share in the international market.

Mahesh Agarwal: Understood and sir just to understand a bit more on that. Would we be within say 10% or so broadly of prices of the Chinese guys just to understand where we as a country stand today relative to their kind of cost curve.

Mahesh Agarwal: It varies from product to product. There would always be differences and they would position themselves at a higher or lower level as far as cost is concerned depending upon the customer, the geography they are present

etc. In some cases their prices may be higher price than us and in some cases, they could be marginally lower. In some specific circumstances, the price difference could be around 10%, but this cannot be generalized.

Mahesh Agarwal: Got it and are there any import duties in place on our key products to protect from any kind of dumping scenario?

Aankur Patni: Yes, the government does protect us through various means and measures. They haven't completely put an embargo on them, but it does provide a reasonable degree of protection but I would ask Vasant to clarify on the exact import duty, which is there on resin specifically.

Vasant Naik: The custom duty on resins imported from China would be 8.25%. There is no anti dumping duty on the import of resins.

Mahesh Agarwal: That could be that could be something worth exploring and you know just keeping back of our mind in case that scenario ever pops up and if you could just share the same kind of understanding for our waste water treatment chemicals and the membrane aspect as well. How we kind of stack up the re-vis-a-vis Chinese or other global players.

Aankur Patni: I would say that the same summary applies very much to almost all the product lines

. Both with respect to the domestic consumers and the international consumers. Of course we have just recently started manufacturing membranes. We are quite new in the field and we are already running at more than 90% capacity utilization for our membrane plant. We just expanded capacity, which will double our capacity and I am expecting that we will use up this additional capacity within the next couple of years. We have already got our plans ready for further expansion, so membrane growth should happen at a rapid pace for us. We should be able to garner further market share in India as well as abroad.

Mahesh Agarwal: Understood and just a last final up on this, if you could give us a sense of what percentage of chemicals is export today and then also what is kind of the right to win or what is driving more export demand for us? Is the China plus one that we are seeing play out in other industries also playing out for us where there is a move to just procuring from India due to quality service, price, or whatever other reasons.

Aankur Patni: Share of exports in chemical would be roughly around 25% this year . As far as what is driving the export. China plus one was a significant consideration for some time. But advantages increase once we have got our foot in and the customers have experienced our products and our services, our ability to look at their issues and solve it in a meticulous manner and further to these two aspects, the reliability of our company as a supplier . All of these factors have aided further expansion into the international customer mind space. I would believe that as time goes by the stickiness of these customers would be quite strong.

Mahesh Agarwal: That is all from my side. Thank you so much and good luck on the new Portugal subsidiary integration as well. we are looking forward to that.

Aankur Patni: Yes, we are just going through the final phases and we do expect that the entity will start showing substantial contribution in the coming year .

Moderator: Thank you. Next question comes from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Thank you for the opportunity. Firstly, sir, you mentioned about at 125 crores for backward integration that goes into the 400 crore CAPEX. So if you could explain much more about what sort of backward integration will come into play and what would be the exact payback from this one 125 crores ?

Aankur Patni: I am afraid I would not be able to give you too much of detail on the backward integration, but it is targeted towards improvement in the cost profile of the product as well as to increasing the plant efficiency. I think overall we are expecting a payback for this project of roughly around four years.

Saket Kapoor: And then you mentioned about 500 crore CAPEX that that includes also the Orissa one which is on the drawing board or that would be a separate project?

Aankur Patni: No. Orissa Project is not included in this 500 crores.

Saket Kapoor: And then for the other income part, I think so. This year, the other income when compared to last year are on the similar line but we have booked it in separate quarters. So that has also resulted in this in the reporting numbers being different. So if you could explain the nature of other income appearance in last year 4th Quarter, it was 21 crores and this year it is 5.5 crores. If you would explain the nature and what should be the trajectory going ahead in terms of the other income part and sir in the employee benefit expenses, you did mention that we are preparing ourselves with for higher scale of execution. So does that commensurate with this increasing the employee cost or is it the higher execution we have done in the engineering segment because of which the employee costs have also gone up.

Aankur Patni: Let me address your question on other income first. During this last quarter, we had s

ome exchange loss as against an exchange gain which happened in the previous year's 4th Quarter, so that is a significant swing which is causing a lot of difference in the overall number. As far as employee cost is concerned typically, the existing employees would get a pay increase every year, so that is normal increase, which would in any case happen. Further to that we have expanded manpower in various fronts. Engineering have certainly seen a substantial addition to manpower. There has also been addition to manpower in our consumer segment and other segments so overall the company is preparing and getting itself ready for a higher scale of operation and ensuring that the growth trajectory is maintained.

Saket Kapoor: So sir if we look at the just continuation to it, if we look at the percentage of employee cost to this revenue. Is that a correct way to look at it because that would give it and understanding whether when we start booking executing order in a disproportionate way then this percentage will look lower. So can you give us some understanding for this quarter it is closer to 10% the employee benefit expense.

Aankur Patni: Yes, his number would vary depending upon how much of revenue we have been able to book based on the additional manpower. If the manpower is recently added and the revenues would take a little time to fructify, the percentages would get skewed a little bit. That is what would happen in a period where we are adding substantial capabilities, especially for executing larger scale of projects in the coming period, the revenues for which have not yet come.

Saket Kapoor: One small point also on the UP Jal Nigam Project then you can project what was the total size of the project and in percentage terms what portion of the project will get executed for this year.

Aankur Patni: During the current year, the invoicing is a little less than 200 crores. The total estimated value of the contract is 1200 crores.

Saket Kapoor: And for FY24, are we going to the execution will be done for this financial year or will it roll over to the next year also?

Aankur Patni: We should be completing a major portion of this contract by FY23-24 and there will be a small spillover into FY24-FY25.

Saket Kapoor: And does this contract have any O&M part also sir wherein we will be garnering post execution any revenue or an extended period.

Aankur Patni: Yes, there is 10-year O&M after this.

Moderator: Thank you, Mr. Kapoor we request that you return to the question queue for follow up questions. Next Question comes from the line of Akshat Mehta from Samiksha Capital Private Limited. Please go ahead.

Akshat Mehta: Yeah. Thanks again. I just want to ask you know if I understand correctly, you said that in the chemical segment this quarter, as we have seen very good margins because there has been on account of the product mix, higher margin products have sold more during the quarter. Going forward, let us say for the next year, how do you see the margins in the chemicals segment, will it be around 24 to 25% itself or it can be higher?

Aankur Patni: Well, we have seen the sequential improvements in the margins and are quite hopeful of meeting margins achieved in the FY22-23, however, it is contingent upon continued stability in commodity prices, stability in supply chain, exchange rate as well as also, the geopolitical situation in Europe remaining stable.

Akshat Mehta: So maintain full year margin of 26 percent or quarter 4 margin of 30. Full year margin, right?

Aankur Patni: I am talking about the full year margin.

Akshat Mehta: and I also like to understand, you know, in terms of the new Portugal acquisition, can you provide some color on you know what is the kind of synergies that will come in and how do you see the top line and the bottom line going for that company in the next couple of years or so, broad color.

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Aankur Patni: Well, we should be able to look at reasonably good growth coming in from the European market. Still, early days and I would not want to yet give number projections out as a guidance. However, we are confident of significantly building on our European business in next couple of years.

Akshat Mehta: OK. Thank you.

Moderator: Thank you. Next question comes from the line of Pratik Kothari from Unique Portfolio Manager. Please go ahead.

Pratik Kothari: Thank you again. Sir, my one question to understand that thinking and our strategy, I mean earlier, for the resins plans are the CAPEX outlay of 200-250 crores and you are adding about 125 crores of backward integration. So just why so much focus on backward integration and what are we thinking and how are we thinking?

Aankur Patni: Well, backward integration does give us significant cost advantage. We are not only looking at improving our overall paybacks for the investments which we are making fresh, which is in Roha but also for the investments in the product lines which are already in existence. So they would bring in an extra quantum of margin. As I said, on an overall basis with the advantage or benefit of the integrated project, we should see a payback of roughly 4 years for both the projects.

Pratik Kothari: So all of this, the material or the base product that we were consuming to manufacture the resin were this all imported maybe from China and that is why we are doing this.

Aankur Patni: We have spoken about one of the key raw material component of resins being styrene which we can source both internationally as well as in the domestic market. However, this particular project that we are talking about is not intended to be for styrene.

Pratik Kothari: OK, fair enough and sir we consolidated two of our subsidiaries this year within ourselves

Aankur Patni: Sorry, Pratik, I could not get your question very clearly.

Pratik Kothari: Sir my question was we consolidated two of our wholly owned subsidiaries within Iron Exchange this year and we were on a path to kind of simplify the corporate structure. So if you can highlight are there more subsidiaries that we plan to consolidate this year.

Aankur Patni: We are in the process of merging three subsidiary companies into Iron Exchange and we would look at more possibilities after we complete this particular phase.

Pratik Kothari: Fair enough. Great and thank you again.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. We have reached the end of question and answer session. I would now like to hand the conference over to Mr. N.M. Ranadive from Iron Exchange India Limited for closing comments.

N.M. Ranadive: Thank you all for participating in this earnings concall. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, we would be happy to be of assistance. We are very thankful to all our investors who stood by us and also had confidence in the company's growth plan and with this I wish everyone a great evening. Thank you.

Moderator: Thank you. On behalf of Iron Exchange India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

August 3, 2023

To

BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P .J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG
Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our intimation dated 21

st July, 2023, we enclose herewith transcript relating to

conference call as per Regulation 30(6) Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015.

The said conference call with the Institutional Investor/Analyst on Friday, July 28, 2023 was to discuss the financial performance of the Company for the first quarter ended June 30, 2023. The aforesaid information is also disclosed on website of the company i.e. www.ionexchangeindia.com

Kindly take the information on your record. Thanking You,

Yours faithfully,

For Ion Exchange (India) Limited

Milind Puranik

Company Secretary

Page 1 of 21 Ion Exchange (India) Limited

Q1 FY24 Earnings Conference Call

July 28, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Ion Exchange (India) Limited's Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, Mr. Sonpal.

Anuj Sonpal: Thanks, Michelle. Good afternoon, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors and we represent the Investor Relations of Ion Exchange India Limited. On behalf of the company, I would like to thank you all for participating in the Company's earnings call for the first quarter and financial year ended 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We Page 2 of 21 firstly have with us Mr. Aankur Patni – Executive Director, Mr. Vasant Naik – Group Chief Financial Officer, Mr. N. M. Ranadive – Group Head of Financial Planning and Risk Management and Mr. Milind Puranik –

Company Secretary. Without any further delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you, Anuj. Good afternoon, everybody. It is a pleasure to welcome you to the earnings conference call for the first quarter of the financial year 2024. For Q1 of Financial Year '24 on a consolidated basis, the company reported an operating income of INR 4,792 million, an increase of 25%

year -on-year. EBITDA was reported at INR 489 million representing an increase of around 49% year -on-year. And the EBITDA margins stood at 10.2% and net profit was INR 333 million, an increase of 22% year -on-year while the PAT margin was in the region of 6.95%. For the engineering division, the revenue for the quarter was INR 2,871 million, an increase of 42% year -on-year. The EBIT for this segment was INR 149 million, an increase of around 84% year -on-year. The segment continues to witness steady order flow and a robust inquiry bank. The execution of the UP Jal Nigam project is progressing satisfactorily and revenue has been recognized based on work completion. Regarding the Sri Lanka order, the discussions continue amongst all the stakeholders and we remain hopeful of the project closure in the current financial year 2024. Our total order book now stands at INR 33.5 billion, with a bid book pipeline of around INR 86 billion. Coming to the chemical segment, the revenue for this quarter was INR 1,461 million, which was roughly at the same level as the previous year. The EBIT stood at INR 366 million an increased by around 17% on a year -on-year basis. The segment continued to sustain the margin improvements against the backdrop of stability in the input costs and improved volumes of higher margin product lines. In the consumer segment, the revenue for the quarter was INR 603 million, an increase of around 20% year -on-year. This segment continues to record healthy volume growth reflecting increased penetration and product acceptance.

Page 3 of 21 In some other highlights, the company has completed the process of acquisition of 100% capital of the M/S MAPRIL in Portugal. This acquisition will improve the reach of the company's product in the European market. Also, the company's merger application in respect of its three of its Indian subsidiary companies with the parent holding company has been filed with the competent authority and the same are under process.

With this, I conclude the opening remarks and we can now open the floor to the question -and-answer session.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. We have the first question from the line of Chetan Bora from Abacus Asset managers. Please go ahead.

Chetan Bora: Just would like to understand your commentary on the engineering segment. What was the execution of UP this quarter and how should it progress going ahead and by when it has to be completed? First question was that. And on the chemicals, though there was no revenue growth but margin seems to be on an uptrend. So, would like to understand your insights on that, sir, both in engineering and the chemicals?

Vasant Naik: , For the current quarter, the UP invoicing is around. Rs. 39 crores.

Chetan Bora: Which was last quarter it was close to Rs. 90 crores sir, if I'm not wrong.

Vasant Naik: In the June quarter of last year, it was around Rs. 27 crores.

Chetan Bora: See, I was asking about the March quarter, March quarter we did Rs. 90 crores.

Vasant Naik: March quarter was around Rs. 70 crores.

Chetan Bora: And by when we will have to complete this?

Aankur Patni: We are expected to complete substantially the entire project by early next financial year.

Chetan Bora: So, is it fair to assume that of the executive order book of nearly about Rs. 925 crores, half of that will come into this year?

Page 4 of 21 Aankur Patni: Well, we are looking at improving our execution during the coming quarters and we are certainly hopeful that we will do a good amount of invoicing in the current year and the balance will ge

t executed in the next year.

Chetan Bora: For the full year for the engineering segment, what kind of growth visibility we are looking at?

Aankur Patni: The overall growth you're asking, right?

Chetan Bora: Yeah, right.

Aankur Patni: The momentum of growth that we have seen till now, should continue. Execution will pick pace in the next few quarters. On very broad terms, we hope to grow by roughly around 30% to 35%. That's our estimate as of now and we will update it as we go forward.

Chetan Bora: And what was the order inflow for the quarter, sir, on the engineering front?

Vasant Naik: The order inflow was around Rs. 187 crores.

Chetan Bora: And the bid pipeline is close to Rs. 8,600 crores. How much of that we are expecting to get it converted?

Aankur Patni: Well, that's a bit of an unknown quantity, Chetan, but we normally see that overall conversion rates are roughly around 20%. And we think that the trend will more or less continue.

Chetan Bora: Alright, sir. Because last time when we were talking about, we were expecting some few one-two large deals on the overseas front. Just would like to understand the progress on that front, sir?

Aankur Patni: No further change on that, Chetan. We remain hopeful and keep following up on that. And while there is some incremental progress, nothing has come through yet.

Chetan Bora: Alright. And sir lastly on the chemicals front, the revenue growth was flattish and the margin improvement was quite positive. Would like to understand your comment on that part, how should one see this chemical segment, sir?

Page 5 of 21 Aankur Patni: We do expect to see overall growth of around 10% to 15% in the current year for the chemical segment. As far as the margin is concerned, while we have seen some improvements in margin, we think that it should a margin increase over the last full year's numbers.

Chetan Bora: And so what's the update on the Greenfield expansion?

Aankur Patni: We have started execution on the Roha project. We are expecting to commence the operations from that plant in FY25-26.

Chetan Bora: And what would be the project cost?

Aankur Patni: The total CAPEX is in the region of around Rs. 400 crores.

Chetan Bora: And this will be totally funded by internal accruals?

Aankur Patni: No, we are funding it partly by internal accruals and balance through external financing.

Chetan Bora: And what would be the component for that?

Vasant Naik: We are roughly looking at 80:20. 80% is the external funding.

Chetan Bora: So, you are saying Rs. 300 crores to Rs. 320 crores of debt.

Vasant Naik: That's right, over a period of two years of the project execution.

Chetan Bora: And sir lastly the other income which was last year Rs. 18 crores this year has come down to Rs. 10 crores. Can you elaborate the nature of it? The last year 18 crores was on account of what and 10 crores is what?

Aankur Patni: The dip is primarily account of on account of foreign exchange variations. The last year we had substantial amount of foreign exchange gain under Other Income. This year, the foreign exchange rates have moved the other way and there are some foreign exchange losses which do not get accounted under other income.

Moderator: Thank you. We have the next question from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Sir, the chemical business was flat on Y-o-Y basis. So, what could be the reason, sir?

Page 6 of 21 Aankur Patni: Normally, in the first quarter, the numbers are almost always softer than all the other quarters. We will see a pickup in the coming quarters as we are expecting improv

ements to come through from the international market as well as from the domestic market.

Mahesh Bendre: And sir, if I heard correctly, we are expecting 30% -35% growth in the engineering business and 10% to 15% of growth in chemical business for the current.

Aankur Patni: That's right.

Mahesh Bendre: And sir, the last question. When do you think that Roha projects will

get on? I mean start delivering, I mean the products.

Aankur Patni: We are expecting that the Roha project will be operational in FY25- 26.

Mahesh Bendre: So, it will actually get reflected in FY26 numbers?

Aankur Patni: That is right.

Moderator: Thank you. The next question is from the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: So, I just want to understand one thing that in this quarter as well you have seen some returns of margins in engineering segment. While I understand that, we are increasing capabilities and man power and that is why you can see that there is a big jump in your employee expenses. Till when do we expect this number to remain elevated and the margins to kind of normalize in the engineering segment.

Aankur Patni: Well, this is a phenomenon which repeats itself almost every year, Akshat, and you would have seen that almost always the first quarter tends to have a lower margin. Compared to the first quarter of the previous year, I think, there's a little bit of an improvement in the margin profile and we are expecting that as the year progresses and the execution of the various orders picks up, you will see a corresponding improvement in the margins.

Akshat Mehta: Any color on what, what margin are we expecting for the full year?

Page 7 of 21 Aankur Patni: It should be somewhat in the range of what we saw for the full FY 22-23, maybe a slight improvement, but we will comment more extensively on that as the year progresses.

Akshat Mehta: So, also, secondly on the UP project. I think someone asked this I just want to understand, are there any challenges that you're facing on execution of the UP project because till now the execution has been very slow and you are expecting it to pick up in the next 3-4 quarters. So, any challenges that you're facing in terms of execution there?

Aankur Patni: UP project, the invoicing has been slower than what we would have wanted and the delays which we are facing are procedural in nature . but we will overcome that shortly and certainly hope to do so. The invoicing should substantially increase over the coming periods.

Akshat Mehta: Can you give a sense on the working capital numbers at the end of quarter one, if you can share that? Because last year you said that at the end of quarter four, there was a big jump in our receivables and you said that is because you've done billing, lot of billing at the end of the year. So, has that come down, if you can share some color or numbers on that?

Vasant Naik: The working capital in terms of number of days is largely at the same levels what we saw in March end because as the engineering invoicing increases, there will be a slight increase in the working capital levels.

Akshat Mehta: But has that come down from quarter 4 levels because last year was a big jump in your receivables compared to your previous year?

Vasant Naik: In absolute terms receivables have come down. There is a reduction in the other liabilities also. So, in terms of number of days, I would say it is at the same level as March.

Akshat Mehta: Can you give us some sense on how your order book is still big with industry, municipal and domestic, international at the moment?

Vasant Naik: International will

be just under 20%.

Akshat Mehta: Order book breakup between municipal and industrial projects as well, sir.

Page 8 of 21 Aankur Patni: Industrial side is roughly 65% because we are carrying substantial amount of UP projects and the Sri Lankan project.

Moderator: Thank you. We take the next question from the line of Kaushik Mohan from Ashika Stock Broking. Please go ahead.

Kaushik Mohan: My question is basically again on chemical sector. Sir, on Y-o-Y, you have been on the same growth and when we look at even the quarter - on-quarter, it hasn't been grown, but the margins have been expanded. So, are you expecting the same kind of margin expansion and what Kind of numbers that we'll be closing this year or any ballpark number that you have it?

Aankur Patni: We are expecting to see roughly around 10% to 15% growth by the end of the year. As far as margins are concerned, yes, we continuously aspire to improve overall profitability and we do so through various measures including improving the product mix. We do hope that we

will be able to continue the improvements in future also.

Kaushik Mohan: How about the consumer product, sir?

Aankur Patni: Consumer products is doing pretty well in terms of growth. We are investing substantially to make sure that it scales into the next level of growth and we are very hopeful that we will see very robust growth on that segment.

Kaushik Mohan: And how about becoming EBIT positive in one year or any target?

Aankur Patni: That's the hope. And as of now, I do expect that by the end of the year, we should be in the positive.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique Portfolio Managers. Please go ahead.

Pratik Kothari: Sir, my first question on the engineering side. I mean we are seeing one of the highest order book that our company has in the history. And it seems that is full in terms of execution that we have to do over the next may be two or three years. So, in terms of when we are bidding for a new order, does it change anything in terms of the kind of projects that we're looking for, the kind of contract terms, the kind of work, etc.?

Page 9 of 21 Aankur Patni: No, actually we are working on quite a few interesting and exciting prospects as far as new orders and contracts are concerned. So, we hope that we will continue to scale past the previous numbers of the order book. And I do expect that by the end of the year, we could be in a stronger position compared to today. We continuously invest in our capabilities to reposition ourselves for future growth. And therefore, the challenges of growth can be better addressed through better people, better systems, better infrastructure and that's where our orientation is as of now to ensure that the growth continues.

Pratik Kothari: And sir, regarding your comment on the margin, so last year because you were investing a lot to kind of do this accelerated execution that we are supposed to do this year, our margins were subdued than what they were historically. So, once this execution comes in shouldn't the margins revert back to maybe in FY22 or 21 level?

Aankur Patni: The margins will certainly become better than what you are seeing today as the quarters progress and I will wait for another quarter or so before I give you a more accurate projections. But I would certainly expect it to be better than what you are seeing today.

Pratik Kothari: And sir, on the chemical side, we have spoken about volumes increasing on the export side etcetera. So, just to get a sense in terms of on a broad basket level, how would have the realizations mov

ed, say

if the prices were Rs. 100 at the peak, where would that have settled now?

Aankur Patni: Well, the one strategy that the company has been adopting over the past few years is to improve the overall product mix and that is helping us to improve the overall realization levels and also the margins. We will continue to aspire to do that. The realizations, if you factor in this change in product mix, have improved.

Pratik Kothari: The reason I ask this is because for the last two years we have been in this 150 crores a quarter range on the chemical side. So, if our realization and product mix has been improving all the while, that implies that maybe their volumes are not what it was, maybe even two Page 10 of 21 years back. And this is in context of we are putting up such a large capacity in the near future.

Aankur Patni: Well, we will continue to work on improving our overall product profile and certainly also look at substantial improvements in volume. The new project which is coming in would have benefits not only in terms of the efficiency of production and the kind of products that we can manufacture, but also it would help us to improve our cost profile which would further improve our competitiveness in the international market.

Pratik Kothari: And sir, last question on this Portugal acquisition which we did. If you can highlight, do they give us some entry to new clients or is this some new products which they do?

Aankur Patni: Access to a new market was the core target. We are looking at establishing marketing and manufacturing base in Europe, and European entity certainly provides us far better access into markets in and around the European region. We are also having a few new

products which that particular entity was already manufacturing. So, yes, a slight expansion in our product profile, but the significant advantage that we hope to have from this is the expansion of our reach and ability to service the customers.

Moderator: Thank you. The next question is from the line of Mahesh Agrawal from Agrawal Family Office. Please go ahead.

Mahesh Agrawal: The first thing just wanted to understand, on the EPC side if you look on console versus standalone our console revenues are higher than standalone, but the EBIT on console is lower than standalone. Is that just some accounting thing or are there actually something going on in some of the subsidiaries that there were losses in the EPC segments?

Aankur Patni: In the engineering segment, there are couple of Indian subsidiaries, which typically start generating positive numbers after a certain scale is reached. That would happen towards the later part of the year. As of now, these were showing negative margins.

Page 11 of 21 Mahesh Agrawal: And last year, if I remember, we discussed the market opportunity in terms of setting up wastewater treatment plants both on the municipal industrial side was seeming quite strong. Does it seem like that has slowed down a bit this year in terms of the order inflow and also the market outlook because based on the number of orders you were getting sort of last year larger orders it seems this year things might be a bit cooler?

Aankur Patni: We are looking at quite a few prospects, which I certainly hope that we will be able to get. So on the industrial front, in general, we are not really seeing any slowdown or anything remarkable there. As far as the municipal side is concerned, there are you know state specific trends which would be seen. Our aspiration is not to get into all and sundry in the municipal market. And I have been repeating it very often that we would like t

o remain very choosy as to which contracts we pick up and under what circumstances.

Mahesh Agrawal: And then my second question is about MAPRIL, the Portugal subsidy that we've been we sort of acquired last quarter. I was trying to take a look at the website and it seems the business is a mix of distribution and manufacturing, if I understood correctly. So, could you help us sort of understand what is the distribution proportion and then what is the manufacturing and then maybe also if you can share some numbers, if I remember correctly I think the revenue was around Rs. 70 crores to Rs. 80 crores of that company that you all had shared?

Aankur Patni: Yes, the revenue of that entity is roughly in the range of 10 million Euros. And we are hoping to expand that revenue. We are going to make sure that we reach out to their existing customers as well as improve the reach using the advantage of our brand name and our products. So, as we delve into the company's operations a little bit more and capitalize and leverage its capabilities, I'm sure these numbers would rise substantially.

Page 12 of 21 Mahesh Agrawal: So, the 10% to 15% that you're sharing on the chemical growth, is that including the Rs. 80 crores that will now fold into our chemical segment or that will be on top of that?

Aankur Patni: That would be addition

Mahesh Agrawal: And then sorry, just the nature of that business, how much of it is distribution versus manufacturing and then kind of in manufacturing, what are the products largely that they are into?

Aankur Patni: The product profile includes a few manufactured process chemicals which go into textile industry, which go into paper industry and some other related industries. Apart from that, they were also doing water treatment chemicals. And we, as I mentioned, will be expanding that product range by supplying from our Indian operations.

Mahesh Agrawal: So, is that full Rs. 80 crores manufacturing for them?

Aankur Patni: No, it's not entirely manufacturing, but there is a significant amount included there.

Mahesh Agrawal: And then lastly, if I could just ask you on the chemical segment, if you can just kind of share the perspective on sort of how the resins, water treatment, specialty chemicals categories are doing both domestically and globally because it does seem like maybe there also we are seeing

some cool down this year versus last year.

Aankur Patni: Well, it's a very wide bucket of chemicals that we do and very broadly it can be divided into the water treatment chemicals and process chemicals. Within the water treatment chemical bucket there are many products you can certainly go to our website and check it out. There's quite a detailed listing of the kind of products and the applications. Besides the pure-play water treatment chemicals we also do process chemicals which go into, for example, the paper industry, the textile industry, ceramics, oil and gas, sugar industry. So, there are multiple industries where the chemistry of the products which we manufacture allows us to cater not only to water but also to some of the process requirements. Likewise, the resins which we manufacture can be Page 13 of 21 applied for the sake of water treatment, but also in other applications, including pharma, which we have been talking about in the past.

Moderator: Thank you. The next question is from the line of Sanjay Kumar from iThought PMS. Please go ahead.

Sanjay Kumar: Sir, LANXESS has talked about Lehman Brothers like situation due to demand weakness. Does this apply to limited brand appliances which is I think our direct competitors?

Aankur

Patni: Well, I can't comment on that whether a Lehman Brothers like situation is on the horizon. But yes, on a on a very broad level the markets in North America and Europe have certainly been constrained because of the overall economic and geopolitical scenario. We have remained hopeful that the situation would start to come back to normal soon and if and when that happens, our markets should start showing signs of recovery pretty soon.

Sanjay Kumar: So, our capacity wouldn't be coming online at the wrong time. So, you think by FY26 demand would have recovered. If that's the case, if the global place here downtown, can you look at acquiring any other companies that will be impacted by this demand weakness? Nothing looks like that with that acquisition, but any other company at a larger scale maybe?

Aankur Patni: Will we remain open to such opportunities and in fact quite actively on the lookout, if and when something comes at the right value and is a good fit, we certainly evaluate that.

Sanjay Kumar : Second on the raw material backward integration, so the top raw material seems to be styrene, which I think we buy. So, which chemical are we or which raw material are we putting the backward integration for? Is it sulfuric acid or sulfonic acid and not send me the names, so if you could help us with the name of the raw material for which we will be putting it in backward integration?

Aankur Patni: Well , I can't give out that detail to you right now. But the additional facility that we are creating in Roha would certainly help on multiple fronts, including improving our cost profile and we will come out with Page 14 of 21 more details at an appropriate time. But unfortunately, I would not be able to disclose those details right now.

Sanjay Kumar: Can you not be cost competitive just to scale or do we need this raw material backward integration to compete with the global players?

Aankur Patni: This innovation will give us an additional advantage and based on our current understanding, we will probably be one of the first who would come up with the innovation that we are talking about.

Sanjay Kumar : Finally on the engineering piece, US is spending on industrialization even we spoke about it. Are we planning to look at the US, do we have a team there?

Aankur Patni: Yes, US is a market which we service. Largely it's our chemicals which are supplied to the North American market and we have some feet on the ground there. And we will expand our presence as and when we feel that it provides us adequate opportunity for the engineering space as well.

Sanjay Kumar : So, the big pipeline of Rs. 8,600 crores, can you give the geographical wise breakup for this piece?

Aankur Patni: No, we don't give out a very detailed breakup of the geography. I can tell you that the major markets that we look at are the Middle East, South and Southeast Asia and Africa.

Moderator: Thank you. We take the next question from the line of Suhas Naik from

Kridha. Please go ahead.

Suhas Naik : I have one question directly related to the consumers business. We have reached a Rs. 60 crores kind of number now. So, how do you see this business getting scaled up, say, in the next two or three years? What is our plan in this business?

Aankur Patni: We hope to grow in multiples during the next two to three years. We have been able to grow at a good pace in the recent quarters and our expectation is that the growth momentum will be pretty good in the current year and the year to come as well.

Page 15 of 21 Suhas Naik: And what kind of number margins one can expect actually or margin improvements as we scale

up?

Aankur Patni: As of now, the segment is in growth mode and there's a lot of investment which is being put in to continuously scale up the operations. Whatever the business is being able to generate on a gross level is being reinvested in the business. Therefore, you are seeing a continuous trend of increasing overheads. While the bottom line, which is not coming out positive, but I do hope that very shortly we will reach a stage where we would be in the black and thereafter the growth in margins should be at a very good pace because on a gross level the products make good margins.

Suhas Naik: One question on the chemical side, I think you have been quite hopeful about the technology that you have got in the chemical set for the new plant, which according to you can reduce your overheads and cost of production substantially. So, is it some patented kind of technology or if I can ask what is it actually?

Aankur Patni: We can't give out the details of technology unfortunately, but as and when the plant is constructed and we start reaching out into the market, we will certainly offer more details. It is more to do with as we were speaking some time back, some nature of backward integration and it's an innovative approach which, as I said, I think there is nobody else who's doing it.

Suhas Naik: So, it's a unique kind of technology you're talking, right?

Aankur Patni: That's right.

Suhas Naik: And this current upturn that we are seeing on the engineering side, how long do you think this, what is the kind of visibility you have three years, four years in terms of sustaining this 25% -30% growth rate? Because you are the best judge of the market conditions, that's why I'm asking.

Aankur Patni: Well, my guess is that we should be doing very well on a sustained basis over a long term. The market opportunities both on the infrastructure type of jobs as well as for the industrial type of jobs are quite good. As Page 16 of 21 a country, we are in a phase of deliberate expansion of manufacturing capabilities and even on the international front there are multiple countries and geographies which are evolving towards a much higher level of maturity as far as the manufacturing industry and practices are concerned. I would certainly expect that we will be able to see a lot of growth in coming years. We continue to invest substantially in our capabilities. We have been adding manpower and changing manpower at very senior level. In coming time also, you would see changes from junior to the senior most level, so we are certainly preparing to position ourselves for a sustained growth in the future.

Suhas Naik: And one last question, if I can. It's about the margins because as you're saying we are heading towards breaking even in the chemical side. Then we're talking about growing in the engineering side about 30% - 35% and getting a good operating leverage out of it. And also, consumers business, as you said it will spring back and it will move towards at a neutral position. So, given all this, is your guidance regarding margins of 13% -14%, can we call it a bit conservative or what is it?

Aankur Patni: Till we reach a stage where we can very definitively talk about the improvements from the levels which we have discussed, I would like to remain conservative. It's easy to start talking about bigger numbers, but it's better to deliver those numbers rather than just talk about it.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir on this innovative part, if you could add something more. I missed

your comment. You did mention twice. When we are speaking about this innovative product and the innovation part first-time technologies, what are we trying to explain?

Aankur Patni: Well, I talked about two things. One is that I would not be able to share too much detail about it because obviously we don't want to start mentioning things which could put us at a competitive disadvantage.

The other aspect was that we are looking at innovation across the Page 17 of 21 board. We are looking at a better product profile which provides more value addition as well as which we can offer at better terms and margins. We are also looking at the needs and requirements of customers across the board for both the engineering and chemical segment which allows us to keep innovating our products so that we can meet their requirements better. This is happening not just in the Indian market. We're also doing it in the international markets on a continuous basis. Apart from both engineering and chemical segment, there is a lot of innovation happening in the consumer segment. We are launching new products almost every quarter and the response from the customers is extremely good. That is also one of the reasons why you're seeing the top line of the consumer segment improve substantially.

Saket Kapoor: Although you mentioned that in the year, we will be in a position that we will be having the highest order booking that is what you are anticipating as per the bid pipeline also. So, have our hit ratio improved significantly, I think so. Earlier it was 10% to 15% of the orders we bid for. What gives you the confidence if you could give us some more color and then my last question on the UP project?

Aankur Patni: Well, we are hoping to end year at a higher order book than what we currently are at and our traditional hit ratio or conversion ratio would be in the region of around 15% to 20%. That's the anticipation going forward. We are looking at quite a few prospects which are close to finalization and very hopeful that we will be able to declare a much better order book in the coming quarters.

Saket Kapoor: Sir, when we look, especially you mentioned about the UP and the Delhi then becomes, the outstanding order book is Rs. 925 crore. So, sir, if you could give some more color. Firstly, what is the exact scope of work here and what was the total size of this project and how is the execution gain calculated? And are there more such orders in the pipeline in the ecosystem or the government has done with the tendering of the same?

Page 18 of 21 Aankur Patni: Well, there are quite a few such contracts which have been given out by the UP Government as it strives to achieve its target of reaching out to each and every household with tap water. We are servicing one part of that entire project. As far as the overall project size and how much we have done and how much we have still to do, I'll ask Vasant to come in and fill in that data.

Saket Kapoor: Okay, sir. And still sir, they are in the trending process. My understanding was for the Nal se Jal scheme as you mentioned is the tendering process and I have also read about another company in the OFC space having an EPC vertical, they were awarded an order of Rs. 5,000 crore connecting, I think to 5000 villages. I think you are very well aware. So, just wanted to understand the size, the landscape of still the scope of work left there and also how is the execution in the entire ecosystem picking up because as you told that you have got a part of the project, so the entire ecosystem needs to move to this milestone and hence the payments and other

terms get fulfilled for EPC players?

Aankur Patni: The payments for these contracts are quite spread-out because it's not one single connection that you are providing. Each village or community that is reached out to, is covered under a different project report and has its independent project execution cycle and payment milestones. Hence it's not just one single payment milestone that you adhere to. Each of these effectively act as individual payment schedules and we are getting paid according to what we have been invoicing over

a period of time. The overall project scope is designed to broadly ensure that the water is either sourced through tube wells or an alternate source is provided. The water is thereafter treated and thereafter stored and distributed. That's broadly the scope of the project in layman's terms. The execution for each of these communities or villages is being done parallelly depending upon when the government approves the project report for the individual execution cycles.

Moderator: Thank you. We'll take the next question from the line of Devang Patel from Sameeksha Capital. Please go ahead.

Page 19 of 21 Devang Patel: I wanted to understand what kind of order inflows are we targeting for this fiscal year and we've seen earlier we got a few lumpy orders on the industrial side. So, again, are we looking at those kind of lumpy orders and the next set of large orders, will they be higher in size than our previous orders?

Aankur Patni: I would desist from giving you very exact numbers here, but on very broad terms respond on a few of the questions. Yes, we are expecting sizable orders. Some of them would be quite large, whether they would be larger than the ones which we have previously received, well, it remains to be seen because they have not yet been awarded and we are still in discussions. They could be. Whether we will look at substantial number of such very large orders, probably the numbers would not be very large but we are looking at a few of them. There would be many more medium sized and smaller orders. Overall, we should be as I mentioned earlier, ending, we hope to end the year at an order book which is higher than what we have seen earlier.

Devang Patel: Sir, if you could help us with what is our medium-term growth aspiration in the engineering segment?

Aankur Patni: We did mention that we are hopeful to reach to achieve around 30% to 35% growth in the current year and over extended period of time based on the overall economic environment and the industrial growth which we are expecting in India and also in good part of the developing world. I would expect that the momentum of capital addition will sustain itself over the foreseeable 10 years or 15 years. Hence it provides us good opportunity to continue growing at a good pace.

Devang Patel: In our chemicals business, what is the peak revenue we can achieve from current capacities?

Aankur Patni: Well, we are going at roughly around 70% capacity utilization at the moment. And I would expect that using the existing capacities we should be able to add another 50%. However, the growth that we are expecting once the new resin facility becomes fully operational will probably be a step growth because we will start reaching out to the Page 20 of 21 market with an improved product and profile which may be more competitive than what it is today.

Moderator: Thank you. We take the next question from the line of the Vipin Shah, an individual investor. Please go ahead.

Vipin Shah: Most of the questions have been answered. Just a slightly longer-term question. On the

engineering side, what would be the newer areas which we could be targeting over the next three to five years and probably any visibility which you have on any one of them last year or may be a couple of quarters back, we spoken about the hydrogen space, but any other areas which you think are potential candidates for us to target? Thank you so much.

Aankur Patni: Well, we keep evaluating every single new industry which comes up or if there is a substantial change in the dynamics of any industry. As we are looking at an aspirational India which wants to manufacture more and more of its products domestically, I do expect that many more industries would go towards higher capacities and utilizations and there will be some more industries which are traditionally not based out of the country which should be looking at establishing base or expanding base in India. So, we'll continue to look at these. Like we saw in the case of electronics or we saw in the case of hydrogen or we saw in the case of solar power, each one of these industries when they do come in with substantial capacities, they offer us very interesting market opportunities and our capabilities ensure that we are in a good

position to try and capitalize on these opportunities.

Moderator : Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to have the conference over to Mr. N.M.

Ranadive from ION Exchange India Limited for closing comments. Over to you, sir.

N.M. Ranadive: Thank you all for participating in this earnings concall. I hope we have been able to answer your questions satisfactorily. If you have or have any further questions or would like to know more about the company, we would be happy to be of assistance. We are very thankful to all our Page 21 of 21 investors who stood by us and had confidence in the company's growth plan and focus. And with this, I wish everyone a great evening. Thank you.

Moderator: Thank you, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Ion Exchange India Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

November 6, 2023

To

BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our letter dated October 23, 2023, we enclose herewith communication relating to conference call as per Regulation 30(6) read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015.

The said conference call with the Institutional Investor/Analyst held on Tuesday, 31st October, 2023 was to discuss the financial performance of the Company for the second quarter and half year ended September 30, 2023. The aforesaid information is also disclosed on website of the company i.e. www.ionexchangeindia.com

Kindly take the information on your record.

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Milind Puranik
Company Secretary

Page 1 of 22 Ion Exchange India Limited

Earnings Conference Call

October 31, 2023

Moderator : Ladies and gentlemen, good day and welcome to Ion Exchange India Limited Q2 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, Mr. Sonpal.

Anuj Sonpal : Thank you. Good afternoon, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Ion Exchange India Limited. On behalf of the Company, I'd like to thank you all for participating in the Company's earnings call for the second quarter and first half of the Financial Year 2024.

Before we begin, let me mention a short question statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management.

Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The

purpose of today's earnings call is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review.

Page 2 of 22 Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. Aankur Patni – Executive Director, Mr. N.M Ranadive – Group Head of Financial Planning and Risk Management, Mr. Vasant Naik – Group Chief Financial Officer and Mr. Milind Puranik – Company Secretary. Without any further delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you, Anuj. Good afternoon, everybody. It is a pleasure to welcome you to the earnings conference call for the second quarter and first half of the Financial Year 2024. For Q2 Financial Year 24 on a consolidated basis, the Company reported an operating income of INR 5,330 million, an increase of around 19% year-on-year.

EBITDA was reported at INR 604 million an increase of around 13% year-on-year and the

EBITDA margin stood at 11.33% with a net profit of INR 424 million an increase of around 10% year-on-year. The PAT margin stood at around 7.95%. For the first half of Financial Year 2024, on a consolidated basis, the Company reported an operating income of INR 10,122 million, an increase of around 22% year-on-year.

The EBITDA was reported at INR 1,092 million, an increase of around 27% year-on-year. The EBITDA margins stood at 10.79% and net profit was at INR 757 million, an increase of 14.5% year-on-year with the PAT margin standing at 7.48%.

In the engineering division, the revenue for the quarter was INR 3,139 million, an increase of around 22% year-on-year. The EBIT for this segment was INR 194 million, a growth of 7% year-on-year. The segment continues to witness a healthy order flow of medium size jobs. The enquiry bank remains robust with some large value opportunities in the advanced stages of bidding.

The engineering segment recorded improved volumes in the second quarter on the back of a healthy order backlog. The execution of the Page 3 of 22 large EPC jobs, including the UP Jal Nigam order is expected to further pick up pace in the second half of the year.

Regarding the Sri Lanka order, the work continues albeit at a limited space and we are targeting project closure by financial year 23-24 end. As regards the chemical segment, the revenue for the quarter stood at INR 1,762 million, an increase of 10% year-on-year, and EBIT stood at INR 423 million representing a growth of 12% year-on-year. The margins remained healthy and were maintained at previous quarter levels.

We continue to monitor the impending threat of input price increases due to uncertainties in the global geopolitical situation. In the Consumer Division segment, the revenue for the quarter was INR 576 million, an increase of 27% year-on-year. The segment has sustained the growth witnessed in the past few quarters.

The Company's merger application in respect of its Indian subsidiary companies with the parent holding Company have been filed with the competent authorities and the same are under process.

With this, I conclude the opening remarks and we can now open the floor to the question-and-answer session.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We'll take the first question from the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: My question was that if you can just help us understand the reasons for slower execution in first half of the year in the engineering segment and why the margins also compared to a year-on-year basis for quarter 2 have also been lower?

Management: Yes, Akshat I got your question. You were talking about a slower pace of execution in the engineering segment vis-a-vis the order book.

Akshat Mehta: Yes.

Page 4 of 22 Management: While we are continuing to work towards steady execution of the

larger contracts in our order book, the pace of execution in a couple of them has been slower than what we had expected. There are some continuing procedural delays as far as the U P contract is concerned . However, as Vasant mentioned in his opening remarks, we do expect that the pace will pick up substantially in the second half of the year. With regard to the large EPC contracts, there have been some delays on the engineering front because of site-related issues and we hope that we have that behind us now and, in those contracts, also we will see increased pace of execution in the second half .

Akshat Mehta: My second question is sir, if you look at your working capital in your payables there has been a continues decline over the last four or five quarters in terms of the number of days that have been there. So, what can be the reason for the same?

Management: Working capital decreases

as you're talking about.

Akshat Mehta: Especially payables there's been a decrease in the payable days over the last four , five quarters. So , just wanted to understand why that is happening?

Vasant Naik: Actually , we have been building up the inventories for taking care of the higher execution which you are planning in the second -half of the year whilst the payables have been paid as per the due date that's why there is a slight increase in the overall working capital level compared to the earlier quarters, but we feel that as we go ahead in the second -half of the year our working capital should normalize to what was there in the financial year 22-23 levels on a full year basis.

Akshat Mehta: So, earlier you were taking some more credit period from your creditors for paying and now you're paying on time, is that what is happening?

Vasant Naik: There's not been any material change in the overall credit period as far as the payables are concerned .

Page 5 of 22 Akshat Mehta: But if I'll just look at it, I think it has gone down from 120 days around that number to around 90 days. There has been 30-day decline in the payables. I'm talking about the last 4, 5 quarters, not quarter -on-quarter or year -on-year it has been a continuing trend over 1.5 years or so?

Vasant Naik: Actually , for example , the Sri Lanka contract where now the execution is in the final stages, the back -to-back arrangements which were there with some of the civil contractors that is no more available. So, those payables which are there that is getting paid off now during the year. So, maybe that is one of the reasons why the payable days have come down compared to the earlier quarter .

Akshat Mehta: But you still expect that it will be at FY23 levels going forward, correct?

Vasant Naik : As we move ahead with the execution of the larger EPC projects where the back -to-back terms with the vendors will come in place, the payables should get normalized largely at the FY23 levels.

Akshat Mehta: My next question to your sir is if you could share the numbers for Mapril during the quarter that we can kind of see what the core chemical performance has been as well . I think it has been included for two months during the quarter.

Vasant Naik: We don't share Company specific information on the call, but what we can only say that if you see the consolidated numbers for the chemical segment the increase in the chemical segment is also due to the inclusion of the Mapril Company numbers in the chemical segment .

Akshat Mehta: But overall, any sense on how chemical segment has performed during what and going forward, what do you expect from the segment?

Management : Overall, we're expecting growth of around 5 % to 10% for this segment on a full year basis.

Moderator: Thank you, sir . We'll take the next question from the line of Pratik Kothari from Unique Portfolio Managers . Please go ahead.

Page 6 of 22 Pratik Kothari: Just taking two comments from your presentation and if you can just throw some more color, one on engineering we have highlighted that we have won few or quite a few actually medium sized jobs, if you can throw some more color what kind of projects are this, are these for industries and also on the chemical we have, I mean , we're talking about some threat in terms of input prices and also on the demand side ,

if some more color qualitatively would be helpful?

Management: What has been highlighted is there have been quite a few contracts which are medium sized engineering contracts in the order inflow for the quarter . These are all from the industrial sector. As far as the concern on input prices is concerned , it's just a cautionary statement. There certainly is a pressure on input prices for the chemical segment and we are monitoring it continuously We will take whatever steps required to mitigate any possible impacts which may occur in future.

As of now because of the relative stability that we have seen in our input basket, we have been able to deliver good margin numbers.

Pratik Kothari: And sir one on margins in engineering you mentioned that maybe after Q2 or something we'll make a comment. Can we go back to the FY21 - 22 numbers, 11% EBIT margin that we used to do on an annual basis?

Management: Our expectation is that we would be able to better the numbers which we declared for the last year as a whole . Whether or not we will reach the 21 -22 numbers, I think we will still hold back that comment. Hopefully by the end of the third quarter and depending upon how the prices have moved and what is the composition of margins that we get from the various sub segments, we will be able to comment.

Pratik Kothari: So, sir is it a function of the kind of projects that we are executing or is it something else, I mean , on the margin?

Management: It comes as a mix of a number of things Pratik because we mentioned earlier that this is a function of the scale at which the engineering segment is operating that has a significant impact. It is also because of the input prices that we managed to get during the period under execution.

Page 7 of 22 And third, it certainly has an impact of the kind of projects that we are executing during that period. So , all of these have a part to play .

Pratik Kothari: Lastly sir just update on the Maharashtra, Roha and Odisha plant , how are we progressing on that?

Management: The Roha plant is under construction as we had declared previously. We expect that it will become operational in FY 25 -26 and we will announce further developments on that during the course of the next two quarters.

Moderator: Thank you. The next question is from the line of Satadru Chakraborty from Chakraborty Family Office . Please go ahead.

Satadru Chakraborty: My question is really around the Mapil acquisition. So, I know that we have now consolidated 2 months' worth of results in the console please. I was just curious in your long term planning and projection, what kind of EBITDA margins on a console basis would you be comfortable with this? So, is this a margin dilutive acquisition, is this really the customers that we are going after? Is it the market? So , any color and any insight that you have on the acquisition will be very helpful?

Management: We have consolidated about quarter's operations from Mapil acquisition and we are seeing that it is progressing well. We hope to get increased revenues from these operations in the coming quarters. The acquisition was mainly to access the market in the European market and the trend still now indicates that we would be doing reasonably well on that front . We will declare additional details in the coming quarters. As of now, the broad color that I can give to you is that at the PBT level we are positive there and things are picking up.

Satadru Chakraborty: Maybe one additional follow-up now that we have, let's say, substantial presence in Europe with this acquisition. I was very curious from a financial planning perspective, are you planning to have some sort of hedging mechanism in place so that whenever you are selling services or selling products to this subsidiary you are sort of not getting the negative effects of your appreciation depreciation.

So, any outside strategy because I know there is some sort of hedging in place that I just was curious to understand what is the overall Company strategy regarding FOREX practices in general?

Management: We do take constant stock of our exposures on the FOREX market and go by advice of an external consultant who will guide us on what the right kind of strategy to take, but very broadly we do not like to keep open positions with all, and we would try and cover as much as

pos

sible unless we have a natural hedge against open exposures.

Moderator: Thank you. We'll take the next question from the line of Muthukumar from Fidelity Ventures. Please go ahead.

Muthukumar: In the investor presentation, you have mentioned that in the engineering project consists of 2,186 crore order books in outstanding Sri Lanka order book of 240 crores and outstanding UP and Delhi Jal Nigam Project of 925 crores. Totally I just want to know what is the timeline taken to accomplish this order. I just want to know the approximate time spent taken to accomplish this order?

Management: The UP order we expect to complete in the next financial year, that order book will get exhausted. As far as Sri Lanka is concerned, we have been going slow in that order for quite some time now because of the unfortunate economic problems which were being faced by the Country.

As we come to a resolution to those cash flow issues, we will accelerate our invoicing of that contract. Therefore, on a very optimistic basis, it can get fully invoiced during the current year.

Muthukumar: And also, in the big pipeline you mentioned 8,597 crores, what is the capture ratio or strike ratio you are expecting?

Management: Typically, we expect around the 15% to 20% strike rate.

Page 9 of 22 Muthukumar: And also if you can give me a glimpse of EBITDA for next two to three years?

Management: That's something which we would like to be more clear on as we proceed into the next year. But on a very approximate and a broad level, we should be able to maintain the levels of EBITDA which we have today, but then more color or accuracy can only come as we proceed into the next year.

Moderator: Thank you. We'll take the next question from the line of Noel Vaz from Union Asset Management. Please go ahead.

Noel Vaz: What is the growth outlook for the chemicals and engineering segments for FY24?

Management: For the engineering segment we are expecting between 30% to 35% growth. Chemical segment, we are still hoping we would be able to deliver between 5% to 10% growth.

Noel Vaz: Just wanted to just clarify on the chemicals. Initially I think in the previous quarter we had guided for somewhere around 10 to 15 and now we've reduced our outlook to 5 to 10. Is there any particular reason for it?

Management: We were hoping for some kind of a resumption of the pace of demand in international market that has not yet come through and that's why I am cautiously reducing that guidance. We have been hoping now for the past few quarters that the situation on the geopolitical front becomes better and the European as well as the North American economy would start to fire better. Since that has not yet happened, we are looking at a slightly lower growth forecast. Middle East also is under a little bit of a threat as you would know because of the current geopolitical scenario there. So, on a conservative basis, we feel that the growth forecast for the current year needs to be moderated.

Noel Vaz: Just lastly regarding consumer products, what we had initially guided for is, I mean, it's a fairly strong growth that's been delivered in 2Q and also we've guided I think the previous call that you had mentioned that Page 10 of 22 you're planning to aim for a break even by the end of this financial year and you see very strong growth. So, I just wanted to get an idea about what kind of growth trajectory we can expect for this outlook and possibly margin outlook also if possible?

Management: We are seeing a continued growth momentum as far as the consumer segment is concerned. Even in the current quarter, the growth momentum has been good. This should continue over the next few quarters. As far as the margin is concerned, we were looking for a break even by the end of the year, we still remain hopeful we'll be very close to that.

Moderator: Thank you. We

will take the next question from the line of Jainam Doshi from Kriis Portfolio. Please go ahead.

Jainam Doshi: So, recently we have altered our object laws of MOA mentioning our intention to carry out business in the areas of FRP sheets, piping industrial and municipal solid waste management. So, just wanted to have a color on what is our outlook as a strategy pertaining to the same?

Management: So, that's consequent to the impending merger, which we have with companies, but Milind can you throw a little bit more light on that.

Milind: Mergers of three of our subsidiary companies are in progress. So, to facilitate the objects clause of the transfer of Company into our objects clause we have amended it beforehand so that at the latter stage at the activity level we don't have any problem.

Moderator: Thank you. The next question is from the line of Harsh Saraswat from Elegant Family Office. Please go ahead.

Harsh Saraswat: I wanted to ask on the margin profile in the engineering business, has it dropped year-on-year, so any guidance on that?

Management: For the engineering segment as a whole compared to the last financial year corresponding period. I think there has been an improvement in the overall margin level. Vasant you can add more color on that please.

Page 11 of 22 Vasant Naik: The engineering margins in the first half are at 6.7% as against 5.2% in the corresponding period of last year.

Harsh Saraswat: My second question is on the thing that in next two, three quarters the whole country will be going on for lot of elections. Does that affect our bid pipelines also in the states where elections are happening, if you could throw some light on how it has been in the past?

Management: Our bid pipeline has relatively limited exposure to direct government or municipal contracts. Therefore, the impact would not be significant from that perspective. As far as the industry or the PSU related inquiries or projects are concerned, typically one would expect a slight slowdown once the model code of conduct comes into being as the industry in general tends to become a little cautious, but as it stands today the overall outlook being presented by various segments of the industry are not being dictated by the impending elections. Because of the geopolitical situation and the overall global scenario which we are seeing as well as some of the price movements on the input side, some industries may prefer to defer their CAPEX, but besides that we are not really seeing any other indications.

Harsh Saraswat: My last question is on the chemical business. How are you seeing the domestic business of this? Is there growth in domestic business or not?

Management: Domestic business has done reasonably well over the last few quarters. It's the international business which has performed much less than what one would have wanted it to.

On the domestic front, again for the future, we do expect that the situation would improve over the coming two quarters because that's the typical trend that we have been seeing over the last few years.

Moderator: Thank you. The next question is from the line of Ayush Agarwal an Individual Investor. Please go ahead.

Ayush Agarwal: So, my first question is regarding your engineering and chemicals business, are you seeing any opportunities arising from emerging industries like, for example, in India and even worldwide there is a push for electric vehicle manufacture and the Indian government is pushing for semiconductor manufacturing domestically, do you see any opportunities arising because of that?

Management: Yes, Ayush there are a quite a few of these new Sunrise Industries, which are proposing to have significant capital expenditures in the country and each such capital expenditure would have consequent opportunity for both the water treatment and the wastewater treatment side of the business.

Ayush Agarwal: And my second question is regarding your consumer segment. So, I understand that the segment is not profitable just yet and I'm sure it will become profitable in the coming quarters going forward. So, I wanted to know how much you are spending on advertising as a percentage of your revenue.

Management: As such we have not been giving out specific numbers on that front end Ayush, but I can tell you that it's not a very significant number.

Ayush Agarwal: So, it's safe to say it's in the single digits, just to broadly speak about it?

Management: Yes, it would be low, it would not be very high.

Moderator: Thank you. We'll take the next question from the line of Akshat Mehta from Sameeksha Capital . Please go ahead.

Akshat Mehta: So, my question was if you could share the number for customer advances for the quarter and so you could also share the unearned revenue as well as a whole advances plus unearned revenue?

Management: Customer advance was around 215 crores as of September end and the unearned revenue was around 208 crores.

Akshat Mehta: So, around 420 odd crores to tal?

Management: Yes

Akshat Mehta: So, this is for the first half right this is not just for quarter 2?

Page 13 of 22 Management: This is the position as of September end , the closing balance.

Akshat Mehta: Another question which I had was that the guidance that you're giving on the chemical segment for 5% to 10%, does that include the Mapril acquisition as well within the guidance or that is separate from this?

Management: The projected growth is with respect to the current trends of the consolidated number and as I had responded to an earlier question , we hope to see the incremental benefits from this acquisition, in the coming two quarters and I'm not trying to jump the gun as far as those projections are concerned.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique Portfolio Managers . Please go ahead.

Pratik Kothari: Sir one question on membrane. We started a new facility I think in two quarters, three quarters back. So, one update on that and also, we are planning to add another phase to that membrane capacity, so an update on that please?

Management: We have commenced production on the expanded capacity very recently and as we had mentioned in an earlier call, we expect that we will be able to substantially consume that capacity over the next two years. There is a further capacity expansion plan , but that is in the initial stage.

Pratik Kothari: Sorry , but coming back to chemicals again, I mean, we have substantially changed our guidance from say last quarter. So , how bad has the situation, but I understand it we don't break down numbers further, but if you have to talk about exports, how bad has it gotten?

Management: Exports there have been a slight drop. It's not a very significant drop, but there is a slight drop in exports.

Pratik Kothari: Sir the reason I asked this is because last quarter we had said 10 %, 15% growth excluding of Mapril and now I think you mentioned that 5, 10 includes Mapril too?

Page 14 of 22 Management: As I said, the expected growth of 5 -10 % is for a consolidated number, excluding the incremental numbers from Mapril . For the incremental benefits from Mapril I am not yet projecting too far forward and we will be able to give you more accurate guidance on that during the next quarter, In terms of how we are expecting the rest of the international business to behave, we have not seen the trends in which we were hoping for from the international market. And as I just mentioned, there has been a slight decline growth on that front in the first half and therefore it's only prudent that we reduce our growth guidance .

Pratik Kothari: Sir, last on UP if you can share how much did we build

it this quarter

and has the scope of work changed because pending order book seems to have increased quarter -on-quarter?

Management: The scope of work has not changed. There is an incremental increase in the number of villages that have been now approved by the government and that has led to an increase in the overall size of the order that's the reason why there is an increase.

Pratik Kothari: And how much did you bill it this quarter?

Vasant Naik : We did around 42 crores for this quarter .

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: I just missed your point about you saying about lowering of guidance on what parameter if you could just repeat?

Management: It is for the chemical segment where we have said that we are still hoping to deliver the growth of around 5 % to 10% for the year as a whole.

Saket Kapoor: We are lowering it to 5% now ?

Management: The earlier quarter we had mentioned 10 % to 15% and now what we are taking is 5 % to 10%.

Page 15 of 22 Saket Kapoor: For the pace in the U P Jal Nigam project, if you could quantify the pace has remained the same over the last two preceding quarters, quarter 1 and quarter 2. I think the revenue numbers have remained the same. So , what's the color on the same sir, how is that going to gain attraction going ahead I think so the size is including both UP and Delhi 960 crores by what time are we going to execute the project for the UP Jal Nigam?

Management: UP Jal Nigam contract will get executed by the next year fully. In the current year we will see increased invoicing in the second half. We are seeing more movement on the ground and therefore the projection for the improvement in the second half.

Saket Kapoor: Because when we look at your engineering segment although you have guided that there will be a pickup . Quarter 2 have also remained muted to a greater extent and in order to meet our revenue growth guidance for engineering segment H2 will look significantly heavier historically . So, there is no reason to believe that it would not happen this time and H2 will be significantly heavier in terms of the execution phase for H2. And for the month of October, you must have seen attrition on ground?

Management: H2 will be heavier and that is traditionally the case for long number of years now. If we compare revenues for the engineering segment during the first half as compared to last year's first half we should have seen significant improvement . I believe that the growth would be somewhere in the region of 30 odd percent . Vasant, if you can share the exact numbers.

Vasant Naik : We have grown by 33%.

Saket Kapoor: If we go for comparative numbers for previous year's second half with current year second -half, what should be the growth number we should consolidate?

Management: As I mentioned earlier, we are hoping to deliver around 30 % to 35% growth for the engineering segment as a whole for the full year.

Page 16 of 22 Moderator: We'll take the next question from the line of Manish from Equity -at-Work . Please go ahead.

Manish: What is your revenue guidance for FY24 full year revenue guidance?

Management: See we have given you segmental breakup as far as the guidance is concerned on engineering segment, we have had 30% to 35% growth.

For the chemical segment between 5 % to 10% growth and for the consumer segment we are stating that it will continue its growth momentum as we have been seeing in the first half. So, that's the overall guidance.

Manish: Sir, you're guided for 30 % to 35% engineering business engineering for engineering business, right? So, engineering we have done , hitherto, we have done about 600 crores and we have guided for 35% growth which actually sort of extrapolated to somewhere in the vicinity of 1,700 crores. So , you are essentially

trying to suggest that we are going to do a revenue of at least north of 1,000 crore for the next two quarters put together. Is my understanding correct?

Management: Yes

Manish: And sir what would that populate down to in terms of absolute EBIT for FY 24 for the engineering segment?

Management: We should have an improvement over the last full year in terms of percentage.

Manish: And margins will increase from here, right?

Management: Yes.

Manish: Any specific guidance for margin that you have for FY24 in particular for the engineering business?

Management: As I just mentioned, we will see an improvement over the last full year's number. Last full year's number was if I am not wrong around 8.9% or 9%. So, we should see an improvement over that.

Page 17 of 22 Moderator: Thank you. The next question is from the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: One last question that I had is that we've seen an increase in the debt position. If you look at new quarter 2 numbers versus end of FY 23. So,

why has that increased?

Management: On the stand alone basis, the debt numbers are around the same level as the previous year, but when you see the consol numbers that is because of the acquisition of Portugal Co - Mapril, the debt which was standing in MAPRIL books that has come into the consol post-merger.

Akshat Mehta: No, because as far as I understood, you're also going to take some debt for the Roha capacity expansion as well.

Management: As we move forward with CAPEX, we will be taking the debt in that.

Moderator: Thank you. We'll take the next question from the line of Richa Chowdhary from Electrim PMS. Please go ahead.

Richa Chowdhary: Sir, I just had one question on the Roha expansion plans. When we are expecting the plan to be operational that would be the first question and we had some guidance given before probably a year back on the backward integration project. So, what exactly was that and how are we going ahead with that?

Management: Roha of course we are expecting that by the end of the next financial year we would be able to substantially complete the construction process and as far as becoming operational is concerned, we expect that it could be by FY25-26.

Richa Chowdhary: Sir, what asset turns are we expecting on this 400 crores project?

Management: We are expecting somewhere around 1.5 to 2 times if you consider total CAPEX roughly 275 Cr.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Page 18 of 22 Saket Kapoor: Sir, you mentioned the addition of more villages in that U P Jal Nigam project, by what percentage does it improve the size of the contract and also the scope of work. So, if you could dwell more on the same?

Management: The nature of the project remains same; it is just that when you add more villages the overall size of the contract goes up slightly. Vasant if you can mention the numbers.

Vasant Naik: It is around 60 crores roughly which has been added during the quarter.

Saket Kapoor: It also has an O&M component sir, the total project operation and maintenance part?

Management: But this value does not include the O&M part. It is only the EPC part.

Saket Kapoor: And what is the size of the O&M part, sir and when will it kick in the post expiry of what term?

Management: It is a 10 years O&M which will kick in once the individual projects are handed over.

Saket Kapoor: And size sir, what is the value of O&M part?

Management: Difficult to quantify at this stage because as was mentioned earlier, this Project is an aggregation of individual contracts with varying values.

So, at this stage it's not possible to give a definitive number on the O&M.

Saket Kapoor: Sir, as you were mentioning about the scope of work and also

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increasing, are there many players who are involved in this project and so the scope of work improved for everybody or is it a particular packet of work that we have got because of the reasons of whatsoever that we have been added more villages been added to us, what led to it and are there many parties, many EPC players involved in this entire project?

Management: Yes, the UP government, the UP part of Nal Se Jal scheme has many EPC contractors. We are one of them. The increase in the number of villages is consequent upon the detail project reports getting approved

Page 19 of 22 by the department and that's something which happens progressively as there are a few more which are under evaluation.

Moderator: Thank you. We'll move on to the next question, which is from the line of Ayush Agarwal, an Individual Investor. Please go ahead.

Ayush Agarwal: This is the follow-up of one of my previous questions regarding opportunities on Sunrise Industries. Looking at your current bid pipeline of 8,745 crores, how much of that would be coming from Sunrise Industries?

Management: I can't give you an exact number right now because how one would classify Sunrise Industries. So a broad approximation that I can offer it would be below 25%, but I would not be able to give you a further breakup.

Ayush Agarwal: And my second question is regarding the debt that you have taken for the Greenfield expansion in the last quarter earnings call you had mentioned that you are taking around 300 crores to 320 crores of debt for this project. So, I wanted to know what is the repayment period for this and is there earnings from this project expected to be able to repay that debt on its own or will other income streams be contributing towards that?

Management: We have not yet picked the debt on our book Ayush; we will pick it up as the construction of the project progresses further and we would be able to service the debt to our internal generations. Vasant you can shed more light on the period of debt.

Vasant Naik : It is five years post the plant commercial production.

Moderator: Thank you. We'll take the next question from the line of Romil Jain from Electrum PMS. Please go ahead.

Romil Jain: The first question is on consumer business. So, I just want to understand when do we kind of break even at the EBITDA level and subsequently at the PAT level maybe next year or FY26, any sense on that and what are the kind of touch points that in terms of distribution network, we are at in this business?

Page 20 of 22 Management: We are certainly hoping that we will be able to still meet the target of breaking even or being very close to that by the end of the current year.

And as far as the distribution network is concerned, it's All India network and it's a very expanding one. We are reaching out to Tier 2 and in some places Tier 3 cities also. So, it is an extensive All India reach.

Romil Jain: And on chemical side just want to understand I think first we are doubling the capacity and then it will triple. So, overall, that is the plan to triple the capacity?

Management: Yes, over the period of time.

Romil Jain: So, the 400 crores CAPEX, which is there is for doubling the CAPEX, it's for doubling the capacity as well as the backward integration, correct?

Management: That's right. Some part of this CAPEX would also help in further expansion at a later date. So, the later expansion would not need to incur some of the expenditure being incurred now.

Romil Jain: Just can you give little bit of more understanding on the backward integration, so how much of that would be backward integration in terms of the overall CAPEX and whether that would structurally improve margins of the chemical segment going ahead?

Management: Roughly around 125 crores is what has been allocated to that project and yes we are expecting

an improvement in the margin profile because of that.

Romil Jain: And lastly on this CAPEX of 400 crores, you mentioned 1.5 to 2 times asset turn. So, by when we expect to reach the optimal utilization or whatever maximum we can do before the next you know line kicks in. So, does the next line kick in immediately after we commissioned this CAPEX by FY25 end or what are the timelines on that third phase, the next phase?

Management: So, the asset turnover of around 2 times should be calculated on the figure of 275 crores. Further we expect roughly around three -to-four-
Page 21 of 22 year period for the capacity to be utilized fully and we will take a decision on initiating the next phase of expansion somewhere down the line. It will not happen immediately because we will need to see the pickup of capacity utilization for the current expansion.

Romil Jain: Sir on this the engineering side of the business, I just want to understand a little bit more macro how are we looking at the entire industry planning out, how does the industrial book look like for us, where do we see the drivers because I think earlier we've met you and you said we've just scratched the surface in terms of the entire water treatment and effluent treatment in India. So, there's a long way to go. So, if you can just help us understand in terms of a little bit on driver side of that?

Management: I will be very brief with that answer as we have come to the end of the session per se and a detailed answer would require a long time. So, just to touch on the main points, the overall demand scenario projected over the medium term is very good. There's a huge gap between

today's reality and what we aspire to have as a country and within that the industrial infrastructure that we aspire to have. Add to this our commitments to the environment , ESG, etc. And this scenario also holds true for the global community because there is a lot of gap in infrastructure in several parts of the globe specifically Africa, the Middle East, and the Southeast. So, the forecast for a medium to long term is pretty good for the industry and we should see continuous improvement in the kind of inquiry and order book . Further technology upgradation should lead to further additions to the Brownfield opportunity , not just the Greenfield .

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now have the conference over to Mr. N.M Ranadive from Ion Exchange India Limited for closing comments. Over to you, sir.

N.M Ranadive: Good afternoon. Thank you all for participating in this earnings Concall . I hope we have been able to answer your questions satisfactorily . If you have any further questions or would like to know more about the Company , we would be happy to be of your assistance . We're very thankful to all of our investors who stood by us and also Page 22 of 22 have confidence in the Company 's growth plan and focus. And with this, I wish everyone a great evening. Thank you.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Ion Exchange India Limited that concludes this conference for today. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

February 3, 2024

To
BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our intimation dated January 23, 2024 and Regulation 30(6) read with Para A of Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of the Company's Earnings Call held on January 29, 2024 to discuss the financial performance of the Company for the third quarter and nine months ended December 31, 2023.

The aforesaid information is also disclosed on website of the company and which can be accessed at www.ionexchangeindia.com

Kindly take the information on your record.

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Milind Puranik
Company Secretary

Page 1 of 12 Ion Exchange India Limited
Q3 & 9M FY24 Earnings Conference Call
January 29, 2024

Moderator: Ladies and gentlemen, good day and welcome to Ion Exchange India Limited Q3 and Nine Months FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that, this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.

Anuj Sonpal: Thank you. Good afternoon, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Ion Exchange India Limited.

On behalf of the Company, I would like to thank you all for participating in the Company's earnings call for the 3rd Quarter and Nine Months ended of Financial Year 2024.

Before we begin, let me mention a short question statement:

Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions.

The purpose of today's Earnings Call is purely to educate and bring awareness

about the company's fundamental business and financial quarter under review. Let me now introduce you to the management participating with us in today's Earnings Call and hand it over to them for opening remarks.

We have with us Mr. Aankur Patni – Executive Director, Mr. N.M. Ranadive – Group Head of Financial Planning and Risk Management, Mr. Vasant Naik – Group Chief Financial Officer and Mr. Milind Puranik – Company Secretary. Without any further delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you, Anuj. Good afternoon, everybody, it is a pleasure to welcome you to the Earnings Conference Call for the 3rd Quarter and the Nine Months of the Financial Year 2024.

Page 2 of 12 For the 3rd Quarter of the current Financial Year on a consolidated basis, the company reported an operating income

of INR 5539 million, an increase of 8%

on a year-on-year. EBITDA was reported at INR 706 million, representing an increase of 13% year-on-year. EBITDA margin stood at 12.75% and the net profit was INR 472 million, representing a minor decrease of 1% year-on-year while the PAT margins stood at 8.52%. For nine months financial year 2024 on a consolidated basis, the company reported an operating income of INR 15,660 million an increase of around 17% year-on-year. EBITDA was reported at INR 1798 million, an increase of 21% year-on-year while the EBITDA margin stood at 11.48% and a net profit was INR 1229 million an increase of 8% year-on-year, and the PAT margin stood at 7.85%.

Coming to the segmental analysis in the Engineering Division:

The revenue for the quarter was INR 3212 million, a minor decrease of 1.5% on a year-on-year basis. The EBIT for this segment was INR 240 million a decrease by 22.5% year-on-year. The segment witnessed satisfactory order flow of medium size jobs. The enquiry bank remained robust however we experienced some delays in finalization of some large value opportunities.

The engineering segment recorded a sequential improvement in turnover. The execution of the large EPC job including the UP Jal Nigam order is expected to accelerate in the ensuing quarters.

Coming to the Chemical Division Segment:

The revenue for the 3rd Quarter stood at INR 1872 million, an increase of 23.5% year-on-year and margins stood at around INR 493 million, increased by around 30% on the year-on-year. The chemical segment recorded improved volumes while maintaining healthy margins.

In the third segment, the Consumer Division Segment:

The revenue for the quarter was INR 630 million an increase of around 38% year-on-year. The segment has sustained the growth witnessed in the past few quarters.

We can now open the floor for the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session.

First question is from the line of Noel Vaz from Union Asset Management.

Please go ahead.

Noel Vaz: Could we have an idea of what kind of would the margin outlook for FY24 -25 as well as any growth outlook, that is my first question. What is the margin and growth outlook for FY24 -25. That's all from my side.

Management: We are expecting that we will be able to maintain margins similar to what we achieved in the previous financial year. As far as revenue growth is concerned, we are expecting year end growth of roughly around 20%.

Page 3 of 12 Noel Vaz: So, the thing is, if you look at the 3Q order book and the 3Q bid pipeline versus the 2Q order book and pipeline it seems kind of flattish so is there any particular reason for this?

Management: We have experienced a slight slowing down of order finalizations compared to our expectations. Some of the enquiries, which we were expecting to get finalized during the period, they seem to be shifting because of the current environment both domestic and international. And we are now expecting that some of these may even flow over into the next financial year. Further, a couple of large opportunities which we were hoping to win, we have not been able to because of the terms at which these were finalized. And we have had to let them go.

Noel Vaz: Okay, thank you. This is just an overall kind of a look of the different segments. So, in the upcoming, there is a lot of upcoming semiconductor capacity which is expected to come through. Are we well placed to take advantage of that opportunity?

Management: Yes, we are quite well placed, we are actively working on a few such opportunities.

Noel Vaz: Okay. And by when could we poten

tially see some kind of move on this front?

Management: We have already got a couple of orders on that front. And we should be seeing more of these flowing through to the order book in the coming quarters.

Moderator: Thank you. Next question from the line of Richa Chowdhary from Electrim PMS. Please go ahead.

Richa Chowdhary: If you could just help me understand why was the execution in engineering segment weak this quarter and if you could just help me with the numbers, what order inflow did we see during this quarter and nine months, and if you could just give some guidance on FY24, how much orders are we expecting to close this year?

Management: Okay. For the Engineering Segment, we had some constraints on the invoicing front. One of the large orders, which is the UP order, had the procedural issues which we have hinted at in the past. We have been able to increase the pace of invoicing,. But still it is not adequate enough. Also, there was a large invoicing in the previous year 3rd Quarter on the international market, which this time we were not able to match with a similar invoicing.. However, we do expect that in the last quarter the engineering invoicing will pick up substantially and for the year we should be able to deliver good numbers.

Richa Chowdhary: Sir, what was the order inflow this quarter that we saw?

Vasant Naik: Order inflow for this quarter was 142 crores.

Page 4 of 12 Richa Chowdhary: And if you could just give a little update of the chemical CAPEX that we are seeing, what are the timelines and the revenue potential that we are seeing in the first and the second phase ?

Vasant Naik: As we have mentioned in the earlier con-calls that CAPEX for the Resin green field expansion at Roha is appr. Rs. 400 Crores . We are expecting the commercial production to start from FY25 -26 , we expect roughly around three - to-four-year period for the capacity to be utilized fully. The asset turnover of around 2 times should be calculated on the figure of 275 crores.

Moderator: Thank you. The next question is from the line of Sunil M Kothari from Unique PMS. Please go ahead.

Sunil M Kothari: Sir, chemical segment has grown after long very, very respectively and our margin is also very good looking at overall chemical industry scenario. We hear from a lot of companies about slowdown and demand not growing up. So, what we have done differently and what is changing for us?

Management: Well, we have managed to take a few steps in a timely manner. One was to improve our overall product profile, the efficiencies and throughputs of our various chemical manufacturing facilities. And further , we tried to ensure that we managed our cost as best as we could during turbulent times. During the times when the input prices are relatively more stable we do enjoy a slightly better ability to control our margins, and which is what you have been seeing for the past few quarters.

Sunil M Kothari: Sir my question is regarding more about this volume growth, revenue growth mainly what domestic or international and how sustainable is this size of growth, because we have grown really well during this quarter particularly chemical?

Management: We should be able to grow well on the international front. As we have been pointing out in the past that a lot of our planned CAPEX is targeted towards the international market. And our current market share in global markets is quite low, giving us a substantial headroom for growth. We are in discussions with a number of international buyers for these chemical products and these discussions are progressing quite well. As and when the new capacities come up, we ar

e quite sure that we will be able to ramp up the volumes at a good pace. So, we should be able to sustain growth going forward. Margins, as I mentioned have been good, we have been able to improve the product mix sequentially. And that has also helped us to improve our margin profile.

Sunil M Kothari: Sir one thing is about this, some part of our website there is Waste to energy segment we have also entered and we have executed one project for Akshay Patra one under implementation at petrochemical complex it is a very big project. So, this seems to be a new opportunity and area, if you can little bit elaborate and explain what exactly we are planning to do and what is the size of opportunity?

Page 5 of 12 Management: Sure. This is one of the areas where there's a lot of effort being put by the government and industry alike to effectively convert the waste into usable energy. We have been working on this area for some time. Akshay Patra, as you mentioned was one of the first projects which we undertook to demonstrate the technology. We are working on a few of these opportunities and hope we will be able to convert at least one or two of the large ones in the near future.

Sunil M Kothari: And this larger must be what, 1500 crore size of business or smaller one?

Management: The opportunities vary in sizes. While we are engaged in several discussions, we would want to start executing medium size ones and then, there after get into really large ones.

Moderator: Thank you. Next question is from the line of Mr. Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: My question is, can you just throw some color on the bid pipeline. The segment which we are looking at especially in e-segment, and why there is a delay in conversion is it something to election and we expect this conversion to happen in this fiscal or we expect most of the projects will get postponed to the next fiscal?

Management: Let me first tell you about the conversions in the recent period and then I will ask Vasant to give you the numbers on the bid pipeline. In the recent period, we are seeing some kind of slowdown in finalization of open enquiries and offers, and this would be on account of the current economic and political scenario both domestically and internationally. While we are hopeful that we would be able to quickly close some of these large opportunities that we are pursuing, but some of these would slip into the next financial year. Vasant can you give numbers with regard to the inquiry pipeline?

Vasant Naik: The inquiry pipeline as of December end was around 8526 crores.

Mohit Kumar: Sir, which are the countries are of our interest to us, I am talking outside India?

Management: We are quite active in the Middle East, Southeast, as well as in Africa. These are the prominent markets where we work as far as the engineering business is concerned.

Moderator: Thank you. Next question is from the line of Krisha Kansara from Molecule Ventures PMS. Please go ahead. The next question is from the line of Angad Katdare from Sameeksha Capital. Please go ahead.

Angad Katdare: My first question is on the guidance on the for the engineering segment and chemical segment for FY24 and 25, if you could throw some light, sorry I missed it earlier.

Management: For the current financial year, the engineering segment should grow by roughly around 25% and the chemical segment on a consolidated basis should grow by roughly around 10%.

Page 6 of 12 Angad Katdare: Okay. And how much will the recent acquisition MAPRIL contribute to the overall chemicals segment?

Management: We would be getting the benefit of roughly thr

ee quarters by the end of this

financial year, Ranadive can you provide the numbers on an approximate basis.

N.M. Ranadive: Approximately it will be Rs. 75 to 80 crores.

Angad Katdare: And can you throw some light on the margins from Mapril?

Management: You are asking margins for the chemical segment, right?

Angad Katdare: Yes, the guidance as well as from the acquisition?

Management: For the chemical segment we should be on a consolidated basis, delivering margins similar to what we delivered for the full financial year 2022 -23. For the first three quarters we are seeing a level which is quite similar to what we achieved in the last year and that gives us confidence that we will be able to maintain the overall margins.

Angad Katdare: That's great to hear sir. If I could just chip in one last question from my side, what will be the peak sales from the current capacity in the chemical segment and how much will the additional capacity add to the peak sales, the Roha CAPEX? So, current capacity, the additional Roha, that would be helpful sir. Thank you.

Management: At this point of time, we are looking at roughly 70% capacity utilization. And approx.. 60% of that is contributed by the resin business. The Roha capacity expansion is for resins only and it will double the current capacity.

Moderator: Thank you. The next question is from the line of Mahesh Agarwal from Agarwal Family Office. Please go ahead.

Mahesh Agarwal: First question was, just to get an update on again Mapril the Portugal subsid iary. And specifically, just wanted to understand more around, is that

purely a trading business or does that also have any manufacturing capabilities, either in Portugal or anywhere around Europe? And then also related to that, I'm guessing those numbers have now started reflecting on a consolidated basis for us, is that partly the reason why we have seen a boost in the chemical numbers this quarter that would be my first question please.

Management: The Mapril acquisition was primarily intended for reaching into the European market and also to establish a manufacturing base in Europe. It has manufacturing facilities in Portugal, which is on the chemical side of the business. By the end of this financial year, we should be consolidating roughly three quarters into our numbers. It has contributed to the growth of the chemical business during the period.. We expect to benefit both from the international and domestic markets in the coming quarters.

Page 7 of 12 Mahesh Agarwal: And with the margin profile of this business, and specifically the chemicals part be similar to the margin profile that we have for our Indian chemical manufacturing?

Management: They are not the same kind of chemicals; they are different kinds of chemicals. But on an overall basis, we are seeing that Mapril is being able to add to our current bottom line. Going forward, as I had mentioned, on a consolidated basis we would be able to maintain the overall margins for the year as of whole, so that would give you some idea.

Mahesh Agarwal: Understood, and any plans for expansion over there, do we have sufficient capacity in that company right now for our demands?

Management: We are improving the facilities there in order that we are able to cater to a wider range of products. So, some degree of augmentation is going on while they have decent capacity in place. But we would be improving and augmenting it as required.

Mahesh Agarwal: Understood. And sir my second question is related to China, asked before as well but as their economy continues to worsen across different industries, companies, we are hearing a lot of stories of them de

sperately dumping

products at 2%, 3%, 4% EBITDA margin whatever it is to break even, are we seeing any kind of that behavior across the resins, or the membranes or any of the other chemical components either globally or in India?

Management: Yes, we are seeing a degree of price desperation if I may call it that. But we have been able to handle it reasonably. Product quality is an important criteria. And not all customers look only at price. This gives us a lot of strength not only in the domestic market but also in the international market. While the reduced pricing from the Chinese suppliers does have a bearing on negotiations, but as you would have noticed we've been able to maintain our margins. We hope that we will be able to continue this in the future also.

Mahesh Agarwal: Understood, thank you. And if I may ask one more question regarding the GPCL consulting investment. So, that seems to be a relatively small company, like 7 crores of revenue and it's partly owned by REITs, EXIM Bank and a few other companies. What is our thinking when we are investing in this company, are we trying to become or trying to make it a completely owned subsidiary and what does the value add because we operate in a bunch of different sectors as well it seems not just in the water sector?

Management: That's a strategic investment on our part. As you rightly observed EXIM Bank of India, one of the key contributors there. It's not really an operational investment, but we are supporting the initiatives of various bodies, including EXIM in order to facilitate business in the international markets.

Page 8 of 12 Moderator: Thank you. The next question is from the line of Chirag from Intellects Stock Broking. Please go ahead. Next question is from the line of Sunil M Kothari from Unique PMS. Please go ahead.

Sunil M Kothari: Thank you. Sir my question is related to the competition which you seem to be feeling the increasing in the engineering segment. So, how you see the scenario maybe over a year or two, maybe near term fine, but you would be proposing to capture this lower profit margin business or we will stick to whatever choices are there?

Management: The opportunity size will continue to be very good . As we come out of the current year, my belief is that, we will see an increase in CAPEX in our economy. And that would create a much larger pie. We will continue to be careful about what types of businesses we pick up and at what commercial terms. Apart from the domestic market, an important consideration for us is the opportunity which we have in the international market. And we are pursuing some very interesting opportunities in global markets. So, on the whole I am

sure that we would have a good bit of business coming in from Indian as well as the international markets going forward. Yes, the current quarter has been less than what we had otherwise expected. But this should improve in the coming quarters.

Sunil M Kothari: Sir last question is, because you can get some lower execution of UP project and some delay in execution. It seems that next year, our executions will be far better. So, would you like to try to guide us about engineering segment growth next year 24-25?

Management: Yes, it does look that we will be carrying through a substantial size of order book into the next year. And for the UP contract as you mentioned we should be carrying through good quantum. We would want to ensure that the invoicing level picks up and continues to pick up sequentially. Apart from UP contract, there are the other large contracts that we have, as well as the new contracts which we are hoping to win during the coming quarters.

The overall trend of invoicing should improve going forward. But it's actually a little bit early to start giving guidance for the next year as a whole. So, I am just giving you a generic outlook. And hopefully, over the course of the next two or three quarters, I would be able to give you more color.

Moderator: Thank you. Next question is from the line of Amit, an Individual Investor. Please go ahead.

Amit: Sir, I don't know if I heard you correctly. Did you say that we will do a 10% revenue growth for the year in chemicals business?

Management: Yes, you heard that right. We are targeting to grow by roughly around 10% on a consolidated basis.

Page 9 of 12 Amit: So, how much would that translate to into organic growth if you don't mind, because the nine month number is flat in the chemical business. So, what kind of organic growth are we looking at in Q4?

Management: So, on a standalone basis, we would be growing by roughly around 5% and on a consolidated basis roughly by around 10%.

Moderator: Thank you. The next question is from the line of Krisha Kansara from Molecule Ventures PMS. Please go ahead.

Krisha Kansara: So, sir my question is regarding chemicals division. So, in this quarter, we saw that the chemical segment grew by around 30%. So, if you could just break this growth into three parts, let's say how much was led by volume, how much was due to pricing and how much was due to the inclusion of Mapril in our consolidated statements, that would be helpful sir. Thank you.

Management: We are roughly expecting around Rs. 80 crores top line addition by the end of the financial year from Mapril. For giving a sense of volume versus price growth, I can broadly tell you that during the recent few months, we have seen a degree of price correction on the downward side. So, our customers have benefited from slightly lower pricing from us and the growth which you see is in spite of that.

Krisha Kansara: Okay. So, the growth is volume lead and sir this 80-crore top line is for the whole FY24, like last two quarters basically?

Management: Yes, the Rs. 80 crores top line addition which I mentioned is for the financial year as a whole and we started consolidating after the first quarter.

Moderator: Thank you. Next question is from the line of Mahesh Agarwal from Agarwal Family Office. Please go ahead.

Mahesh Agarwal: I just wanted to double click on the China issues, specifically if we look at the domestic Indian market, are there any import duties or anti-dumping duties in place right now because something the government has been very proactive about is protecting some of the critical industries specifically related to China dumping and China in the resin market, I believe is 40% to 50% of the global supply. So, are there any of those policies already in place to protect local manufacturing from that, and if not is there any ongoing dialogue or discussion with the government around those?

Management: The government has been promoting the Make in India concept. In various government tenders, there is a definite preference for products manufactured in India. So, there is an advantage which accrues on account of that. The anti-dumping duties would feature on very specific cases. In general, we don't see anti-dumping duties in the products which we deal with. But as I mentioned we are getting benefits from the government on other counts.

Mahesh Agarwal: Understood, and what would be the reason why you don't see anti-dumping duties because that's one thing the government has been very proactive about

Page 10 of 12 for a lot of other products and industries. So, is there something about the

nature

of our products and industries that it would not make sense for the government to do so?

Management: Yes, to an extent. The pricing on a landed basis that we are seeing from them, the government probably feels that they don't need to intervene at this point.

But we do keep a keen eye on these matters and bring it to the government's notice when we feel it is important.

Mahesh Agarwal: Understood. And what would be if you can give a rough sense of the difference in landed prices between say, a desperate China price versus our price in India and then also what the price differences would be when we sell abroad?

Management: That's a very broad market scope that we are looking at. So, it is difficult to generalize this but yes, we do see, when they get desperate then the price differences can become significant. But for chemicals as I mentioned, it's not just the pricing, but also its quality, the service that we provide and other things.

Mahesh Agarwal: Understood. And then how long would generally obviously I'm sure this will vary as well, the contracts on the chemical side, are they more on just a purchase order to purchase order basis, or is there also some form of a longer-term contract with customers on the chemical side?

Management: There are a lot of customers who would give a one-to-three-year contract. And there would be a few who procure the chemical products as and when required.

But, we may be supplying to some of these customers for many years at a stretch.

Mahesh Agarwal: Understood. And then on the EPC side, I just wanted to get your thoughts around what you are all seeing in terms of the landscape of projects, which are out there, both on the private sector and then specifically on the public sector as well. The reason I'm asking that is the government has been pushing out a lot of tenders around water related projects, both in municipal, wastewater irrigation and historically that's not an area I know that you guys have been too keen to focus on, we focus more on the private side. But what is the opportunity that now looking like both on the private and public side and is there a change in mindset for us to maybe start focusing more on some of the public tenders as well?

Management: We have been looking at some of the opportunities from the government sectors for some time now. But we remain very cautious about which opportunities we would want to work aggressively on and to what extent we are able to mitigate the risks which we perceive. And it's an evolution that we are ourselves going through in terms of where we put our filters on a commercial front. So, we still are light on the government sector, and relatively heavier on the private sector. However, we aggressively pursue opportunities from select PSUs including the Navratna Companies. So, the PSUs like for Page 11 of 12 example an NTPC or Indian Oil, would be equivalent to our private sector basket, and we go after these opportunities quite aggressively.

Mahesh Agarwal: Understood, got it. For instance, I believe there's a desalination project now coming up for Mumbai, Navi Mumbai, would that be something that would fit the profile of projects we would be interested in?

Management: Well, we take a balanced approach towards such an opportunity. And while we are interested in participating in it, the mechanisms of participation may be different from direct EPC contract.

Mahesh Agarwal: The RO membrane supply would probably go from us, I'm guessing given our market share even if it's not the EPC aspect.

Management: Right. So, we look at different ways of participating in some of these opportunities. Unfortunately, I can't s

have more details on the call. But yes, we would participate.

Moderator: Thank you. Next question is from the line of Ayush Agarwal, an Individual Investor. Please go ahead.

Ayush Agarwal: I was saying that, on your consumer products segment, we are seeing increased losses from quarter-to-quarter, are you facing any challenges in reining in profitability?

Management: At the moment the focus is on ramping up the overall revenues of that segment. And we are investing quite a lot on the manpower as well as increased expenditure on marketing. And that's the reason that you are seeing the volumes growth of that business. But it has also contributed negatively to the bottom line. So, if we had also not focused on increasing the infrastructure for future growth we might have seen better profitability.

Ayush Agarwal : Understood. And recently, I read that PCBL is looking at entering the water treatment segment, I believe they bought out some major private company which is involved in water treatment chemicals. So, how do you stand in comparison to them at this stage?

Management: Which company did you mention?

Ayush Agarwal: Philips Carbon Black, they had recently acquired.

Management: Well, there are always new entrants who enter into the market in one form or another. And it's not a monopolistic market in any case, there are several domestic as well as global majors present in the space. So, competition is a part of the playing field. But as we've been mentioning, in the past, in spite of the competition, for example in our resin business we continue to enjoy more than 40% market share in the country.

Ayush Agarwal: Got it. And my last question is regarding your increase in deferred taxes, like I was looking at the balance sheet, and I believe your deferred taxes have

Page 12 of 12 doubled from the previous quarter, could you give us some more information on what taxes have been deferred?

Vasant Naik: This is as per the relevant accounting and tax guidelines. The deferred tax are basically arising out of the timing differences. So, this will unwind in the coming quarters, so we don't expect the effective tax rate to materially change.

Moderator: Thank you. Ladies and gentlemen that was the last question of the day, and I now hand the conference over to Mr. N.M. Ranadive from Ion Exchange India Limited for closing comments.

N.M. Ranadive: Good evening. Thank you all for participating in this earnings Concall. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the Company, we would be happy to be of assistance. We're very thankful to all of our investors who stood by us and also had confidence in the company's growth plan and focus. And with this, I wish everyone a great evening. Thank you.

Moderator: On behalf of Ion Exchange India Limited that concludes this conference for today. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

June 7, 2024

@

ION

EXCHANGE

To

BSE

Limited

The Corporate Relationship Dept.

P.J. Towers, Dalal Street

Mumbai-400

001

Scrip Code: 500214

Dear

Sir/Madam,

National

Stock Exchange of India Limited

Exchange

Plaza, C-1, Block-G,

Bandra

Kurla Complex, Bandra (East),

Mumbai-400

051

Symbol:

IONEXCHANG

Sub:

Submission

of Transcript for conference call under the SEBI (Listing Obligations and

Disclosure

Requirements)

Regulations,

2015.

Pursuant

to our intimation dated 28

May,

2024,

we

enclose

herewith

communication

relating to

conference

call as per Regulation 30(6) Para A

of Part A

of Schedule III of the SEBI (Listing

Obligations

and Disclosure Requirements) Regulation, 2015.

The

said conference call with the Institutional Investor/Analyst on Friday, May 31, 2024 was to

discuss

the financial performance of the Company for the year ended March 31, 2024. The

aforesaid information is also disclosed on website of the company i.e. www.ionexchange.global.com

Kindly

take the information on your record.

Thanking

You,

Yours

faithfully,

For Ion Exchange (India) Limited

Milind

Puranik

Company

Secretary

ION

EXCHANGE

(INDIA)

LTD.]

CIN:L749e9MH1964PLC01425 8

Regd.

Office:IonHouse,Dr.E.MosesRoad,Mahalaxmi, Mumbai-400011,India.

Board:

+91

2262312000]

Fax:+912224938737|

E-mail:ieilgionexchange.co.in |

Web:

www.ionexchangeglobal.com

Offices:Bengaluru|Bhubaneswar | Chandigarh |Chennai| Hyderabad |Kolkata| Lucknow |NewDelhi| Pune |Vadodara |Vashi|
Visakhapatnam

Moderator:

Anuj

Sonpal:

IonExchange IndiaLimited

Q4FY24EarningsConference Call

May

31,2024

Ladies

and

gentlemen,

good

day,andwelcome tothelIonExchange India

Limited

Q4

and

FY

'24

Earnings

Conference

Call.Asa

reminder,

all

participant

lineswillbeinthelisten-only mode,andtherewillbean

opportunity

foryoutoaskquestions afterthepresentation concludes.

Should

you

need

assistance

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the

conference

call,pleasesignalan

operator

bypressing“*”andthen“0”onyourtouch-tone phone.I

now

hand

theconference overtoMr.AnujSonpalfromValoremAdvisors. Thankyou,

andovertoyou,sir.

Thank

you.Goodafternoon, everyone, andaverywarmwelcome toyouall.

My

name

isAnujSonpalfromValoremAdvisors. Werepresent theInvestor

Relations

ofIonExchange IndiaLimited.Onbehalfofthecompany,I

would

liketothankyouallforparticipating intheearningscallforthe fourth

quarter

andfinancialyearending2024.

Before

we

begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The process of today's earnings call is purely to educate and bring awareness of the company's fundamental business and financial quarter under review. Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks.

We firstly have with us Mr. Aankur Patni, Executive Director; Mr. Vasant Naik, Group Chief Financial Officer; Mr. N.M. Ranadive, Group Head of Financial Planning and Risk Management and Mr. Milind Puranik, Company

Page 1 of 20
Page 1 of 20 Ion Exchange India Limited
Q4 FY24 Earnings Conference Call
May 31, 2024

Moderator : Ladies and gentlemen, good day, and welcome to the Ion Exchange India Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch-tone phone. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you, and over to you, sir.

Anuj Sonpal : Thank you. Good afternoon, everyone, and a very warm welcome to you all.

My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Ion Exchange India Limited. On behalf of the company, I would like to thank you all for participating in the earnings call for the fourth quarter and financial year ending 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The process of today's earnings call is purely to educate and bring awareness of the company's fundamental business and financial quarter under review. Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks.

We firstly have with us Mr. Aankur Patni, Executive Director; Mr. Vasant Naik, Group Chief Financial Officer; Mr. N. M. Ranadive, Group Head of Financial Planning and Risk Management and Mr. Milind Puranik, Company Secretary.

Naik:

Secretary.

Without

any further delay, I

request

Mr. Vasant Naik to start with

his opening

remarks. Thank you, and over to you, sir.

Thank

you, Anuj. Good afternoon, everybody. It is a

pleasure

to welcome

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all to the earnings conference call for the fourth quarter and the

financial

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ended

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For

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million, an increase of 21% year-on-year and 41% Q-on-Q. EBITDA reported

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of around 13% year-on-year,

but an overall increase of 31% quarter-on-quarter.

EBITDA

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decrease

of around 11% year-on-year, but an increase of 54% quarter-on-

quarter,

while

the PAT margin was in the region of around 9.27%. For the financial year ended March 24, on a consolidated basis, the operating income stood at Rs. 23,479 million, an increase of 18% year-on-year. The EBITDA stood at Rs. 2,720 million, an increase of 6.7% year-on-year, and the EBITDA margin was reported at 11.5%. The profit after tax was Rs. 1,954 million, an increase of 0.2% on a year-on-year basis, and the PAT margin was reported at 8.32%. Now let me take you through to the quarterly segmental performance on a consolidated basis.

In the Engineering division, the revenue for the quarter was Rs. 5,293 million, an increase of 17% year-on-year. The EBIT for this segment was Rs. 537 million, a decrease of 4% year-on-year. The segment witnessed strong international order inflows during the quarter. The domestic enquiry bank is robust, and we are hopeful that the finalization of some of the large value opportunities would accelerate in the next few months. Engineering segment recorded sequential improvement in turnover on the back of execution of large EPC job picking up during the quarter.

At the end of the financial year, March 2024, the total order book for Engineering division stood at Rs. 3,546 crores. Coming to the Chemical segment, the revenue for the quarter was Rs. 1,990 million, an increase of around 21% year-on-year. The EBIT was Rs. 478 million, a decrease by 1% on a year-on-year basis. This segment recorded improved volumes while

maintaining
healthy
margins.
Coming
to the third

Page 2 of 20 Secretary. Without any further delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you, and over to you, sir.

Vasant Naik : Thank you, Anuj. Good afternoon, everybody. It is a pleasure to welcome you all to the earnings conference call for the fourth quarter and the financial year ended 2024. For the fourth quarter under review on a consolidated basis, the company reported an operating income of Rs. 7,818 million, an increase of 21% year -on-year and 41% Q -on-Q. EBITDA reported was Rs. 921 million, representing a decrease of around 13% year -on-year, but an overall increase of 31% quarter -on-quarter.

EBITDA margin stood at 11.78% and net profit was Rs. 725 million, a decrease of around 11% year -on-year, but an increase of 54% quarter -on-quarter, while the PAT margin was in the region of around 9.27%. For the financial year ended March 24, on a consolidated basis, the operating income stood at Rs. 23,479 million, an increase of 18% year -on-year. The EBITDA stood at Rs. 2,720 million, an increase of 6.7% year -on-year, and the EBITDA margin was reported at 11.5%. The profit after tax was Rs. 1,954 million, an increase of 0.2% on a year -on-year basis, and the PAT margin was reported at 8.32%. Now let me take you through to the quarterly segmental performance on a consolidated basis. In the Engineering division, the revenue for the quarter was Rs. 5,293 million, an increase of 17% year -on-year. The EBIT for this segment was Rs. 537 million, a decrease of 4% year -on-year .

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Coming to the Chemical segment, the revenue for the quarter was Rs. 1,990 million, an increase of around 21% year -on-year. The EBIT was Rs. 478 million, a decrease by 1% on a year -on-year basis. The segment recorded improved volumes while maintaining healthy margins. Coming to the third

Moderator:

Ranodeep

Sen:

Aankur

Patni:

Ranodeep

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Patni:

Ranodeep

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Aankur

Patni:

segment,

the Consumer division segment, the revenue for the quarter was

Rs. 728 million, an increase of 41% year-on-year. The loss for the quarter was

Rs. 28 million versus Rs. 7

million

loss in the same quarter of the

previous

year.

The

company's

merger

process

with 2

of
its Indian
subsidiaries,
namely
Global
Composites
and
Structural
Limited
and
Ion
Exchange
Environment
Management
Limited
was
successfully
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during
this quarter. The merger application of Ion Exchange project and
Engineering
Limited
was
withdrawn
by the company and will be considered
for refiling in due course of time.
With
this, we will now move to the Q&A session Anuj.
Thank
you very much. We will now begin the question and answer session.
Our first question is from the line of Ranodeep Sen from MAS Capital. Please
go ahead.
Can
you
give
us a
flavor
of the Rs. 8,000 crore bid pipeline that you
mentioned?
Like, what kind of projects are expected there? And if you can
also comment on the success ratio of bidding through the adding a
project.
Most
of the bid
pipeline
is to the private sector and to the PSUs.
Government
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and
the
municipal
sector
is insignificant part of the
pipeline. Again a
major
portion of this is in the domestic segment.
And
in terms of the success ratio, sir, traditionally, what has been our
success
ratio in terms of the bidding for these?
It could be between 15% to 20%.
Sir, my next question was, we've seen the list of clients. When it comes to
the
Hotel, Taj Group, Leela, Hyatt and even Oberoi, right? Given we are
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Capex
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We
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in time to come. As such, the individual
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Page 3 of 20 Page 3 of 20 segment, the Consumer division segment, the revenue for the quarter was
Rs. 728 million, an increase of 41% year-on-year. The loss for the quarter
was Rs. 28 million versus Rs. 7 million loss in the same quarter of the
previous year. The company's merger process with 2 of its Indian
subsidiaries, namely Global Composites and Structural Limited and Ion
Exchange Environment Management Limited was successfully completed
during this quarter. The merger application of Ion Exchange project and
Engineering Limited was withdrawn by the company and will be considered
for refiling in due course of time.

With this, we will now move to the Q&A session Anuj.

Moderator : Thank you very much. We will now begin the question and answer session.
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go ahead.

Ranodeep Sen : Can you give us a flavor of the Rs. 8,000 crore bid pipeline that you
mentioned? Like, what kind of projects are expected there? And if you can
also comment on the success ratio of bidding through the adding a project.

Aankur Patni : Most of the bid pipeline is to the private sector and to the PSUs.
Government sector and the municipal sector is insignificant part of the
pipeline. Again a major portion of this is in the domestic segment.

Ranodeep Sen : And in terms of the success ratio, sir, traditionally, what has been our
success ratio in terms of the bidding for these?

Aankur Patni : It could be between 15% to 20%.

Ranodeep Sen : Sir, my next question was, we've seen the list of clients. When it comes to
the Hotel, Taj Group, Leela, Hyatt and even Oberoi, right? Given we are
seeing a huge Capex going around from the entire hotel industry, have you
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Aankur Patni : We worked with almost all the ma

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opportunity size is relatively small so, they won't get reported in the normal
Ranodeep

Sen:

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Patni:

Moderator:

Pratik Kothari:

Aankur

Patni:

Pratik Kothari:

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And

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turnaround
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Thank
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We
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over the last few quarters. Whatever surplus that the business is
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to ramp up the volume to a
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We
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And
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Our next question is from the line of Pratik Kothari from Unique PMS. Please
go ahead.
Sir, first question on Engineering part, the execution seems to be much
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So your thoughts, what's happening there? What is causing this delay?
The
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One
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election, we witnessed a
slowdown.
I would expect that during Q1 of the
current
financial year also, we would be seeing continuing pressure because
of the elections. And while we anticipated a
bit of slowdown, the slowdown
was
more
than what we had anticipated.

It's only timeline deferment which has happened, right? Nothing else has
seen in terms of contracts or terms?

Page 4 of 20 Page 4 of 20 course, but we are witnessing a bump up in the overall pipeline from the
segment.

Ranodeep Sen : And if I could just squeeze in one last question, sir. When do you see the
turnaround of our consumer business happening in terms of its profitability?
Thank you.

Aankur Patni : We are investing significantly in the business. And as we have been
reporting over the last few quarters . Whatever surplus that the business is
being able to generate, we are deploying it back into the business in trying
to ramp up the volumes to a much higher level . We have benefited from
that during the year and the quarter under review. However, there is a lag
between the investment and the final outcomes in terms of impact on the
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up this volume to a much higher level will continue. We do hope that we
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Moderator : Our next question is from the line of Pratik Kothari from Unique PMS. Please
go ahead.

Pratik Kothari : Sir, first question on Engineering part, the execution seems to be much
slower than what we had anticipated or what we had may be planned for.
So your thoughts, what's happening there? What is causing this delay?

Aankur Patni : The Engineering segment, while it saw a good growth in terms of execution
over the quarter, we did witness a significant shortfall compared to what we
were expecting. One of the significant reason was the UP contract where
because of the elections, which are underway and the ramp -up towards the
election, we witnessed a slowdown . I would expect that during Q1 of the
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We've
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the significant orders to the Stock Exchanges,. Just to
give you a
couple
of examples, we've got significant orders from Saudi
Arabia,
which
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setting
up a
water
treatment
plant,
including
demineralization
plant. This is roughly around Rs. 120 crores. The other one,
is from UAE and that value is roughly in the range of Rs. 250 crores.
And
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So any update?
There
are significant enquiries under discussion. And we will, obviously, in
the normal course make a
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And
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So your thoughts, I
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Just any change in terms of demand trends that we see
out there?
Over
the last couple of quarters, we have seen good growth in volumes. As
we
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the numbers from the international
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bit subdued. There has been a
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the international market and we anticipate this to continue
over the coming quarters also. That's what has led to the recovery in the top
line. The margins have remained stable, and that's because of the continuing
environment
of stable prices. But we are seeing a
bit of an impact over the
last may be few months due to the situation in the Middle East, which has
impacted
cost to some extent, and also the shipping times have gone up.

Page 5 of 20 Page 5 of 20 Aankur Patni : It's only time line.

Pratik Kothari : And sir, second question, in the presentation, we have mentioned that we
have won some significant orders in international market. Also, we are
seeing some large orders in domestic. If you can just throw some light what
kind of orders are there, what kind of customers, how large is this
international which we won? Some comment on orders, which we have
won, and also the pipeline that we see in front of us.

Aankur Patni : We've been declaring the significant orders to the Stock Exchange s,. Just to
give you a couple of examples , we've got significant orders from Saudi
Arabia, which is for setting up a water treatment plant, including
demineralization plant. This is roughly around Rs. 120 crores. The other one,
is from UAE and that value is roughly in the range of Rs. 250 crores.

Pratik Kothari : And we have mentioned some large domestic orders, which are in pipeline.
So any update?

Aankur Patni : There are significant enquiries under discussion. And we will, obviously, in
the normal course make a declaration on the stock exchange as and when
it gets finalized.

Pratik Kothari : And sir, last, I mean we are seeing some sequential improvement in
chemicals. So your thoughts, I mean, we saw some tough phase for the last
2 years. I mean, from a growth perspective, and we have obviously
maintained margins. Just any change in terms of demand trends that we see
out there?

Aankur Patni : Over the last couple of quarters, we have seen good growth in volumes . As
we disclosed during the first 2 quarters, the numbers from the international
market were bit subdued. There has been a sequential pickup in the

volumes from the international market and we anticipate this to continue over the coming quarters also. That's what has led to the recovery in the top line. The margins have remaine

d stable, and that's because of the continuing environment of stable prices. But we are seeing a bit of an impact over the last maybe few months due to the situation in the Middle East, which has impacted costs to some extent, and also the shipping times have gone up.

Moderator:

RohitShah:

Aankur

Patni:

RohitShah:

Vasant

Naik:

Overall,

we

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seethatthevolumes inthebusinesswouldcontinue to

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Next

question

isfromthelineofRohitShahfrom

Ladderup

Wealth

Management.

Pleasegoahead.

Sir,myfirstquestionwasonyourEngineering segmentmargins.Theyhave again

kindforthelast2

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quarter4aswell.Whatisthereasonforthat,ifyoucanthrowsomelight?

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cost

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This
is a
domestic
industrial
EPC
job
and
that
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impacted
the
overall
margins
significantly.

Further,
if you look at the consolidated numbers, there is also an impact of
the expenditure on the built-up of infrastructure in one of the subsidiaries to
execute
some
of the large orders, and since those revenues haven't come
through
to the extent that we were hoping that they would, there has been
a
margin
impact.

Overall, the rest of the project margins remain healthy. This one contract
where
we
have
witnessed
unforeseen
price increases, we expect the drag
would
continue
for maybe 1
to 2
quarters.

And
thereafter
things
should
improve
significantly. And margins would also improve because the overall
volume
of execution during the year would go up. Soon both of these
accounts,
we should see an improvement in the coming year.

My
question
was
that your receivables have gone up from around 120 to
145
days. Is there any relation between the receivables going up and the
slowdown
that has happened in the Engineering segment?

No, it is not really related to the slowdown in the Engineering segment.
Rather, it is more about majority of the fourth quarter billing has taken place

Page 6 of 20 Page 6 of 20 Overall, we do see that the volumes in the business would continue to
improve over the coming year. And margins also if all things remain equal in
terms of the global environment, in terms of the raw material prices, we
should be able to maintain the current level and round about these levels.

Moderator : Next question is from the line of Rohit Shah from Ladderup Wealth
Management. Please go ahead.

Rohit Shah : Sir, my first question was on your Engineering segment margins. They have
again kind for the last 2 years, have kind of shown reducing margins in
quarter 4 as well. What is the reason for that, if you can throw some light?

Aankur Patni : The Engineering margins have suffered during the current year in the quarter under review. We have seen some dip in the overall revenue numbers as compared to our expectations. There has also been one specific contract where we have witnessed unforeseen cost increases. This is a domestic industrial EPC job and that has impacted the overall margins significantly.

Further, if you look at the consolidated numbers, there is also an impact of the expenditure on the built up of infrastructure in one of the subsidiaries to execute some of the large orders, and since those revenues have not come through to the extent that we were hoping that they would, there has been a margin impact.

Overall, the rest of the project margins remain healthy. This one contract where we have witnessed unforeseen price increases, we expect the drag would continue for maybe 1 to 2 quarters. And thereafter things should improve significantly. And margins would also improve because the overall volume of execution during the year would go up. So on both of these accounts, we should see an improvement in the coming year.

Rohit Shah : My question was that your receivables have gone up from around 120 to 145 days. Is there any relation between the receivables going up and the slowdown that has happened in the Engineering segment?

Vasant Naik : No, it is not really related to the slowdown in the Engineering segment. Rather, it is more about majority of the fourth quarter billing has taken place

RohitShah:

Vasant

Naik:

RohitShah:

Aankur

Patni:

RohitShah:

Vasant

Naik:

Moderator:

Rahul

Dhruv:

Aankur

Patni:

in the month of March that has contributed to the overall increase in the receivables

level as of the year-end.

What

would

be kind of like a

normalized

level because last year as well you

said that a lot of billing happened during March and then it traveled in the month

of April and May. So what will be kind of like a

normalized

level that

we can look at?

So I

think similar to what we witnessed in the last year, we should have a

normalized

level as we approach the mid-year..

One

last question, sir. Out of your chemical segment, growth that has happened

year-on-year,

how

much

is due to organic and how much is due to

addition

of April in the numbers?

April consolidation impact?

Yes. I'm asking for quarter 4, not for the full year.

On

an overall basis for the full year, the revenue impact of Mapril is in the region of around Rs. 92 crores.

The

next question is from the line of Rahul Dhruv from Pegasus Growth.

Please go ahead.

Sir, I

had, I

think

kind of a

derivative

of what the earlier participant was

asking. I

think if you look at the last 2 years, we've had almost 50% increase

in our revenues from Engineering, but the profits or what we call PBIT is

basically

almost

flat, which means that we've been sacrificing margins

incrementally

on most of the projects. Now can you explain this in context

of the fact that we used to be as much as 10% margins at one point in time?

And

what

would

be the outlook going forward? Will we ever go back to the

10%

PBIT margins in Engineering?

We

do expect to improve on this significantly. On a

consol

basis, we saw for

the

full year roughly 7.7% margin. And for FY '22-'23, this number was

around

9.1%. And we do expect that we will at least come back to that level.

We

will be happy to share more light as the year progresses, and we see

Page 7 of 20 Page 7 of 20 in the month of March that has contributed to the overall increase in the receivables level as of the year -end.

Rohit Shah : What would be kind of like a normalized level because last year as well you said that lot of billing happened during March and then it traveled in the month of April and May. So what will be kind of like a normalized level that we can look at?

Vasant Naik : So I think similar to what we witnessed in the last year, we should have a normalized level as we approach the midyear ..

Rohit Shah : One last question, sir. Out of your chemical segment, growth that has happened year -on-year, how much is due to organic and how much is due to addition of Mapril in the numbers?

Aankur Patni : Mapril consolidation impact?

Rohit Shah : Yes. I'm asking for quarter 4, not for the full year.

Vasant Naik : On an overall basis for the full year, the revenue impact of Mapril is in the region of around Rs. 92 crores.

Moderator : The next question is from the line of Rahul Dhruv from Pegasus Growth. Please go ahead.

Rahul Dhruv : Sir, I had, I think kind of a derivative of what the earlier participant was asking. I think if you look at the last 2 years, we've had almost 50% increase in our revenues from Engineering, but the profits or what we call PBIT is basically almost flat, which means that we've been sacrificing margins incrementally on most of the projects. Now can you explain this in context of the fact that we used to be as much as 10% margins at one point in time?

And what would be the outlook going forward? Will we ever go back to the 10% PBIT margins in Engineering?

Aankur Patni : We do expect to improve on this significantly. On a consol basis, we saw for the full year roughly 7.7% margin. And for FY '22-'23, this number was around 9.1 %. And we do expect that we will at least come back to that level.

We will be happy to share more light as the year progresses

s, and we see
Rahul
Dhruv:
Aankur
Patni:
Rahul
Dhruv:
Vasant
Naik:
Aankur
Patni:
how
the
contract
executions
pan
out. But certainly hope, we should be
improving
from
where
we are.
So the 9.1% is something which you expect for FY'25 or over a
period
of
time?
FY'24-'25
The
second
thing was, again, what I
think was very, very strong about the
balance
sheet of I on Exchange at one point in time was the cash conversion
cycle, which if you add advances, then we're almost negative or was
negative,
but that has changed consistently over the last of 3
years. If I
just
look at inventory receivables and payables netted off, we have gone from 10
days
to 74, every year increasing. Now I
just wanted to know if there is a
policy change over here? Or is this something that we are doing which is
going
to be structural? And are we going to continue to behave in such a
high, not very high, but a
high cash conversion cycle going forward.
If you're comparing with the year '21-'22 or before that, we had a
large
portion
of the Sri Lanka contract advancing in the books. The Sri Lanka
contract
value was \$194 million and advance was 20% on that contract. We
are
now
at the tail end of the contracts so the level of advance from
customer
have come down from those high levels.
Going
forward,
we
expect
that the working capital level to be largely inline
with
what
we
have
been

shown
at FY '23 March and also what we are
showing
now
at FY '24. We will have these kinds of levels of working capital
because
as the EPC segment invoicing and the share in the overall revenue
increases, we will have this kind of working capital levels going forward.

The
normalized
level, for example, on the receivable side is what you should
see around midyear because the end of the year receivables are always at its
peak. A
large portion of the annual invoicing takes place in the last quarter
and
for that last quarter in the month of March. So the number carried in
the balance sheet is relatively larger. You will see a
more
normalized
level
around
the midyear.

Page 8 of 20 Page 8 of 20 how the contract execution spans out. But certainly hope, we should be
improving from where we are.

Rahul Dhruv : So the 9.1% is something which you expect for FY '25 or over a period of
time?

Aankur Patni : FY '24 - '25

Rahul Dhruv : The second thing was, again, what I think was very, very strong about the
balance sheet of Ion Exchange at one point in time was the cash conversion
cycle, which if you add advances, then we're almost negative or was
negative, but that has changed consistently over the last of 3 years. If I just
look at inventory receivables and payables netted off, we have gone from 10
days to 74, every year increasing. Now I just wanted to know if there is a
policy change over here? Or is this something that we are doing which is
going to be structural? And are we going to continue to be having such a
high, not very high, but a high cash conversion cycle going forward.

Vasant Naik : If you're comparing with the year '21 - '22 or before that, we had a large
portion of the Sri Lanka contract advance lying in the books. The Sri Lanka
contract value was \$194 million and advance was 20% on that contract. We
are now at the tail end of the contract so the level of advance from
customer have come down from those high levels.

Going forward, we expect that the working capital level to be largely in line
with what we have been shown at FY '23 March and also what we are
showing now at FY '24. We will have these kinds of levels of working capital
because as the EPC segment invoicing and the share in the overall revenue
increases, we will have this kind of working capital levels going forward.

Aankur Patni : The normalized level, for example, on the receivable side is what you should
see around midyear because the end of the year receivables are always at its
peak. A large portion of the annual invoicing takes place in the last quarter
and for that last quarter in the month of March. So the number carried in
the balance sheet is relatively larger. You will see a more normalized level
around the midyear.

Rahul

Dhruv:

Aankur

Patni:

Moderator:

Shyam

Garg:

Aankur

Patni:

Shyam

Garg:

Aankur

Patni:

Moderator:

Saket

Kap

oor:

No, I

agree,

sir. I

mean,

in fact, I'm actually even tracking half yearly basis.

Even

on a

half yearly basis, it has been consistently going up. So I'm just

saying, is there a

structural change. Of course, there is an increased share of

engineering

and

which

may

be contributing to it. But are we giving out

better terms than before is what I want to know.

No.

As

Vasant

just

explained,

there

was

a

significant

advance

from

customers,

which

was

lying in our books, and that was for the Sri Lanka

contract.

That

led to the negative working capital. The more normalized

level is what you would have seen roughly around the mid year mark.

The

next question is from the line of Shyam Garg from Ladderup Finance

Limited. Please go ahead.

My

first question is with respect to the execution timeline of the order book

in our Engineering business. So what is the expected execution timeline?

This should be roughly around a

2-year

period

for some of the significant

contracts

which

have

been

declared

on the stock exchange. A

couple

of the

large international jobs have much shorter period of execution. But on an

average,

it would be fair to say roughly a

2-year period.

So looking at a

20%

growth

in our Engineering business year-on-year, in FY

'25?

Yes, we should see a good growth and I

am
being cautious in giving out exact
guidance
at this point of time. As you can see that we are carrying a
good
order
book. And I
would
expect
that the growth should be at least what we
saw
last year. And at the same time, I
would
only
want
to give you a
subdued
projection
of roughly around 15% to 20%.

The
next question is from the line of Saket Kapoor from Kapoor & Co. Please
go ahead.

Firstly, in the Engineering segment, you articulated to the point of some cost
overrun

in one of the projects. So was that understanding correct? And can
you quantify what was the impact?

Page 9 of 20 Page 9 of 20 Rahul Dhruv : No, I agree, sir. I mean, in fact, I'm actually even tracking half yearly basis.
Even on a half yearly basis, it has been consistently going up. So I'm just
saying, is there a structural change. Of course, there is an increased share of
engineering and which may be contributing to it. But are we giving out
better terms than before is what I want to know.

Aankur Patni : No. As Vasant just explained, there was a significant advance from
customers, which was lying in our books, and that was for the Sri Lanka
contract. That led to the negative working capital. The more normalized
level is what you would have seen roughly around the midyear mark.

Moderator : The next question is from the line of Shyam Garg from Ladderup Finance
Limited. Please go ahead.

Shyam Garg : My first question is with respect to the execution time line of the order book
in our Engineering business. So what is the expected execution timeline?

Aankur Patni : This should be roughly around a 2 -year period for some of the significant
contracts which have been declared on the stock exchange. A couple of the
large international jobs have much shorter period of execution. But on an
average, it would be fair to say roughly a 2 -year period.

Shyam Garg : So looking at a 20% growth in our Engineering business year -on-year, in FY
'25?

Aankur Patni : Yes, we should see a good growth and I am being cautious in giving out exact
guidance at this point of time. As you can see that we are carrying a good
order book. And I would expect that the growth should be at least what we
saw last year. And at the same time, I would only want to give you a
subdued projection of roughly around 15% to 20%.

Moderator : The next question is from the line of Saket Kapoor from Kapoor & Co. Please
go ahead.

Saket Kapoor : Firstly, in the Engineering segment, you articulated to the point of some cost
overrun in one of the projects. So was that understanding correct? And can
you quantify what was the impact?

Aankur

Patni:

Saket

Kapoor:

Aankur

Patni:

Saket

Kapoor:

Aankur

Patni:

Saket

Kapoor:

Aankur

Patni:

Saket

Kapoor:

Aankur

Patni:

Saket

Kapoor:

While

we

are not giving out projects specific numbers, yes, you heard it right.

There

was

one

significant

contract

where

we

saw

an

unforeseen

cost

increase,

and

we

had

to

, therefore, take that extra cost provision in our

books.

That

has led to an adverse impact on the margins reported by the

Engineering

division.

But my reason for heartening was that then it will be a

mean

reversion

for

us, at least on a

ballpark margin trajectory. If we could have articulated the

ballpark numbers in the absolute amount, then that would have been added

back

and

we

would

have

calculated

our normalized margin for the quarter

as a

one-off

event. And so, this project is domestic or in foreign land?

It's a

domestic

industrial project.

Sir, you did mention about the UP part of the story also slowing down. And I

think so in your presentation, you mentioned about Rs. 830 crores worth of

contracts

being

left. And you also mentioned that first quarter will also be

slow. So when are we expecting the UP project closure, sir?

We

are expecting by the end of this financial year that contracts should be

executed,

and

we

await

the resumption of pace after the election process has been completed.

And

sir, now coming to the Chemicals segment part. Firstly, Sir, about Mapril, you mentioned about

Rs. 92 crores revenue contribution. So that gets clubbed under the consolidated Chemical segment? Yes.

And

what are the likely margins, sir, there?

You

would

see that on the consolidated level, the margins for the Chemical segment are lower than for the standalone level.

Margins

of Mapril, are

lower than what we have seen for the Chemical segment in the standalone.

Okay.

And

the utilization level for that unit, sir? What can we anticipate going ahead?

And

any

Capex

that

we

are

doing

in their subsidiary to

augment

capacity?

Page 10 of 20 Page 10 of 20 Aankur Patni : While we are not giving out project specific numbers, yes, you heard it right.

There was one significant contract where we saw an unforeseen cost increase, and we had to, therefore, take that extra cost provision in our books. That has led to an adverse impact on the margins reported by the Engineering division.

Saket Kapoor : But my reason for the arteming was that then it will be a mean reversion for us, at least on a ballpark margin trajectory. If we could have articulated the ballpark numbers in the absolute amount, then that would have been added back and we would have calculated our normalized margin for the quarter as a one-off event. And so, this project is domestic or in foreign land?

Aankur Patni : It's a domestic industrial project.

Saket Kapoor : Sir, you did mention about the UP part of the story also slowing down. And I think so in your presentation, you mentioned about Rs. 830 crores worth of contracts being left. And you also mentioned that first quarter will also be slow. So when are we expecting the UP project closure, sir?

Aankur Patni : We are expecting by the end of this financial year that contract should be executed, and we await the resumption of pace after the election process has been completed.

Saket Kapoor : And sir, now coming to the Chemicals segment part. Firstly, Sir, about Mapril, you mentioned about Rs. 92 crores revenue contribution. So that gets clubbed under the consolidated Chemical segment?

Aankur Patni : Yes.

Saket Kapoor : And what are the likely margins, sir, there?

Aankur Patni : You would see that on the consolidated level, the margins for the Chemical segment are lower than for the standalone level. Margins of Mapril, are lower than what we have seen for the Chemical segment in the standalone.

Saket Kapoor : Okay. And the utilization level for that unit, sir? What can we anticipate going ahead? And any Capex that we are doing in their subsidiary to augment capacity?

Aankur

Patni:

Saket

Kapoor:

Vasant

Naik:

Saket

Kapoor:

Vasant

Naik:

Saket

Kapoor:

Vasant

Naik:

Saket

Kapoor:

Vasant

Naik:

Saket

Kapoor:

Not immediately. That's all in the future.

Sir, coming to our greenfield projects. I

think earlier we alluded to the point

of going ahead. Any more colour you can give? What kind of numbers are

we

looking

for? And also, in the capital work in progress or whether when

we

look at the cash flow part, the plant purchase or PPE, the property, plant

and

equipment

has gone up to Rs. 120 crores for this year. So if you could

just provide a

breakup

the

re, where have we attributed this increase?

The

total Capex, for the current year is in the region of, Rs. 115 crores.

largely the capex is into the Roha plant which we are recurrently undertaking

for our resin expansion..

Apart

from

that, we have done our normal maintenance Capex in the

Chemical

segment

for our existing facilities.. And also, we have enhanced

our Engineering facilities

Sir, broader number, can you share, sir, for how much was Roha in

percentage

terms?

Roha, I

can share that for the year, the capex is around Rs. 50 crores. And

cumulatively,

we

have spent around Rs. 70 crores.

And

what

will be the total sum should we expect? Sir, I'm just completing

my

question

only. No further questions. I

will join the queue. How much

more

is to be spent for the current year? And when will we see the

commissioning

of the facility?

We
have
mentioned
in the earlier con call that we are expecting the
commercialization
in FY '25-'26 of this Roha facility. So I
would
expect
that
the majority of the Capex should get spent out in the current year.

How
much
it is, sir? Can you give a
number?

I'll join the queue?

Yes. We have indicated earlier also the overall Capex for the Roha is just
under
Rs. 400 crores.

So this year it will be Rs. 300 crores? Closer to Rs. 300 crores to be spent?

Page 11 of 20 Aankur Patni : Not immediately. That's all in the future.

Saket Kapoor : Sir, coming to our greenfield projects. I think earlier we alluded to the point
of going ahead. Any more colour you can give? What kind of numbers are
we looking for? And also, in the capital work in progress or whether when
we look at the cash flow part, the plant purchase or PPE, the property, plant
and equipment has gone up to Rs. 120 crores for this year. So if you could
just provide a breakup there, where have we attributed this increase?

Vasant Naik : The total Capex, for the current year is in the region of, Rs. 115 crores .
largely the capex is into the Roha plant which we are currently undertaking
for our resin expansion..

Apart from that, we have done our normal maintenance Capex in the
Chemical segment for our existing facilities.. And also, we have enhanced
our Engineering facilities

Saket Kapoor : Sir, broader number, can you share, sir, for how much was Roha in
percentage terms?

Vasant Naik : Roha, I can share that for the year, the capex is around Rs. 50 crores . And
cumulatively, we have spent around Rs. 70 crores .

Saket Kapoor : And what will be the total sum should we expect? Sir, I'm just completing
my question only. No further questions. I will join the queue. How much
more is to be spent for the current year? And when will we see the
commissioning of the facility?

Vasant Naik : We have mentioned in the earlier con call that we are expecting the
commercialization in FY '25-'26 of this Roha facility. So I would expect that
the majority of the Capex should get spent out in the current year.

Saket Kapoor : How much it is, sir? Can you give a number? I'll join the queue?

Vasant Naik : Yes. We have indicated earlier also the overall Capex for the Roha is just
under Rs. 400 crores.

Saket Kapoor : So this year it will be Rs. 300 crores ? Closer to Rs. 300 crores to be spent?

Aankur

Patni:

Moderator:

Jolyon

Loo:

Aankur

Patni:

Jolyon

Loo:

Vasant

Naik:

Jolyon

Loo:

Vasant

Naik:

Jolyon

Loo:

Vasant

Naik:

Moderator:

RohitShah:

We

can't be very definitive about that as of today, but it should be around that number of Rs. 250 crores to Rs. 300 crores.

The

next question is from the line of Jolyon Loo from Amiral Gestion PTE Limited. Please go ahead.

Maybe

just a

follow-up

on

the

previous

participant's

question

on

the

working

capital. Sir, you guys have alluded to a

normalized

level. Could you

quantify

that either in absolute terms or in terms of percentage of sales?

That's my first question.

So what you're asking is working capital levels in absolute terms. Is that your question?

Yes, correct.

The total working capital in terms of days will be 99 days.

99 days for receivables?

The total receivables will be in the region of around 154 days..

No, actually, my question is more. I

mean

the working capital is elevated

right now because of the billing cycle and is guided that you will be coming

down

somewhere

in the middle of the year. So what is that normalized level

that you have replied to in the previous participant's question. Like is it the

number

of days? Or is it by absolute amount wise? Could you just clarify and

quantify

the working capital number?

So then normalized level, if I

understood

your question correctly, should be in

the region of around 70 to 75 days.

The

next

question

is from the line of Rohit Shah from Ladderup Wealth

Management.

Please go ahead.

Since you already have given guidance on Engineering, can you also share

what

will be the growth for Chemical and Consumer and also the margins for

these segments for this year?

Page 12 of 20 Page 12 of 20 Aankur Patni : We can't be very definitive about that as of today, but it should be around that number of Rs. 250 crores to Rs. 300 crores.

Moderator : The next question is from the line of Jolyon Loo from Amiral Gestion PTE Limited. Please go ahead.

Jolyon Loo : Maybe just a follow-up on the previous participant's question on the

working capital. Sir, you guys have alluded to a normalized level. Could you

quantify that either in absolute terms or in terms of percentage of sales?

That's my first question.

Aankur Patni : So what you're asking is working capital levels in absolute terms. Is that your question?

Jolyon Loo : Yes, correct.

Vasant Naik : The total working capital in terms of days will be 99 days.

Jolyon Loo : 99 days for receivables?

Vasant Naik : The total receivables will be in the region of around 154 days..

Jolyon Loo : No, actually, my question is more. I mean the working capital is elevated right now because of the billing cycle and is guided that you will be coming down somewhere in the middle of the year. So what is that normalized level that you have replied to in the previous participant's question. Like is it the number of days? Or is it by absolute amount wise? Could you just clarify and quantify the working capital number?

Vasant Naik : So the normalized level , if I understood your question correctly, should be in the region of around 70 to 75 days.

Moderator : The next question is from the line of Rohit Shah from Ladderup Wealth Management. Please go ahead.

Rohit Shah : Since you already have given guidance on Engineering, can you also share what will be the growth for Chemical and Consumer and also the margins for the segment for this year?

Aankur

Patni:

RohitShah:

Vasant

Naik:

Moderator:

Rahul

Dhruv:

Vasant

Naik:

As we mentioned, even while speaking of the Engineering segment, we do not

want

to give out a

guidance

at this stage, and we're just giving a

directional view about the kind of growth that we should be witnessing. On

the Chemical segment also, we should be maintaining the momentum and

the growth trajectory and likewise, for the consumer segment. As far as the

gross

profit numbers for the consumer segment is concerned, they will

remain

at a

healthy

level.

On

the bottom line number, I

specifically mentioned that I

do not want to

spell out definitive figure because we are continuing to invest on the

business

for growing it further. And we will come back to you with more

details on the bottom line, maybe sometime later during the year. As far as

the Chemical segment is concerned, we should be seeing margins at similar

levels as of date, provided that we continue to witness stable prices and the

overall dynamics on the geopolitical side do not alter significantly. It is also a

function

of the product mix. And as and when there is a

significant change in

that, there is also an impact on the margin levels. But largely you can

assume

that it will be in a

similar range, as it is today, given that all factors

remain

same.

One

last question is that can you share the number for the full year for

advances
from
customers,
including
those
unearned
revenue
from
AMC
as
well.

The
customer
advance
as of March end was around Rs. 180 crores and the
unearned
revenue
was
around
Rs. 224 crores.

The
next question is from the line of Rahul Dhruv from Pegasus Growth.
Please go ahead.

Sir, I just wanted to again quickly go through the numbers on the order book
as of last year, and as of March. And a
little bit of a
colour
on how much of
that
is international, and how much of it is domestic, if you have a
percentage?
Int

ernational
order book as of March '24 end is around 27%.

Page 13 of 20 Page 13 of 20 Aankur Patni : As we mentioned, even while speaking of the Engineering segment, we do
not want to give out a guidance at this stage, and we're just giving a
directional view about the kind of growth that we should be witnessing. On
the Chemical segment also, we should be maintaining the momentum and
the growth trajectory and likewise, for the consumer segment. As far as the
gross profit numbers for the consumer segment is concerned, they will
remain at a healthy level.

On the bottom line number, I specifically mentioned that I do not want to
spell out definitive figure because we are continuing to invest on the
business for growing it further. And we will come back to you with more
details on the bottom line, maybe some time later during the year. As far as
the Chemical segment is concerned, we should be seeing margins at similar
levels as of date, provided that we continue to witness stable prices and the
overall dynamics on the geopolitical side do not alter significantly. It is also a
function of the product mix. And as and when there is a significant change in
that, there is also an impact on the margin levels. But largely you can
assume that it will be in a similar range, as it is today, given that all factors
remain same.

Rohit Shah : One last question is that can you share the number for the full year for
advances from customers, including those unearned revenue from AMC as
well.

Vasant Naik : The customer advance as of March end was around Rs. 180 crores and the
unearned revenue was around Rs. 224 crores.

Moderator : The next question is from the line of Rahul Dhruv from Pegasus Growth.
Please go ahead.

Rahul Dhruv : Sir, I just wanted to again quickly go through the numbers on the order book
as of last year, and as of March. And a little bit of a colour on how much of
that is international, and how much of it is domestic, if you have a
percentage?

Vasant Naik : International order book as of March '24 end is around 27%.

Moderator:

Tushar

Vasuja:

Aankur

Patni:

Tushar

Vasuja:

Vasant

Naik:

Tushar

Vasuja:

Aankur

Patni:

Moderator:

Saket

Kapoor:

Vasant

Naik:

The

next

question

is from the line of Tushar Vasuja from Yogya Capital.

Please go ahead.

So my first question is on how do you plan to utilize your cash because you have

somewhere

or around Rs. 580 crores of cash. So how do you plan on

utilizing it?

We

have a

significant Capex fund requirement for the resins facility, which is coming

up at Roha. And apart from that, there is a

significant portion of

advances,

which

are very project specific, and deployed exclusively for execution

of the specific project. And almost 40% of the total cash in bank is

held as margin money with banks for bank guarantees.

As you mentioned, a

lot of cash would be utilized for Capex at Roha and you

mentioned

that it's somewhere around Rs. 400 crores. So how much of that

would

be through internal accruals and how much of that would be through debt?

Around

20%

will be from the internal accruals for financing the Roha

project.

And

sir, what could be the potential asset turnover for Roha for optimal capacity.

Total investment includes capex for backward integration of roughly 125 crores

and

asset turnover of around 2

times

should

be calculated on the

figure of 275 crores.

The

next follow-up question is from the line of Saket Kapoor from Kapoor & Company.

Please go ahead.

Sir, when we look at your borrowing schedule at long-term borrowing, we have

drawn a closing balance of Rs. 109 crores. This is again attributed to our Roha project only and what is the cost of funds here? If you are talking of the total long-term borrowings from the consolidated balance sheet, major chunk of that long term borrowings have come on account of the consolidation of Mapril. The Mapril entity has a long term

Page 14 of 20 Page 14 of 20 Moderator : The next question is from the line of Tushar Vasuja from Yogya Capital. Please go ahead.

Tushar Vasuja : So my first question is on how do you plan to utilize your cash because you have somewhere or around Rs. 580 crores of cash. So how do you plan on utilizing it?

Aankur Patni : We have a significant Cap ex fund requirement for the resin facility, which is coming up at Roha. And apart from that, there is a significant portion of advances, which are very project specific, and deployed exclusively for execution of the specific project. And almost 40% of the total cash in bank is held as margin money with banks for bank guarantees.

Tushar Vasuja : As you mentioned, a lot of cash would be utilized for Capex at Roha and you mentioned that it's somewhere around Rs. 400 crores . So how much of that would be through internal accruals and how much of that would be through debt?

Vasant Naik : Around 20% will be from the internal accruals for financing the Roha project.

Tushar Vasuja : And sir, what could be the potential asset turn on for Roha for optimal capacity.

Aankur Patni : Total investment includes capex for backward integration of roughly 125 crores and asset turnover of around 2 times should be calculated on the figure of 275 crores.

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Saket Kapoor : Sir, when we look at your borrowing schedule at long term borrowing, we have drawn a closing balance of Rs. 109 crores. This is again attributed to our Roha project only and what is the cost of funds here?

Vasant Naik : If you are talking of the total long-term borrowings from the consolidated balance sheet, major chunk of that long term borrowings have come on account of the consolidation of Mapril. The Mapril entity has a long term

Saket Kapoor:

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Kapoor:

Aankur

Patni:

Saket

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Aankur

Patni:

Saket

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Patni:

Saket Kapoor: borrowing of around Rs. 80 crores. That is the reason for the spike in the overall borrowings in the consolidated revenue.

And for Roha, we will be borrowing 20% of the total project cost.

No, as regards financing of the Roha project, 20% of that will be from internal accruals and balance will be debt.

So we will be drawing it as and when we proceed with the project?

Exactly.

Sir, for the UP project, do we have any O&M part also aligned to it.

Yes. There will be an O&M component as and when we hand over the respective sections to the UP authorities. O&M will be there.

And what is their quantum, sir, if it is there in the order book and when it will start like accruing?

It's not a part of the order book.

I only needed the number, sir.

It would get determined over a period of time and we will declare it as and when the determination happens.

A small point, sir. Do we have other projects of these prototypes in other states also, states like Rajasthan and Madhya Pradesh. Are we seeing a bid pipeline shaping up in terms of the type of project which we have done in Uttar Pradesh.

These types of projects have been executed across the country and we have just taken a very small portion of it. We would see more of these coming in the ensuing period and we have been very, very selective in participating in projects of this nature, and that's going to be our strength in the future also.

We will participate very selectively.

And in the bid pipeline, we are seeing the feeders on that type of projects.

Page 15 of 20 Page 15 of 20 borrowing of around Rs. 80 crores. That is the reason for the spike in the overall borrowings in the consolidated revenue.

Saket Kapoor : And for Roha, we will be borrowing 20% of the total project cost.

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Saket Kapoor : So we will be drawing it as and when we proceed with the project?

Vasant Naik : Exactly.

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Vasant Naik : Yes. There will be an O&M component as and when we hand over the respective sections to the UP authorities. O&M will be there.

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Patni:

Moderator:

Suhas

Naik:

Aankur

Patni:

No, the bid pipeline does not have any project of this nature.

Sir, and lastly on the employee cost part also. Although we have scaled up the

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last year also you alluded to the fact that we are

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total absolute number has also gone up significantly, for

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also. So what should be this number rationalizing once we start

further execution, a

higher pace of execution as a

percentage

of sales?

As a

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of sales it will go down quite a

bit, and that's the reason I

mentioned

that there is a

bit of an overhang of the expenditure that we are

making

on infrastructure, including build-up of manpower. Once we see the

project execution comes back to the levels where we expect them to, the

percentages

will drop significantly. So there's also a

ramp-up

in manpower

for the consumer segment. Again, the percentage would become lower, as

the revenues scale up in that segment also.

But we will see the run rate of Rs. 80 crores, Rs. 81 crores, going ahead also?

Yes, that's right.

Next

question

is from the line of Suhas Naik from Creda Capital. Please go

ahead.

Sir, we are operating in one of the most exciting areas in the infrastructure

side. So could you just let us know your path that you are going ahead within the next 2, 3 years, where do you see on Exchange actually in terms of scale of operations.

You have rightly pointed out that this is a very exciting area, and there's a lot of development, not just in India, but across the globe. What we are doing is building up our capabilities, both within the country and internationally. And that's one of the reasons why we saw the acquisition in Europe. We are improving or increasing our presence in other geographies also in order to capitalize on the opportunities.

There is a different flavour to the opportunities in various geographies. And accordingly, the infrastructure is being built in each of the countries. We will see a significant portion of

Page 16 of 20 Page 16 of 20 Aankur Patni : No, the bid pipeline does not have any project of this nature.

Saket Kapoor : Sir, and lastly on the employee cost part also. Although we have scaled up the execution and last year also you alluded to the fact that we are preparing our team for executing higher quantum of projects and also participation in other projects. But the employee cost as a percentage of sales also and on a total absolute number has also gone up significantly, for year-on-year also. So what should be this number rationalizing once we start further execution, a higher pace of execution as a percentage of sales?

Aankur Patni : As a percentage of sales it will go down quite a bit, and that's the reason I mentioned that there is a bit of an overhang of the expenditure that we are making on infrastructure, including build-up of manpower. Once we see the project execution comes back to the levels where we expect them to, the percentages will drop significantly. So there's also a ramp-up in manpower for the consumer segment. Again, the percentage would become lower, as the revenue scale up in that segment also.

Saket Kapoor : But we will see

the run rate of Rs. 80 crores, Rs. 81 crores, going ahead also?

Aankur Patni : Yes, that's right.

Moderator : Next question is from the line of Suhas Naik from Creda Capital. Please go ahead.

Suhas Naik : Sir, we are operating in one of the most exciting areas in the infrastructure side. So could you just let us know your path that you are going ahead within the next 2, 3 years, where do you see on Exchange actually in terms of scale of operations.

Aankur Patni : You have rightly pointed out that this is a very exciting area, and there's a lot of development, not just in India, but across the globe. What we are doing is building up our capabilities, both within the country and internationally. And that's one of the reasons why we saw the acquisition in Europe. We are improving or increasing our presence in other geographies also in order to capitalize on the opportunities. There is a different flavour to the opportunities in various geographies. And accordingly, the infrastructure is being built in each of the countries. We will see a significant portion of

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Tushar
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lot of orders from the various parts or the
various
segments
of the market, both the government, the PSU, as well as
from
the private sector. Again, both Indian and international subsidiaries.
So
is it possible for you to quantify this number, actually, at least the
visibility in terms of the next 1
year or 2
years, what size of opportunity are
we talking about there?
What
we
would
manage
to grab out of this is a
very
difficult thing to
quantify.
Opportunity
size I'm talking about. How much we will get is independent on
that is separate. But at least what are we chasing in terms of orders, what
size of orders we are likely to chase in the next couple of years? Some
number
in terms of market size here that we are addressing.
So
if we exclude the municipal segment and also the purely similar
construction-oriented
jobs coming from the government, we would expect
the market size in India to be in the range of around Rs. 20,000 crores to Rs.
25,000
crores
per year. And if you look at the international market, this is

many times over of this number. Of course, it's widely distributed amongst various geographies.

The geographies which we focus on is the Middle East, the Southeast of Asia and the African region, which is where I feel a

lot of the engineering opportunities will come for us. As far as the Chemical part of the business is concerned, it is across the globe from all the major countries.

The next question

is from the line of Tushar Vasuja from Yogya Capital. Please go ahead.

I just had a

few follow-up questions.

When would

the Roha facility be

available for commercialization?

In FY '25-'26.

Page 17 of 20 Page 17 of 20 engineering opportunities in meeting not just from the government segment, but also substantially from the PSU and private sector, which is now becoming more aware and more conscious of the responsibility towards the environment, there is also a regulatory pressure to improve the industrial infrastructure to treat the water and the waste. Therefore, we do hope that we will be able to get a lot of orders from the various parts or the various segments of the market, both the government, the PSU, as well as from the private sector. Again, both Indian and international subsidiaries.

Suhas Naik : So is it possible for you to quantify this number, actually, at least the visibility in terms of the next 1 year or 2 years, what size of opportunity are we talking about here?

Aankur Patni : What we would manage to grab out of this is a very difficult thing to quantify.

Suhas Naik : Opportunity size I'm talking about. How much we will get is independent on that is separate. But at least what

are we chasing in terms of orders, what size of orders we are likely to chase in the next couple of years? Some number in terms of market size here that we are addressing.

Aankur Patni : So if we exclude the municipal segment and also the purely similar construction-oriented jobs coming from the government, we would expect the market size in India to be in the range of around Rs. 20,000 crores to Rs. 25,000 crores per year. And if you look at the international market, this is many times over of this number. Of course, it's widely distributed amongst various geographies. The geographies which we focus on is the Middle East, the Southeast of Asia and the African region, which is where I feel a lot of the engineering opportunities will come for us. As far as the Chemical part of the business is concerned, it is across the globe from all the major countries.

Moderator : The next question is from the line of Tushar Vasuja from Yogya Capital. Please go ahead.

Tushar Vasuja : I just had a few follow-up questions. When would the Roha facility be available for commercialization?

Vasant Naik : In FY '25-'26.

Tushar

Vasuja:

Vasant

Naik:

Tushar

Vasuja:

Vasant

Naik:

Moderator:

Saket

Kapoor:

Aankur

Patni:

And

how

long would it take for you to ramp it up to optimal utilization levels?

We

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to fully utilize that facility over the next 3

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commences.

And

just one more question. I

want

to confirm. For the Roha capacity, for

the Roha Capex, 80% would be from internal accruals and 20% would be

from

debt. Is that correct?

No, 80% will be from debt.

The

next question is from the line of Saket Kapoor from Kapoor & Company.

Please go ahead.

Sir, closing question, sir. On the Consumer product, you did allude to the

fact that we have hired a

new

team,

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better set of

numbers

here. Can you give some more colour because for this year also, sir,

our turnover has gone up, but so have the losses at the PBT level. So some

understanding

of how are we dealing with this situation in this space?

So the build up of manpower for the consumer segment, we have been

trying to do over the last few years. And as I

mentioned,

we

will continue to

undertake

this exercise because we are striving for much bigger numbers to

come

in from this segment. The losses that you see are not at a gross margin

level. They are more a function of the manpower cost and the infrastructure

cost that we are accounting for.

And

these

do not reflect only the current level of operation, but these are

for the planned level of operation, which is much, much higher than today.

That's why you are seeing the bottom line in the red. As I

mentioned,

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our
investment
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infrastructure
has stabilized, we will see the bottom line turning in the black.

As of today, I'm not trying to give you a
projection
of when exactly this is
going to happen. I

can only assure you that we will keep investing in future

Page 18 of 20 Page 18 of 20 Tushar Vasuja : And how long would it take for you to ramp it up to optimal utilization levels?

Vasant Naik : We expect to fully utilize that facility over the next 3 to 4 years once the commercial production commences.

Tushar Vasuja : And just one more question. I want to confirm. For the Roha capacity, for the Roha Capex, 80% would be from internal accruals and 20% would be from debt. Is that correct?

Vasant Naik : No, 80% will be from debt.

Moderator : The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor : Sir, closing question, sir. On the Consumer product, you did allude to the fact that we have hired a new team, and we would be posting a better set of numbers here. Can you give some more colour because for this year also, sir, our turnover has gone up, but so has the losses at the PBT level. So some understanding of how are we dealing with this situation in this space?

Aankur Patni : So the buildup of man power for the consumer segment, we have been trying to do over the last few years. And as I mentioned, we will continue to undertake

this exercise because we are striving for much bigger numbers to come in from the segment. The losses that you see are not at a gross margin level. They are more a function of the manpower cost and the infrastructure cost that we are accounting for.

And these do not reflect only the current level of operation, but these are for the planned level of operation, which is much, much higher than today. That's why you are seeing the bottom line in the red. As I mentioned, we do expect or we do hope that in times to come once we have scaled up the operation to a significant enough level and our investment in the infrastructure has stabilized, we will see the bottom line turning in the black. As of today, I'm not trying to give you a projection of when exactly this is going to happen. I can only assure you that we will keep investing in future

Saket

Kapoor:

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Aankur

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growth

of the consumer segment. And we are seeing extremely good traction in the market for the products.

And

for this year, sir? Can you allude how much have we invested to this category?

And

going along with your line of thought, what should we expect in terms of at least the revenue growth trajectory for this segment?

You would have seen that we have delivered roughly around 31% growth for the current year. And we do expect that we would maintain momentum in a similar range of growth. As far as investments is concerned, whatever losses that you're seeing in for the segment are effectively expenses, which we are gearing

to augment our presence in the market, which is on manpower and

infrastructure.

Right. Sir, you did not give any percentage number for the growth trajectory for the Engineering segment. But that kind of work we have been doing in these segments in terms of addition and creating the infrastructure, can you give us some trajectory of what should we look forward for the engineering?

And

in the Chemical segment, my closing question is on the margin profile.

We

have

seen a

200

basis point improvement in the stand-alone chemical segment.

So are these margins sustainable? Or do we have any impact of

lower

raw material that got added to the margin for this year?

Engineering

segment,

as I

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And

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that we are carrying a

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15%

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chemical

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are concerned, we have benefited from a

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pricing for the last few quarters. And we have also not

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any

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variations

in the exchange rates or significant

negative

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of the geopolitical scenario, which has remained as

it is. This is what has helped us maintain the margin levels. If we are going

to see a

stable

environment

in the future also, the margin levels are

sustainable.

Page 19 of 20 Page 19 of 20 growth of the consumer segment. And we are seeing extremely good traction in the market for the products.

Saket Kapoor : And for this year, sir? Can you allude how much have we invested to this category? And going along with your line of thought, what should we expect in terms of the at least the revenue growth trajectory for this segment?

Aankur Patni : You would have seen that we have delivered roughly around 31% growth for the current year. And we do expect that we would maintain momentum in a similar range of growth. As far as investments is concerned, whatever losses that you're seeing in for the segment are effectively expenses, which we are gearing to augment our presence in the market, which is on manpower and infrastructure.

Saket Kapoor : Right. Sir, you did not give any percentage number for the growth trajectory for the Engineering segment. But that kind of work we have been doing in the segment in terms of addition and creating the infrastructure, can you give us some trajectory of what should we look forward for the engineering? And in the Chemical segment, my closing question is on the margin profile. We have seen a 200 basis point improvement in the stand-alone chemical segment. So are these margins

sustainable? Or do we have any impact of lower raw material that got added to the margin for this year?

Aankur Patni : Engineering segment, as I have mentioned earlier, while I do not want to give you guidance, but we certainly expect growth to a reasonable extent. And given that we are carrying a very healthy order growth, 15% to 20% growth, we will certainly hope to achieve, if not more. And as far as the chemical segment margins are concerned, we have benefited from a stable raw material pricing for the last few quarters. And we have also not witnessed any significant variations in the exchange rates or significant negative impact because of the geopolitical scenario, which has remained as it is. This is what has helped us to maintain the margin levels. If we are going to see a stable environment in the future also, the margin levels are sustainable.

Moderator:

Aankur

Patni:

Moderator:

Thank

you very much. Ladies and gentlemen that was the last question for today. I

now

hand

the

conference

over

to the management for closing

comments.

Thank

you all for participating in this earnings call. I

hope

we

have

been

able

to

answer

your

questions

satisfactorily.

If you

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or would like to know more about the company, we will be happy

to be of assistance. We are very thankful to all our investors who stood by us

and

also had confidence in the company's growth plan and focus. And with

this, I wish everyone a great evening. Thank you.

Thank

you.

On

behalf

of Ion Exchange India Limited, that concludes this conference.

Thank

you all for joining us. You may now disconnect your lines.

Page 20 of 20 Moderator : Thank you very much. Ladies and gentlemen that was the last question for today. I now hand the conference over to the management for closing comments.

Aankur Patni : Thank you all for participating in this earnings con call. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, we will be happy to be of assistance. We are very thankful to all our investors who stood by us and also had confidence in the company's growth plan and focus. And with this, I wish everyone a great evening. Thank you.

Moderator : Thank you. On behalf of Ion Exchange India Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

August 9 , 2024

To
BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our intimation dated 30th July, 2024, we enclose herewith communication relating to conference call as per Regulation 30(6) read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015.

The said conference call with the Institutional Investor/Analyst held on Monday, August 5, 2024 was to discuss the financial performance of the Company for the first quarter ended June 30, 2024. The aforesaid information is also disclosed on website of the company i.e. www.ionexchangeglobal.com

Kindly take the information on your record.

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Milind Puranik
Company Secretary & Compliance Officer
ACS -4824

Page 1 of 15 Ion Exchange India Limited
Q1 FY25 Conference Call
August 05, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Ion Exchange India Limited's Q1 FY25 Earnings Conference Call.

As a reminder, all the participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, Mr. Sonpal.

Anuj Sonpal: Thank you. Good afternoon, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Ion Exchange India Limited. On behalf of the Company and Valorem Advisors, I would like to thank you all for participating in the Company's Earnings Conference Call for the 1st Quarter of Financial Year 2025.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's Earnings Call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment

decisions.

The purpose of today's Earnings Concall is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review. Let me now introduce you to the Management participating with us in today's earnings call and hand it over to them for Opening Remarks.

Page 2 of 15 We firstly have with us Mr. Aankur Patni - Executive Director; Mr. Vasant Naik - Group Chief Financial Officer; Mr. N. M. Ranadive - Group Head of Financial Planning and Risk Management and Mr. Milind Puranik - Company Secretary.

Without any further delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you, Anuj. Good afternoon everybody. It is a pleasure to welcome you all to the Earnings Conference Call for the 1st Quarter of FY25.

For the quarter under review on a consolidated basis, the Company reported operating income of INR 5,676 million, a

n increase of around

18% year-on-year. The EBITDA reported was INR 641 million representing an increase of 31% year-on-year and the EBITDA margin stood at 11.29% with the net profit of INR 448 million, an increase of around 35% year-on-year, while the PAT margin was in the region of around 7.89%.

Let me now take you through the quarterly segmental performance on a consolidated basis:

In the Engineering division, the revenue for the quarter was INR 3,235 million, increase of 13% year-on-year. The EBIT for this segment was INR 188 million representing an increase of 26% year-on-year. The segment witnessed steady order inflows of medium sized jobs during the quarter. The domestic enquiry bank remains robust and we are hopeful that the finalization of some large value opportunities will accelerate in the next few months. The Engineering segment recorded improved turnover on year-on-year basis largely due to the execution of some of the international contracts. We expect the pace of execution of the larger EPC jobs to increase in the coming quarters. At the end of Q1 FY25, the total order book for the Engineering division stood at INR 3,394 crores. Coming to the Chemical segment:

The revenue for the quarter was INR 1,994 million, an increase of 36% year-on-year. The EBIT was INR 498 million, an increase of 36% year-on-year. The segment recorded improved revenue year-on-year while maintaining steady margins. Lastly, the Consumer Division segment, the revenue for the quarter was INR 660 million, increase of 9% year-on-year. The loss for the quarter was INR Rs. 34 million versus Rs. 15 million in the same period of the previous year. The segment has shown revenue growth on a year-on-year basis. Our new product launches are gaining acceptability in the market.

We can now open the floor to the Q&A session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Chetan Vora from Abakkus Asset Manager. Please go ahead.

Chetan Vora: Sir, on the Engineering side, I was looking at the UP order book. On the Q-o-Q, the order book has just gone down by Rs. 17 crores, so how do we see the order execution for the year, which is close to the order book and as of now, is Rs. 813 crores which we were earlier guiding out to be completed by FY25?

Aankur Patni: The order book position remains good and we are expecting good order flows in the ensuing months and quarters. That would ensure that even while we continue to execute, the orders at hand will support future growth continuously. As far as execution is concerned, we are expecting that during the subsequent quarters the invoicing will improve compared to where we are today. The next quarter and thereafter, we should be seeing improved execution of the UP contract. It had a slight impact of the elections and the related cash flows, which we expect will gradually get removed as the months move. And therefore, as I said, the second-half is expected to be significantly better than the first half.

Chetan Vora: But do we foresee that UP order will be getting executed by the end of this year?

Aankur Patni: UP contract would get substantially executed by the end of this year. However, it is also a function of the funds which get released for the contract for completing the remaining portion and the second element is of course the approvals which we receive from the government, but we are very hopeful that by the end of this year, a substantial portion will get completed.

Chetan Vora: Sir, on the profitability, the previous quarter despite our large chunk of revenue of Rs. 500 crores,

we had reported a margin of 9.6% and then you had told us that there was some legacy project which got latent, Page 4 of 15 because of that there was a cost overrun and we expect the similar thing to continue at quarter 1 of this year. But looking at the margin, the margin looks to be quite steady on the Y-o-Y level. So whether the cost spillover was seen in this quarter, it is now we are largely done?

Aankur Patni: There was a cost spillover and as I had mentioned that contract which has had an adverse impact on the overall engineering margins, is not yet executed fully and therefore overhang of its impact would continue in the next quarter also and it will taper out after that. But in terms of the Y-o-Y stability, that is something which is also a function of the other contracts that we are executing and which have supported decent margin level. Therefore, in spite of a slight adverse impact coming in from one or two issues, we have managed to maintain those levels.

Chetan Vora: And by when we expect the legacy project to get completed, by what timeframe from here on?

Aankur Patni: I would expect that the next quarter would continue to face this particular project's impact and only thereafter it will start to taper out. By the end of the fourth quarter, most of the contract will get fully executed.

Chetan Vora: And sir, on the chemical front, the revenue growth was 15% and with a good sort of profitability, how should we see this vertical, sir with respect to chemicals for the full year?

Aankur Patni: Chemical business continues to do reasonably well and we are expecting the growth momentum to continue as you have seen in the 1st Quarter. Likewise, the margin also remains at a reasonably robust level. As we have been mentioning in the past also that if the input price scenario, the foreign exchange scenario and the overall supply dynamics do not change in a very material way, we should be able to maintain these margin levels.

Chetan Vora: Sir, lastly from my end and we are expecting, in our presentation and at the start of the concall, we always mentioned that we are looking to, we are working on few of the large deals which will be getting fructified in the coming quarters, but it is now since many quarters we have been seeing the same statement by when we can see the deal like UP, we could be getting a deal like UP, sir?

Page 5 of 15 Aankur Patni: The reason that we are not including those numbers in our overall enquiry book as well as we are not specifically commenting on those anymore is because of the uncertainty about when the fructification of those into our order book would happen. We remain quite hopeful because there is positive movement on at least a couple of them and it is a question of when that thing finally converts into something which we can announce. So as soon as we can do so, we will certainly inform the exchange.

Moderator: Thank you. The next question is from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Sir, my first question is regarding the management change we are proposing by first October 24, mainly you are becoming now Non-Executive Non-Independent Director, so what is the reason because what I found since last many years, you are actively participating and the way you have grown the Company's profitability with this, the way you are interacting with the investor community also, what will change and what are the reason if you can little bit to explain qualitatively that will be really helpful?

Aankur Patni: Well, we had appointed CEO last year and had made an announcement on the exchange, and the various forums with the inves

tors. He will be completing a year in September. And this is a very planned move on part of all the four people from the promoter group that we need to hand over the operating functions of the Company to an independent Professional management. As announced, the CEO would be taking over the role of the MD. Myself, along with Mr. Dinesh Sharma, both of us will become Non-Executive Non-Independent Directors designated as Vice Chairman. The current CMD would be relinquishing the post of Managing Director. We will continue to remain associated and actively involved in helping the Company grow further and in whatever manner to support its future operations. As far as the investor community is concerned, I will certainly be available and I will remain engaged. It is probably in the interest of the investors and also for the sake of continuity & growth of the organization as a whole and for professional improvement in its management that we have taken this call and hopefully it will usher in a new period of growth.

Page 6 of 15 Sunil Kothari: And one more question on, sir, the way we develop this chemical segment, resins, chemical membranes and in a very challenging time across the chemical segment of the country in international, we have done really well, we maintain profitability which is very respectable and very high also. I would like to know from you because you always mention about the work capability, R&D, new products, new projects. If you can talk a little bit more on how you see in next 3-5 years, what I understand is now US also slowly coming back to some normalized demand and we are very keen and prepared to penetrate on a higher scale those markets, how prepared we are on this segment, what we see for next 2-3 years?

Aankur Patni: We have always been positive about the chemical segment as a whole and certainly because it drives profitability to a greater extent in terms of margin percentages. And that is the reason that we have initiated the capacity expansion moves both for resins and for other chemicals, which to a large extent are also targeted at the international market. With the relative improvements in the European and the North American markets, our exports of chemicals have improved and we will continue to see improvement as the quarters go by. We continue to invest substantially on innovations in R&D and that is the reason also that the product portfolio continues to undergo a change and we are moving towards more and more value added products to ensure not just profitability but also a competitive edge. In terms of how we are being able to penetrate the markets in North America and Europe, the strategy which we have been following over the past few quarters have been to increasingly create customer confidence and trust and also ensure that we are able to fulfill their expectations while maintaining competitive edge and profitability. This process has yielded good results and I am sure that with increased bouquet of products that we offer for these specific markets and the relationships and partnerships that we are continuously forging, we would be able to take full advantage of the increased capacity, thereby creating a much bigger revenue pie coming from the international market.

Moderator: Thank you. The next question is from the line of Tushar Raghatate from KamayaKya Wealth Management. Please go ahead.

Page 7 of 15 Tushar Raghatate: Sir, just wanted to understand in our chemical segment, what sort of peak revenue we garner for FY25?

Aankur Patni: We had indicated an overall growth of roughly 15% for the Chemical segment. If there is a change in it as the

quarters progress, we will again advice on the call.

Tushar Raghatate: Sir, in terms of CAPEX from the Chemical segment, when can we see the revenue contribution happening from which year or quarter?

Aankur Patni: The resin project is now at an advanced stage of execution at Roha, we are expecting the commercial start of that operation in the next financial year and it will take roughly 3-4 years for it to reach optimum capacity utilization.

Tushar Raghatate: And sir, in terms of Saudi Arabia, UAE opportunity when can we see good sizable order coming from there?

Aankur Patni: We are already seeing good improvement in terms of our customer relationships and increased flow of opportunities & orders from that

market. I would expect that in another couple of years that geography will start giving us substantially increased revenues.

Tushar Raghatate: Sir, in terms of our engineering business, any particular segment you are targeting, maybe reverse osmosis or desalination or any specific area?

Aankur Patni: Engineering opportunities being pursued by us in that geography are quite broad in scope wide and it is not as such specific to a particular technology. We would be looking at opportunities of large, medium and small scale including desalination opportunities. We are sure that with our manufacturing setup there, the opportunities there would not be restricted to a particular size or sector or technology.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir, firstly, about the Engineering segment, you alluded to the fact of some missing problems with the UP project and also with the legacy project. Could you dwell slightly more into where are we in terms of execution phase for the UP project and it was only the election that was the reason for lower execution or what is the residual value if you could give some understanding?

Page 8 of 15 Aankur Patni: I will request Vasant to share some of the numbers attached with the project in the current quarter as well as the residual values.

Vasant Naik: Regarding the UP project, the current residual value is around Rs. 813 crores roughly which, as was mentioned earlier, we are planning to execute a significant part by the end of the current year.

Saket Kapoor: Current calendar year?

Vasant Naik: Current financial year.

Saket Kapoor: And what was the key reason, sir? And can you quantify the contracted value that we got executed out of this Rs. 315 crores that pertains to the UP project?

Vasant Naik: For the current quarter, the UP contract execution was around Rs. 26 crores.

Saket Kapoor: And a number for March, just to compare the pay?

Vasant Naik: It was around Rs.110 crores.

Saket Kapoor: It slowed down a lot and sir, what were the key reasons you alluded to this?

Vasant Naik: These were already explained earlier in the call as well in the last concall that because of the election season being on and the uncertainties surrounding the whole process, there was a slowdown in the overall execution and the funding for the project which as we explained, is expected to improve as the quarter moves on. From the second -half onwards, we expect that significant increase will take place in the execution of this project.

Saket Kapoor: And what was the value of the legacy project that affected the margin for this quarter?

Vasant Naik: Specific project wise details, we don't give other than for the large projects, so this unfortunately I will not be able to share.

Saket Kapoor: Sir, coming to the consumer product division, I think so the lot has been spoken about

our trust on growing this segment for a profitable journey, so where are we in midst of reaching that critical mass when the segment will start to be EBITDA positive also, if you could give us some targets or the way forward for the segment for this financial year? We clocked Page 9 of 15 the topline of Rs. 254 crores for last financial year, what should we look in terms of growth and how profitable can be or whether when can we return to profit?

Aankur Patni: We have been calling out the consumer segment growth prospects and we remain excited about the growth which the segment is being able to achieve along with the acceptance of the various new products that we have been launching. The focus over the last few quarters, as we spoke little bit in more detail during the last concall, was to ensure that we achieve a much larger scale of operations. And therefore, without immediately focusing on achieving EBITDA positivity, the primary focus for the time being is to reinvest whatever surpluses are being generated by the business into further growth. And expansion of the teams, expansion of infrastructure and whatever it takes for the operations to achieve a much larger scale. Hopefully if we are being able to succeed in our overall growth pursuits, we would quickly reach a

scale where EBITDA positivity happens on account of the scale by itself. The margins at a gross level remain very good. The product margins are comparable to the best which exists in our other segments. It is only that we are investing substantially in expansion of its capabilities, manpower, the infrastructure. That is what pulls down the EBIT level profitability of the segment.

Moderator: Thank you very much. The next question is from the line of Dheeraj Ram from Ashika Stock Broking. Please go ahead.

Dheeraj Ram: So post budget, what we expect is the water treatment segment to improve its execution and order inflow. So in this regard, we have seen many companies entering into water treatment business such as WABAG, Welspun Corp, VPRPL, Triveni Engineering and EMS Limited. So how do you position yourselves in this particular market and how do you plan to grow from here for next two years?

Aankur Patni: Well, the numbers which have been shared by various ministries and industry forums and indeed the policy actions which are being driven by the central government, the state governments and governments at even lower levels are very positive for the water and wastewater industry in general. I do expect that the investments or policy directions will not Page 10 of 15 just be limited to large infrastructure or civil oriented construction, but also increasingly towards higher technology interventions which will ensure that companies like us would have an even larger play. We are keenly hearing from the government their intention to spruce up action on improving the quality of water, not just the supply, they are also more seriously looking at tackling specific contaminants which affect pockets of our country. They are talking about increased technology interventions at a very distributed level to ensure the reach of high quality sanitation and high quality waste water treatment for recycle, to reach remote rural areas of our country. Along with this, there is increased focus on making our rivers clean and augmenting the quality of our groundwater. There are several such initiatives by the government which would have an impact on technology companies like us. I do expect the future therefore to be quite interesting.

Dheeraj Ram: And one more question on what do you expect the return on investment of the Roha plant that you are currently working on?

Aankur Patni: I can tell you that we are looking at roughly a 3-year to 4-year period to reach optimum capacity utilisation. Out of the Rs. 400 crores odd investment, roughly around Rs. 125 crores are targeted towards a specific technology intervention, which has other benefits beyond capacity augmentation and we expect an asset turnover of over 2 times should be calculated on the figure of 275 crores. Our margin levels, barring unforeseen or exceptional circumstances, should stay in the ballpark of current levels.

Dheeraj Ram: And one last question, what is the bidding criteria in this EPC segment? What does one see to go for bidding process? Is it the bank guarantee or is it the order book or something like that?

Aankur Patni: Bidding criteria vary slightly from customer to customer, but they would certainly look at your technical abilities, credentials as also your financial capabilities. Bank guarantees and all that come at a much later stage.

Moderator: Thank you very much. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Page 11 of 15 Aejas Lakhani: So my questions are two. The first one is, you have stated that there is a growth guidance of about 15%. If I were to break that up segmentally and assume the rates of growth that consumer is seeing in line with historical and given that Roha is still a year away, and given that the chemical segment operating utilization capacities are fairly high, is it fair to sort of derive that the growth is largely going to be driven by engineering? That is question number one, and question number two is how should we think about your operating margins for the year?

Aankur Patni: For engineering segment also, the indication that we had given earlier during the current call is a 15% to 20% topline growth. We also have been indicating that we should be moving towards the margin levels achieved in the financial year 22-23 and therefore upwards from what we ended for 23-24. Hopefully we would be able to give you a more firm number as we move through the year.

Aejas Lakhani: Mr. Patni, just a quick follow up on that. So you mentioned 15% to 20% growth on the engineering side, today in the chemical plants what kind of capacities are we operating at?

Aankur Patni: That is roughly in the 65% to 70% range.

Aejas Lakhani: And sir, would that mean that you still have your ability to extract greater revenue is still available in those facilities or is it that the next leg of growth is severely dependent on Roha and Roha coming on stream?

Aankur Patni: No, there is a headroom available there. But the aspiration is not just to look at that headroom, but to grow at a faster pace in years to come. Roha and other capacity additions in the chemical segment would aid that.

Aejas Lakhani: And sir, could you just expand on that one statement you made that out of the Rs. 400 crores investments in Roha, Rs. 120 crores are going into enhancement. So what does that really mean? How does that impact business? If you could just expand a little bit on that, sir?

Aankur Patni: That Rs. 125 crores are into a new technology, which could improve the overall profitability and there are other advantages also which ensue from that. We should be able to declare it a little bit more explicitly once the capacity comes on stream.

Page 12 of 15 Moderator: Thank you very much. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Sir, first question, you did mention that we are closer to a couple of contracts, the larger orders in your final

ization, so these are domestic or international?

Aankur Patni: They are international.

Pratik Kothari: But I understand the timeline of this usually is very uncertain and nothing that we can predict, but just again from an international side, sir, how do we expect this so that we are close to how are we looking at in terms of finalization, in terms of inquiry, earlier we were hoping for much more from Southeast Asia, Africa, Middle East, you can just talk a bit more on that?

Aankur Patni: The target markets for large engineering orders remain the same, which is the Middle East, Africa and Southeast Asia. Beyond these large or very large projects we are also getting a steady stream of smaller inquiries as well as the orders from that same region. We are quite sure that with all the initiatives that we are taking in these respective regions, the overall order flow, not just engineering but so for the other segments, the overall order flow from these regions is going to improve.

Pratik Kothari: Is there anything which is progressing on Sri Lankan order?

Aankur Patni: Sri Lanka, the pace at which we have been doing further invoicing or execution remains extremely muted as we have been sharing. It is a function of the funds which get released by either the Sri Lankan authorities or with the intervention of Government of India. We have seen some infusion of funds and that specifically has come from the Sri Lankan Government who have over the past few months released significant sums of money under the current circumstances. And to that extent we have also been able to invoice small values. The remaining contract, which still remains to be invoiced is somewhere around 10%-12% and as soon as we get significant commitments or clarity on further fund flows, we should be able to close out the balance unexecuted portion at a very quick pace. This can easily happen within the current financial year. But then again, we have to be quite clear about how the Page 13 of 15 various fund arrangements are being made and whether we can then be certain about closing the contract.

Pratik Kothari: Sir, I think the year or two back, we announced this expansion in Orissa, for the what do we intend to do there?

Aankur Patni: As of now, there are no further details to share with all of you, but as I had indicated earlier also, we will certainly come back to all of you and make an announcement once there is further development on that front. Our intention is to expand capacity for the other chemicals and do some backward integration in line with the growth that we are aspiring to achieve in the domestic and international market. Once it reaches to the stage where we have further details to share with the investor community, we will do so.

Moderator: Thank you very much. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir, can you give some more color on our recent acquisition, the foreign Company which we acquired since when we look at the consolidation in the chemical segment and also for the engineering part, for the engineering segment, the profitability is lower and for the chemical segment, the profit ability has improved. So if you could just give us an understanding of what changes between standalone and the console number in terms of profitability?

Vasant Naik: In terms of the engineering segment, the reduction in the margin from a standalone to the consolidated is largely on account of the losses which we have made in a couple of our engineering subsidiaries. Typically, these subsidiaries scale increases in the second -half of the year and

their

profitability should improve. This largely explains the delta between the standalone margin and the consolidated margin of the engineering segment. As far as the chemical segment is concerned, is largely because of improvement in performance of some of our overseas subsidiaries as well as the consolidation of the subsidiary MAPRIL which was acquired in June of 23, in the last week of June 23, so in the current year we have consolidated 90 days, full quarter numbers while in the previous year it was only one-week number.

Page 14 of 15 Saket Kapoor: And what are we looking, sir, in terms of MAPRIL contribution growth aspect for this year and what are the utilization level there?

Vasant Naik: You should see similar level of growth what we have seen in the standalone segment of the chemicals, around 15%.

Saket Kapoor: Sir, when we look at the bid pipeline of say Rs. 8,000 crore and the type of business execution we have done in terms of the UP project, can you give some color in the same vein of what would be the value of projects that we are bidding? My understanding is what kind of repeat orders or the same set of business we can cater to as we are doing it for the UP Jal Nigam?

Aankur Patni: I think our overall inclination is to do more and more jobs in the segments where we make higher degree of profitability and where our risk perception is lower. Our ability to do contracts of the nature of UP or Sri Lanka or any one of these remains quite high. A lot of the orders that we are trying to pick up both internationally and domestic, tends to be in areas, in sectors and with the margin profile where we feel a little bit better covered in terms of risk. So it is not like a question of our ability to multiply in terms of capability, more a question of the specific areas where we want to grow and consequential impact on our bottom line and balance sheets.

Saket Kapoor: Yes, sir, that is correct. My question was whether there are more orders in the pipeline or in the bid pipeline of similar nature of the one for the UP Jal Nigam project which we are taking?

Aankur Patni: In the enquiry bank, there is nothing of that nature. But the opportunities exist and we are evaluating it, but they are not a part of the enquiry bank.

Moderator: Thank you very much. The next question is from the line of Dheeraj Ram from Ashika Stock Broking. Please go ahead.

Dheeraj Ram: Sir, we were into this demineralization segment and could you please let me know what is the market size of this segment in India or globally?

Aankur Patni: We are not into demineralization segment only, that is a small subset of the activities that we do and there are several other technology areas where we are actively present and which are in fact part of almost all large projects that we do. You can get more details about the various Page 15 of 15 technology areas where we operate from our website which elaborates in quite a lot of detail about the various technologies and products.

Dheeraj Ram: Yes, I have understood that demineralization is a subset of a particular project, so?

Aankur Patni: It is a subset of the technologies we deal in, demineralization is one of the technologies where we operate, but there are several others.

Dheeraj Ram: And what is the O&M revenue that we are currently doing?

Vasant Naik: Around 20% of our engineering segment revenue will come from the services and spares.

Moderator: Thank you very much. As there are no further questions, I would now like to hand over the conference to Mr. N. M. Ranadive from Ion

Exchange Limited for closing comments.

N. M. Ranadive: Thank you all for participatin

g in this earning concall. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the Company, we would be happy to be of assistance. We are very thankful to all our investors who stood by us and also had confidence in the Company's growth plan and focus. And with this, I wish everyone a great evening. Thank you.

Moderator: On behalf of Ion Exchange Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

November 21, 2024

To

BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our intimation dated 07th November, 2024, we enclose herewith communication relating to conference call as per Regulation 30(6) read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015.

The said conference call with the Institutional Investor/Analyst (Group Meeting) held on Friday, November 15, 2024 was to discuss the financial performance of the Company for the Second Quarter and half year ended September 30, 2024. The aforesaid information is also disclosed on website of the company and which can be accessed at www.ionexchangeindia.com

Kindly take the information on your record.

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Milind Puranik
Company Secretary & Compliance Officer
ACS -4824

Ion Exchange (India) Limited
Q2 & H1 FY'25 Earnings Conference Call"
November 15, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Ion Exchange (India) Limited Q2 & H1 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing the star, then zero on your touchtone phone.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you Sir.

Anuj Sonpal: Thank you. Good afternoon, everyone and a very warm to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Ion Exchange (India) Limited. On behalf of the company, I would like to thank you all for participating in the Company's Earnings Conference Call for the Second Quarter and First Half of Financial Year 2025.

Before we begin, let me mention a short cautionary statement: Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which would cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements and making any investment

decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mr. Aankur Patni, Vice Chairman, Mr. Vasant Naik, Group Chief Financial Officer, Mr. N.M. Ranadive Group, Head of Financial Planning and Risk Management and Mr. Milind Puranik, Company Secretary.

Without any further delay, I request "Mr. Vasant Naik to start with his Opening Remarks. " Thank you and over to you, sir.

Vasant Naik: Thank you, Anuj. Good afternoon everybody. It is a pleasure to welcome you all to the Earnings Conference Call for the Second Quarter and First Half of Financial Year 2025.

For the second quarter under review, on a c

onsolidated basis, the

company reported an operating income of INR 6,445 million, an increase of around 21% year-on-year. The EBITDA reported was INR 682 million, representing an increase of around 13% year-on-year. The EBITDA margin stood at 10.58% and net profit was INR 506 million, an increase of 19% year-on-year, while the PA T margin was around 7.85%.

For the first half of financial year 2025, the company reported operating income of INR 12,120 million, an increase of around 20% year-on-year. EBITDA reported was INR 1,326 million, an increase of around 21% year-on-year. The EBITDA margin stood at 10.94% and net profit was INR 954 million, an increase of around 26% year-on-year, while the PA T margin was around 7.87%.

Going through the "Quarterly Segmental Performance on a Consolidated Basis, " in the "Engineering Division, " the revenue for the quarter was INR 3,949 million, an increase of 26% year-on-year. The EBIT for this segment was INR 235 million, an increase of 21% year-on-year. The increase in turnover was largely due to the improved execution of several large EPC contracts and this momentum is expected to continue in the ensuing quarters. The segment saw an improvement in order flow during the quarter. The domestic enquiry remains robust and we are hopeful for the finalization of some large value opportunities in the next few months. At the end of the Q2 financial year '25, the total order book for the engineering division stood at INR 3,580 crores.

Moving to the "Chemicals Division, " the revenue for the quarter was INR 1,968 million, an increase of around 12% year-on-year. The EBIT was INR 522 million, an increase of 23% year-on-year. The segment continues to record improvement in both turnover and margins.

The expansion of the Roha plant for the manufacturing is in advanced stage and we expect the commercial production to commence in the first quarter of FY'25 -26.

For the "Consumer Products Division, " the revenue for the quarter was INR 691 million, an increase of 20% year-on-year. The losses for the quarter was INR 35 million as against INR 3 million loss in the same period of the previous year. This segment is experiencing consistent growth driven by greater market penetration and acceptance of the company's products. Our margins remain negative due to the ongoing investments in the infrastructure. Anuj, now we can take the question - and-answer.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Pratik Kothari from Munich PMS. Please go ahead.

Pratik Kothari

Unique PMS: Sir, first question is on the chemicals segment. I mean there's Roha commercialization like you mentioned is six, nine months away. So, if you can talk about on-ground, what are the preparations that we have made in terms of kind of ramping it up in time in terms of clients, etc.,? So if you can talk about the preparation for the same.

Aankur Patni: We have been working on it for quite some time now and there is a continuous effort to make sure that once the plant gets commissioned,

we would have a few customers who would be having long-term contract, as also our teams on the ground have been working to establish a relationship with several other distribution channels across various geographies globally and we are quite confident that in a period of three to four years we would be able to use full capacity of this new plant.

Pratik Kothari

Unique PMS: So, currently, I believe in terms of reasons our capacity utilization hovers between 65%, 70%. So, given that we already have capacity available, so why doesn't this ramp up -- are there different products that

we are trying at Roha, different customer segments?

Aankur Patni: The nameplate capacity is based on a particular product mix and the actual product mix can vary based on considerations of optimum revenue and profitability. Which is why you don't really see that the

nameplate capacity being achieved. In the ensuing quarters, there would be a slight change in the way that we approach some of the product segments where volumes are high.

Pratik Kothari

Unique PMS: So, for the current product mix that is it fair to assume that our current capacity is optimally utilized, the reasons one?

Aankur Patni: Yes, we are using a substantial portion of our current capacity. In general, there would be an unused capacity of around 10%, depending upon how we adjust the product mix. However, there are certain product lines for which the available capacity would be higher and we are in the process of ramping up the volumes.

Pratik Kothari

Unique PMS: On the engineering part, I think after a while we have seen this ramp up, which all of us have been waiting for. So, just some comments what is going right and I believe our expectations were that going forward H2 or maybe next year was supposed to be much, much better than what we have seen over the last three, four, five quarters, so some comments there if you can?

Aankur Patni: H2 would be better than what we have seen till now, that is our expectation too. The executions of various contracts are improving. In the coming years also, we would expect the improvements to continue and we also hope that our order book will continue to grow. We've been telling you for the past two quarters about the impact which one particular project has been having on our bottom line. Barring that one adverse impact, overall, we are quite happy with the way that the revenue buildup is progressing. We expect roughly between 15% to 20% growth during the current year on a full year basis. In terms of our enquiry bank and in terms of the various projects that we aspire to gain, the movement is pretty good.

Moderator: The next question is from the line of Eshwar from iThought PMS. Please go ahead.

Eshwar

iThought PMS: The question I had has already been answered, but there's just one clarity I wanted for the year, couple of days ago and they have a margin above

of about 20% to 30%. How have they done, what is the difference between us and them?

Aankur Patni: I'm sorry your voice is not very clear and we cannot make out the content of your question.

Eshwar

iThought PMS: Sir, the question I had was like I've been interested in your company with company for a long time, but I'm new to the space, There's one clarity I wanted. EMS released their earnings a couple of days ago and they have a margin of about 25% to 30% in the engineering business. How have they achieved that high margins? So they are our peer, they are in the same segment with us, what are they doing different, can you please comment on that?

Aankur Patni: I think it's not fair for us to comment on what they're doing and how they've achieved their margins. What I can say on a very broad level is that the customers that they deal with and their specific focus of business is slightly different from what we do. However, I am not privy and I am

not fully aware of the specific projects or their margins .

Moderator: The next question is from the line of Omkar, an individual investor. Please go ahead.

Omkar: So I personally feel the water sector is in sweet spot and future is looking very bright for water sector. So what is the reason for which we are not getting very big order s? We got a couple of

orders last quarter, 160

crores and 180 crores, but that value is still lesser. So, my question is, how much more orders are we expecting or at least give some guidance or visibility for our business for next or specifically for this financial year? And my second question, little bit regards to specifically for insiders selling Mahabir Patni and Bimal Jain, both are selling their shares in each quarter. Any specific reason for that? Because despite being a future for this business, is very bright, what do you make of insiders are selling the Ion Exchange shares?

Aankur Patni: The company's enquiry bank continues to be quite strong and our average conversion from the enquiry bank into the order book is roughly around 15% to 20%. We have a very healthy prospect in the future and we do hope that the enquiry bank as well as the order book would both

continue to prosper in times to come. The water and the wastewater segment is certainly in the sweet spot, not just in India but globally and that's why the guidance that we have been continuously giving to our investors has been quite positive.

As far as the sale by the two individuals that you mentioned, that's an individual decision. They have been invested in the company and they've been part of the promoter group and management in various ways. That's been so for a long time. And while I cannot comment on the individual reasons for the sale, I do understand that they have sold a very small portion of their shareholding during the period that you mentioned, and I guess that it would be to monetize some of their holdings.

Omkar: One small question. UP outstanding order is around 750 crores. Can we expect at least 150 crores quarterly run rate as we are entering into H2?

As every con call we are saying UP contract would get substantially executed by the end of this financial year. What is the exit run rate can we expect in UP contracts specifically?

Aankur Patni: The UP contracts had the expectation of substantially more invoicing during the second quarter, but we do expect that in the coming quarters the rate of invoicing would improve significantly. However, the execution of the contract is quite dependent upon the flow of funds which are allocated and approved for our contract, as well as the various approvals that we receive from the government and that's not unfortunately a very predictable thing. While we will certainly aspire to do as much as we can, we are not in a position to tell you exactly how much we would be executing during each of the months.

Omkar: Reason behind it in Q1 was because of election period we have not done the much execution and in Q2 if I'm not wrong, we have done 60 crores.

I'm just asking is it possible to do at least 100 crores per quarter, just a round number? I understand what you are saying. It's subject to the realization of the funds and everything. But can we expect H2 will be better for the run rate? Can I say in other words, H2 will be much better than H1 for UP contract basically?

Aankur Patni: Yes, H2 will be significantly better than the first half.

Moderator: The next question is from the line of Pratik Kothari from Munich PMS. Please go ahead.

Pratik Kothari

Unique PMS: A few clarifications. One is on Sri Lanka, any update progress there?

Aankur Patni: Sri Lanka, as we've been commenting for quite some time, there is very slow progress on that contract and further invoicing or execution is dependent on the funds which get allocated to the contract, whether through the intervention of Government of India or by the Sri Lankan Government themselves. We've had some infusion of funds from t

he Sri

Lankan Government and consequent upon that we've been invoicing some small values. But roughly around 10% or so of the invoicing still remains to be made. We can only say that there is a significant degree of uncertainty about when the funds will get allocated to it and how much. But, as and when the flow of funds becomes good, we would be able to close the remaining portion of the contract at a very good pace.

Pratik Kothari

Unique PMS: And we had some exposure there in terms of what we had executed and yet to be received I think a year or two back. Is that all settled or even that is still pending?

Aankur Patni: No, as I said, there is only some amount of funds which are being allocated to the contract and that also by the government of Sri Lanka. So, while we are quite confident about recovering the amount, but there is still some outstanding which is there.

Pratik Kothari

Unique PMS: And sir, one is this Roha, the resin plant expansion that we're doing. Anything on the membrane or the other chemical products that any projects that is currently undergoing or under plan?

Aankur Patni: We've just expanded capacity on our membrane facility and we are planning to expand that further. We will make an announcement once those plans take full shape. As far as chemicals, we have been announcing for some time that we would be setting up facilities in

Odisha, and as of now those are plans which are still being developed further.

Pratik Kothari

Unique PMS: Are we disclosing margins or this one-off order impact that we have in our engineering business, which is kind of suppressing our overall margins, are we disclosing what impact that is?

Aankur Patni: Well, we've not really spoken about specific numbers, but I can tell you that the impact of this on our engineering segment margins is significantly upward of 150-200 basis points.

Pratik Kothari

Unique PMS: Last is on the UP. You did speak about this fund flow government approach. Do you see a change in their priority of what needs to be done because there were some large ticket orders which are put out, it seems the pace is absolutely very different from what we were expecting earlier? So in terms of when you speak to them?

Aankur Patni: We have large teams deployed on the ground and we were hoping for a faster pace of execution right through. We have been in discussion and dialogue with the government to try and see ways and means of expediting execution. Dialogues continue, but two of the very crucial impediments to faster execution is approvals which come from various parts of the bureaucracy and also the fund flow, which is allocated to the contracts. We have disclosed earlier in election period, there was a little bit of a hiccup. Those things seemed to have now been sorted. The execution during October was much better than what it was in previous period. So, we hope that the pace would be significantly better in the second half and we would be able to at least show much better numbers.

Moderator: The next question is from the line of Vikas Goyal, an individual investor. Please go ahead.

Vikas Goyal: So my question is regarding your membrane division. Sir, what is total contribution in our engineering segment for the membranes and what is current capacity utilization or our current capacity in terms of membranes production?

Aankur Patni: The revenue from the membrane division is not very significant as part of our overall revenue numbers, but we are running at roughly 60% to

65% of the expanded capacity level. As we mentioned on the call earlier that we have expanded capacity recently. Further, I also ment

ioned

earlier that we are evaluating further expansion of the facility. So, the outlook for the future is quite good.

Vikas Goyal: My second question is regarding your hydro lifet in consumer segment. Can you disclose the prospects of this business?

Aankur Patni: Well, we are seeing very good customer response to the product and we

expect that this would become one of the star products for the consumer segment. There's a lot of market building required and investments are currently being made for the same. I'm sure that with growing awareness about the various benefits which the product offers, the product revenues will be significantly better in the future .

Vikas Goyal: My last question is regarding this semiconductor business. Are we getting some traction in this sector? Have we any orders in this quarter for any semiconductor industry?

Aankur Patni: We are working with quite a few of the prospects in the industry. As you would be knowing that there are several which are being planned and are at various stages of implementation . So, we are certainly looking at sectors with a lot of interest .

Vikas Goyal: Sir, my last question please if you can answer. The quality of water in solar cell manufacturing and in semiconductor industry, do you think it is same or which industry is more demanding for pure water, is it solar or is it semiconductor?

Aankur Patni: Both the industries require high quality of water and also high quality waste treatment facilities. The specifications of water required by both industries is slightly different and each needs to be strictly adhered to. However, broadly speaking, semiconductors would have a higher specification .

Moderator: The next question is from the line of Jolyon from Amiral Investment. Please go ahead.

Jolyon

Amiral Investment: Two questions. Sir, on the working capital noted that receivables eventually have actually increased maybe from FY'24. Maybe any

commentary on that and where do we expect inventory and receivables for end of the year?

Vasant Naik: You mentioned about the receivable level. Our EPC segment revenue is steadily increasing. That's why we are largely seeing an increase in the number of days of the receivables for the current year. And we do expect as the engineering EPC invoicing picks a pace in the coming quarters, we may be seeing this level at the year-end also.

Jolyon

Amiral Investment: Just to clarify. When you say this level as in absolute same level or the same number of like receivable days or inventory days, could you clarify that please?

Vasant Jain : You can take the number of days because the fourth quarter generally we see a higher level of invoicing. So, it will be appropriate if you take number of days.

Jolyon

Amiral Investment: My second question is on the leadership transition. I notice that the CEO transition to the MD in October. I think there was a press release. So maybe you can give your background on the new M.D. and maybe what we should expect in terms of any potential changes to the organization or the way it works?

Aankur Patni: Mr. Indraneel Dutt had been appointed as a CEO for the company last year and in a natural progression he has been appointed as M.D. this year. The two promoter group families which have been involved in the business for a number of decades now, and the four members from the two promoter group families, they continue to remain involved in guiding, advising and supporting the business and they continue to be on the board. However, in the interest of longevity and to bring a little bit of a separation between the promoter holding and the operational management of

the company, it was felt that we should bring in professional M.D. and professional management into the picture and that's how Mr. Dutt has been appointed as the managing director. The rest of the organization continues to function as it was and we do expect that the company will continue to grow at a significant pace in coming times. The company will continue to focus on creating and maintaining

a team of high quality management professionals to fulfill our long-term aspirations of global leadership in our business. We would take all necessary steps across the company to ensure that gaps, if any, are

promptly addressed. But per se there is no defined change in the style of management or in its approach.

Jolyon

Amiral Investment: So just a quick follow up. The transition maybe happened only for 1 1/2 months, but do we foresee any kind of like change in the strategic vision of Ion Exchange or from the company perspective?

Aankur Patni: Well, we are looking at more aggressive growth in times to come. The aspiration of the company is to multiply the top line as well as bottom line several times over in the coming five to seven years. So, we hope to see a slightly more or higher pace of growth and we will see a higher degree of traction on the international markets and that's the strategy which we have been advocating for quite a few quarters and years now.

Moderator: The next question is from the line of Samir from AUM Fund Advisors. Please go ahead.

Samir

AUM Fund Advisors: Sir, I have two questions. One is on the chemicals business. This new facility at Roha, if you can just tell us what is the total CAPEX that will be spent by the time this plant comes up, and what sort of fixed asset turnover s can we expect, will margins continue to remain on the new products as well, at the 25% EBIT level that you have and by when would you intend to hit peak capacity from the new plant?

Aankur Patni: Well, we are expecting the plant to deliver somewhere around 2.5 times asset turn to the total CAPEX of roughly 275 crores which is on the primary production facility. As we've been declaring over the last few calls, there in an additional facility which is targeted to give us value additions on including the efficiency of production and several other matters. Unfortunately, we are not able to offer you a lot of technical details around that part of investment, because it's one of the first time that something like this is being done anywhere and we would like to keep the public information on that limited at this stage. Hence, for the purpose of asset turn calculation, we state 275 crores and the projected

number as we just mentioned is around 2.5 times over a period of roughly four years. In terms of the margin profile, we do hope that the current margins can be maintained over at least the coming few months. It is dependent upon the movement of raw material prices, the foreign exchange fluctuation, the geopolitical scenario, the stability on various other front s. Therefore, it is difficult to give you a very definitive answer over a longer period of time. But if things remain as they are, the margins are quite sustainable. And for the new facility we do expect to get a little bit of an advantage on the cost front. Therefore, we might get a benefit of that in the bottom line as well.

Samir

AUM Fund Advisors: Sir, would it be fair to sort of conclude that based on 275 crores CAPEX in a four year timeframe, you could effectively look to double your chemicals business s which is currently at about 800 crores per annum run rate while maintaining margins ... of course, it's subject to several vagaries, but you sh

ould be able to double your chemicals business in four years at pretty much the same current margins subject of course to product mix and all of the factors that you mentioned?

Aankur Patni: Yes, that's what that the number would add up to because it's not just the resin business that we are talking about. We are seeing growth on the other fronts also.

Samir

AUM Fund Advisors: My second question, sir, is on the consumer business. Now, while we say that this business is growing, it's on a very, very small base and we've seen over the last four or six quarters at least that this business on a very small base, the growth in percentage terms should have been much larger where it is not the case. So what are the issues that you're facing because we consistently see small losses from this business and the sales ramp up is not what one would expect, given that the other listed competitor is. is now showing very decent numbers on the purifier side, so can you just talk a little bit about if you're facing any issues, what those issues are in that business? How long will this marginal or small losses from this business keep happe ning every quarter?

Aankur Patni: We are expecting the business to grow by roughly around 30% level by the end of the current year and the size of the business is in the range of around 10 %- 11% of our revenues at the moment and it has been at roughly that level for quite a while. But we do see that the current trends are quite favorable and we are aspiring to reach a figure of 500 crores in the near future. The entire effort at the moment is not so much EBITDA focus, it is more geared to reach a scale which is more meaningful for that business and for the company. That's why a lot of the gross margins which the division is being able to generate , we are redeploying in the consumer business to develop infrastructure for future growth.

Samir

AUM Fund Advisor s: So, sir, could you just elaborate a little bit, I mean, are you increasing distributors, are you going into new geographies, is there new product introduction, how are you going to achieve 500 crores turnover in this particular business?

Aankur Patni: We are investing and developing capabilities in all the fronts that you just mentioned and maybe a little bit more because as we grow from a level which was significantly lesser than where we stand today, we would need to build on all of these fronts and continue to provide outstanding products and services better than what the rest of the industry is doing. With that aspiration, there's a lot of investment going on. And in the minds of our team, certainly, the figure of 500 crores is not all that distant. As I said, roughly 30% growth by the end of this year and then we'll be building on a slightly larger base.

Moderator: The next question is from the line of Romil Jain from Electrum PMS. Please go ahead.

Romil Jain

Electrum PMS: My question is sir, can you just help me with the order inflow in H1 and what do you expect for the whole year?

Vasant Naik: The order inflow for the first half was around 726 crores.

Romil Jain

Electrum PMS: And normally H2 being better, what kind of improvements you are expecting on an annual basis?

Aankur Patni: Well, it's very difficult to predict exactly what orders we will end up winning because there are a few large ticket contracts which are under discussion and hopefully if those go as anticipated and in our favor, then we should be able to outperform the previous year in the second half.

Romil Jain

Electrum PMS: Just as an observation, I think in the last few quarters we've seen the order book in a range bound. Because

there's a lot of work going on

globally also and you've a lot of stuff on the water space. So there doesn't seem to be a lot of incremental order inflow that is kind of coming through. So can give some idea of how the international order book within our space is performing, how aggressive we are, so the bid pipeline has remained in this 8,000 crores kind of a band and similar is the order book, so can you just give some flavor on that side?

Aankur Patni: The order book is also a function of the contract which are getting executed because that portion of the order book would keep coming out of it. So if you see a higher quantum of revenues which are being booked, it would require that much more of order inflow to the keep the order book levels at the same place. While we have seen marginal growth in the overall order book quantum, but the quarter -to-quarter order intake has gone up. Just to give you an example, the Q2 of this year we have got around 578 crores of inflow of orders, which is significantly higher than the Q2 of the previous year, which was at around 290 crores level. So almost double of what we received in Q2 of last year.

Romil Jain

Electrum PMS: Secondly, on the chemicals side, so this chemicals roughly with the capacity coming in, I think our overall kind of revenue should double in the coming years and I think we are also contemplating further expansion in this segment. So post this, when are we expecting to start that work? And if you can give some idea again on the present situation

in the chemicals in terms of competition volatility, if there is any on the chemicals side?

Aankur Patni: We face competition from several Indian and global competitors in both the Indian and global markets. And this has been so for several decades.

Hence, a sustained profitability or an uptrend in the overall margin profile, gives us confidence in our competitive ability and indicates that we have been doing something right. So, that's one side of the story. The consumable business in India has been growing at a decent pace but a 15%-16% growth year-on-year would require both winning some extra customers and also substantial international growth. Our strategy is to maximize our international business in times to come, because that gives us a much bigger headroom for growth in a short period of time.

Romil Jain

Electrum PMS: One clarification is on chemicals. I think we had acquired Mapril last year. So are the current quarter chemical numbers on a like-to-like basis the 12% growth, just to clarify?

Aankur Patni: For the current quarter, yes, it is like-to-like, for the half it is not like-to-like because in the previous year we had just a few weeks in the first quarter from April.

Romil Jain

Electrum PMS: So Q2 and Q2 last year is comparable, right now?

Aankur Patni: Yes.

Romil Jain

Electrum PMS: Just one request. If you can give some more granular details in the presentation, to assess the business, maybe more data on your international order, so the order book break up between some segments and also some geographical breakup and some order inflow data, so those things if you could give it would be really helpful, sir.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor

Kapoor & Co.: So what goes into the consolidation part in the engineering segment?

These are the foreign order execution that we are executing because here in also these are orders with very, very, very low margins, if we take the quarterly number of 369 crores and 394 crores, that is the consol number.

Aankur Patni: So what you're saying

is that –

Saket Kapoor

Kapoor & Co.: What goes into the consolidation first, and the margin contracts when we go for consolidation?

Aankur Patni: We have several subsidiaries, not just international, but Indian also and some of these are involved in providing support to the main business through manufacturing, through services and through other elements of the business where the margin additions may not be that significant. That is one of the primary reasons why you don't see a big jump on the bottom line. The international subsidiaries are a growing lot and some of these operations have turned profitable and they have started to do well and there are others which we are still in the process of growing and therefore the investments in these have to be borne for a slightly longer period of time. So, that's broadly why the consolidation is not that much of margin accretive.

Saket Kapoor

Kapoor & Co.: And when we look for the chemicals segment, it is the Mapril acquisition only that contributes to the top line and bottom line?

Aankur Patni: There are some other additions also, but Mapril is the most substantial one.

Saket Kapoor

Kapoor & Co.: For the UP project part and also the thrust of the government on the Jal Jeevan Scheme, do you find that there is a change in this or the focus has slightly diverted with release of fund also becoming a key point of observation for almost every EPC company? So what is the feedback as such when we hear other people, they are saying that the center funds are not being disbursed, the state portion has been disbursed. So, what

is the feedback we people are getting and talking especially about the UP project also? So what are the key bottlenecks and how do you see things shaping up?

Aankur Patni: The elections were a major hiccup, and we know that at the time of elections, a lot of the state machinery is bound to to operate at a much slower pace, if not a complete halt. And that was one of the primary reasons why the first quarter and a large portion of the second quarter we faced issues on various fronts, including fund allocation. The fund

allocations have improved in October, for example, and during a part of September, and we do hope that we will see more of this happening in the coming period of time, so that we can carry out our execution at a faster pace. If you are asking me about a national view on the subject, then it is very dependent upon which specific state or geography that we are talking about. And, yes, it involves not just the centre, but also the state, and the various areas where they are allocating or deploying funds. But on a very general level, there is an improvement in the current month.

Saket Kapoor

Kapoor & Co.: So what we can conclude is that the aberration in the UP project execution was because of the monsoon factor also and also because of allocation of funds, but that things are now coming to more normalization from October onwards. That should be the conclusion as of now?

Aankur Patni: Yes October is significantly better.

Moderator: The next question is from the line of Omkar, an individual investor. Please go ahead.

Omkar: Sir, what is the exit run rate can we expect in chemicals business for Q3 and Q4 because in both the quarters, Q1 and Q2, the exit run rate in chemicals business was 200 crores and you are saying we are at a 70% of the capacity utilization. what is the exit run rate can we expect in Q3 and Q4? As you said last time also there is a still room for the chemicals business to improve.

Aankur Patni: I don't think I got your question completely. You said exit run rate?

Omkar: Per quarter, you are

doing 200 crores of revenue in chemicals business.

So my question is what is the revenue are you expecting in chemicals business in Q3, Q4? Are the chemicals business will be also better than Q1, Q2 because we are at 70% of the capital utilization for the plant for chemicals?

Aankur Patni: So for the year as a whole, we are expecting to close on a standalone basis at roughly around 15% growth, and on a consolidated basis, growth of roughly between 12% to 14%.

Omkar: The question is, sir, can we do better than 200 crores? As of now in both the quarters we have done 200 crores of chemicals business. So my question is can we do 10, 20, 30 crores per quarter more than 200 crores?

Aankur Patni: We hope that we will be able to better than whatever we have done.

Omkar: As far as margin is concerned, we are at around 11% for both the quarters and we said we'll go back to that good trajectory where we are doing 12%, 13% or 14% in '22-23. You said specifically as the quarter progresses, we can guide you more. So, what is the margin can we expect for our entire business – consumer, chemical plus engineering? Current operating profit margin is at 11%. So what is the margin can we expect -- can we reach 12%, 12.5% in Q3, Q4 specifically because now already H1 is over and we are in the last four months of this financial year?

Aankur Patni: You are asking about the company as a whole, right?

Omkar: Yes, yes, operating profit margin, which is we are at around 11%, last time we were at 11.3%, this time is around 10.8%, average you can say we are at 11% for entire business. So, can we expect our operating profit margin can go to 12% or 12.5 because in last con call also you said that from here on the margin will definitely improve because that one of the contracts was giving you the trouble and where the margin was going down. So, I am specifically asking operating profit margin for the entire business.

Aankur Patni: Unfortunately, the contract which you mentioned is still not executed and we do expect that substantial pain from that would continue and it would have a bearing not just on the engineering margins, but it would be substantially visible in the overall margins of the company. So with that factored in, we hope that we will be able to maintain the margin percentage at around last year's level. So, the improvement that we were hoping to bring because of operating leverage or higher revenues, may not be very visible as that one contract is having a very significant bearing. Therefore, we are likely to be at around the last year's margin percentage.

Moderator: The next question is from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari

Unique PMS: One question. Nothing to do with this current year trajectory. I would like to understand looking at last past two, three, four years of our experience in this engineering segment, water-related projects, our experience with Sri Lanka and our experience with UP, for next three years, which are the areas where you will be focusing more on the business to grow, which are the areas where you would like to improve by not taking some projects which is troubling us, so which are the things which you will be focusing on and how you see the next three years, international and domestic opportunity for engineering segment?

Aankur Patni: In spite of very tight discipline that we maintain, the nature of the work specifically in the municipal infrastructure segment did bring in new learnings. We are hoping that we will be doing significantly more business in the international market. The recent orders that we are picking up from the international

market are also quite good both from the top line as well as the bottom line perspective. The other area is to look at some of the sunrise industries, that is semiconductor space, the solar space, the biosimilars, the biotechnology space and some of the medium to large industries which are more aware and which require higher quality of water. We continue to target very select government projects. With all the learnings that we've had in the recent times, I'm sure that we would be able to translate it into higher quality of topline and bottom line. But, we are not going to completely step away from the infrastructure segment, though it was never our major focus, but we remain committed to delivering at least two or three large contracts from that space as well, while international business and industrial business continues to be our strength area.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today's conference call. I now hand the conference over to Mr. N.M. Ranadive for the closing comments.

N.M. Ranadive: Thank you all for participating in this earnings concall. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, we would be happy to be of assistance. We are very thankful to all our investors who

stood by us and also had confidence in the company growth plan and focus. And with this, I wish everyone a great evening. Thank you.

Moderator: On behalf of Ion Exchange (India) Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

February 3 , 2025

To

BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to our intimation dated January 22, 2025 , we enclose herewith communication relating to conference call as per Regulation 30(6) read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulation , 2015.

The said conference call with the Institutional Investor/Analyst (Group Meeting) held on Monday, January 27, 2025 was to discuss the financial performance of the Company for the Third Quarter and Nine Months ended December 31, 2024 .The aforesaid information is also disclosed on website of the company and which can be accessed at www.ionexchangeindia.com

Kindly take the information on your record .

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Milind Puranik
Company Secretary & Compliance Officer
ACS -4824

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Q3 FY25 Earnings Conference Call
January 27, 2025

Moderator: Ladies and gentlemen, good day and welcome to Ion Exchange (India) Limited Q3 and Nine months FY25 Earnings Conference Call hosted by Valorem Advisors. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the conference over to Ms. Nupur Jainkunia from Valorem Advisors. Thank you and over to you ma'am.

Nupur Jainkunia: Good afternoon everyone and a very warm welcome to you all. My name is Nupur Jainkunia from Valorem Advisors. We represent the Investor Relations of Ion Exchange (India) Limited. On behalf of the company and Valorem Advisors, I would like to thank you all for participating in the Company's Earnings Conference Call for the Third Quarter and Nine Months Ended of Financial Year 2025.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties, which would cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance

on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Page 2 of 22 Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. Aankur Patni, Vice Chairman, Mr. Vasant Naik, Group Chief Financial Officer, Mr. N.M. Ranadive Group Head - Financial Planning and Risk Management and Mr. Milind Puranik, Company Secretary of the Company. Without any further delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you Nupur. Good afternoon, everybody. It is a pleasure to welcome you all to the earnings conference call for the third quarter and nine months ended of financial year 2025. For the third quarter under review on a consolidated basis, the company reported operating income of INR 6905 million, an increase of around 25% year

-on-year. The

EBITDA reported was INR 754 million, an increase of around 7% year-on-year, while the margin stood at 10.92% and the net profit was INR 496 million, increase of 5% year -on-year, while the PAT margin was around 7.18%. For nine months ended for the financial year 2025 the company reported an operating income of INR 19 026 million, an increase of around 22% year -on-year. The EBITDA reported was INR 2080 million, representing an increase of around 16% while the EBITDA margin stood at 10.93% with a net profit of INR 1450 million, an increase of 18% year -on-year, while the P AT margin was around 7.62%.

Now let us take you through the quarterly segmental performance on a consolidated basis. In the engineering division, the revenue for the quarter was INR 4301 million, an increase of around 34% year -on-year. The EBIT for this segment was INR 257 million an increase of 7% year -on-year. The increase in turnover was largely due to the improved execution of some large EPC contracts. However, the execution of the UP Jal Nigam contract remained muted. The segment saw a modest order inflow during the quarter, and the domestic enquiry bank remained steady. At the end of the Q3 of FY25 the total order book for the engineering division stood at INR 3405 crores.

Page 3 of 22 Coming to the chemical segment, the revenue for the quarter was INR 1993 million an increase of around 6% year -on-year. The EBIT was INR 523 million an increase of 6% on a year -on-year basis, while the segment continued to show improvement in both turnover and margins. For the consumer product division segment, the revenue for the quarter stood at INR 772 million, which has increased by around 23% year -on-year. The losses for the quarter was INR 29 million, compared to loss of INR 15 million in the same period of the previous year. This segment continues to witness consistent turnover growth driven by greater penetration and acceptance of the company's product profile. With this, I conclude the opening remarks, and we can now open the floor to the question -and-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Deepak from Sundaram Mutual Funds. Please go ahead.

Deepak: So, first on engineering, so this quarter we had a good execution which led to that 34% Y -o-Y sales growth in engineering, but our new order inflow was little muted as compared to previous quarter. So, could you please highlight, in an engineering project in both domestic as well as international market, from which sector are we witnessing more order inquiries is it the core sector like steel, power, oil and gas, which are typically larger sales order, or is it the smaller ticket size from various other sector, I just wanted to understand from where are we seeing more visibility and conversions?

Aankur Patni: Sure. On a global level, it is across the board, but yes, the inquiry book that we carry would be heavier on the core sectors, even in terms of order conversions it is across the board, the bigger ticket ones have not seen much of traction during the current period that's why you see that the

order book per se, has not built up that much.

Deepak: Okay. And sir any update, for example any order inquiries we are getting for sunrise industry, like data centers or semiconductor because there is a lot of traction which is happening there?

Page 4 of 22 Aankur Patni: Yes, there are several under discussion on these sectors, the green hydrogen piece, the biotechnology piece, the semiconductors, the data centers. And we are certainly expecting that in the course of the next few quarters we will see a good flow of orders from these segments.

Deepak: Okay. And sir now coming to engineering margin. So, this quarter, on Y-o-Y we saw in 150 basis point decrease in the EBIT margin. Could you please elaborate on that, a

re we sacrificing the margin to fuel growth or is it that the competition intensity is becoming higher, or is it more to do with higher execution of that one onerous order which we spoke about in the last quarter, what is happening there from margin front and for the whole year, as well as Q4 what is the revenue and EBITDA guidance, margin guidance are we giving?

Aankur Patni: There are two impacts which I can talk about. One is to do with this contract which you just mentioned about, that continues to have an impact of roughly 150 to 200 basis points and upwards on the overall engineering revenue. While that's depressing the margin quite a bit, there is also the mix of projects that varies from year-to-year, in some years the mix favors a slightly higher margin, the other years, the mix may favor slightly lower margin. But the primary reason for the depressed margin numbers is the impact of the onerous contract.

Deepak: Okay. And sir for this FY25 and let's say next year, what is our guidance in terms of engineering division sales growth and margins?

Aankur Patni: For FY 25, Engineering should see 15% to 20% growth and in terms of margin, unfortunately because of the way things have been and as far as we can see, we will be lower than the last year. The visibility that we have suggests, that the overall dip should be roughly about the percentage point.

Deepak: Okay, got it. You are talking about FY25 versus FY24?

Aankur Patni: Yes.

Page 5 of 22 Deepak: Okay, got it. And sir coming to chemical division, so that Roha project of 400 crores could you please elaborate of that 400 crore plant, how much was spent till December?

Aankur Patni: I will ask Vasant to fill in on that please.

Vasant Naik: Just upwards of 50% of the total project cost has been spent as of December.

Deepak: Okay. And that is including both the actual capacity as well as backward integration, right?

Vasant Naik: Yes, the 400 crores include the backward integration part also.

Deepak: Okay. So, that the timeline of the commercial production in Q1 of FY26 that remains intact, right?

Aankur Patni: Yes. We are expecting Q1 with the possibility of stretching in to Q2

Deepak: Okay. And sir, let's say optimal utilization from this Roha plant, what could be our ROC profile, whenever that happens three or four years down the line?

Aankur Patni: You are already aware of the overall margins from the chemical division and as we have been indicating the asset turnover that we expect on a figure of 275 crores, is roughly two and a half times.

Deepak: Okay, got it. And two questions I have for Vasant sir. Sir, because now you indicated 50% a little over that has been spent for this Roha plant, and if I recall correctly, 20% was supposed to be financed through internal accrual and 80% was through debt. And since we have spent more than 50%, but our interest outflow seems to be very flat. So, what explains that, is more of the CAPEX has been funded through internal accrual rather than debt which was initially envisaged?

Vasant Naik: No, it's not the case our contribution for the total project remains at 20% of the project cost. But since the project is not yet commissioned, the

Page 6 of 22 interest expense is getting capitalized in the book, so as and when the commercial production starts, it will get reflected in the P&L.

Deepak: Okay. And sir one last question from my end, this is one bookkeeping question. So, I have noticed in several past years the Q4 the tax rate suddenly drops from, let's say 27%, 28% to around 20% to 23%, can you

explain why that happens in Q4 every quarter. This has been a trend since last three, four years .

Vasant Naik: Are you talking of the consolidated numbers?

Deepak: Consolidated.

Vasant Naik: See the consolidated numbers, the tax rate per se you cannot really take that, because it is a summation of the tax across the 21 sub

sidiaries.

Individual compan y's taxes get summated, so it will not be a fair reflection to see at a totality level the percentage.

Deepak: Okay. So, the reason for this drop in tax rate in Q4 of the last three, four years is more to do with contribution from Indian operation, hence h ow should I look at it?

Vasant Naik: Yes, because generally the 4th Quarter the domestic companies show a much better turnover as well as on the bottom line, so maybe that can be one of the reasons , that can be attributed to the distortion in the tax rate.

Moderator: Thank you. We have our next question from the line of Mike from Equity . Please go ahead.

Mike: I have two questions. Could you please give us an update on the ongoing litigation about the IEEF subsidiary, and there has been some progress in th e quarter. And secondly, the onerous contract when do you think that will be completed. Thank you.

Aankur Patni: Let me first answer the second one, we are expecting substantial invoicing for this contract to get completed in the first half of the FY 25 - 26. As far as the litigation is concerned, I will ask Mr. Ranadive and Mr. Puranik to fill in.

Page 7 of 22 Management: The Enviro Farms matter which is a SEBI related matter. We have appealed the matter at securities appellate tribunal, and SEBI has filed a reply in the matter, and the matter is now listed for 10th February for hearing. Any other clarification you want?

Mike: Do we think that there will be a resolution, or this is something that could continue for some more years before we get to a satisfactory resolu tion?

Management: If the judiciary accepts our stand, the matter will end there.

Mike: And are you optimistic about the outcome or it could be either way?

Management: Yes, we are always optimistic about the legal stand, but ultimately the judiciary has to take a decision.

Mike: Thank you. And if it goes against you, you can appeal further?

Management: Yes, there is an appeal available at the Supreme Court of India.

Moderator: Thank you. We have our next question from line of Chetan Vora from Abakkus Asset Manager. Please go ahead.

Chetan Vora: Sir, as mentioned that you told that legacy project which is having a cost overrun will be getting completed by first half FY26, is it right?

Aankur Patni: Yes, it's going to spill into the next financial year.

Chetan Vora: Okay. Can you quantify that what was the size of that project and how much that has been completed, and what margins we have made in that project?

Aankur Patni: As we have been mentioning this is having a negative impact on the overall margins of th e engineering division. There is still some invoicing left for this job and that's why it's spilling into the next year in terms of impact. We have not been giving the contract name and other specifics of the contract.

Chetan Vora: And would it be possibl e to highlight, what went wrong in this project and when it was needed and when we had got this project basically in Page 8 of 22 which year and why it has faced such a cost overrun wherein we have seen such cost overruns?

Aankur Patni: This was to do with the specific s of the site, unfortunately we did encounter significant overruns specifically on the civil side. This is more than one-and-a-half-year-old contract.

Chetan Vora: It is a domestic contractor?

Aankur Patni: It is a domestic EPC contract.

Chetan Vora: Okay. And can you can quantify, why this UP project is getting, the execution is on a slower front wherein we had to complete, we were supposed to come to this UP project by the end of this year, if I am not wrong?

Aankur Patni: Yes, the project is facing const raints in terms of funding from the government, and as we had spoken about this in the last quarters call that, there was an expectation of improved funding and speed of

execution on this contract. Unfortunately, the constraint on funds

remain, as also relatively slow process of approvals and documentation, which is hampering the pace at which we are being able to invoice. We still remain hopeful that, it would pick up pace soon, but that's not something I am now being able to give you an accurate forecast of as how quickly the funding pace would improve and the other constraints will go away. However, hope that the second half, which is second half of this financial year, we will be able to invoice more than what we did in the first half.

Chetan Vora: Yes, but still it will be quite low, because second half is anyways good vis-à-vis the first half seasonally. Would like to understand if the project before the execution, what happens if there is a cost escalation next year whether we will be able to pass it on, or we will have absorbed it?

Aankur Patni: We have got extensions from the government, and we continue to apply to the government for further extensions because of the way that contract is getting extended, the impact of an extended stay certainly does have Page 9 of 22 a play. We are not being able to bill while we maintain the teams at sites and the infrastructure is being retained. So, that impact certainly cannot be negated. However, the overall margins on the contract remain within what we have been showing for this over the last couple of years.

Chetan Vora: And on the engineering side, though this year you are saying that the margins will be lower than FY24 so and you said 100 bps lower?

Aankur Patni: Yes, roughly that is how it looks.

Chetan Vora: But on the execution we are saying that the momentum will be sustained on the execution side?

Aankur Patni: Yes, as I said around 15% to 20% growth is what we are hoping to get.

Chetan Vora: And what happens to the chemical side next year, whether that capacity increase will be helping out, or whether we will be growing in the same rate in the range of 12%, 15% as what we have seen this year?

Aankur Patni: We are looking at using up that additional capacity over a period of three to four years, and therefore there would be its impact on our overall top line. And as I said, we will not necessarily get the entire year's benefit as the capacity gets commissioned in the first quarter, and with a slight chance of commissioning slipping into the second quarter.

Chetan Vora: Right. And sir we used to make the margins on the engineering side on the annual basis in the range of like 9%, 10% but since last two years it has been 8% and this seems to be lower than eight. How do we see this trajectory on the engineering side?

Aankur Patni: So, there are a couple of things. One is to do with the kind of contracts that we get and the margins associated there with and as we have been speaking about this one onerous contract, which has been depressing the overall margins. Besides that, in general we do continue to get good contracts on the international market, and those are at better margins as compared to what you see for the overall segment, as the ratios for these higher margin contracts, both international and domestic improve in the Page 10 of 22 future quarters, I am quite hopeful that the margin percentages will improve.

Chetan Vora: Sir last question from my side, the next we are seeing this on the project which is facing cost overrun will be getting over by first half of next year. So, how do we see the margin trajectory for the next year as a whole for the engineering side, it will be better than FY25, it will be lower than, offset similar to FY25?

Aankur Patni: Hopefully it will be better, however I can't give you very exact guidance at this point of time. I hope that I will be able to do that in the coming quarters, it's likely to be better than what you have seen in the current year.

Moderator: Thank you. We have our next question from line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari:

Sir first question again on the UP project, given the actual outcome is going much slower than what our anticipation was, or what the earlier timeline that we were anticipating, and I believe in past, we were mentioning that we were kind of investing a lot in terms of manpower, et cetera to do this very quickly. So, just one comment on, shouldn't this

be hurting our margins as well, apart from that onerous contract, and also second, this expectation that, if we get all the approvals or invoicing in line, we should be able to do this very quickly. So, how easy or hard it will be for us to kind of ramp the exhibition up very quickly, if fast to or required to?

Aankur Patni: As I responded to the previous question also yes, the continued deployment of our resources and the revenues or the invoicing not happening at that pace is having an impact. But again, as I mentioned that our overall margins remain in line with what we have been showing against this contract over the last few quarters. In terms of being able to ramp up with the increased fund flow, we are very much able to do that, the only unknown is when this ramp up of the funding would happen, Page 11 of 22 and how we would get all the documentation and approvals at a faster pace.

Pratik Kothari: And this quarter maybe our order flows were a bit modest, but in terms of, from a domestic order inquiry pipeline, the conversion, etc., do you see any stark change in kind of the conversation that you are having with your end client, from the domestic angle?

Aankur Patni: We are seeing a good flow of inquiries and higher qualities of inquiries in terms of the execution profile as well as margin profile coming from international market. And we remain very excited about the prospects in the near term and, in the medium term from the international market. In terms of the domestic market, yes, the competitive intensity keeps varying from period-to-period and we are hoping that soon enough we should be able to get a few significant orders on the domestic front also.

Pratik Kothari: Correct. And sir last question on the chemical, we have been at this sub, slightly under 200 crores range for the last three, four quarters and we have a large capacity also which will come in say in the next six, nine months so, just one in terms of demand, our plan to ramp this up, even in our current capacity, or current facility, we have some capacity which is left, and then there's this additional one which is coming in a few months down the line. So, just some thoughts color on, how do we plan to ramp it up?

Aankur Patni: There are several conversations in place with large consumers of the product, and we are expecting that once the facility is ready to produce, several of these contracts will materialize which will help us to utilize this increased capacity. We are also adapting the two plants to make sure that we take the best use of the facilities available and modify the product mix coming out of each facility to ensure that overall, the maximization of revenue and profits can be achieved.

Pratik Kothari: So, in terms of product approval, or that customer kind of approving, us as a company that is all done and either taken care of, it's just ramping up of incremental volume that they would face with us?

Page 12 of 22 Aankur Patni: The process for the product approvals to ensure that, we are able to meet their quantity as well as quality requirements in some cases is done and in some cases it's underway, and we are therefore hoping that by the time we execute this project in full and are ready for commercialization, we will have several of these long-term arrangements in place.

Moderator: Thank you. We have our next question from the line of Aejas Lakhani from Unifi. Please go ahead.

Aejas Lakhani: Mr. Patni, I just want to understand the consumer segment. We have not spoken about this in the call. So

, can you please qualify, where is this growth really coming from, is it coming from the commercial segments or the residential segments and also, while a lot of this is product sale, how much of the support revenues is built out in this 300 crore run rate which we are at today, from a revenue standpoint?

Aankur Patni: There is a good mix of commercial as well as residential in this overall revenue that you see. A significant portion is coming from the residential market, and the kind of products that we have been launching of late, they are targeted at slightly more premium residential segments which are flat owners, apartment, owners, etc. In terms of the support or service revenue as a part of the overall thing, I would ask Vasant to share with you some guidance on it.

Vasant Naik: In the consumer product segment, the services portion will be in the region of around 20% to 25%.

Aejas Lakhani: Okay. And is it fair to assume that the services portion has a significantly higher margin but today, you are choosing to redeploy the product margins as well as the services margin in building out the business to your desired scale of 500 crores, before you start to show any EBITDA in that segment?

Aankur Patni: Yes, we are deploying the margins back and investing in various places including people to ensure that we ramp up at a faster pace.

Page 13 of 22 Aejas Lakhani: Okay. And sir any visibility that you can provide as to, in terms of number of field force that you have put in place, touch points that have been covered, which gives us the visibility to reach that 500 crore number from the 300 crore number today that you are talking about?

Aankur Patni: We have not been sharing that data, but the pace at which we are increasing our field force, or our reach into the market in terms of distributors, channels, et cetera is quite rapid, and we would be several times of where we were maybe two or three years back and we will continue the pace at which we are expanding because, as you rightly mentioned we are looking at a significantly higher revenue number compared to where we stand today.

Aejas Lakhani: Got it. Mr. Patni, next is on the overall margin outlook. And I want to understand your reason for slightly better confidence for next year on the margin front. Because, as I stand it, and what you have said in the call is the first half will be a drag on account of the onetime large project which are hopefully to continue, the UP is continuing to drag resources and in infrastructure. So, there's a cost which we are not getting compensated and third is, as the new Roha facility sort of comes up, there will be employee cost, OPEX cost that we will have to build ahead before the ramp up really takes place. So, our ability to really extract better margins for next year, could you tell me where you get the confidence?

Aankur Patni: So, the earlier question was, on engineering margins and second, in case of UP project. The expectation is that we will be able to increase the pace at which we are invoicing these contracts

For UP project the margins would accrue as we execute the project.

Further the other onerous project will have a relatively lower percentage in the pie of the overall engineering revenue, I am not expecting this contract to continue to drag right through the next year. So, once the remaining portion of this contract is executed then that would give us a higher margin number compared to where we stand today. In terms of the overall company margin and the impact of Roha in terms of interest and depreciation and all of that cost, that's to be expected but we Page 14 of 22 are also, as we mentioned just a while back, looking to close several discussions with large buyers so that our capacity utilization in the first year itself is reasonably good and we don't end up creating a massive negative impact of this depreciation and interest

burden.

Aejas Lakhani: Thank you for that, it's very clear. Mr. Patni, could you just speak a little bit about the Portuguese Mapril acquisition that you have done. It's been some time, so could you just call out that how is it playing out, I remember from the call out then that it was primarily a channel to distribute to Europe. So, have you made progress on that front, could you just call out little more on that Mapril please?

Aankur Patni: Yes, we have made progress, subsidiary group now being used as a base to push all our products, chemicals, as well as engineering. The response that we seem to be getting from the European market is a preference to have a European company, rather than coming out of any other location, that seems to be giving us the advantage that we were hoping for, and the pace at which we were expecting the engineering side of business to pick up from that subsidiary, there we are seeing good developments happening. Hopefully we will be able to deliver a few engineering contracts from that subsidiary in the near term. For the chemical piece, there was an inherent revenue in that subsidiary when we acquired it, and we have been able to add volumes from our sales of resins as well as other chemicals during the period, during the past few months. And we are also seeing significant number of discussions with buyers in that region for further improving this volume. So, yes, the acquisition seems to be playing out reasonably okay. We would have hoped for even better,

but then that's something which we remain hopeful will play out over the next few months.

Aejas Lakhani: Perfect. And Mr. Patni, just finally in the 4th Quarter you had called out for an overall revenue growth of closer to 15% which would imply about 800 crores of execution in 4th Quarter which is typically our seasonally the strongest quarter. So, are we on course to achieving that?

Aankur Patni: For the company as a whole, we are looking at a 15% to 20 % growth .

Page 15 of 22 Moderator: Thank you. We have our next question from the line of Nishanth Gupta from Minerva Global Capital. Please go ahead.

Nishanth Gupta: My first question is in the chemical segment, who are your direct competitors?

Aankur Patni: Chemical segment, for resins we compete against global majors like DuPont, Ecolab, etc. we are also competing against domestic competition like Thermax, which is one of the larger manufacturers of resins in India.

Nishanth Gupta: Got it sir, thank you. Sir, for the bid pipeline of 8648 crores , what could be our conversion ratio and the execution timeline for that?

Aankur Patni: Normal conversion ratio is about 15 % and thereabouts. The average period of the order execution is two to three years.

Nishanth Gupta: Got it sir. Sir, one final question, the working capital days have been inching upwards. So, what would be a moderate assumption going forward, that would be a reasonable?

Aankur Patni: In terms of the working capital increase compared to a few years back. The shift has been the quantum of advance that we have been carrying from the customers. And there were a few large contracts where there were significant amount of advances sitting in the books which had made the working capital slightly lopsided. As we see the days of various asset groups within working capital, this is relatively more normalized than what it was a few years back.

Moderator: Thank you. We have our next question from the line of Mike from Elquity. Please go ahead.

Mike: I just have one question on the working capital, I noticed that on the segmental basis engineering net asset is kind of flat, which means that on a Q -on-Q basis asset is flat, liability is kind of flat, which implies that actually probably the working capital for the segment has not come down despite the fact that we are supposed to collect some receivables
Page 16 of 22 for the UP project. Is thi

s an accurate observation, if not, could you just help me understand maybe on the collection of receivables this quarter. Thank you.

Aankur Patni: I'll ask Vasant to come in on that question please, Vasant.

Vasant Naik: In terms of the working capital days, what we have seen in the last two quarters, they are basically roughly at the same level what we have been seeing and specifically, coming to the engineering segment, the engineering segment has grown by almost 36% on a year -on-year basis. And that accounts for the increase in terms of the absolute number of the working capital which is deployed in the business, and specifically to the UP contact, yes there has been some delays in collection from the UP contact that was referred to in our earlier concall. But overall, the working capital days for the segment as a whole is largely stable at what we have seen in the September and the march level.

Mike: Okay. And just a follow on the UP project, you mentioned there have been some delays in the collection of the receivables, when will that be resolved and as we subsequently bill more projects on the UP side, are we expecting to face the same number of days for collection of the bills?

Vasant Naik: If I understand the question you are asking, whether what is the possibility of recovery of the debtors from UP project that is what you refer to, right?

Mike: Yes, that's the first part of the question.

Vasant Naik: The expectation is that, in next month we should get some positive movement on the funding for this UP project. And consequentially, we do expect then the execution of this contract to pick up in the coming months.

Mike: Okay, but if you were to execute the project in the coming months, so we will start billing the UP government for the execution of project, are we going to face the same issue, in terms of the funds are being released

to us afterwards, any commentary around that?

Page 17 of 22 Vasant Naik: We do hope that once the funding resumes, our expectation is the funding should then normalize. But as we have seen in the past also, it is very difficult to predict the funding for a government project. So, we also being cautious as far as the execution is concerned, once the funding stabilizes, the execution will improve on this project.

Moderator: Thank you. We have our next question from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: So, just one question overall for the company if you can share or reiterate the guidance, in terms of revenue and EBITDA margins for FY25, and FY26, and this order book that you have around 3400 crores for the engineering as a whole, what's the execution period over there. Thank you.

Aankur Patni: The execution period is between roughly around two to three years. In terms of the expected growth revenues for the year, we are looking at between 15% to 20% growth. And in terms of the margins, as we spoke about, we are expecting to take a hit compared to last year on the engineering margin percentages. Overall for the company, I don't think we will be able to reach the same levels in terms of percentage as we did last year. We will be falling slightly short of it.

Rahil Shah: Slightly short of the margins you mean, right?

Aankur Patni: The margin percentages which we achieved last year, we will be slightly short of that.

Rahil Shah: Shorter than, okay. Any, so this has been below this overall for the company for next year as well are you targeting that?

Aankur Patni: For financial year 24 -25, 15% to 20% growth is what we are looking at, for 25 -26 I am not calling out a number as yet, you will have to look at our order books and the general trajectory of growth, but I will come out with more clearer guidance on it in the coming period.

Page 18 of 22 Moderator: Thank you. We have our next question from the line of Saket Kapoor from Kapoor Co. Please go ahead.

Saket Kapoor: Sir firstly a clarification, you mentioned that the legacy order which is damping our margin, that spillover will happen till the first quarter of the next financial year and the margin gains will be on a whole basis to the tune of 200 basis point this is what the conclusion is?

Aankur Patni: Yes, I was saying that this particular contract would spill over into the next financial year, roughly the first half of the next financial year, and the overall impact that we have seen of this on our engineering margins is to the tune of 150 to 200 basis points slightly in that region and above.

Saket Kapoor: And sir out of the total revenue which we have booked for the engineering segment of 417 crores if we take the standalone numbers, what would be a ballpark number which would have constituted to the execution of the projects which you are talking about?

Aankur Patni: We are not giving out the specifics of the contract and detailed breakup of the constituents of the revenue. However, as I mentioned, the impact is of 150 to 200 basis points on the overall engineering revenue.

Saket Kapoor: Correct, sir. And sir just to not harp more. But is this the project, is the concerned project being installed right now, and that's the reason it will take longer time or what is the reason, why it will take another three quarters or two quarter rather to culminate?

Aankur Patni: One of the reasons is that we are trying to make sure that we do as much as is possible to curtail the damage. And no, it is not stalled we are committed to delivering on the contract and complete it.

Saket Kapoor: Okay. And one more question and then for the UP project. Generally, what we looked at, whenever these size of projects are there, there are packages in which there are four, five packages which are distributed in order to reduce the client specification risk also. So, this particular project size is also constituting other packages, or are we the people managing the entire project?

Page 19 of 22 Aankur Patni: This is you are asking for the UP project?

Saket Kapoor: Both one, this one which is denting our margins, and the UP project also.

Aankur Patni: So, this is a large EPC project which is being executed by the customer, and we are delivering a part of that large project. Whereas for the UP contract, the government had given out clusters of villages for which we had to deliver a certain project as a DPR was made and BOMs were made, and we were supposed to deliver the material as well as the project

as per the DPR & BOM. Of course, as the project gets executed, the ground level reality of project may not necessarily be the same as per the DPR and there are changes that we are seeing. But as such for each village and the cluster, we are the ones who are delivering this entire piece. So, there is no other, we are not working as a subcontractor to anyone .

Saket Kapoor: Okay, because when we look at the unexecuted portion it was 751 crores and this quarter it is 730 including the Delhi part which you generally club in your investor presentation that means there is hardly any execution that happened, is that understanding correct for this quarter?

Aankur Patni: Let me ask Vasant to give you the numbers for the quarter.

Saket Kapoor: And for the nine months also sir, what portion of the UP contract got executed?

Vasant Naik: For the quarter we did 33 crores and for the nine months we did 91 crores.

Saket Kapoor: And the pending portion is how much sir?

Vasant Naik: The pending portion is around 719 crores.

Saket Kapoor: 719 crore and sir for this quarter, for March what is the likelihood taking into account?

Vasant Naik: We have addressed this question earlier. The execution is dependent on the funding which we get from the UP government. So, our team is on Page 20 of 22 the ground, so as and when the funding comes through, we do expect the increase

in traction to take this in the execution.

Moderator: Thank you. We have our next question from the line of Tej Patel from Niveshai. Please go ahead.

Tej Patel: Just two quick questions, number one is, what portion of our engineering revenue comes from the industrial segment, and then within industrial also, how much is ZLD. And the follow up question would be, if you could just provide a brief outlook on the same, on the industrial segment especially the ZLD, has the traction increasing, has the government's taken any step, probably which is increasing the adoption in the ZLD, I want this perspective, especially from the domestic point of view. Thank you.

Aankur Patni: Let me answer the last bit first, the effort of the government has certainly been to improve the level of effort which the industry or the government itself is making on the front of environment. ZLD is one of the technologies which government is trying to push. But there are also several other ways in which government is trying to ensure that the environmental consciousness of the industry goes up, and the implementation of that and the monitoring of that has been improving over a period of time, you should expect that in times to come, the technologies not just ZLD, but others, which are focused towards improving the state of the environment, the state of water and wastewater as also reuse of water from sources which were otherwise untapped, all of these would go up in coming times. In terms of the collective impact of all of this, on the ecosystem of companies like ours, we do expect that there is going to be increased flow of opportunities from the government sector, the municipal sector, as well as from the residential and commercial sector, which would all be required to go in for more and more stringent practices. So, that's as far as that side is concerned, the split of the inquiry book and invoicing between government and the non-government and I will ask Vasant to give details.

Page 21 of 22 Vasant Naik: In terms of the split of the invoicing from the government order in the total engineering segment, it will be in the region of around 10% because, as we have mentioned, the execution of the UP contract has been muted in this year. And in terms of the government contract forming part of inquiry book, it will be less than 5%.

Tej Patel: Got it. And in the non-government part, are our major technology which we are deploying is currently ZLD?

Aankur Patni: No, ZLD is one of the components which we work on and obviously, which is prescribed in some areas but there are several, several more which are worked on. ZLD is one of them.

Tej Patel: So, is it correct to stand, ZLD will be let's say, less than 10% for you as of now?

Aankur Patni: It varies from contract -to-contract and segment -to-segment, and it would also vary from period -to-period.

Moderator: Thank you. We have our next question from line of Omkar Jhaginder an Individual Investor. Please go ahead.

Omkar Jhaginder: I am having three questions. Let me ask my two questions first. My first question is, as we are in the fag -end of the financial year, what enginee ring business orders are we expecting in next 50 to 60 working days, this is a question number one. And question number two, regarding chemical business in the Q1 concall also you said we are operating 65% to 70% of the planned capacity and there is a head room for chemical business, but consistently, we are doing 200 crores of revenue consecutive three quarters. Why chemical revenue has stuck at 200 crores because there is still room for the plant capacity. So, any specific reason for that, and are we expect ing Roha plant from quarter one onwards 40 to 50 crores revenue will come from quarter one, or it will start from quarter two only?

Aankur Patni: The Roha revenues should start from the second quarter, we still have to go through the final

process of comm issioning the plant. In terms of the

Page 22 of 22 overall chemical segment number, I can tell you that we are looking to close the year with roughly around 10% to 15% growth .

Omkar Jhaginder: Sir, growth whenever you say it's always Y -o-Y growth, I agree with you. Last time also I asked the same question, but overall that plant capacity as of now we are utilizing 65% to 70%, so is there a room to increase that capacity, or capacity utilization will be up to 70% only for the current chemical plant?

Aankur Patni: No, capa city utilization can certainly go up and there is a headroom available there . As we expand capacity, Roha for example, we would also be repositioning some of the existing facilities to make sure that we get a very good mix of revenues from both the plants as also optimally use the capacities to generate both top line as well as bottom line. Also, some of the capacities that we have are product -centric. So, in the entire plant, there will be several reactors, some of them would be dedicated to certain types of products, and therefore the capacity utilization gets dependent on a specific product line rather than of the entire capacity as a whole. So, that creates, a different mix of capacity rather than overall number which is homogeneous. So, it's not a homo geneous number that we talk about when we say 65% capacity utilisation .

Moderator: Thank you. Ladies and gentlemen, this is all the time we have for today. I now hand the conference over to the management of Ion Exchange (India) Limited for closing commen ts. Over to you, sir.

Vasant Naik: Thank you all for participating in this earnings conference call. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, please re ach out to our IR Manager at Valorem Advisors. Thank you, and I wish everyone great evening.

Moderator: Thank you, sir. On behalf of Ion Exchange (India) Limited that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Jun 2025

June 5, 2025

To
BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Dear Sir/ Madam,

Sub: Submission of Transcript for conference call under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Please find enclosed the transcript of the conference call held with Institutional Investors/Analysts (Group Meeting) on Friday, May 30, 2025.

The said conference call was conducted to discuss the financial performance of the Company for the financial year ended March 31, 2025. The said transcript is also available on the Company's website at www.ionexchangeindia.com.

Kindly take the information on your record.

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Nikisha Solanki
Company Secretary & Compliance Officer
ACS - 50894

Page 1 of 20 Ion Exchange (India) Limited
Q4 FY'25 Earnings Conference Call
May 30, 2025

Moderator: Ladies and gentlemen, good day and welcome to Ion Exchange (India) Limited Q 4 and FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you ma'am.

Purvangi Jain: Good afternoon everyone and a very warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor Relations of Ion Exchange (India) Limited. On behalf of the company and Valorem Advisors, I would like to thank you all for participating in the Company's Earnings Conference Call for the 4th Quarter and Financial Year ended 2025.

Before we begin, let me mention a short cautionary statement:

Some of the statements made in today's Earnings Call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which would cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Page 2 of 20 Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks.

We have with us Mr. Aankur Patni – Vice Chairman ; Mr. Indraneel Dutt – Managing Director & Chief Executive Officer; Mr. Vasant Naik – Group Chief Financial Officer ; Mr. N.M. Ranadive – Group Head of Financial Planning and Risk Management and Ms. Nikisha Solanki – Company Secretary.

Without any delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you Purvangi . Good afternoon, everybody. It is a pleasure to welcome you all to the Earnings Conference Call for the 4th Quarter and Financial Year ended 2025 .

For the 4th Quarter under review on a consolidated basis, the company reported an operating income of INR 8346 million, an increase of around 7% year-on-year. The EBITDA stood at INR 858 million, which has declined by 7% year-on-year. EBITDA margin stood at 10.28% and net profit was INR 632 million, a decline of by 13% year-on-year, while the PAT margin

in was around 7.6% .

For the financial year ending 2025 , the company reported operating income of INR 27,371 million, an increase of around 17% year-on-year. The EBITDA stood at INR 2939 million, representing an increase of around 8% year-on-year. The EBITDA margin stood at 10.74% and net profit was INR 283 million, an increase of around 7% year-on-year, while the PAT margin was around 7.6% .

Now let me take you through the quarterly segmental performance on a consolidated basis . In the engineering division , the revenue for the quarter was INR 5553 million, an increase of 5% year-on-year. The EBIT for this segment was INR 412 million, which declined by 23% year-on-year, while for the annual financial year ending 2025 the revenue was INR 17,038 million, increase of 17% year-on-year with an EBIT of 1091 million, a decline of 2.5% . The engineering segment Page 3 of 20 recorded sequential and year-on-year turnover growth. However, the execution of the UP Jal Nigam order remains muted.

Regarding the Sri Lanka order there has been positive development at the quarter end with the Sri Lanka authorities committing funds to expedite the job progress . While our inquiry pipeline has remained steady , we did witness delays in the finalization of some large value opportunities. At the end of Q4 financial year 25 the total order book for the engineering division stood at INR 2762 crores .

Coming to the chemical division :

The revenue for the quarter was INR 2228 million, an increase by 12% year-on-year. EBIT was INR 522 million , an increase of 9% on a year - on-year basis . For the annual financial year ending 2025, the revenue was INR 8184 million , increase of 15.5% year-on-year, with an EBIT of INR 2066 million , which grew by 17% year-on-year. This segment delivered improved volume during the quarter while maintaining healthy margins. Our greenfield manufacturing facility at Roha for resin production, is expected to go on stream in the 2nd Quarter of the financial year 25 -26.

For the consumer product division, the revenue for the quarter stood at INR 779 million, an increase by around 7% year-on-year. The EBIT loss for the quarter was INR 52 million, compared to a loss of INR 28 million in the same period of the previous year. For the annual year ending 2025 the revenue was INR 2902 million, an increase of around 14% year-on-year with an EBIT loss of INR 149 million. This segment continues to record volume growth.

With this , I conclude the opening remarks, and we can now open the floor to Q&A.

Moderator: Thank you, sir. We will now begin with the question -and-answer session. The first question comes from the line of Ashmita from Electrum PMS . Please go ahead.

Page 4 of 20 Rashmita: So two questions from my side, the first one being , the order Inflow seemed to be muted for the quarter so just wanted to know, how do we see the growth shaping up ahead and the full financial year?

Management: Good afternoon, Ashmita, thank you for your question. We have been a

bit slow on the order intake for the last quarter of the last financial year , a couple of factors. One is, some of the jobs that we had bid , a couple of large orders we could not win. There was a lot more aggressive pricing in the market. And then a few other key jobs that we have been pursuing have spilled over to the next financial year. So those jobs are still very much alive, and we are in the fray it is just a timing issue for us, and we continue to be selective on engineering projects to be able to pick up jobs that we feel are attractive to our overall engineering business margin. So , we will continue to pick up jobs in a very selective fashion. Rarshmita: Sure. The second questions was , in the chemical margins were quite lower for the quarter. So just wanted to know if you could just state the reasons for the same and just throw some light about it ?

Manage

ment: The 4th Quarter, if you are comparing with the immediate preceding quarter, there has been a decline , due to the seasonality of certain product lines. And also we have seen some input cost increases. We have now taken action to pass on the price increases to the customers. So these two are broadly the main reasons why the chemical margins were a bit lower as compared to the preceding quarters.

Moderator: Thank you. The next question comes from the line of Mic Sel from Alquity Investment Management. Please go ahead.

Michael Sel: Could you just give us your thoughts on the revenue and margin outlook for FY' 26, are we seeing a more sustained slowdown, which you commented on briefly before, or do you think that the last year is more of a consolidation year, and we should expect much stronger top and bottom line growth in FY' 26?

Management: Good afternoon and thank you for your question. In response, we would say that we see a similar trend going forward in the coming year and Page 5 of 20 typically we don't like to give a call out before the first half ends, that has been our preference and our practice in the past. We also are in the process of going through our SAP implementation across the company. So while the first couple of months have been a bit muted, but we hope to pick up, in second part of the first half, we should be able to come back and give you a better outlook somewhere in the 2nd Quarter presentation .

Michael Sel: Thank you. And you mentioned SAP is that having an impact on your order booking and so on, or that's just not causing you any issue in terms of revenue?

Management: As you know, a SAP implementation across the company always gives us a lot of learnings for us to work on. We are going through that, but they are nothing major from a business standpoint. These are a little bit of timing issues but obviously, there is a bit of a disruption as you move from a legacy one system to a corporate wide SAP system. So that is what we are going through and, we feel good that we should be able to get back to a normal course in the next month, which is the third month of the 1st Quarter. So , in summary nothing major, nothing impactful, we should be back on course for the first half.

Michael Sel: Thank you. And one final follow-up question, just in terms of the ongoing court case, the next date is July. Is that the final date or there could be carry on going on for several years still to come ?

Management: We hope it will be final date, but considering the various factors involved in the case, we don't think it will be over by July end.

Moderator: Thank you. The next question comes from the line of Deepak from Sundaram Mutual Fund. Please go ahead.

Deepak: Sir, my first question, I just want to double click on what is our demand outlook for the engineering segment . You have mentioned in the presentation that there was some delay in order finalization and it got pushed off to let say FY'26, most likely will have a good inflow in the Quarter 1 or Quarter 2 of this year. I just want to reconfirm that whatever Page 6 of 20 delay happened in order inflow since two months have already passed. Are we nearing closing those new order wins, let's say in Q1 of this fiscal year?

Management: We don't speak on specific orders, but we feel comfortable with the pursuit of those large cases. Again, a lot of them are not in our control, and it's a basket of opportunities that we pursue . Overall , as one would expect in the sector that we are in, there is no dearth of opportunities,

but looking at our past track record execution from these orders, we would want to be selective and picking up good quality orders, which helps us to maintain or improve the quality of profitability in engineering segment. And as I said a little bit earlier, to continue to be selective about the orders that we pick up and not do anything to the co

ntrary.

Deepak: Sir, I understand that, as a company, we are very conscious in terms of what kind of order we are taking, and we are very much conscious of the cash flow impact as well. So how should I look about, let's say growth in FY'26 this segment going forward, and also on the fact that you had one onerous order, which was kind of troubling us in terms of margin and UP order is also not picking up. So how should I think about, let's say going into this year in terms of growth numbers and margin for this segment ?

Management: So, first of all if you refer to some of those past orders that we have referenced in the previous calls, so these are large orders both the UP order, as well as the other one that we referenced. So we continue to work through some of the headwinds there, and that's partly the impact of that you would have seen in our numbers. And these are the kind of reasons why we would like to be selective in what we pick up. Having said that, that doesn't mean that we are looking at a very conservative order backlog, as I said there are orders in the market, both in India as well as outside which we continue to aggressively pursue, but we will be very careful in terms of the quality of the order that we pick up. Management: Overall, the demand scenario both in India and abroad remains attractive in the long run, and what we are trying to ensure is to keep steadfast on Page 7 of 20 the long term goal without really looking at very short term gains to pick up orders which are not justified in terms of bottom line. So Deepak, to give you a guidance we are looking at several opportunities, both in India and abroad and we do hope that we will have some good ones to book in the short and medium term. We will try to ensure that the quality of orders does not have an adverse impact on our bottom lines.

Deepak: Okay. And sir one question I had on consumer product. So earlier in two, three calls you had mentioned that you would want to clock an +80 crore kind of revenue run rate in the consumer product and right now, if you look at our Y-o-Y growth rate in Q4 it's now come down below 10%, it is around 7%. So, I just wanted to understand, is it that the category itself is not growing, or is it the category is growing and we are facing more competition or is it that the B2C segment is doing well within consumer but it is the institutional sales which is dragging the overall growth of consumer products ?

Management: So you are right. We continue to see good traction and growth ability both in our products and our services business on our core B2C & B2B business. We are working to improve our order acquisition process in the institution segment. So that's a part of the business that we have been strengthening. We are seeing good traction in terms of leading indicators around pipeline and funnel. All the macroeconomic indicators in the country are all positive for this segment. We believe that we also will be able to benefit from the structural changes that we have made. This segment, which is part of the consumer segment, will also show growth in this FY.

Deepak: Sir could you please highlight in Q4, what was our B2C growth rate and B2B growth rate for us to clock an overall growth rate of 7% ?

Management: I am sorry, we don't give individual product lines break up in this call. Maybe if you can reach out to Valorem, we can take this up separately.

Deepak: Sir now Roha plant will come into operation in Q2. So you have debt on the balance sheet and whatever was being capitalized now will be Page 8 of 20 expensed out. So could you please highlight what is the interest outflow one should expect in FY'26?

Management: As we have informed in earlier calls, the total CAPEX of the Roha plant is in the region of around Rs.400 crores, and the debt component is around the 80% of that. So once the entire debt is disbursed and it comes on our b

ooks, the interest cost is just below 10% for this term loan.

Moderator: Thank you. The next question comes from the line of Chetan Vora from

a Abakkus Asset Manager. Please go ahead.

Chetan Vora: Can you explain on the EPC front that the growth of this quarter was 5% was lowest since 5, 7 quarters in the margin of close to 7.5% like five years' low. Would you like to comment on that, on the EPC and how do we see the situation going right. And would like to understand the update on the legacy project which has been dragging down the overall performance?

Management: So well Chetan, as you rightly commented, the margins in this particular business have been a bit muted. There are a couple of large projects that we are working through the execution which we talked about in the last call are giving us headwinds in this segment. As we said a short while back, these are multiyear contracts and margins will be under pressure for these jobs. However, there are other parts of the engineering projects that are going well. We have got some good jobs on our international portfolio also and we believe that should help us mitigate some of those large order headwinds. And as we speak we continue to work on strengthening our execution and working with our customers to see that we can come out of these jobs in the best possible way by closing them out. Unfortunately, this is not a one Quarter phenomena and we continue to work and grind this out and close these contracts.

Chetan Vora: By when this would be out sir?

Management: This will continue definitely in this financial year, and maybe early part of the next financial year, both these jobs will continue for the entire financial year.

Page 9 of 20 Chetan Vora: So even the UP is cost overrun for us?

Management: There is no cost overrun as of now.

Management: It's more a time spent. Every organization executing these projects are seeing time overruns. On the profitability front, we are still able to manage with very tight project management there. But there's still some way to go for us.

Chetan Vora: But it was told in the last Concall that this legacy projects will be getting over by the Quarter 2 of this year. Now it is being told that this year in the Quarter 1 of next year, it will go on till then, so just would like to understand that, can you explain the disconnect?

Management: What was mentioned now was with reference to the UP project which is going to spill over to the beginning of the '26-27, while the other legacy project we expect to largely get over by the end of the current financial year.

Chetan Vora: So it has got extended till up to the end of this year from Quarter 2?

Management: That's right.

Chetan Vora: And even the UP project is making the subdued margins for us vis-à-vis our earlier expectation?

Management: As we have been informing in earlier call, we don't give project specific margins.

Chetan Vora: I am just asking direction. I am not asking for the number, but I am just asking the direction. It is making the margins which is lower than our EPC margins, right, is it fair to assume?

Management: That may not be a fair assumption.

Chetan Vora: Then how should one work with it, and what's the unexecuted UP project order value as of now?

Management: That has been given in the investor PPT, it is around Rs.378 crores.

Page 10 of 20 Chetan Vora: But it will be getting continued till up to Quarter 1 of next year right?

Management: That's right.

Chetan Vora: Okay. Apart from that, how do we see the EPC demand environment, because order info had been muted for this quarter, and the growth has also decelerated to 5% any reason for that, why the growth has decelerated?

Management: As I said, we see a lot of opportunities in the EPC space but we are trying to be selective to ensure that we improve the profitability of that segment.

Chetan Vora: And the reason for the revenue deceleration up to 5% any specific?

Management: We already addressed that, the UP job, the execution which was expected in the current financial year that has not happened as per the plan largely because of the funding issues which we have faced in this contract. So that is primarily one of the reasons why there is the lower

than expected growth in the engineering segment in the 4th Quarter .
Chetan Vora And so lastly, on the chemicals, the plant will be up and running by the Quarter 2 of this year. By when the commercial portion will start , it will be in the trial phase for at least some time in the commercial production begin then after right ?

Management: We are very close . We are doing various kinds of testing. Obviously, this is a plant largely catering to the export market, we need to ensure that we have everything right in place. But we are very close , most of the systems are installed, commissioned, and we are in the process of the pre -commissioning activities as well.

Chetan Vora: So for the year as a whole, the chemicals will be at the same profitability as what it was in the last year FY '25?

Management: As we said we would be able to give you a better outlook around the end of the second quarter, as of now we see limited headwinds, but I will

Page 11 of 20 just leave it there, and we can come back and share with you a little bit more accurate guidance in the end of the first half of the year .

Chetan Vora: Last question on the balance sheet side, our debtors has also gone up, which were like 140, 145 days has gone up to 160 days ?

Management: One major contract which has contributed to the increase in debtors is the UP contract, as I mentioned the funding issues in this contract has led to an elongated debtors level in this contract. And second is , we had a spike in invoicing in the month of March, which has slightly distorted the overall debtors level. These are the primarily two reasons where we are seeing the number of days have gone up.

Moderator: Thank you. Your next question comes from the line of Ajaz Lakhani from Unify Mutual Funds. Please go ahead.

Ajaz Lakhani: Sir my first question is , that if you look at the PPT deck and see the order book from UP that was outstanding in December 24 it showed Rs.719 crores. And that number has dropped to Rs.378 crores. So you have effectively done Rs.350 crores ballpark from your old order book. And, I am just trying to understand that in the earlier call again, we clearly stated that there was because of the bureaucracy, there was a time delay but what is visible is the Rs.350 crore rundown in the UP project. So firstly, is that understanding correct , because I have following questions based on this ?

Management: Yes, so I must compliment you on a good reading of reports . Your understanding is correct . We have taken, a correction on order backlog based on what we see on the ground. The earlier backlog was driven by more from the original project that we took up and the detailed project reports, the DPRs . But based on the actual situation on the ground, we expect some foreclosures to happen, and also, because the project has taken an inordinate long time to deliver and our objective is to close the project, we have taken a conservative view of the remaining order backlog and that is why you see a drop in the order backlog .

Page 12 of 20 Ajaz Lakhani: Since that I have and again it's not clear from what you have just spoken in your earlier commentary that now this business especially UP is just barely 10% of or 12% of your existing order book, and incrementally the share of it in revenues will be lower. And you have again, cited on previous calls that, and you can refer to Quarter 1, Quarter 2 call, where you said that there's been an adverse impact of that project on the overall engineering margins. You have also spoken

en simultaneously about picking up better quality orders incrementally that do not hurt you like the UP. So I am just trying to understand that, should we not build for better margin trajectory in the engineering business in FY'26 and onwards, given that the run rate of these old projects is now far lower than it was in 25 and 24 ?

Management: That is absolutely correct. That is exactly what we want to do, and that is why as we said we have been selective in picking up the kind of jobs we want to do and take learning from our experiences. And as I also said earlier, at this point we will not be able to provide you guidance for the year, we can come back and talk about it at the end of the second quarter. But directionally, what you said is correct. That is what we would want to do, finish these jobs where we had headwinds in the past and move towards better quality orders to be executed. And as we said, in that order backlog of Rs.2700 odd crores, you see about 12 % to 15% is on

the UP job. So, we are working very consciously towards improving the quality of the executable orders for the company .

Ajaz Lakhani: Understood. Sir the second bit is, in the earlier comments above you mentioned that there has been some margin compression on chemicals. So, I want to understand that from a raw material basket. Do you foresee headwinds , you called out that you have taken the cost pressure increases, but are you incrementally seeing any raw material headwinds, and what is the effect of the increase in cost that has been passed on , is it 100% or is it just some part of it, and some part is yet to be taken?

Management: So this is a process that we continue to observe on a very regular basis. As we have mentioned earlier, these are driven more by commodity price changes , and we have been extremely agile in the past to ensure Page 13 of 20 that the profitability of our chemicals businesses is protected. Sometimes, you do end up with a little bit of a timeline gap between the cost hitting us and we transferring that back to our customers. So the same process has happened in our parts of the chemical business. We have gone ahead with price increase , but again as you would understand that it is always a balancing act between getting priced back and then maintaining share. That's what our businesses in the chemical segment are working on. But we have done this, multiple times over the past several years, and we feel confident to be able to navigate this cost rise as well.

Ajaz Lakhani: I understood, but is there a headwind in the raw material basket for chemicals today , I haven't understood that ?

Management: I don't think we are getting that. But as I said, it's a very dynamic situation. So , I don't want to call and give you a lot of comfort. We are taking almost real time action from a pricing standpoint to ensure that we are able to protect our margins in this part of our business .

Ajaz Lakhani: Understood . And sir is it fair to then understand that the entire increase in cost price has been passed on to customers fully?

Management: , I wouldn't make that comment. I would say that , in parts of the business we have passed on, and we continue to work through that process .

Ajaz Lakhani: Understood. So you have called about, in the capital segment the management thoughts of focusing on the export opportunities that are there in North America and Europe , and I am presuming that is because of a better margin profile. So could you please elaborate on what are the steps the management has taken to increase this opportunity pie?

Management: So that's our focus and how do we grow the chemical part of our business , you all heard that our Roha plant is close to commissioning , that's a big part of our chemical 's growth strategy. I also said that a big part of that plant we are building to cater to our exports market. So clearly there is a lot of work

the company is doing in terms of ensuring that we are able to fulfill the volume that will come out from the Roha Page 14 of 20 plant, and that also goes true for our other businesses, including chemicals and membranes. All these products that we sell today are also sold in the international market. We are strengthening our go to market on the international front. And we hope to see the results of that coming forward in the future quarters.

Ajaz Lakhani: Sir, understood could you call out, what is the go to market , I am just trying to understand a little more about what are the efforts that the management should have made in this direction ?

Management: So, in this call we will not be able to give you any more specifics , if you are interested to know more, we will be happy to have a conversation through Valorem , we will be happy to share whatever more we can. And the other part that you know that we are in a very competitive market. So beyond this, in a forum like this it will be difficult to share more .

Ajaz Lakhani: Understood, sir, and we will definitely reach out. Sir just my final question is that, does the plant require to be approved by customers or because effectively the similar product range will be coming out. The customers really know Ion Exchange and it's just a business continuity, or do these plants require revalidation from customers?

Management: No, these are all standard products that we make there, and these are very standard processes . No, there are no requirements for us to get new approvals from customers for this plant .

Ajaz Lakhani: Got it sir. So finally my understanding on the chemical segment is , that

as Roha plant comes on stream, your ability which today is constrained because from a utilization standpoint, you are pretty much maxed out in chemicals. Will effectively, we start to be able to see the revenue traction building from say 2nd Quarter and 3rd Quarter onwards, is that understanding fair?

Management: Yes, our sales people will get very busy very soon.

Moderator: Thank you. The next question comes from the line of Prem Singh from AC Chokshi Brokers. Please go ahead.

Page 15 of 20 Prem Singh: So, I would like to ask, when can we expect consumer division to be profitable at the EBITDA level and have you received environmental clearance for the Roha plant?

Management: Yes, we are going through our clearances we will not speak about specific clearances, but we are on the last leg and in parallel, we are also working on our pre-commissioning. We expect those last few action points to get closed very soon, and then hopefully we can come back and give you the good news of production happening from that plant

Management: During the year, we have invested substantially, as we have covered in our earlier calls, on our infrastructure, including manpower and on our distribution network. And also we have ventured into newer market segments within this consumer products, the payback did not happen as per the timelines what we had anticipated during this year, but we remain hopeful that as the volumes have picked up, which you have seen, we should be having a much better margin profile to disclose in the results going forward from the 3rd and the 4th Quarter onwards.

Prem Singh: All right. And just another one, are we getting any sort of inquiries from industries that are currently booming, such as semiconductors or any data center related industries?

Management: Yes, as we mentioned in the past call, these are some of our growth segments. We are working very closely with some of our customers in this space, in fact there were some significant opportunities we were pursuing in one of the segments, but unfortunately those did not close in our favor, predominantly because of extremely aggressive stands taken by a competitor, but these are important segments for us. In some of them, we have str

ong references and track record, we will continue to work on these segments. Our teams are continuously working with our customers, and we believe that we will get good results in that segment in the future.

Moderator: Thank you. The next question comes from the line of Omkar an Individual Investor. Please go ahead.

Page 16 of 20 Omkar: Sir, I need some clarity on earlier participant had asked you on UP and Delhi project. In Q3 presentation, Delhi Jal Nigam order was mentioned including UP order. And suddenly, in this quarter presentation, the Delhi Jal Nigam order book is got disappeared from the presentation, whether Delhi Jal order book was there or it was only UP order book, that was my first question. And in which month Roha plant will start, and are we expecting overall good margin in this particular financial year as compared to last financial year?

Management: So, you have three questions. I will answer all three one by one. The first question, this is the UP Jal Jeevan Mission or Jal Nigam project, there are two circles that our company is executing. One is in Eastern UP and the other is on the Western side of the state. So that is where, we are talking about these two projects, it is the UP project that we are doing in two locations of the state.

Management: And just to follow up on in the last presentation we had mentioned Delhi Jal Board, that was a very minuscule part which has since been completed.

Omkar: Okay. And sir which month Roha plant will start in Quarter 2, and can we expect better margin in this financial year, my second and third question?

Management: Yes, so we will not be able to give you very specific month as I said, we are very close. We are going through pre-commissioning, we are getting everything lined up, so we should be able to come back with some good news soon, but at this point it will not be fair or accurate for us to give you a specific month information. As regards your question on the overall margin outlook of the year, as per company practices, we should

be able to come back and give you a guidance, a broad guidance in the end of the 2nd Quarter.

Omkar: Okay . And sir last small question, any big orders are we expecting in next two, three months as last year was muted in terms of winning new engineering orders. So any specific orders can we expect because last year was little bit tough for getting big orders ?

Page 17 of 20 Management: As we said in the earlier part of the call, we continue to work on the engineering segment. It is a very important segment, the biggest segment for the company. At the same time, we continue to look for good quality orders and that's what our effort has been as we speak right now, there are multiple opportunities both big and medium that we are working through. But again, it will be improper for us to make a call. Ultimately, we are in the competitive market , but we continue to work on quite a few deals, but we will continue to be very selective and be interested to picking up good quality orders.

Moderator: Thank you. The next question comes from the line of Mahesh, an Individual Investor. Please go ahead. Since there's no response from the participant we will move to the next participant, that is Saket Kapoor from Kapoor Company . Please go ahead.

Saket Kapoor: With respect to the UP Jal Jeevan project, how is the pace of execution currently, and when are we supposed to conclude the project , and also on the residuals , on the residual fund. What is the position of the movement of funds, if you could just throw some color on the same , currently how are things happening ?

Management: As we mentioned earlier in the call the UP Jal Nigam project has been moving slow. There has been a challenge on the allocation of funds, which is getting worked through, and hopefully we will see some improvement in the future, but the project progress has been

slow, which

has been reflected in our engineering business performance in the last preceding quarter. As we also mentioned in the call, looking at the progress of the project we have taken a conservative view of the balance order backlog, and as we have also said that we expect the balance of this project to continue throughout this financial year, and we should be able to hopefully wrap it up early in the next financial year .

Management: And you had asked about the receivables on the UP project . As mentioned earlier, there have been some funding issues on this contract.

So the collections against the receivables have been slow in the current year. So that is one of the reasons why our overall debtors days have gone up. But coming to the specifics of the amount, I am afraid that we don't disclose on the investor calls .

Saket Kapoor: And sir you mentioned that this project will be executed over the entire this financial year, and it will take the next year also 1st Quarter , I missed Indraneel's comment on the same can you come again sir, where are we expecting the closure?

Management: That is our conservative estimate looking at the run rate of how this project has moved in the last six months. It is obviously in our interest , we are fully mobilized on all the sites , we would want to close and complete this job as soon as possible. If we see a faster fund flow coming in, then we should be able to finish these jobs earlier. But I don't want to give any optimistic picture right now. This is purely based on the progress of this job and allocation of funds in the last six months.

Saket Kapoor: Okay , just to conclude that means the project has been almost stalled otherwise, the size of the pie which we are garnering, if the execution takes this longer time that means there are some serious issues with the entire execution process , it is only we got a small package out of the entire project, so got your point sir, issue with the .

Management: I don't think that that was exactly what we wanted to communicate. What we were trying to say , is that we have seen progress, but we have not seen sufficient fast progress to get this job concluded in the next 3

Quarters, based on our current fund flow that is happening . We continue to see progress on the project , we continue to get milestones done , some of the projects actually are moving to the O&M phase . So the other thing that you must remember is that , we don't get out of this project purely by completing this project. There is an operation maintenance segment of this project over the next 10 years. So we are working with the

government and the administration to move some of the completed projects to the O & M phase. So , here we are talking about more the EPC portion of these projects. So progress is there , some parts have been muted because of the fund flow in the last few months, which we are expecting should pick up, so that we can close the balance in this Page 19 of 20 financial year. We have been conservative, and we have taken up that there could be certain foreclosures. So we are working on this project on a very conservative basis, but we are fully mobilized, and as funds flow pick up, we should be able to pick up speed as well.

Saket Kapoor: Okay. And last question sir, we did an acquisition earlier a foreign company, by the name Map ril, I forg ot the name. How is that acquisition dealt currently to our portfolio ?

Management: So that's working well, this is about close to two years since we acquired the company . We have kind of been over the integration process. It's gone well, we are fully inte grated , they have a good reference base in South Europe, specifically in Portugal and Spain. That's the focus market that we are working on. We are taking more of our products to that geography, and it's going well and we believe that, that should give

us a good launch pad for the company in the South Europe market.

Saket Kapoor: And what are the contributions , numerically can you give the revenue contribution for this financial year and margin posted by the same ?

Management: As we said, we don't talk about the specific entity performances, but it is beginning to pick up traction in terms of our leading indicators, and we feel good about where we can take that business to .

Moderator: Thank you . Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.

Management: Thank you all for participating in this earnings con -call. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, we would be happy , we are very thankful to all our investors who stood by us and also had confidence in the company's growth plan and focus . And with this, I wish everyone a great evening. Thank you.

Page 20 of 20 Moderator: Thank you, sir. Ladies and gentlemen on behalf of Ion Exchange (India) Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

August 8, 2025

To
BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Dear Sir/ Madam,

Sub: Submission of Transcript for the earnings conference call held for Q1 FY 2025 -26

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015, the transcript of the earnings Conference Call held with Institutional Investors/Analysts (Group Meeting) on Friday, 1st August, 2025, regarding discussion on operational and financial performance for the first quarter ended 30th June, 2025 . The said transcript is also available on the Company's website at www.ionexchangeglobal.com .

Kindly take the information on your record .

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Nikisha Solanki
Company Secretary & Compliance Officer
ACS - 50894

Page 1 of 19 Ion Exchange (India) Limited
Q1 FY'26 Earnings Conference Call
August 01, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Ion Exchange (India) Limited Q1 FY'26 Earnings Conference Call hosted by Valorem Advisors. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask ques tions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this call is being recorded. With this, I now hand the conference ov er to Ms. Nupur Jainkunia from Valorem Advisors. Thank you and over to you ma'am.

Nupur Jainkunia: Thank you. Good afternoon everyone and a very warm welcome to you all. My name is Nupur Jainkunia from Valorem Advisors. We represent the Investor Relations of Ion Exchange (India) Limited. On behalf of the company and Valorem Advisors, I would like to th ank you all for participating in the Company's Earnings Conference Call for the 1st Quarter of the Financial Year 2026.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's Earnings Call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties, which would cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking stateme nts in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. Aankur Patni – Vice Chairman; Mr. Indraneel Dutt –

Managing Director & Chief Executive Officer; Mr. Vasant Naik – Group Chief Financial Officer; and Ms. Nikisha Solanki – Company Secretary. Without any delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Page 2 of 19 Vasant Naik: Thank you Nupur . Good afternoon, everybody. It is a pleasure to welcome you all to the earnings conference call for the 1st Quarter of the Financial Year 2026. For the 1st Quarter under review on a consolidated basis, the company reported an operating income of INR 5832 million, an increase of around 3% year-on-year. The EBITDA stood at INR 627 million, a decline of 2% year-on-year. EBITDA margin stood at 10.75% and the net profit was INR 484 million, an increase of 8% year-on-year, while the PAT margin was around 8.3% . During the

quarter the company migrated to the SAP environment, which led to certain transition related challenges that partly impacted the business volumes. However, the operations have now largely stabilized. Now let me take you through the quarterly segmental performance on a consolidated basis . In the engineering division, the revenue for the quarter was INR 3180 million, reduction of 2% year-on-year. The EBIT for this segment was INR 278 million , an increase of 48% year-on-year. The inquiry pipeline remains steady for the engineering division during the quarter. However, delays in the finalization of certain large value opportunities impacted both order inflow and backlog. The execution of the UP Jal Nigam order remains muted. On a positive note, we received payments from the Sri Lankan authorities against approved bills which will facilitate the expeditious closure of the contract . At the end of Q1 FY'26 the total order book stood at INR 26,640 million , while the bid pipeline was more than INR 92,000 million .

Moving to the chemical division, the revenue for the quarter was INR 1,889 million, a reduction by almost 5% year-on-year. The EBIT was INR 467 million, a decrease of 6% year-on-year basis. The segment has maintained the margin profile. The company is on track to commission the greenfield manufacturing plant at Roha for manufacturing of resin in the current quarter that is Q2. For the consumer product division the revenue for the quarter stood at INR 902 million, an increase of almost 36% year-on-year. The loss for the quarter was INR 9 million compared to loss of INR 34 million in the same period of the previous year. The segment continues to witness consistent turnover growth supported by deeper market penetration and increased acceptance of our product portfolio. With that, we can now open the floor to the question -and-answer session. Thank you.

Page 3 of 19 Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Sabir from Unifi Capital. Please go ahead.

Sabir I: We had taken about 2 crore provision of doubtful debts in FY '24, we got payments from Sri Lankan projects, that is good news for us. We wanted to understand what's our policy to recognize any loss or any account receivable issue that we may face on the UP project or on the onerous project which are we executing . Basically, want to understand what's a policy to recognize loss or impairment for the projects we face issues in?

Management: The provisioning is based on a party -to-party level assessment of the outstanding and situation on the ground. So depending on how the project is progressing, how the payments are coming , the company has a provisioning policy for each of the contracts which are under execution. In addition to that, we also have a expected credit loss policy matrix ,based on which we are recognizing certain provisions based on the overall aging of the accounts receivable in the books.

Sabir I: So we are confident with that , we don't feel any sort of stress that happened in FY'25 and Year' 26 on this issue, right?

Management: Yes, we are confident the provisioning is adequate to cover any possible credit losses .

Sabir I: Okay , thank you. The next question was on the Roha expansion, so this was largely to cater to export markets. Can you please call out which geographies are we targeting and will be facing any tariff impact?

Management: We currently operate across nearly all regions globally, with active

markets spanning the Americas, Europe, Asia -Pacific, and the Middle East. Our company continues to serve these areas, and we remain committed to further expanding and strengthening our presence within them with the Roha plant coming on stream.

Sabi I: Are we envisaging any particular increase to the US geography?

Management: Yes, that's again one of the bigger markets, and li

ke in Europe, Middle

East, APAC we will also continue to expand our presence and coverage in the US market .

Page 4 of 19 Sabi I: And we will be let's say, from effective today the 25% tariffs will be effective if we make any sales over there ?

Management: In the last revision that was circulated, which was in effect till now, there was no impact on the products that we were selling. So we are taking a look at the new tariffs that have been announced, and based on the situation then we will appropriately respond. So far, till the last policy, there was no impact on our products selling into the US market.

Moderator: Thank you. The next question comes from the line of Chetan Kirti Vora from Abakus Asset Manager. Please go ahead.

Chetan Vora: Sir, wanted to understand what was the impact on the sales because of this transitioning of towards SAP?

Management: We had some impact because of transition to the new SAP platform.

The biggest impact was in the month of April for our chemicals business, because it is largely consumable driven. We have had some revenue loss, which we could not recover . For our engineering business it is more of a timing issue. which we hope to recover in the next two, three months of this quarter and the first month of the next quarter .

Chetan Vora: Would it be possible to you to quantify on the same ?

Management: So we don't give specific numbers, but I would say that this is contained within a single digit percentage impact .

Chetan Vora: Okay. And so adjusting for that, how do we see the full year for the engineering division in terms of the growth ?

Management: As we mentioned in the last call, our policy is to give an outlook for the year at the end of the 2nd Quarter. So the 2nd Quarter, we will come back and give you an update . As of now there is no major difference in the outlook compared to what we saw when we had the last quarter call of the last Financial Year.

Chetan Vora: And the legacy projects will be getting over by Quarter 2 yes , that's what we had mentioned last quarter ?

Management: No, last quarter, we did not mention that. We had said that we are going through the execution of the projects where we have had execution

Page 5 of 19 challenges, we continue to make progress through them, but it will take us till the end of the year for us to close the projects as of what we see right now .

Chetan Vora: Okay. On the chemical also, whether the sales were affected because of this SAP thing, because the growth was flattish?

Management: Yes, we actually lost almost entire April month because of the SAP implementation. that The Chemical segment has been more impacted because that's consumption based, as you understand, so we could not get back the significant part of the April revenues which we lost.

Chetan Vora: So the revenue lost is lost, for the chemicals ?

Management: For that particular the few weeks, but we are now on the recovery part , the chemical business platform has stabilized, and we expect us to be back on usual terms of business for this 2nd Quarter .

Chetan Vora: And by when this new plant will be getting commissioned ?

Management: The Roha plant will get commissioned in this quarter ,

Chetan Vora: July is already gone so maybe August is not expected by September end?

Management: We have made good progress , we are in the process of commissioning, product stabilization and getting the right quality products out. So we are hopeful that we should be able to give you good news by the time we come back for the next quarter update .

Chetan Vora: Right. And lastly sir, what is this other income of this 19 Crores ?

Management: Other income , it comprises of the interest income on the temporary cash surplus which we are parking in FD s, and also there is a element of exchange gain ..

Moderator: Thank you. The next question comes from the line of Deepak from

Sundaram Mutual

Fund. Please go ahead .

Deepak: Sir first question is regarding this tariff thing s which is panning out. Now India at 25% and European region at 15% and as you know that some of the plants of Ecolab and Lantis , which are our competitors in this Page 6 of 19 chemical space, they have factories in Europe as well, which places them at a relatively better position versus us. So do we see that there could be some volume lifting problem for us let's say in the US market, as Europe is now relatively better position in terms of let's say export because of lower tariff , how are you looking at the situation?

Management: From our perspective, it's a vast market, and we continue to expand our presence and our coverage. There are various players supplying to the US market from all across the world, including US itself. As I said in the earlier question , we are still studying the impact of the tariffs increase, the previous tariffs that was there, there was no impact on our product line. We are still studying the same but we feel that, we should be able to continue to hold on and continue our business wit h our set of customers that we cater to, and we also are confident that we will gain share in some specific areas. So overall, we don't see this yet to be a cause of concern that we would like to highlight.

Deepak: Okay . And sir what kind of capacity utilization are we targeting for the new Roha plant in FY' 26?

Management: So this plant is a very large plant, and supposed to increase in phases as of now. Our plan is to go up to full capacity over a period of the next three to 4 years.

Deepak: Okay. And second is on this engineering front. So , you have mentioned in your PPT that there have been some delays in large order value . So, I just wanted to understand what is the quantum of the order backlog deferral are we talking about?

Management: So as you see from the data that we have submitted, we have not had any significant order wins to report to the market. We continue to pursue selectively opportunities in the market, both in India and abroad. As we had mentioned in our last few updates, we continue to remain extremely selective . In the last quarter , there were one or two projects we had targeted which we had lost. We don't have any major losses to report for this last concluded quarter. However, timing wise, the conclusion and t he results of those projects which we were pursuing have been delayed. So that is the reason we don't have any significant wins to report. However, we continue to pursue all the opportunities that we are selectively pursuing.

Page 7 of 19 Deepak: But sir, is this situation in terms of let's say new order intake , is it as of now relatively looking better than what we saw in Q1?

Management: Ultimately, it is all linked to what you end up winning. As I said, we have not had any significant decisions being made. They have been deferred , so we continue to pursue and we continue to remain hopeful .

Deepak: Okay . And sir, just to continue to that. So this quarter, we have reported an EBIT margin in the engineering segment of 8.7% which is almost like 4 to 5 Quarter high. So just wanted to understand what led to such significant improvement in our EBIT margin in engineering segment, and how sustainable is it let's sa y in the next nine months of FY' 26?

Management: In the current quarter , the EBIT marg in has benefited from a one -time extra cost rebate, which we got from one of the large EPC contract, which is presently under execution. Considering that the current year revenue is lower than the previous year and. and if we exclude the above one time impact, the margins would have been definitely lower as compared to what we have disclosed in the previous year, because the infrastructure cost are at a much elevated level, and they are designed to meet to mu ch higher volumes. Also the legacy project which largely depressed the ma

rgin last year, there was insignificant invoicing in the current quarter .

Deepak: Okay. So adjusting for that one time benefit, and also this legacy contract, what could have been our margin then ?

Management: Without going into the specifics of the exact margins, what we can say is that , it would have been lower than FY 24 -25 engineering segment

margin .

Deepak: Okay, sir . And sir, one last question on consumer , so this quarter we have seen a strong comeback and we have reported almost 37% Y-o-Y growth rate in the consumer product. Just want to understand that , is this because of some order deferral in the institutional order, from Q4 to Q1 within the consumer or is it something else?

Management: We have been strengthening across the board in terms of our coverage and customer engagement across all the segments, including the consumer product segment. This being a more shorter cycle nature of Page 8 of 19 business, we are seeing some of those results trickle in, but still, we are just scratching the tip of the opportunity potential here. There is a lot, lot, lot more that needs to get done.

Moderator: Thank you. The next question comes from the line of Nirmam from Unique PMS. Please go ahead .

Nirmam: Sir my question is on the chemical segment. So one clarification first, so the de -growth that we saw this quarter was largely due to the SAP implementation, and not because we were seeing any margin challenges, and we wanted to protect our margins, right?

Management: That is a correct assumption .

Nirmam: Okay. And sir secondly, so we have a lot of capacity in our existing plant as well, and we will also be commissioning the Roha plant. So, could you just give your plans for the new plant as well as the chemical division in whole how do you ramp up, or how do you go forward?

Management: We feel confident that we will be able to use up the progressive increased capacity available due to the commissioning of the Roha plant.

Nirmam: Sir, what would be the existing plants utilization then?

Management: Current year since the volumes are a bit subdued because of the SAP related challenges, the capacity was in the region of around 65% .

Nirmam: And we feel that this could go up to 80 %, 85%?

Management: Yes, this will go up, percentage we would not like to comment, but we have headroom to grow, which is what got impacted because of inability to service due to the SAP transition, effective July onwards, is back to business as usual across all our plants in the chemical segment .

Nirmam: Okay, sir. And sir one last question on the engineering side you mentioned that this quarter, the margin was due to onetime thing. So the legacy project and the UP slowdown will continue for this year right, it will only say go away from the next year onwards ?

Page 9 of 19 Management: That's right, the UP project will continue for some time of the next year also, while we are hoping that the legacy project as of now, we are expecting to substantially close by end of this Financial Year.

Moderator: Thank you. The next question comes from the line of Henal Bagadia from Equi Corp . Please go ahead.

Henal Bagadia : I had some questions around the sunrise industry. So do we have, have we developed the in -house tech for the semiconductor solar and the data center vertical . And is this an extension of the INDION Swift 5Gx tech that we had developed for the pharma and the biotech world in terms of controlling the particulate particles in water?

Management: Thank you for the question. So we have continued as a company to actively engage in the market potential for the segments that you mentioned, across all these segments the company has been successful in getting business over the past many years. We continue to pursue opportunities in pharma, in solar and in specific semiconductor pursuits that come up, this is almost now become a part of our regular busi

ness especially the solar and the pharma segment pursuits.

Hemal Bag adia: Just for further clarification, did we so there are a few companies in India which have gone for the –27:05 . So have we bid for the projects, and have we converted them into orders, or are we still in the process?

Management: So we have executed a lot of projects in ultra-pure water in the solar segment. We continue to pursue opportunities across the solar and the renewable energy spectrum. Again, we are selective in our bids, and we also as we mentioned in the last investor call, we would want to be selective and pick up projects where we believe we can have a profitable execution, accretive to the engineering profitability in the

segment . So we continue to pursue opportunities across the solar, semiconductor and ph arma segments.

Hemal Bag adia: So is it fair to assume, based on market data for every gigawatt it requires about one MLD of ultra-pure high water plant. And what would be if so, what would be the size of these contracts , per ML if we go for per million liters per day ?

Page 10 of 19 Management: It's difficult to give such a number , it varies the semiconductor projects are at a particular level depending on the nature of those plants there also there is variation. The solarmodule manufacturing plants also vary based on capacity and we have done projects across the size spectrum for large domestic and international solar players also , so difficult to give you a number but our team continues to engage in a very, very focused fashion on these segments and very selectively the pursuing opportunities that we want to close in our favor.

Hemal Baga dia: And lastly, on the engineering part. So , if we remove the legacy order that is the UP Jal Nigam and the Sri Lanka part, so do we have any percentage of the order book which has got low or extremely low margins, or is it fair to assume the existing order book is in -line with the EPC margins, the standa rd EPC margins that we bid for?

Management: So as we said, my colleague said that one adverse order that we had called out .

Hemal Baga dia: Sir that was going to get over in the Q2 of this year, right the industry related order where we had called .

Management: We just responded that and clarified that this order will be executed all through the end of this Financial Year. Our remaining order book margins will align closely with our engineering segment business margins for FY 24 -25.

Hemal Baga dia: Sir just a further clarification, in case there is any adversity on the UP Jal Nigam order, does the contract allow for passing on the cost escalations ?

Management: So the UP Jal Nigam contracts, because they have been moving slowly we have already taken, some of those out of our backlog, and that is where there was a dip in the order backlog that we carried, which we reported in the last investor call. Beyond this, we don't anticipate any other adverse impact on these orders for which the fu nds availability has been slower than in the past few years.

Moderator: Thank you. The next question comes from the line of Ruchit Agrawal from Unify Mutual Funds. Please go ahead.

Page 11 of 19 Ruchit Agrawal: A question on the UP project, we had called out last quarter that the O&M portion will be executed over the next 10 years. Could you please help bifurcate how much of the Rs.366 crore outstanding would constitute of the O &M portion ?

Management: The UP Project which is presently disclosed as part of the order back log does not include the O &M portion , it is purely the EPC part.

Ruchit Agrawal: Okay, and could you help quantify that number?

Management: It will not be possible to quantify, because the Project is a conglomeration of smaller individual contracts and it really depends on how much value of the contract gets finally commissioned . So maybe end of the current Financial Year, as the proje

ct moves towards the completion phase, we will be in a better position to disclose the O &M aspect .

Ruchit Agrawal: Sure, sir. A nd in the previous call, as the proportion of the UP project and the onerous project as a percentage of our backlog is going down.

Do we expect the margin trajectory to be better this year and directionally inching back towards the 9% to 11% mark going forward . And can we say that Q1 26 was the starting for that?

Management: No, we cannot say that . We already clarified that Q1 26 performance was driven by a one time event. My colleague also clarified that if it was not for that particular project, then we would have closed at a rate which would be lower than the closing rate of the last Financial Year for that particular segment . We have also mentioned that UP continues to be slow in execution because of fund availability. And we have also mentioned that the onerous project that you refer to will continue its execution through the end of this Financial Year. Hence, we don't expect any significant improvement in the overall p rofitability of this

segment for this year .

Ruchit Agrawal: Sure, sir that helps. And the products segment, the margin that we saw this quarter of minus 1% do we foresee margins in line in this segment higher compared to last year potentially making lower losses as compared to last year, as we have envisaged the break even of Rs.500 crore, and we have achieved a scale of Rs.300 crore plus currently ?

Page 12 of 19 Management: Yes. So as you see the performance that we called out for the consumer product segment, there has been an improvement in both the top line as we increase the market coverage, and this has also helped us reduce the losses that we had in that particular segment, because we keep on investing in that segment to get market coverage and growth. So overall I would say that segment has performed better, and we continue to believe that there is further headroom in that segment to do more. So the teams are continuing to engage in this segment, to continue to further improve the performance over a gradual period of time. For this particular year we will try to hold on to this performance levels, but over the longer term, we expect that the performance of this segment will improve.

Ruchit Agrawal: Sir last quick question, while we wish to take margin accredited orders from here on. How do we feel about the order inflow panning in the next couple of quarters ?

Management: As I said to a few queries back, we continue to pursue opportunities. There have been timing issues. We announced in the last investor call that there were a couple of orders that went against us. Decisions went against us , this quarter we don't have any adverse losses to report. It's just a timing issue where some of these pursuits being higher value once do take time to close, so we continue to pursue those opportunities and be selective and pick up orders which will allow us to be accretive to the current profitability in that segment.

Moderator: Thank you. The next follow up question comes from the line of Deepak from Sundaram Mutual Fund. Please go ahead.

Deepak: Sir just to come back on that consumer product division, but I am still not clear that what led to that 37% Y-o-Y growth , you said it's market reach and you are building infrastructure. Could you just elaborate , is it that in the B 2C segment did we introduce new product which is seeing traction so where is the traction coming from , is it which region, what product , is it that institution segment is also doing well, could you just break down the growth profile of this 36% in Q1. And how likely is it that this Rs.90 crore run rate will continue for the next nine months as well ?

Management: So, with due respect Deepak, a lot of this possibly will consider as business confidential. We are in a very, very competitive space that you

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ould appreciate and agree, our teams are out there in the market , helped by launch of newer products we play across the water spectrum, be it in residential B 2C, in commercial as well as an institution and the rural segment, we have been introducing our water purification technologies across the B 2C spectrum we have launched, health products like alkaline water, hydrogen water. We continue to expand our presence in neighboring geographies, like Nepal. So all of this are actions that the teams are taking on the ground, improving their overall business health, while growing in the face of strong competition.

Deepak: Okay. Thank you for the answer, sir. And one question was on engineering. So you must have seen a lot of Indian companies are doing JVs and other projects in Middle East, where a lot of desalination plants also come into the picture because of this pipeline projects. So just wanted to get a flavor that are we seeing increasing order inquiry in the Middle East region for our EPC business, how is the international order in flow or order book or inquiries looking like and how likely is it that we may back some good large orders in those regions let's say in the next nine months ?

Management: We continue to pursue opportunities on engineering orders in international geographies. If you remember, the company had done considerably well in the last Financial Year on our international businesses, these opportunities are strategic in nature, which we continue to pursue selectively and pick up orders that we get. We are aware of the geographies and the specific opportunities that you are

referring to, we continue to pursue in all those segments, including Middle East market and we are in engagement with the right opportunities that we feel make sense for our company and to ensure that we remain accretive to the overall profitability of the engineering segment.

Deepak: Okay . And sir, any plans to expand the membrane component manufacturing capacity in engineering and just to follow up on that , how is the competition intensity in this domestic market when we are kind of bidding for this engineering project, just two this last points?

Management: So your first question on membrane capacity, we continue to monitor the capacity utilization of Membrane plant and the company will take appropriate steps in augmenting capacity as and when it is required and Page 14 of 19 we will come back and report those to the appropriate forum. With respect to your second question on the competition and engineering segment, it is brutal , it is intense. There is a significant pressure on pricing and which is where we continue to remain selective in the nature and kind of projects that we pick up from the domestic market.

Moderator: Thank you. The next question comes from the line of Mihir Vyas from Nine Rays Equi Research. Please go ahead.

Mihir Vyas: I am new to the company , can you please help me understand what is status on UP Jal Nigam project in terms of receivables ?

Management: As we have mentioned in the concall, the fund inflow from the UP government for this contract has been very slow, which has resulted in the execution getting affected. And as a result, the account receivable on this project continues to be at elevated levels. But since we don't call out on specifics of individual contracts on the call, I will not be able to add any further other than saying , the levels of the receivables are on the higher side .

Mihir Vyas: Sir, any color on how it is like by when can we expect it to reduce or has it started reducing?

Management: As of now the flow has not yet improved, but we are getting continuous indications that the flow should improve in the coming months. So we remain hopeful that once the flow improves, apart from our receivables getting liquidated , execution on this project should also get ramped up.

Moderator: Thank you. The next

next follow up question comes from the line of Sabir from Unifi Capital. Please go ahead.

Sabi I: In the chemical segment we had faced RM cost inflation in 4th Quarter , is the cost inflation now behind us, or are we able to pass on the increased cost completely to our clients?

Management: So as you will see, in that segment performance we have been able to improve from the temporary dip that we had and we have able to get back to the average profitability levels of this segment in the last Financial Year. So we feel good about how we have handled the past quarter. However, this is a very dynamic situation as you will agree. We continue to monitor our input costs, and we also look at the rupee Page 15 of 19 depreciation impact that we may have going forward. So 1st Quarter was good, but this is an area where we continue to need to keep track of all these various input variables and ensure that we are able to deliver at the expected levels or expected past performance levels of profitability in this segment .

Sabi I: Just to get a better color on the order inflow, or the orders in the engineering segment, would we be taking over lot of industrial projects or it will be more of selective government or let's say World Bank funded projects. How are we thinking about this?

Management: So we remain consistent with our strategy with respect to the engineering business. Our projects are largely on the industrial side.

Our projects that we pick up on the infrastructure or municipal side, like the Sri Lanka contract is very strategic but very few in nature, and that's the strategy that we will continue to pursue. And that's the profile of jobs that we continue to pursue in the current offer basket as well for us.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Just the closing point on this UP project, this was we got one of the few packages for a large project. So can you give some color whether only our packages are pertaining to some set of execution has been

interrupted because of the cash flow issue or the entire setup has to be awaited now because of this cash crunch issue, and what is the feedback from the Uttar Pradesh government on them not being able to clear the dues of companies like us?

Management: So at the onset, it will be inappropriate for us to comment on contracts received by other organizations. We can only talk about the contract that we are executing for this particular customer, as we said that we have receivables from this project which we are following up and pursuing with the customer in question here to help collect and because of these slowness of fund availability, we were forced to slow down the execution of this project. As we also said that because of the slowness over the past couple of quarters at least, we have taken a conservative call on this particular project and reduced our estimate in the order backlog to be able to give a more realistic picture of the order backlog that we are pursuing. We continue to engage with the customer very closely, and we remain hopeful that the fund situation will improve and the fund will get allocated for us to liquidate the receivables, and also for us to go ahead with the execution of the balance scope of the project.

Saket Kapoor: And sir, how have been the space of execution for this ensuing quarter, this being a monsoon quarter, how do execution plan of barring the two legacy and the UP project which you have outlined, how are the pace if you could give some color and also sir, for the quarter-on-quarter basis also our employee costs have moved up. So what will you attribute this and what should it be on a yearly basis?

Management: So on the first point, as you correctly said, this is the monsoon season. So clearly, for projects which have significant scope of current work on the o

utdoors, there will be an impact. We do projects all across the country, and some of the projects especially in the construction phase, have some impact, at the same time, there are parts of the project that what is happening indoors, where we are able to progress at the expected pace of execution. So overall, we feel good about the execution that's happening across the board on the project, the order backlog. Some part of the projects also are getting done outside India, where the impact of the Indian monsoon would not be relevant. Coming to your second question,

Saket Kapoor: On the employee cost, and one question also I have for Amit Patni sir but first you complete sir.

Management: On the employee cost, it's a normal increase year-on-year that we are experiencing. And at the same time there are various other productivity measures that the company has kicked out, which we feel would help us balance that increase on the employee bucket. And, again this is continuous process of action that the company takes to ensure that the overall cost is within the expected levels.

Moderator: Thank you. The next question comes from the line of Tarun Agarwal from Ex Capital. Please go ahead.

Tarun Agarwal: So my question is related to Roha greenfield. We have done a CAPEX of Rs.400 crores, and we have an asset turnover of 2.5 times. So is it a fair understanding that by FY'28 we will be able to reach Rs.1000 crores in terms of revenue and also adding another one, just wanted to understand that how this Roha Greenfield facility will be used to cater the export business for chemicals?

Management: The asset turnover as you have mentioned will be 2.5 times, as and when we reach the full capacity which we are expecting to reach over the period of around just under four years. But out of the total CAPEX of Rs.400 crores, Rs.125 crores are towards the cost optimization measure what we are introducing in the new facility. Our manufacturing base will be on a value of around Rs.275 crores. So the asset turnover should be calculated on this figure. As regards to your second part of the question, I will request Mr. Indraneel to address that.

Indraneel Dutt: So on the second question as we said, this plant is primarily getting set up to cater to our exports business. As I said earlier in the call, we export to most of the geographies in the world starting from USA, Europe, Asia Pacific, and Middle East. A smaller part of this will also be used to cater to our increased business in the domestic market. So that's where we expect this particular plant to cater to the demand.

Moderator: Thank you. The next question comes from the line of Omkar an Individual Investor. Please go ahead .

Omkar: Sir, what is the revenue are you expecting from Roha plant in Q2 and full Financial Year, requesting you to give some ballpark figure for this Roha plant revenue ?

Management: As you would know that we don't share any specific data on any specific production facility or a specific business line. So, as we said earlier in the call we expect the plant to be commissioned in 2nd Quarter, which is in this particular quarter, and we expect the plant to start shipping out products from the end of this quarter going forward. So we hope to ramp up capacity here and this is a modern plant with all the latest technology. And we expect volume to pick up as and when we have more to share on this plant we will come back , but we do not talk about specific plant or business performance.

Omkar: And sir what is the next positive trigger for Ion Exchange, as I have seen different Ion Exchange three years back. So something Roha plant in my opinion should be the turnaround so do you expect as soon as Roha plant will start our margin and overall business will reflect better than just now what we are seeing?

Management: We also hope for the same thing, and we will

continue to endeavor that all our segments, we are able to drive profitable growth across all our segments, so that we are able to continue to cater to the interest of our shareholders.

Moderator: Thank you. The next question comes from the line of MS Reddy an Individual Investor. Please go ahead.

MS Reddy: The answer to my question I already got it. Thank you.

Moderator: Thank you. The next follow up question comes from the line of Hemal Baga dia from Equi Corp. Please go ahead.

Hemal Baga dia: Sir I just have one question, are we optimized in terms of labor cost and other variable cost for the consumer product division, or do we see further savings out there. And also, do we need, are we fairly optimized in terms of the existing product portfolio or do you see any further marginal investments other than the regular improvements, some significant kind of investments for the division?

Management: It's a very intensely competitive segment that we are playing in. It's very important for us to ensure that we remain cost competitive to be able to, make the required top line and the improvement in the bottom line. It's also a segment which is extremely dynamic, and our competitors and the industry is always coming out with new technology and new product offerings. It's very important for us to also remain relevant, to look at opportunities in the market segments and come out with suitable offerings that will excite our targeted customer base. So we will need to continue to invest in new production technology in this segment to maintain our current share or grow our current share in the consumer products division segment.

Moderator: Thank you. The next follow up question comes from the line of Saket Kapoor and Company. Please go ahead.

Saket Kapoor: Sir, when we look at our shareholding pattern, we find that under these there are shares to the tune of 16% being held by the employee trust. So if Mr. Patni could just elaborate, or anybody else could throw light on the nature of this trust, and whether, as per the regulation, the trust will be there for perpetuity, or we need to dilute the same over a period of time. It holds 16.18% equity of the company.

Management: So these are employee trust which are holding shares for benefit of all the employees of the company. And trust have been existing since the 80s and 90s of the previous century, and there are no plans to dilute any form of equity from that.

Saket Kapoor: No sir , what is the term it will remain always with this, and how will they get it accrued to the actual beneficiary , what is the process of these getting the benefit , how are the individuals going to benefit out of it when the same remains in the trust only?

Management: The income flow from these shares, which is dividend, that is what is used for the benefit of all the employees and if at any point of time there is any other form of cash accrual which is directly attributed to these shares. These are for the benefit of all the employees of the company

and would accordingly be distributed.

Moderator: Thank you . Ladies and gentlemen, we will take this as the last question for today. I would now like to hand the conference over to the management of Ion Exchange (India) Limited for closing comments.

Management: Thank you all for participating in the earnings conference call. I hope we have been able to answer your question satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our investor relation managers at Valorem Advisors .

Thank you , wish you a very good evening.

Moderator: Thank you very much. On behalf of Ion Exchange (India) Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2025

November 12, 2025

To
BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Sub: Submission of Transcript for the earnings conference call held for Q2 FY 2025 -26

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015, the transcript of the earnings Conference Call held with Institutional Investors/Analysts (Group Meeting) on Friday, 7th November , 2025, regarding discussion on operational and financial performance for the second quarter and half year ended 30th September , 2025 . The said transcript is also available on the Company's website at www.io nexchangeglobal.com .

Kindly take the information on your record .

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Nikisha Solanki
Company Secretary & Compliance Officer
ACS - 50894

Page 1 of 21
Ion Exchange (India) Limited
Q2 and H1 FY'26 Earnings Conference Call
November 07, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Ion Exchange (India) Limited Q2 and H1 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the confer ence call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you ma'am.

Purvangi Jain: Good afternoon everyone and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the investor relations of Ion Exchange (India) Limited. On behalf of the company and Valorem Advisors, I would like to thank you all for participating in the company's earnings conference call for the 2nd Quarter and first half of the financial year 2026.

Before we begin, let me mention a short cautionary statement :
Some of the statements made in today's earnings call may be forward - looking in nature. Such forward -looking statements are subject to risk and uncertainty, which could cause actual results to differ from those anticipated. Such statements are based on management belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earni ngs call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in

today's Earnings Call and hand it over to them for their opening remarks. We have with us Mr. Aankur Patni – Vice-Chairman, Mr. Indraneel Dutt – Managing Director and CEO, Mr. Vasant Naik – Group Chief Financial Officer, and Ms. Nikisha Solanki – Company Secretary. Page 2 of 21 Without any delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you, Purva ngi. Good afternoon, everybody. It is a pleasure to welcome you all to the Earnings Conference Call for the 2nd Quarter and first half of Financial Year 2026.

For the 2nd Quarter under review, on a consolidated basis, the operations normalized with the completion of migration to the SAP environment and the company reported an operating income of INR 7,339 million, an increase of around 14% year -on-year. The EBITDA stood at INR 685 million, which is largely on the same line year -on-year. The EBITDA margin

stood at 9.33% and net profit was INR 499 million, a decline slightly by 1.4% year -on-year, while the PAT margin was 6.8%.

For the first half of financial year 2026, the company reported operating income of INR 13,171 million, an increase of 9% year -on-year. The EBITDA stood at INR 1,310 million, down 1% year -on-year. The EBITDA margin stood at 9.95% and net profit was INR 984 million, an increase of 3% year -on-year, while the PAT margin was around 7.47%.

Now let me take you through the quarterly segmental performance on a consolidated basis. In the engineering division, the revenue for the quarter was INR 4,562 million, an increase of 16% year -on-year. The segment EBIT was INR 224 million, a decline of 5% year -on-year. The inquiry bank has remained steady and we witnessed a sequential increase in order flow during the quarter, driven primarily by medium -sized opportunities. We also secured a few orders i n ultra -pure and high-purity water projects within the solar and pharmaceutical segments and continue to actively pursue additional opportunities in these areas.

Our services division recorded strong growth during the quarter, supported by the acquisition of several high -value long -term O&M contracts. Execution activity picked up pace during the quarter in the industrial segment, resulting in both sequential and ye ar-on-year improvement in turnover. Our execution of the UP Jal Nigam order remained muted during the quarter. Regarding the Sri Lanka project, with the resumption of funding by the customer and with their satisfaction with the company's ongoing progress o f work, we are now Page 3 of 21 expediting the completion of the contract. Margins during the quarter were impacted primarily by elevated infrastructure costs. These were planned investments to support higher future volumes, as well as the continuing effect of a legacy project that has i nfluenced the margins for the period. During the quarter, we also entered into a st rategic partnership with MANN+HUMMEL Water & Membrane Solutions for manufacture of hollow -fibre ultrafiltration and membrane bioreactor membranes in India. This will be unde r a co -brand ing arrangement between the HYDRAMEM brand and MANN+HUMMEL . Levera ging MANN+HUMMEL 's global proven membrane technology, we will produce these advanced membranes locally at our state -of-the-art manufacturing facility, thereby reducing the import dependence and enhancing cost efficiency and competitiveness in the water treatment project across India. The company also continued to invest in its standard system engineering facilities to expand the range of innovative off-the-shelf engineering products. The current order book stood at INR 27,110 million with an order inflow of INR 4, 700 million during the quarter.

Coming to the chemical segment, the revenue for the quarter was INR 2,184 million and increased by around 11% year -on-year. The EBIT stood at INR 591 million, increase of 13% year -on-year. The segment recorded both sequential and year -on-year improvement in turnover during the quarter while maintaining its margin profile reflecting consistent operational performance. We are also please d to share that the company has commenced the stage -wise commissioning and commercialization of its greenfield manufacturing plant at Roha,

Maharashtra from the last week of September 2025. This important milestone further strengthens our manufacturing capabilities and underscores our commitment to delivering high-quality Indian iron exchange resin to customers across the globe.

For the consumer product division, the revenue for the quarter stood at INR 858 million which increased by around 24% year-on-year. The loss for the quarter was INR 27 million as against a loss of INR 35 million in the same period of the previous year. The segment continues to record healthy volume growth. We have maintained our leadership

position in

the softener segment while steadily expanding our market share in

Page 4 of 21 other segments through the implementation of focused and aggressive marketing strategies.

With this, we can start with the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Chetan Vohra from Abakkus Asset Management. Please proceed.

Chetan Vohra: Yes. Hi, hello sir. Sir, on the engineering front, we saw the execution picking up at 18% growth rate. But whereas the margins were like all-time low at 4.8%, how should we understand these two situations wherein the execution has improved but the margins are going lower and lower and these margins were like never heard of.

Indraneel Dutt: Good afternoon, Chetan ji. Thank you for your question. This is

Indraneel Dutt speaking. So, your observation is valid. So, let me answer both parts of the question. I think on the revenues, as you know, as we reported in the first quarter results, that we were in the process of implementing the SAP system. And as a result, our first quarter performance was muted on account of that implementation. And the engineering business obviously picked up those latent or pending order backlog and we were able to bring forward the execution in the 2nd Quarter. So, that is why you see a decent growth there. In terms of the margins, I think this has been consistent with what we have been calling out in the past few quarter calls where we have already highlighted about the challenges in one or two of the projects that we are going to execute. And we had informed the stakeholders that we expect to continue for some more time.. UP execution has been slow but we continue to bear the corresponding expenses of fixed nature. And that is the reason why you see a temporary downturn on the profitability side. And we continue to work on the execution of this balance order. The current order book includes several projects with better-margin which will start getting executed in the third and fourth quarters, and we expect these to enhance overall profitability. There are also other orders that are coming in with an improved profitability mix. So, we hope that going forward, it will slowly start normalizing. But this year will continue to be relatively tough till we close out these pending projects in the engineering segment.

Page 5 of 21 Chetan Vohra: So, for two parts to that, can you just quantify how much percentage of the legacy projects are yet to be executed? If not the amount, can you tell us in the percentage terms, what percentage of the legacy orders are still to be executed? And till then, whether we will be seeing the margins of 5%?

Indraneel Dutt: As I said, we will not give any details on any specific projects, either on balance pending execution or on the margin levels. But we have mentioned in the past that we expect the execution of these one or two projects to continue till the end of this financial year. We are still holding on to that assessment from our side. This project execution continues. We are making good progress. But the headwinds on the margin continues. At the same time, we have picked up a decent flow of orders in this quarter, which have been with a favorable profitability profile. So, we believe as those projects get into execution, the overall situation will start getting better. But beyond this, at this point in time, we will not be able to offer you any more specific information.

Chetan Vohra: Sir, as you had mentioned last quarter that by quarter 2, you would be able to be in a position to say how the full year looks like. So, for FY '26, what should be the revenue trajectory and the margin profile for the engineering front?

Indraneel Dutt: We expect the second half performance to be better than 2nd quarter performance and expect engineering margins for second

half in the

region of 6/7 % . I think on the engineering side that will be our call right now. Because some of the projects with better profitability profile will start billing only in 3rd quarter and more so in the 4th quarter . Further , some of the better margin projects that we have won in the second quarter will start billing towards the end of the 4th quarter or early next year. . We have been able to execute well and make steady progress in project execution. We have improved billing this quarter from the ongoing EPC contracts. But UP continues to be slow due to funding issues.

Chetan Vohra: Again, sir, the first half was, I would say, quite in contrast to the quarter 1, where there was a revenue decline whereas the margin stood at 9% because of some one-off thing. In the quarter 2, the margins were down to 4.5%. So, for the full year, whether we should consider that the FY '25 margins will be maintained, or it will be lower than that. And for the Page 6 of 21 revenue also, the first quarter was negative and the first half revenue growth was only 7%. So, what should be the ballpark guidance? I understand that you do not give the guidance, but a range, I would ask.

Indraneel Dutt: So, I would say that the first quarter had some special causes . Engineering margins have been sub optimal in the 2nd Quarter due to the reasons outlined earlier. Subsequent quarters should be better than 2nd quarter.

Chetan Vohra: Right. Okay. And by the year -end, we are quite confident that the legacy project should be done and dusted.

Indraneel Dutt: As of now, we are trying to see how much we can get that over the line. It is in our interest to get that closed off. And that project execution is moving well. Everyone at the top leadership team is involved closely..

Chetan Vohra: Right. And coming to the chemicals front, now the greenfield plant, the planted row has got commissioned. So, we should expect logically the revenue growth trajectory to pick up, right?

Indraneel Dutt: Directionally, yes. We have given our outlook on the Roha plant and we have said that this plant will progressively get commissioned. And we have also said that we are expecting the plant commissioning to start before the end of the first half. We are happy to say that in September, we were able to commence with the commissioning of the plant. We have already said that we expect this plant to reach optimal capacity utilization of the proposed capacity over the next three to four years. It is a gradual ramp -up that we are planning. We are planning to gradually ramp up the commissioned capacity to reach the proposed levels by the end of the current financial year. We expect that in the first 12 months of the plant's production, we should be able to reach a capacity utilization of around 25%. Right now, the Roha plant commissioning and gradual upscaling on production continues very much as per plan.

Chetan Vohra: So, in terms of the growth for the full year for the chemicals, how should one see? Because the first half has been like 2% growth.

Indraneel Dutt: The first half was impacted, as we said, through the SAP implementation. So, we kind of recovered partly in the 2nd Quarter . As you know, the chemical segment, whatever is lost is a consumable item.

Page 7 of 21 So, you do not get that back. But we delivered good 9% plus year -on-year growth in the 2nd Quarter . We expect to continue that profile for the balance of the year across our chemical and resin businesses. I think the outlook is good at this point in time and we believe we can continue this trajectory of growth for the balance of the year.

Chetan Vohra: And what about the profitability? Because , chemical, this quarter margins were like all -time high of close to 29%.

Indraneel Dutt: Yes, so this is something that is very dynamic. We have talked about it in the past. It is a function

of the market pricing as well as the raw

material, which again is very volatile and we keep track of the commodity prices as well as on the exchange rate. At the same time, it depends also upon the product mix that we get from both our resin and the chemical businesses. It will be our endeavour to try to maintain these margins at around these levels. I think the engineering one is easier to

call because you at least have the backlog in place. There is a little bit of volatility on the chemical side. I think the company has been broadly successful in holding on to these levels of margin performance. But it is still a very dynamic situation and I would just be conservative and cautious that we continue to watch out for the market scenarios and try to do our best to ensure we are able to continue giving the same rate of returns on the business.

Chetan Vohra: All right, sir. And how much in total we would have incurred on the Roha plant?

Moderator: Sorry to interrupt, Mr. Chetan.

Chetan Vohra: Yes, ma'am. This is the last question. How much we would have incurred for the Roha plant in total?

Vasant Naik : We have indicated in the past that our total CAPEX on the Roha plant is in the region of Rs. 450 crores roughly .

Chetan Vohra: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Ruchit Agrawal from Unifi Mutual Fund. Please proceed.

Page 8 of 21 Ruchit Agrawal: Yes. Hi, sir. Sir, a question on the consumer product business. Last two quarters, we have shown good growth in the segment. Can you help us understand what are the levers driving this segment and what is the kind of break-even timeline that we are looking at? And also, if you would reiterate the timeline on the Rs. 500 crore guidance for the segment.

Indraneel Dutt: Thank you for the question. So, for the consumer product division, I think it is a very, very big market that we are playing in. And we believe that there is enough for us to still go and get share from the market. We have strong confidence in our product portfolios, some of which are market leaders in their own areas. And I think it has been, I would say, a consistent journey of gaining more customer share. Our service contracts also are increasing quarter-on-quarter. And I think also we are investing in our brand promotions. You will possibly hear us on some of the FM channels. You will hear us in some of our "Bharat Ka Pani" advertisements that we have launched. So, all of that, I think, is resonating with our customer base. We continue to also launch products in the healthier side of the spectrum with alkaline water, hydrogen water. Those also are showing good response from the market. We are also expanding geographically to neighboring markets like Nepal, where again, I think we are seeing positive, encouraging response and acceptance. So, it is a massive market. We are still a very small player. And I think there is enough headroom for us to grow. The team is very strong, very motivated. The product team will be coming out with new product lines. We see continued growth. The segment is growing. On your question on when we go to Rs. 500 crores, we typically do not give any guidance on such figures. But this is one of the strong performing businesses in the portfolio because driven by consumer demand, consumer growth. And I think we see that continuing for us in the future.

Ruchit Agrawal: And, sir, anything on the break-even timeline for the segment?

Indraneel Dutt: The team is working towards growing this business. We are ploughing all the money generated back into the business in terms of gaining share and in promotional activities. We are getting into more channels to market, retailers. We are on large stores formats . It is all about, gaining share and, and increasing our market presence. So, I do not think there is really a big concern from

the break-even standpoint. We are investing, reinvesting back. We are choosing to reinvest their profits back into the business to grow the business further.

Ruchit Agrawal: Sir, a question on the engineering segment. We have seen the two projects in UP and Sri Lanka contribute about 10 % to 12% of our revenues this quarter. And as you mentioned that it had impacted margins as well. Can you brief us more on that as to how they have impacted the margins and a little bit more color on how the elevated infra costs have come through for the quarter?

Indraneel Dutt: We do not give any specific views on how a specific project has moved. We have reached more than 90% of execution on Sri Lanka project. We continue to see good fund flow coming in on the project. We are

close towards finishing off the balance of the project. We have got tremendous amount of goodwill the way the Sri Lanka job has been executed. We are on track with respect to our receivables and collections. It is, definitely one of the marquee projects that the company has done and has helped us to gain strong confidence in an international market. For UP project, the fund flow, as we have mentioned in the past, has been slower than expectation. We believe that these projects will pick up in the quarters to come. So, I think UP, the status remains broadly similar to our last quarter's conversation. Apart from that, there are other projects that we continue to go through. Some of them, we are in the process of concluding. And there are new projects, as we said, about Rs. 470 crores worth of orders we have closed in the last quarter that we will get into the execution more in some time.

Ruchit Agrawal: And one question on the Roha plant, when can we expect the balance capacity to commission?

Indraneel Dutt: We are planning to gradually ramp up the commissioned capacity to reach the proposed levels by the end of the current financial year. We expect that in the first 12 months of the plant's production, we should be able to reach a capacity utilization around 25%. Right now, the Roha plant commissioning and gradual upscaling on production continues very much as per plan.

Page 10 of 21 Ruchit Agrawal: Sir, if you can help us understand, when we can
Moderator: Sorry to interrupt Mr. Ruchit. May we request you to join the queue?
Thank you so much. The next question is from the line of Deepak from Sundaram Mutual Fund. Please proceed.

Deepak: Yes. Thank you for the opportunity. Am I audible?

Indraneel Dutt: Yes.

Deepak: Yes. Hi, sir. So, sir, first question is in our strategic partnership, which you have mentioned in the presentation of MANN+HUMMEL water membrane. So, could you just elaborate on this opportunity? Because we are talking about producing it locally. So, it is in form of import substitution for us. I just wanted to understand what was the, let us say, quantum of import of this MANN+HUMMEL membrane solution or components in India, let's say, in FY '25. And how well are they penetrated in, let us say, Indian water treatment solution? And what are the primary applications which goes into?

Indraneel Dutt: This particular collaboration is happening on the membrane product line, which is a part of our engineering segment. Our company has been actively investing in the membrane portfolio. We currently have product lines in reverse osmosis or RO, both in brackish water, seawater, fouling resistant membranes. We have offerings in ultrafiltration membranes, both technologies of polyethersulfon and polyvinylidene fluoride. We have nano-filtration membrane that we offer in the marketplace. So, this particular collaboration is an effort to further expand and complete the full range of membrane offerings in the global market. Along with our reverse osmosis, nano-filtration and ultrafiltration membranes, what this technology partnership gives us is

access to top-of-the-line technologies in the area of membrane bioreactor, which is largely used in wastewater applications, as well as in hot sanitizable RO, which is used in the biopharma applications, and also gives us some additional technology in the ultrafiltration range. In the ultrafiltration range, we are already been present in the market, but this is a technology allows us to compete with the very best in the world, and this partnership will allow us to be the sole partner for MANN+HUMMEL in the domestic market. It also allows us to take this technology to the rest of the world as well in the markets that we play
Page 11 of 21 in. It also allows MANN+HUMMEL to use our state-of-the-art manufacturing facilities to manufacture these membranes and other ranges for their global consumption. So, we see this to be a win-win situation of two globally well-known, reputed brands coming together, leveraging the technology, leveraging the low-cost country presence in India of Ion Exchange in a segment that the company is investing into, and this will help both these companies expand their respective global

presence.

Deepak: Okay. And so, would this investment to manufacture this, would it be under a JV route, and how much CAPEX would be required, and how much do we plan to spend, let us say, in the next two to three years, and what is the revenue potential from this venture?

Indraneel Dutt: This is not going to be a JV route. This is more of a technology licensing that we are doing with MANN+HUMMEL. This will be manufactured in Ion Exchange's manufacturing plant in the state of Goa, and we have already shared earlier that apart from resins, the other product technology where the company has been investing over the past several years is on membrane technology, which we see to be a huge area of growth in the future for the company because of demand in wastewater, demand in desalination that is there not only in the country, but also across the world and the markets that we focus and supply into. So, this is very much a part of our strategy. This is not going to be a JV, it is going to be a technology sharing where we will leverage that technology and the knowledge combined with our current knowledge of the technology and make those products cater to the Indian market exclusively for MANN+HUMMEL, and also take this technology and the products for Ion Exchange customers globally, and also offer MANN+HUMMEL a manufacturing location where they can manufacture these membranes and also cater to their global market.

So, overall, it is very much going to be investment driven by Ion Exchange, but gives both the companies a win-win proposition.

Deepak: Okay, and so then there could be some royalty payment for using that technology, and separately do we need an incremental, let us say, what is the CAPEX intensity, let us say, even though if we have to do this on our own facility, is there any incremental CAPEX which is required to do this?

Page 12 of 21 Indraneel Dutt: So, yes, on the question of royalty, that is part of standard technology licensing agreements, so nothing very specific or material to mention here. On the CAPEX investments, I think there have been already plans with the company on growing and investing in this segment, and this particular collaboration fits well into our current investment and growth plans for this product line. So, there is nothing substantively different that we will be doing. It just gives us access to world-class technology and accelerates the process of offering that to the market. You know, the company was well on its way to develop this indigenously. Partly it has already been done, but it just accelerates our ability to take it to market quite a bit faster than possibly was originally envisaged.

Deepak: Okay. So, one question on the chemical front. Since now we are doing this commercializat

ion of the Roha plant in a phased manner, sorry if I

missed it earlier, I just wanted to know what is the revenue guidance for the chemical segment, including the Roha, the overall chemical for FY'26 and 27?

Indraneel Dutt: We do not give a specific guidance on a particular location, but we are looking at, about 9% to 10% of year-on-year growth for the year for Chemical segment.

Deepak: Okay. And one last question to Vasant sir. So, for this half yearly, if I look at your cash flow statement, we have spent around Rs. 160 odd crores, right? And this was almost half of what we spent in FY '25. And assuming that most of our CAPEX for Roha plant was already consumed by FY '25 since the commercialization was expected in Q1 of FY'26, I just wanted to understand, means, where have we spent this Rs. 150 crore in this half yearly and what is the full year CAPEX guidance and where it will be spent?

Vasant Naik: The half year CAPEX spent was around Rs. 160 crores out of which roughly Rs. 120 crores would have been in the Roha plant. And the balance CAPEX largely is in our existing manufacturing engineering facilities, as well as in the membrane and in the chemical segment facilities. As far as the total CAPEX expectation for the year, excluding the Roha plant, it should be in the region of around Rs. 80 crores to Rs. 100 crores, roughly.

Page 13 of 21 Deepak: Okay. And because of this, let us say, one of our gross debt has gone up from Rs. 300 odd crores to Rs. 400 odd crores in this September

closing quarter. So, what peak debt level are we looking at, let us say, by FY '26 end?

Vasant Naik: We should be having another 50 crores, roughly, addition in the gross debt level from the current.

Deepak: Okay. Thank you so much sir for answering the question. I will fall back in the queue.

Vasant Naik: Thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please proceed.

Pratik Kothari: Yes, sir. Good afternoon. Sir, in the notes to account, we have highlighted this cost of material consumed includes great expense on some contract. What is this? Is this a legacy cost that we are calling out the onerous contract or is this something else?

Vasant Naik: No, this is part of the accounting standard requirement of disclosing the costs, which are directly attributable to the engineering contracts under execution. So, these are basically direct costs on the engineering EPC contracts, which are reclassified to COGS from the operation expenses side. And this is a standard norm which is followed across all EPC companies.

Pratik Kothari: Correct. And just, I mean, even if we conclude this onerous contract by end of FY '26, but even then we would not be back on margin track next year, right? I mean, given UP, assuming that ramps up, I mean, it is a question of when. But if it does, that I believe would be at a lower margin.

Indraneel Dutt: We continue to see very aggressive pricing in the marketplace as far as large projects are concerned. We have been selective in the kind of projects we pick up. However, it is a fact that across the industry there is severe competition. So, we have, our new projects that we have won have been very selective. We believe there will be a better margin profile. But, I mean, this is, our effort clearly is to improve the margin profile of the engineering business from where they are. The current Page 14 of 21 order book includes several projects with better margin which will start getting executed in the third and fourth quarters, and we expect these to enhance overall profitability. As of now, the teams are focused to see that we close off some of these balance legacy projects and try to protect our margins to the best extent possible.

Pratik Kothari: Correct. So, my question was, except this onerous and legacy projects, I mean, we earlier used to do

10%, 11% EBIT margin for the full year. I mean, is the environment still similar or like you said, with increased competition, that does not seem like it?

Indraneel Dutt: See, there are multiple factors at play. The mix of the projects matters. The kind of industry that you are picking up those projects, you know, industrial versus infrastructure, domestic versus exports. So, there are multiple factors that come into play. Our effort is to see that we get towards high single digit of profitability on the engineering side. We continue to double down on areas like products, services, short cycled projects and value added offerings to see we can get a better margin mix. As you would know the composition and the profile of the profitability, will vary or varies based on the mix of the order book. Therefore, as I said it will depend on how much of domestic orders we have in the order book versus international, industrial versus infrastructure, water versus wastewater etc.

Pratik Kothari: Fair enough. Point taken. And in chemical, of this Rs. 400 odd crores, you are investing some Rs. 1,80 crores specific on some tech upgradation, which was, I think, happening for the first time in a company in India. And the comment then was once the plant commercializes, we will kind of share more details. So, now that it is, if you can, what was that tech that we were investing in? And just some details around that.

Indraneel Dutt: The entire plant commissioning will take a little time. This particular part of the project is towards the end of the commissioning phase, which we expect to be over in the fourth quarter. So, once that happens, I think at the earnings call for the fourth quarter we will be very happy to talk about those unique, best in the world feature that will be introduced in the Roha plant.

Page 15 of 21 Pratik Kothari: That is fair. I will ask them again. And last two, Vasant sir, the increased depreciation and interest because of Roha capitalization, which you did in September from Q3 onwards, annualized or quarterly, whatever.

Vasant Naik: Next year, depreciation, should be in the region of around Rs. 40 crores a year.

Pratik Kothari: Fair enough. Thank you and all the best.

Vasant Naik: Thank you.

Moderator: Thank you. The next question is from the line of Raghav Maheshwari from Kamaya Wealth Management. Please proceed.

Raghav Maheshwari: Yes. Sir, I just wanted to get an understanding on what has been the capacity utilization on the chemical front given our additional Roha capacity of around 10% of the plant capacity expansion. What has been the utilization of the overall unit?

Indraneel Dutt: We are seeing clear, strong demand in this particular segment. Across both our businesses, we see good capacity utilization. The reason for the company to invest in this state-of-the-art new resin plant was that we were maxed out in capacity in our current plant. We are in a supply-constrained market. As we scale up, we see good demand picking up for our supplies. And the same applies to our chemical business as well.

Raghav Maheshwari: Sir, will you be able to give what has been the utilization of the new added capacity at the Roha plant?

Indraneel Dutt: We are selling whatever we are making. We will continue to sell whatever we make. Also, it needs to be understood that a plant of this nature is not like flipping a button. It is a chemical process plant. It requires to be optimized. You have to get the right quality. These are export products that we are shipping out to customers. They are facing global measures. That requires a lot of preparation and ensuring that quality is best in class in the world. So the scale-up has to be done in the right way using our technology and IP knowledge to ensure that we can give our customers across the world the quality that they have committed and they deserve. So hence, th

e scale-up is gradual. It is

deliberately, intentionally gradual. And whatever scale-up we are doing, we also are keeping in mind that we are able to liquidate that inventory.

Page 16 of 21 So that is how we are scaling up. And that is why it is a deliberate phased capacity enhancement that we are doing in the plant. And as I said, right now, whatever we are manufacturing from both our plants are getting consumed in the market.

Moderator: Thank you, sir. Sorry to interrupt, Mr. Raghav. May we request you to join the queue as there are other several participants waiting. Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please proceed.

Saket Kapoor: Yes, sir. Sir, we look at the capital work-in-progress closing balance at Rs. 200 crores. So, all these are pertaining to the Roha facility only or since we have capitalized on the project, if you could just clarify once again, what does this Rs. 200 crores balance attribute to?

Vasant Naik: We have capitalized the Roha plant partially to the extent we have been able to commercialize the streams. So, the balance of the plant is still lying in the capital work-in-progress. And the large part of the capital work-in-progress balance which you just mentioned is related to the Roha plant only. And that should get capitalized over the next few months. And before the year-end, we should have the entire plant capitalized.

Saket Kapoor: Okay. With respect to the bid pipeline, I think some number was mentioned, sir, in the presentation. I am just making it about the order book bid pipeline. Can you give some color on our win ratio and by when will these bid pipelines get converted? So, for the end of the year or for the H2, what kind of order wins are we looking forward for the engineering segment?

Indraneel Dutt: Our current bid pipeline stands at approximately Rs. 9,011 crores. The majority of the opportunities originate from the private sector and the public sector undertaking. The government and the infrastructure segment is a small part of this pipeline. In the last quarter that closed, as we already announced, the order inflow from engineering projects has been Rs. 470 crores. So, this has been better than our first quarter booking because a lot of it is driven by timelines. As we have said

already earlier, we are very selective in terms of the projects we pick up. Also, driven by our experience of some of these legacy projects that we are trying to close, we continue to pursue opportunities in India and Page 17 of 21 abroad. There are multiple projects, both small and large, which are under negotiation and discussions both in India and abroad. As and when any thing material closes, we will be happy to share that with the investor community. Again, the engineering business continues to see promising growth. There are opportunities everywhere in both wastewater and desalination, ultra -pure water, high -purity water that we continue to look at across both domestic as well as international markets. There are other emerging sectors which are also coming up in terms of electronics, semiconductors, solar, data centers. That is also something that we would want to pursue going forward. So, to answer your question, Rs. 470 crores last quarter orders booked, Rs. 9,011 crores of active offer bank and about 15% to 20% of win ratio. And we continue to see strong demand and opportunities that we are pursuing both in India and abroad.

Saket Kapoor: Okay and this order should be closing, the 9,000 books should close by March' 26, sir? Since the bids are open by now, that should be the opportunity.

Indraneel Dutt: Some will close, some will spill over to next year. We expect some decisions to be made, so they will go out of the funnel. We are actively working in all these areas to bring more opportunities into the funnel. It is a continuous process. If you look, o

ur engineering offer bank has remained in the region of Rs. 8,000 crores to Rs. 9,000 crores for the past several years.. And in fact, some of these focus markets, we want to see if we can grow that offer bank as well.

Saket Kapoor: Okay and one small point, sir, regarding one acquisition of MAPRIL, MAPRIL is a foreign company we have acquired. How has been the performance of the same? I think so we were carrying some debt also on the books of the company. So how has the debt repayment been with respect to the same?

Indraneel Dutt: The overall performance has been good. There were some debt on the books and we continue to work towards paying them off. I think the teams are now fully trained on our product lines. We are leveraging the local presence and their relationships locally to promote the Ion Exchange product portfolio.. We continue to look at that business to be the springboard for the company's growth in the overall European continent.

Page 18 of 21 Saket Kapoor: Any revenue number you can share, sir? I will join the queue now.

Indraneel Dutt: We would not like to share specific subsidiary numbers at this stage.

Saket Kapoor: Sir, that is in the trading space or in the manufacturing space?

Indraneel Dutt: Right now we do not manufacture our products there. It is largely a product coming from our existing manufacturing facilities. But going forward, yes, we do have plans of some strategic manufacturing, leveraging the infrastructure and the location there.

Saket Kapoor: Thank you, sir. I will join the queue and all the best.

Indraneel Dutt: Thank you.

Moderator: Thank you. The next question is from the line of Kishore Kumar from Unifi Capital. Please proceed.

Kishore Kumar: Thank you, sir. My question is on the Roha plant commissioning. Sorry if you had answered this already. We had commissioned around 10% of the expansion. When are we planning to commission the remaining? Can we expect the remaining to be commissioned by the end of this year, gradually?

Indraneel Dutt: Our plan is to get the commissioning of the plant done by this financial year. But as I said, the full scale -up of production of this plant is envisaged over the next three to four years. But as far as commissioning of the plant is concerned, including the unique technology that we are trying to unveil, that should get done by the end of this financial year. That is what we are targeting for.

Kishore Kumar: Got it sir. And for the capacity that is already commissioned, what is the year-end exit capacity utilization that we are targeting?

Indraneel Dutt: The capacity that already been commissioned will be fully utilized well before the end of the current financial year. We will continue to ramp up

capacities up to the proposed levels by the end of the current financial year. But as I said, we will get to full capacity utilization over the next three to four years. But as of now, our financials and all our projections that we have made for this business growth is to go to full capacity over Page 19 of 21 the next three to four years. This plant can potentially be expanded further to have a capacity at later dates. We will take it up in phases.

Kishore Kumar: And my follow-up question is on the capitalization that we have done in H1. We have done about 350 crores of capitalization that is CWIP moving to gross block, and we are already around Rs. 200 crores there in the CWIP now. But what is the commission 10% of the plant? Am I missing something?

Vasant Naik: No, we have commissioned 10% of the manufacturing plant and machinery. But the utilities and the other service centers, they have been fully completed. So that has also got capitalized. That is the reason why there is a 10% manufacturing capacity capitalization. But the overall value of capitalization is much higher.

Kishore Kumar: And moving on to the engineering segment

margins, you mentioned

about the legacy project's impact and elevated infrastructure costs.

Moderator: Sorry to interrupt, Mr. Kishore. May we request you to join the question queue again?

Kishore Kumar: That is just a follow-up. Thank you.

Moderator: All right. Thank you. The next question is from the line of Sunil from Unique PMS. Please proceed.

Sunil: Hi. Thank you for the opportunity. Being a little long-term investor, I repeatedly heard and listened to management actively by Mr. Sharma and Mr. Patni. What I understand is this segment of engineering, which during the last 10 years moved from 2% to 10% margin, going back to around 4%, 5%. We are a very engineering-driven company, technology-driven company. And so we do not take a very low margin in some projects which are not having any scale added. So what lessons have we learned in the last two, three years? And when you see, will we be going back to those very respectable margins of maybe double digits for the engineering segment? That is my first question.

Indraneel Dutt: So thank you, sir. Looks like you have been really long associated with the company and your observations are valid. And the company, as I said, has taken lessons from a couple of those legacy projects, which is why you see us becoming very selective in the kind of orders we pick Page 20 of 21 up. And I am happy to share that some of the projects we picked up in the last quarter, definitely a lot more comfortable from a profitability standpoint for us. You also rightly said, sir, that we are a technology company. And engineering is one of the segments, but even in engineering, it is a composite segment. It is made up of projects, it is made up of products, it is made up of services. And the membrane technology collaboration we talked about is part of the product business. That is a business that we are heavily investing in. It is a significantly higher potential in the marketplace. We are significantly trying to drive growth on the services side, which we believe is very important because it allows us to get an continuous revenue stream, offer value-added services to our customers. We are also working on digital offerings that we have mentioned in our annual reports, and we believe those will complement our services business. Within the EPC projects portion we are looking to increase our presence in more technology-intensive areas like ultra-pure water, high-purity water, desalination, wastewater etc and our endeavor is to increase our competitiveness and margins by increased value addition. Our focus is to increase the share of higher margin products, services, high-tech solutions, which we believe should help us improve the overall margin profile of this engineering segment.

Sunil: Great, sir. And just last point, sir. Basically, when we thought about this new Roha project, our thought process was very clear that the global market is ready for accepting our products, and we will be definitely able to sell whatever we will be able to produce, and which you are talking about next three, four years we will be utilizing. My question is, looking at this tariff and all this matter, do you feel we will have to rethink our thought process, or we are confident about our progress?

Indraneel Dutt: So right now, again, a good question, sir, but I think what we would like to state is that we feel that our original strategy is very much relevant as of now. While the tariff situation is extremely dynamic, and one can never predict what will happen, but at this point in time, all we would like to say is that the current tariff policies that are there today in the various focus markets of the world continue to give us confidence that our investment in this world-class plant was justified, and maybe in time for us to be ready for the market demand that we see right now.

Page 21 of 21 Moderat

or: Thank you. Due to time constraints, that was the last question for the day. I now hand the conference over to the management for the closing comments. Over to you, sir.

Nikisha Solanki : Thank you all for participating in this earnings conference call. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our investor relations manager at Valorem Advisors.

Moderator: Thank you. On behalf of Ion Exchange (India) Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 9 , 2026

To
BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Sub: Submission of Transcript for the Earnings Conference Call held for Q3 FY 2025 -26

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015, please find enclosed the transcript of the Earnings Conference Call held with Institutional Investors/Analysts (Group Meeting) on Monday , 2nd February , 202 6, to discuss the operational and financial performance of the Company for the third quarter and nine months ended 31st December , 2025 .

The said transcript is also available on the Company's website at www.ionexchangeglobal.com .

Kindly take the information on your record .

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Nikisha Solanki
Company Secretary & Compliance Officer
ACS 50894

Encl.: As stated above

Page 1 of 43 Ion Exchange (India) Limited
Q3 and Nine Months FY'26 Earnings Conference Call
February 02, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Ion Exchange (India) Limited's Q3 and nine months FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you, ma'am.

Purvangi Jain: Good afternoon everyone, and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the investor relations of Ion Exchange (India) Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings conference call for the 3rd Quarter and nine months ending of the financial year 2026.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's

earnings call may be forward -looking in nature. Such forward -looki ng statements are subject to risk and uncertainty, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Au diences are cautioned not to place undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial q uarter under review. Let me now introduce you to the Management participating with us in today's earnings call and hand it over to them for their opening remarks. We have Page 3 of 43 with us Mr. Aankur Patni - Vice -Chairman, Mr. Indraneel Dutt - Managing Director and CEO, Mr. Vasant Naik - Group Chief Financial Officer, and Ms. Nikisha Solanki - Company Secretary. Without any delay, I request Mr. Vasant Naik to start with his opening remarks. Thank you and over to you, sir.

Vasant Naik: Thank you, Purvangi. Good aftern oon, everybody. It is a pleasure to welcome you all to the Earnings Conference Call for the 3rd Quarter and Nine Month Ended Financial Year 2026.

For the 3rd Quarter under review, on a consolidated basis, the company reporte d an operating income of INR 7, 344 million, an increase of 6% year -on-year. The EBITDA stood at INR 593 million, a decline by 21% year -on-year. The EBITDA margin stood at 8.07

% and

net profit was INR 206 million, while the PAT margin was 2.81%.

For the nine months of financial year 2026, the company reported an operating income of INR 20, 516 million, an increase of 8% year -on-year. EBITDA Page 4 of 43 stood at INR 1, 902 million, down 9% year -on-year.

The EBITDA margin stood at 9.27% and net profit at INR 1, 189 million, while the PAT margin was 5.8%.

I would also like to highlight that the Labour Codes were notified on November 21, 2025, resulting in an incremental provision of INR 169 million, which is recognized as an exceptional item towards gratuity and leave -related employee benefits arising from past service costs.

Now going through the quarterly segmental performance on a consolidated basis :

In the Engineering division , the revenue for the quarter stood at INR 4,297 million, which is flattish on a year -on-year basis. The segment's EBIT was INR 186 million, down 28% year -on-year. The Inquiry Bank continued to remain steady during the quarter. There was sequential as well as quarter -on-quarter growth in order inflows, primarily driven by medium -sized opportunities. During the quarter, the comp any secured two domestic solar sector contracts, aggregating INR 2,050 million, covering ultra -pure water systems, effluent treatment plants, and zero - Page 5 of 43 liquid discharge solutions. Ultra -pure and high -purity water projects within the solar segment continued to see traction. The planned dispatches of certain high -value engineering contracts for the international market got deferred to the fourth quarter of FY25 -26, which impacted the quarterly performance. In addition, execution of the UP Jal Nigam order

remained muted. The current total order book stands at INR 28,330 million, with an order inflow of INR 5,160 million during the quarter.

Moving to the Chemical division:

The revenue for the quarter was INR 2,307 million, an increase by around 16% year-on-year. The EBIT stood at INR 431 million, reflecting a decline of 18% on a year-on-year. The moderation in profitability was primarily due to the product mix and Roha facility costs. The stage-wise commissioning of the Roha facility continues to progress steadily, and the company expects a gradual scale-up in production volumes over the coming months. The facility is being developed to become an industry benchmark in terms of product quality and sustainability, which is Page 6 of 43 expected to support long-term growth and margin improvement.

For the Consumer Product division, the revenue for the quarter stood at INR 987 million, an increase by 28% year-on-year. The loss for the quarter was INR 33 million, compared to a loss of INR 29 million for the same period in the previous year. This segment continues to witness healthy volume growth. The company continues to invest in the business to build a significantly higher and more scalable revenue platform over the medium to long term.

With this, I conclude the opening remarks, and before we open the floor to the question and answer session, Mr. Indraneel Dutt will give a brief overview of the implications of the Union Budget on the company's operations.

Indraneel Dutt: Good afternoon all. Thank you for joining, and Vasant, thank you for the overall summary on the company's performance. Since the budget was announced by the Union Government just yesterday, a lot of you may have questions on the impact of the budget on the company's long-term and medium-term prospects. We thought that we will share with you some bright spots that we see from the budget that got rolled out. I think overall there is a lot of focus in the budget, expressing the Government of India's long-term commitment to infrastructure, sustainability, and the water sector. I think prominent among those has been the strong support to the Jal Jeevan Mission project, which was off

icially

again reinforced that the project will continue till 2028, and the allocation by the Government on the project has been significantly extended vis-à-vis the actual spend versus in this current financial year. That augurs well for us as significant portion of the UP Jal Jeevan Mission projects remains pending. In addition to that, the Government continues to invest in the sunrise industries like semiconductor with Rs. 40,000 crores additional outlay, which essentially means a boost for our high-tech solutions in ultra-pure water and zero-liquid discharge, which we believe is where the company is well positioned with the recent wins in this solar space that we want to take forward.

Apart from that, there are also green-shoot opportunities coming in the cloud-based data centers Page 8 of 43 that will be set up, which will again require a tremendous amount of water, and also will require wastewater management, as well as the requirement of our chemicals and other portfolios.

Over and above, the Government also announced the

setting up of five mega -textile parks. That brings a lot of focus and investment on the textile business segment. It also brings opportunities for your company on water treatment plants, zero -liquid discharge solutions, as well as on chemicals. Additionally, critical mineral processing is a key Government focus area, where company's Ion Exchange Membranes and Resins portfolios will prove highly useful.

In addition to that, there has been a revival of about 200 legacy industrial clusters, which is an opportunity for both our services division, as well as our institution business, where our products should play well. Also, as all of us are aware, the Government of India signed a historic trade agreement with the European Union, which will allow a free flow of goods and services across both these continents. By virtue of our presence in Europe, through our latest acquisition, we believe that this will augur well for the company as we try to increase our market share in areas like chemicals, resins, membranes, as well as our engineering systems and equipment. So overall, there is a lot to look forward to directionally, from a medium -to-long -term perspective, I think most of the measures of the Government, we are fully aligned in terms of leveraging the growth opportunities and potential in these segments.

So with that, I just wanted to summarize our initial thoughts on the budget as we continue to study the fine print. But with that, I think we will be happy to take any questions that the participants of the call may have for me and Vasant.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Chetan Vora from Abakus Asset Manager. Please go ahead.

Chetan Vora: Hi, sir. Good afternoon. First of all, I would like to understand that during the quarter, the gross margin has declined 200 bps, 260 bps to be very precise. And Page 10 of 43 then below that, the employee cost has also increased by nearly about 130 bps. Other expenses have also increased. And below EBITDA also, depreciation cost has increased from Rs. 10 crores to Rs. 17 crores. And the interest cost has again increased from Rs. 2 crores to Rs. 6.6 crores. I would like to understand what has been the reason. Are there any one -offs in these expenses? Or how should one look at it? And then I will come to my next question, sir.

Indraneel Dutt : Yes, so thank you for the question. You know, while Vasant will share some specific financial numbers, but broadly across both our engineering and chemical businesses, there has been a little bit of headwind. And I will talk about each of them separately. And then Vasant will give you the specific numbers. It is a combination of some one -offs, some that will continue for some time, especial

ly with respect to Roha, and also a change in our mix across both the segments. So I think on the engineering side, clearly the UPJMM projects that we talked about, I think those continue to move slow because of the low allocation of funds. And also I think in terms of the Page 11 of 43 mix of the project execution, last year we had a significant amount of execution happening for our international projects, which this year is planned for

fourth quarter, as a result of which we had an adverse mix on the engineering side. Over and above that, on the chemical side of the business, it was a combination of full impact of depreciation and interest of Roha facility hitting us from this particular quarter. and because of rupee depreciation, some of our input costs have also gone up, which we are taking steps to pass on to customers. As also some adverse product mix in terms of comparatively little bit lower invoicing from our certain high margin product lines. So that is kind of the broad construct. I will request Vasant to give you some very specific details on the questions that you asked following up on my response.

Vasant Naik: On the gross margin, our MD Mr. Indraneel just explained that there are certain headwinds in the engineering and the chemical segment, in terms of the adverse product mix, and the cost increases on account of the rupee depreciation, and in terms of the engineering segment, the overall mix of the Page 12 of 43 project which we are executing, plus the UP project which is continuing to face funding issues. So I think a combination of all these factors have impacted the gross margin, and coming specifically to the interest and depreciation, this is largely the impact of the Roha facility, which was commissioned in the last week of September.

Chetan Vora: Sir, can you tell me what was the total CAPEX done for Roha, and how much it was done through internal accruals, and how much that has been sourced, and what is the capacity which has come on the system, and towards what the CAPEX was incurred?

Vasant Naik: In terms of the Roha, as we have been informing in the earlier calls also, the total CAPEX of Roha is estimated to be in the region of Rs.450 crores, and we have tied up a long-term loan of around Rs. 345 crores with a banking institution. In terms of the capitalization in the books, just under Rs.285 crores has been capitalized in the books. And in terms of the capacity which has come on stream at the end of the 3rd Quarter, it is in the region of 40% to 45% range. Page 13 of 43 Chetan Vora: Sir, when we say the total of the Rs. 450 crores, we have capitalized Rs. 285 crores, is anything standing in CWIP, sir?

Vasant Naik: Yes, around Rs. 130 crores are standing in CWIP.

Chetan Vora: So broadly, we have incurred the CAPEX for the Roha, and what capacity will be coming out, sir, for the Roha, in terms of quantification, if we can see towards what all resins, membrane, what all the capacity is coming on this Roha?

Indraneel Dutt : This plant that is dedicated to Ion Exchange Resins, and primarily for the exports market. As we have said in the last call also, we are in the process of sequentially commissioning the full production. We have already commissioned the cation stream, and we are in the process of commissioning the rest of the product line. So this is a phased process, and which is again as per our expected lines, that we are ramping up the production of this facility.

Chetan Vora: Right. And sir, in terms of capacity, in terms of quantity, how much capacity will be there in terms of tonnage?

Page 14 of 43 Indraneel Dutt : So, that is something that we would not be able to give you such specific information. As I said, cation is one of the major stream of product lines, which is now fully stabilized, and we are ramping up our

production. Like that, the rest of the produ

ct lines will

also be commissioned gradually. We are not seeing any adverse challenges, so things are moving as per plan.

Moderator: Sorry to interrupt Mr. Chetan Vora, may we request you to return to the queue for follow-up questions?

Moderator: But sir, there are several other participants waiting for their turn, so I would request you to return to the queue for follow-up questions, please.

Chetan Vora: Okay.

Moderator: Thank you. Our next question comes from the line of Kishore Kumar from Unifi Capital. Please go ahead.

Kishore Kumar: Good afternoon. Sir, actually in the Q2 call that happened in November, we were guided for better execution and better profitability in the engineering segments. However, the actual numbers are actually remained under pressure because we already know Page 15 of 43 that the legacy project of Jal Jeevan Mission was lagging again. Could you please help us understand the gap between the guidance and actual numbers?

Indraneel Dutt: So, we have been fairly consistent, Kishore ji, in a commentary about the two legacy projects. One is the UP Jal Jeevan Mission which is delayed because of lack of funds, which is an industry-wide issue. And also, there are one legacy project that we continue to execute where we have adverse headwinds in terms of profitability. The expectation that we had in terms of better invoicing performance or profitability performance has been on certain international execution that we are currently underway, part of which was expected to happen in the 3rd Quarter, but because of reasons beyond our control, now we expect invoicing to happen for this international project in the fourth quarter, which is the current quarter of the financial year. So, it is more of a timing issue, and we expect that those invoicing and the accompanying revenue and the profitability will be coming in the fourth quarter of this financial year.

Page 16 of 43 Kishore Kumar: Got it. Sir, for the chemical segments, for the Roha facility, you mentioned that 40% to 45% of the facility has been commissioned now and remaining will be commissioned gradually. Can you give some quantitative figures for this facility, like revenues are a bit of gross margin, similar to the existing facility, or it is lower because of the ramp-ups? Can you give some specifics on this?

Indraneel Dutt: So, we do not share such specifics. I will give you a little bit of a qualitative answer, and if there is anything more colored, then Vasant will add. Cation production stabilized and we are generating those products, production is happening. The other product lines are under various stages of commissioning and stabilizing. This is a chemical plant. It takes time to stabilize and get the necessary quality and specification of products coming out from the export-oriented unit. Further to that, we are also getting various approvals and certifications required for products to be marketed to various international markets and in demanding applications. So, we are trying to commission the plant and all the products, at the same time expediting our approval process for Page 17 of 43 this product. So, this entire process is underway. Our original plan has been to get to full capacity utilization in four years. We stand by those numbers. We are in the process of slowly, gradually scaling up

the plant, and right now, all our actions are going on expected lines. Having said that, I will ask maybe Vasant to give you a little bit, any additional color or flavor he wants to provide.

Vasant Naik: Yes, you asked a specific question. How is the margin profile of this facility? Once the plant is fully commissioned and the stabilization of the product is in place, we expect the margin profile to be better to what we would get from our Ankleshwar facility.

Kishore Kumar: Okay sir. So, just a follow-up on this. Mode

rator: Sorry to interrupt. Mr. Kumar, may we request you to return to the queue for follow-up questions?

Kishore Kumar: Just a follow-up question.

Moderator: Right. So, sir, two questions each for participants. You can rejoin the queue for any follow-up questions. Sir, there are several other participants waiting for questions. Thank you. Our next question comes from Page 18 of 43 the line of Rushabh Shah from Bugle Rock PMS. Please go ahead. Yeah.

Rushabh Shah: Hi. Thank you for the opportunity. Am I audible?

Moderator: Yes, you are audible.

Rushabh Shah: Sir, you have mentioned that the semiconductor opportunity will be a big one for Ion Exchange. And you were negotiating an order on that front. So, any update on that? Have you received any order? And according to your sense, what would be the market size of this opportunity? And how much Ion Exchange will benefit from it?

Indraneel Dutt : The opportunity for semiconductor exists in both ultra-pure water and also in wastewater. We participated in two projects which have been awarded, but we did not pick up the order because we felt that the current price levels were not conducive for a profitable execution. There are other projects that we continue to bid. In the interest of confidentiality, I cannot share anything more. But whatever projects are there in the semiconductor space that is currently available, the company is Page 19 of 43 pursuing those. And if the profitability profile of the projects is in line with our expectations, we will definitely pick up the project. In terms of our capabilities, we have as a company been in the semiconductor space for the last 40 years. One of the earliest plants Semiconductor plant in Mohali, was done by ion exchange. To this day, the plant is working beautifully, which talks about the durability of the products and solutions supplied by the company and also the technological know-how that the company has. It is a matter of picking up the right project at the right profitability, and we continue to pursue those. And as and when we see or have a success, we will definitely come back and share that with you. In the related space, it is the same solutions offered in the solar side. In the opening remarks, Vasant has talked about the two wins we have had in the solar project. We have also given a declaration to the stock exchanges for those wins. We continue to pursue other projects in the same ultra-pure water space, in solar, semiconductor, green hydrogen, as well as in data centers.

Page 20 of 43 Rushabh Shah: Okay. So, sir, my next question is, when we get an EPC project, what are those checkpoints you check so that we do not end up losing money in a bad project or we do not stretch our own balance sheet?

Indraneel Dutt : So, good question. We have a fairly strong and we

have put in a stronger review mechanism in terms of the appropriate profile of projects to pick up. So, clearly, the project profitability is important. Clearly, the creditworthiness of the customer is important. Clearly, the cash flow profile of the project is important. Clearly, the essential risks that we are taking on to the project is important. The type of industry, the type of effluents is important. So, there is a fairly strong risk review mechanism that the company pursues for taking projects. As I have said in the previous calls, earning from the legacy experience of execution where we continue to face profitability headwinds, we have become very selective in picking up projects with the right profitability profile.

Rushabh Shah: Okay. So, this Roha project which is coming up for our region, so by when would this be up and running?

Page 21 of 43 Indraneel Dutt : So, as I said, the plant is getting commissioned. We are beginning to get revenues from the facility. We got some initial revenues in the last quarter, very small

I in the overall context of things. Our revenues in this quarter will increase. But as I said, there is an approval process and certification process of our products which we are in the process of doing. So, we expect the revenues to significantly increase in the subsequent or the next financial year.

Rushabh Shah: Okay. Thank you. I will get back in the queue.

Moderator: Thank you. Your next question comes from the line of Raghav Maheshwari from Kamaya Care Wealth Management. Please go ahead.

Raghav Maheshwari: Hi, sir. Good afternoon. Sir, first of all, my first question would be around the Roha Resin plant. Sir, if you can tell us what has been the capacity utilization for that plant, for the commissioned capacity for this quarter?

Indraneel Dutt : So, it is a very large plant and so as I said, we have just commissioned the plant. So, right now, the capacity utilization is very, very less. As I said, this requires us Page 22 of 43 to get the products qualified. We are releasing the product in certain applications in the domestic market. But you can expect the capacity utilization to start ramping up from the next financial year. And our outlook consistently for the next financial year has been 25% of the overall plant. And we believe that it is possible for us to achieve based on the phased commissioning and stabilization that we have reached in one product line. And the work that the team continues to do on the ground in the plant for the other product lines.

Raghav Maheshwari: Okay, sir. I understood. And, sir, my next question, I might have missed that information when you were talking about the budget. So, sir, first of all, how much of the receivables do we have stuck as of now in this Jal Jeevan Mission? And given this budget increase by the government in this union budget, what sort of impact do we see for our order intake in this? And like you mentioned that the Jal Jeevan Mission orders are still, they remain muted. So, if you can throw some light on this.

Page 23 of 43 Vasant Naik: Yes, as we have said before also, the funding from the UP government on account of the Jal Jeevan Mission has been very subdued or very negligible in this quarter. So, our receivables, there is not much of change compared to what we had in the previous quarter. As was mentioned when we just informed

you about the budget announcement, the Jal Jeevan Mission, the outlay has been increased in the current budget. And we do hope with the increased outlay and the mission being extended up to 2028, the fund flow for the project will improve and our overall receivables will get benefited with the disbursement, which should happen in the coming

Raghav Maheshwari: Sir, are we looking to take up more projects in JJM going forward?

Indraneel Dutt : No, in the current construct, the way the scheme is we do not anticipate to take up more projects. Our current focus is to execute these projects. As Vasant said, with the renewed commitment from the government, we expect funds to flow in and that will allow us to recover our pending receivables and also allow us to liquidate the rest of the backlog, which Page 24 of 43 will possibly take us a couple of years. But at least we will see some progress. Beyond this, this is not an area of focus for us. We are more focusing on water treatment and wastewater treatment in areas like ultra-pure water, high-purity water, critical wastewater, desalination. So that is the focus area of the company. However, we continue to remain firm on our execution of the current order backlog for Jal Jeevan Mission.

Raghav Maheshwari: Okay, sir. Thank you and all the best.

Moderator: Thank you. Your next question comes from the line of Anupam Gupta from HDFC Mutual Funds. Please go ahead.

Anupam Gupta: Yes, so a couple of questions. So one on each segment. So, on the engineering segment, obviously

the performance in this quarter was weak and you said that it should revert back in the fourth quarter. But given where your order book is, how do you see the growth and margins for the engineering segment panning out over FY'27 ?

Page 25 of 43 Indraneel Dutt : So I would say, first of all, that you are right in what we said, that we expect the fourth quarter to be higher in terms of invoicing and specifically for the international profile or international mix of the orders that we have in the executable backlog, which partly was expected to happen in the preceding quarter. In terms of our order execution, visibility or expectation for the next financial year, I think we have had a decent order inflow for the company in this year. In fact, in the three quarters of this year, we have already exceeded the annual order intake of the last financial year. We expect orders to flow in this current quarter as well. So the order intake has been positive, even though we have become significantly selective in picking up orders. So we expect those orders to get executed with reasonable profitability, and we want to slowly improve the erosion that has happened. We want to improve the execution of the engineering orders. So overall, we expect a similar, if not slightly better outlook from the execution, both from an invoicing as well as from a profitability standpoint for a segment.

Page 26 of 43 Anupam Gupta: Okay. Understood. And in one of your earlier comments, you have mentioned structural changes to margins in the chemical business. Over the last four, five years, you have done 24% sort of average margins in chemicals. So let us say as and when Roha ramps up over the next four years, five years and your existing business continues, what sort of margin

levels should one be comfortable with in the chemical segment?

Indraneel Dutt : So, as we have been saying consistently that the 28% or roundabout margin that we were able to continue in the chemical segment, I mentioned that repeatedly, it itself is a challenge for us to do. I think over the last few quarters, the company has been successful with all the various variables that are there to maintain that margin levels. In the last quarter, because of the rupee depreciation, we faced some input cost challenges, which we expect to pass on in this current quarter to partly offset that impact. We also had a little bit of mixed challenges, which is why our profitability on this segment was down. And we are working to see that we can improve on that through various measures that are taken. None of Page 27 of 43 them are structural measures per se. They are more business operating actions that we are taking, including passing on some of the price increase to the customers. We have been slow and reasonable, but now we believe that we have to pass it on back to certain segments. As Roha ramps up, the Roha profitability should be similar or better over time, but we do not anticipate any significant increase in the current quarter. As I said, in the subsequent financial year, we will see the benefits of Roha coming in. But with the price increase being passed on to our customers, we expect the profile to be kind of similar, if not slightly better, coming back to the average of the current financial year.

Anupam Gupta: Okay sir. All the best. Thank you.

Moderator: Thank you. The next question comes from the line of Deepak from Sundaram Asset Management Company.

Deepak: Sir, my first question is on this Roha plant. I just want to double-check. Of the 43,000 cubic meter capacity, how much of the capacity will be commissioned by Page 28 of 43 the end of Q4, the fiscal year? And on that capacity, how much utilization are we expecting in FY '27?

Indraneel Dutt : As I said, we would typically not like to give a specific number. But as I said, we have already commissioned one of the m

ajor product lines, the cation. We continue to execute on the rest of the product lines. And so we expect that we will be able to get to 25% capacity utilization by the next financial year. And our commissioning and stabilization process is going very much as per our original plan.

Deepak: But sir, when you mention this 25% capacity utilization in FY '27, we are talking about full plant commissioning, right? That 43,000 cubic meter capacity.

Indraneel Dutt : Yes, definitely we are trying earlier, but definitely in the next financial year, the plant will be fully commissioned, all product lines. It is a new plant and it requires product approval, as I already mentioned previously in the call. We are going through all of that process as we speak.

Page 29 of 43 Deepak: Generally, how much time does it take for us to get product approved from a new plant? Is it like it takes a couple of quarters or is it a couple of months?

Because I am trying to understand what is the revenue visibility? Are we able to ascertain with some certainty from this Roha plant in FY '27?

Indraneel Dutt : Typically, it takes a quarter if everything goes right. And then we have to approach the customers and

then there is a customer approval process that will follow, which will take typically another quarter. So, if everything goes right, this is the minimum time that will be taken. Again, that has been a part of our original plan as well. And that is why we have put a number of 25% utilization by next financial year.

Deepak: Okay. Sir, I have one question on the engineering

Moderator: Sorry to interrupt, Deepak sir. May we request you to return to the queue for follow-up questions, please?

Deepak : Okay.

Moderator: Thank you. Our next question comes from the line of Dhaval Pandya from 47 Alpha Capital. Please go ahead.

Page 30 of 43 Dhaval Pandya: So, I have two questions. One is on the loans. As we go through the financials, we can see that there is a substantial increase in the loans. So, can you tell us what amount of the, what are the short-term loans, what amount?

Vasant Naik: The overall increase in loans is primarily on account of the term loan which we have taken on account for the Roha facility. And out of the total loans, around Rs. 55 crores will be in the short-term category.

Dhaval Pandya: Okay. And as you mentioned that you are venturing out in solar as well. So, what is the contribution of solar in overall revenue?

Indraneel Dutt : So, that varies. Typically, we do not disclose these numbers. But that varies against our current order inflow of about Rs. 1100 plus crores. I mean, Rs. 205 crores are the two orders that we announced to the street. Again, it is not consistent every year because it depends on projects when they come up for order placements. And the mix varies. We are present across the segments. But what we can tell you is that we are actively pursuing solar opportunities and semiconductor opportunities. And as and when those Page 31 of 43 come up for closure at the right profit and risk profile, we will pick up those jobs.

Dhaval Pandya: Okay. One last question.

Moderator: Sorry to interrupt, Mr. Pandya. May we request you to return to the question queue for follow-up questions?

Dhaval Pandya: Okay. Thank you very much.

Moderator: Your next question comes from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Yes. Namaskar, sir. I hope I am audible.

Indraneel Dutt : Yes, namaskar. You are audible.

Saket Kapoor: Yes. Sir, as per the conversation which we are continuing for the last 30, 40 minutes, is it now safe for investors to assume that the worst is behind in terms of the lower margins which we are currently exhibiting in the engineering segment pertaining to the legacy orders and also with the scenario playing out in terms of the chemical and the Consumer

Product losses also on the higher side? What should investors envisage going ahead firstly for the next Page 32 of 43 financial year and whether the course correction exercises are over and we could see now growth with improved profitability going ahead? Are these assumptions in terms of what the market conditions are today a fair one or we need to wait for more pain to flow through the P&L?

Indraneel Dutt : So, I wish I could have said that in everything the worst is behind us, but I will not say that. I think we continue to correct the P&L and improve the situation. As we have said, the legacy project and the

UP execution is still pending, much as you would have liked to get them over, but you heard our receivables on account of UP and we do not want to load our books and add more receivable burden on us. So, the legacy project we continue to execute and we are working on it and hopefully in the next financial year it will taper off. UP will continue to be there. As we have mentioned, we have significantly tightened on the engineering front, our order selection process and we expect that the learnings we had in the past will not get repeated, which is why we have been very selective. Even though we have crossed our last year's order inflow, yet, we have been extremely selective in picking up deals. So, yes, over the longer term, I would agree with your assessment that the overall profitability and the segment performance of the engineering side should increase, but that is in the longer term. We still have, I would say, a time period to cover where both UP and the legacy project execution will continue. On the chemical front, we will be passing on some of the price impact to the customers. And as Roha gets commissioned and the revenue from Roha increases, we will expect some improvement in the chemical profitability, but again, that is too early to call. We have to get Roha commissioned, stabilized, certified orders to come in and then execution will pick up. As we ramp up Roha capacity utilization, at that time we can expect some improvement, but it is still some time away because we have said that our original estimate, which we stand by, is to have Roha capacity utilization of 25% for the next financial year. So, longer term, yes, the outlook of both these segments are good. On the engineering side, we continue to strengthen on our membrane portfolio, which is a part of the engineering segment, where we see good tailwinds coming with our product development and production. We are similarly seeing good tailwinds on the services front. All of this, on the longer term, augurs well for the company, but in the shorter term, we continue to work through some of the challenges which have impacted the P&L in the past, and we would want to get over them. The good news is, we have not seen any additional adverse impacts so far, but we will still go through the grind and get over the current headwinds.

Saket Kapoor: And on the Consumer Product also, sir?

Indraneel Dutt : On the Consumer Product side, we have seen strong tailwinds of growth. I do not know if you have seen our "Bharat Ka Paani" ad that is out there in commercials, in newspapers, print media. We continue to invest in advertising and promotion. The business has continued to show a 30% year-on-year growth so far. YTD, if you watch the IPL or the T20 games, you will see our "Bharat Ka Paani" ad coming prominently. And all of this requires investments, and whatever profits we are making in the division, we are ploughing it back into advertising and promotion to sustain this 30% growth that we are seeing. We expect next year to continue on a similar trend. We are getting into newer parts. I think still our coverage in India leaves more to be catered to. We are already the leaders in the softener

part of the business. So

overall, the segment is looking strong.

Saket Kapoor: Right sir. Lastly, second question

Moderator: Sorry to interrupt, Mr. Kapoor. May we request you to return to the queue for follow-up questions, please? Thank you. Our next question comes from the line of Pratik Kothari from Unique Portfolio Management Services. Please go ahead.

Pratik Kothari: Hi, good afternoon, sir. Sir, one, I mean, to your point, this first nine months has been, I mean, we have surpassed the last year number also. I mean, in the presentation, you do talk about winds and the solar project. What are we seeing? Is this international markets, domestic, any particular segment? What is working there?

Indraneel Dutt : So, as I said we are actively soliciting business while being selective about it. We are in all the important Page 36 of 43 segments. We continue to actively and very aggressively bid for projects. However, as I said, we continue to be very selective in what we pick up. Similarly, on the international front, also we have increased our activities. We picked up recently a project with one of the largest dairy companies in Saudi Arabia. These are some of the wins that we continue to pursue. We continue to engage with companies on the energy side in the Middle East. And hopefully, we will see some of those fructifying. So, our activities on the front end are significantly engaging. And we continue to push on both the domestic and the international front. And as and when we see some of those closing favorably for the company we will definitely come back with suitable declarations.

Pratik Kothari: Enough. And second, this ex of UP, does this legacy project get done in Q2? If it does, how long in FY '27 does it go on? And ex of UP and legacies are, I mean, normally, the margin if that is the word I have to use, single digits, are we still doing those upwards of 11%, 12% that we used to do for a couple of years?

Page 37 of 43 Indraneel Dutt : So, both the legacy project, I will talk about that first. We continue to execute that. It is a very large project and hence it continues to be executed. It will flow into the next financial year. As we said, it will taper off. A lot of the activity right now is on the construction side. On the site, it is a large plant. It takes time to be commissioned. Most of the supplies have been completed. But still a significant portion is left to be executed finally of the overall order value. On the UP side, as I said we have about Rs. 400 crores of order backlog on UP that we continue to execute. We believe if the funds flow starts coming in, in the next financial year, it will take us a couple of years to finally come out of those projects. And these projects will move into O&M. We will not leave those projects. But we will move into the operation and maintenance of those projects. Apart from that, we continue to be selective in pick-up of orders. So, we believe that these will be in the high single digits. It is very rare that in the project business, you end up with very attractive profitability considering the competition we see in the market. But our endeavor Page 38 of 43 will always be to ensure that we have a profitable business on the project side.

Pratik Kothari: Thank you and all the best, sir.

Moderator: Thank you. Our next follow-up question comes from the line of Chetan Vora from Abakus Asset Manager. Please go ahead.

Chetan Vora: Hi, sir. Thank you for considering the question again. I would like to understand, the Roha CAPEX, the asset

terms are 2.5x , right? As you had mentioned in the last conference call?

Vasant Naik: Yes, over a period of four years.

Chetan Vora: How do you see the payback period to be for this plant? Within what time frame we are expecting a payback, sir?

Vasant Naik: We are expecting in the region of

around four to five

years. Under five years, the payback should happen for this facility.

Chetan Vora: Okay, sir. And sir

Page 39 of 43 Moderator: Sorry to interrupt, Mr. Vora. Please, if you can rejoin the queue for any further follow -up.

Indraneel Dutt : I will just qualify the payback comment of Vasant. You

know, it is slightly longer than what we wanted. But the reason is that this is a fully sustainable, fully circular plant. One third of the CAPEX has gone to ensure that, every, not a drop of water is discharged out. It is a zero liquid discharge plant. A lot of CAPEX has gone to ensure that, in all parameters, all input, items, it is almost fully circular plant. Once commissioned, it will be one of the best in class plants in the world. So we have tried to ensure that this is a model plant, which is why the CAPEX is slightly higher. And accordingly, the payback is taking a little longer. Ideally, we would want to have a payback between three and four years. I just want to qualify that. That is the reason that the company and the board made a conscious decision to see that we have the best in class plant in the world, in terms of sustainability and circularity.

Page 40 of 43 Chetan Vora: Right, sir. Sir, on the plant only. The entire capitalization will be happening this year only, right? FY'26?

Vasant Naik: Yes, we are expecting largely the capitalization to get completed by March, a major part at least.

Chetan Vora: Okay, sir. Thank you.

Moderator: Thank you. The next follow -up question comes from the line of Kishore Kumar from Unifi Capital. Please go ahead.

Kishore Kumar: Thanks for taking my question again. Sir, now that the legacy project will actually be there in 2027 as well, the profitability will be at a lower end in H1. Should we assume actually lower profitability in H1 as well of next financial year?

Indraneel Dutt : We will definitely try to improve the profitability in coming periods. The project will taper off. So the impact of the project as we keep on grinding and executing that job will keep on progressively coming down. And as we execute the UP project, provided the fund flow starts, that is at a better profitability mix. And then our other projects we are picking up Page 41 of 43 are healthier. So we would not say that. At the same time, it will take us some time to get behind all those legacy issues. So I do not see a reason to be further worried. At this time, I will possibly keep it at the level of performance in the earlier part of this financial year.

Kishore Kumar: Got it, sir. My second question is on the chemicals margin. You actually answered it to a previous participant about the margin above. Now the Q3 margins are at a lower end because of the ramp -up in the Roha facility. Should we assume similar margins for the next two, three quarters and then the ramp -ups actually benefit the margin?

Indraneel Dutt : I would say that there are parts of it. Right? So, the

price impact due to the rupee depreciation, I think we will try to recover partly in the next quarter. We are also working on the mix where certain segments I called out earlier in the call. We are trying to see how we can get the improvement. With respect to Roha, we anticipate this current quarter to be similar because we are currently in the process of commissioning and stabilizing the plant and getting Page 42 of 43 the product certified. So for Roha to fully give you the benefits of the impact of the Roha plant coming up, I think it will take us a couple of quarters. But beyond Roha, there are still a lot of products that we manufacture and invoice for the chemical segment. And we expect and our endeavor will be to try and get back at an operating level to the performance that we have shown before depreciation and interest expenses of Roha started hitting us from this quarter.

Kishore Kumar: Got it

t, sir. Any change in the engineering segment guidance for this year and next year? Because we expected H2 to be better. Now Q3 was actually flat on a year-on-year basis. So Q4 execution will actually compensate that or it will be actually lower?

Indraneel Dutt : So, Q4 should be better than Q3. That is what I think we can say right now. Next year, progressively the situation should improve from the average of this year. But again, as I said, there are still parts of the legacy project that we need to complete . There are still structural fixes we are putting in place on the engineering business. And as our membrane and the services business starts picking up, in the longer term, Page 43 of 43 we will definitely see upward performance on the profitability of the engineering segment. But it is a work in process for us. We know the path. It is just about working on that execution.

Kishore Kumar: Got it, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to the management of Ion Exchange (India) Limited for closing comments.

Nikisha Solanki: Thank you all for participating in this earnings conference call. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our Investment Relations Managers at Valorem Advisors. Thank you.

Moderator: Thank you. On behalf of Ion Exchange (India) Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2026

June 5 , 2026

To
BSE Limited National Stock Exchange of India Limited
The Corporate Relationship Dept. Exchange Plaza, C -1, Block - G,
P.J. Towers, Dalal Street Bandra Kurla Complex, Bandra (East),
Mumbai -400 001 Mumbai -400 051
Scrip Code: 500214 Symbol: IONEXCHANG

Sub: Submission of Transcript of the Earnings Conference Call held for Q4 FY 2025 -26

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015, please find enclosed the transcript of the Earnings Conference Call held with Institutional Investors/Analysts (Group Meeting) on Friday , May 29 , 202 6, to discuss the operational and financial performance of the Company for the fourth quarter and year ended March 31 , 202 6.

The said transcript is also available on the Company's website at www.ionexchangeglobal.com .

Kindly take the information on your record .

Thanking You,

Yours faithfully,
For Ion Exchange (India) Limited

Nikisha Solanki
Company Secretary & Compliance Officer
ACS - 50894

Encl.: As stated above

Page 1 of 19 Ion Exchange (India) Limited
Q4 & FY26 Earning Conference Call
May 29, 2026

Moderator: Ladies and Gentlemen, Good Day and Welcome to Ion Exchange (India) Limited Q4 & FY26 Earning Conference Call.

As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you, ma'am.

Purvangi Jain: Good afternoon, everyone and a very warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor Relations of Ion Exchange (India) Limited.

On behalf of the company and Valorem Advisors, I would like to thank you all for participating in the "Com pany's Earnings Conference Call for the 4th Quarter and Financial Year 2026."

Before we begin, let me mention a short cautionary statement:

Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statemen ts are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decision. The purpose of today's earnings call is purely to educate and

bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the Management participating with us in today's Earnings Call and hand it over to them for their opening remarks. We have with us Mr. Aankur Patni -- Vice Chairman; Mr. Indraneel Dutt -- Managing Director & CEO; Mr. Vasant Naik -- Group Chief Financial Officer; and Mrs. Nikisha Solanki -- Company Secretary. Without any further delay, I request "Mr. Vasant Naik to start with his Opening Remarks." Thank you and over to you, sir.

Page 2 of 19 Vasant Naik: Thank you, Purvangi. Good afternoon, everybody. It is a pleasure to welcome all to the Earnings Conference Call for the 4th Quarter and Financial Year 2026.

For the 4th Quarter under review on a consolidated basis, the company reported an operating income of INR 8,633 million, an increase of around 3% year-on-year.

The EBIT

DA stood at INR 199 million and EBITDA margin stood at 2.31% and net profit was INR 243 million and the PAT margin was at 2.81%.

For the Financial Year 2026, the company reported operating income of INR 29,148 million, an increase of around 7% year-on-year.

EBITDA stood at INR 2,102 million, down 29% year-on-year. The EBITDA margin stood at 7.21%, and the net profit was INR 1,432 million, whilst the PAT margin was at 4.91%.

Now, let me take you through the "Quarterly Segmental Performance on a Consolidated Basis":

In the Engineering segment, the revenue for the quarter stood at INR 5,539 million, which is flat on a year-on-year basis. The segment EBIT was INR 215 million.

The enquiry pipeline continues to remain healthy with both quarter-on-quarter and year-on-year growth in order inflows, driven primarily by medium-sized opportunities across sectors.

During the quarter, planned dispatches of certain high-value engineering contracts to the GCC geographies were impacted due to disruptions arising from the West Asia crisis. However, we have since received customer clearances to proceed with the execution post the end of the quarter.

The closure of the Sri Lanka project continues to progress as planned and we expect to complete the project by the end of the 2nd Quarter of the Financial Year 2027.

During the quarter, we achieved an important milestone with the successful commissioning of the raw water treatment plant for the IOCL Panipat Refinery project, which is the largest industrial water treatment package awarded in India.

We have also entered into a technology transfer and manufacturing collaboration with MANN+HUMMEL, a global leader in filtration technology, for the manufacture of ultra-filtration membranes and Page 3 of 19 transfer of membrane bioreactor technology to India. This partnership further strengthens our membrane portfolio and enhances our technology offerings.

As at 31st March '26, the engineering order book stood at INR 26,433 million, providing healthy revenue visibility going forward.

Coming to the "Chemical Segment":

The revenue for the quarter was INR 2,297 million, an increase by around 3% year-on-year, while the EBIT stood at INR 334 million.

The business continues to record sequential and year-on-year improvement in turnover. However, the turnover was impacted primarily in March '26 due to logistic disruption from the West Asia crisis. In addition, the profitability during the quarter was also affected by input cost increases as well as the Roha facility cost. We have initiated appropriate pricing action to pass on the cost increases to the customers.

We have also successfully completed during the quarter the commissioning of all the manufacturing lines at Roha. Further, the facility has since received post the end of the March quarter, certification from the (WQA), Water Quality Association, which is a

globally reputed testing agency for the resins which are manufactured at Roha. The certification is expected to enhance our access to international markets and support future growth.

We have also secured strategic contracts with key customers, which augurs well for the business growth and strengthens our position in the market.

For the "Consumer Product Division":

The revenue for the quarter stood at INR 1,047 million, an increase by 34% year-on-year. The loss for the quarter was INR 46 million compared to a loss of INR 52 million in the same period of the previous year. This segment continues to witness healthy volume growth supported by expanding market reach and increasing product acceptance. The company continues to invest in the business

to build

a significantly higher and more scalable revenue platform.

Coming to our "International Operations and our Group

Companies":

Execution of the 20-year DBOOT contract valued at OMR 73.46 million, which was awarded by the Petroleum Development Oman to our Page 4 of 19 subsidiary company, Ion Exchange & LLC Oman, is progressing as per schedule.

We have also entered into a project joint venture with a local partner in Malawi for the execution of a water treatment package valued at USD 18.1 million. This contract has been awarded by the Northern Region Water Board, Malawi.

In parallel, we continue to strengthen our international footprint and are expanding our presence across the overseas market with a focused strategy to grow our product business and deepen customer engagement in key geographies.

With this, I conclude the opening remarks and we can now open the floor to "Q&A."

Moderator: Ladies and gentlemen, we will now begin with the question-and-answer session. Our first question comes from the line of Harsh Shah from Merisis Advisors. Please go ahead.

Harsh Shah

Merisis Advisors: Can you highlight the strategic significance of a tie-up with MANN+HUMMEL JV and what will it do us in terms of capabilities, geographical reach and client pre qualifications?

Management: The MANN+HUMMEL partnership and collaboration is a very important milestone for the future success and growth of the company.

As we have talked in the past, along with resins and water treatment specialty chemicals, the membrane technology and product line is one of the important strategic growth levers of the company for the future.

The global membrane market is growing at a CAGR of 10%-plus and would remain a very important market for the company. We are one of the very few companies which have such an extensive range of membrane products starting from reverse osmosis membranes to ultra-filtration membranes and nano-filtration membranes. This partnership with MANN+HUMMEL was made with the intention of further expanding the membrane portfolio to have the latest technologies of ultra-filtration PVDF-type flat sheet membranes and to get the MBR technology for which MANN+HUMMEL is famous. With this partnership we should be able to exploit the total potential of the global membrane market in the years to come.

Harsh Shah

Page 5 of 19 Merisis Advisors: Okay, sir. Can you also highlight on the geographic reach and how do you propose to reach out to the clients about the new products that you will be developing with MANN+HUMMEL?

Management: So, already the membrane products are beginning to get distributed in our market in Middle East as well as in the Asia-Pacific geographies. In the near future, we plan to take some of this product also to the Africa and the Europe markets. As and when the membrane products are co-developed with MANN+HUMMEL and with their technology, then those products will also be added to the portfolio of membrane offerings in the global markets as well.

Harsh Shah

Merisis Advisors: Okay. Sir, can you also elaborate on the acquisition of MAPRIL and what does this acquisition do for us in terms of capacity building or geographical expansion?

Management: The acquisition of MAPRIL was done in 2023 middle and that gave the company a strategic foothold in the South Europe market, specifically in the Iberian Peninsula of Portugal and Spain. This company is based in Porto on the west of Portugal and allows us to be a local company and tap the potential of the market for the entire range of water treatment products and solutions in that geography. The company since the acquisition has been

fully integrated into the Ion Exchange Group and now the company is expanding its presence and increasing its business in the Iberian region, and is expected to make an increasing contribution to the growth and success of Ion Exchange.

Harsh Shah

Merisis Advisors: Okay, sir. Thank you so much. I will join back in the queue.

Moderator: Our next question comes from the line of Kishore Kumar from Unifi Capital.

Kishore Kumar

Unifi Capital: Sir, my question is on the Oman project that we won in the last quarter. So, since it is a build -operate -transfer project and we are executing in a JV, what is the upfront CAPEX that we need to incur, and is there any grant that will be coming from the customers which can actually ease out the CAPEX requirement?

Management: The Petroleum Development Oman project is being executed through our joint-venture company in Oman, which is Ion Exchange & Co. LLC Page 6 of 19 , Oman. The CAPEX is around USD 40 million over the next two years, and we'll be funding it with a mix of debt and equity.

Kishore Kumar

Unifi Capital: And what is our contribution to the debt, sir, in this actually out of the US\$ 40 million, and what would be the partners contribution?

Management: As mentioned earlier, the project will be funded by a mix of debt and equity. Our equity contribution will come from internal accruals, and the balance will be shared by both partners, keeping in mind that IE & Co. LLC , Oman is a joint venture company where we hold a 51% share.

Kishore Kumar

Unifi Capital: Okay. And my second question is on the Roha plant. Now, we have commissioned it fully. Are we in line with our previous guidance to achieve the 25%-30% of capacity utilization and how are we proceeding on the customer acquisition front as well?

Management: Our guidance has been in the past that we will work towards 25% capacity utilization of the Roha plant in the first full year of operation. We continue to remain in line with those expectations While there are near term headwinds related to the West Asia crisis — notably higher costs for certain critical raw materials such as styrene and oleum — we believe these risks will be mitigated over time. We should be able to meet our earlier guidance from a plant capacity utilization standpoint for this financial year.

Kishore Kumar

Unifi Capital: And just a follow -up on this, sir. Since the input cost prices have gone up materially, do you think that PBT break -even is possible this year or it will actually differ by one or two quarters?

Management: We are trying our best to see that we can get there. As you all know, the West Asia crisis continues to be, very dynamic, but as we are just in the first couple of months of this new financial year, we are still endeavoring our best to see that we can achieve that objective.

Kishore Kumar

Unifi Capital: Okay. Got it, sir. Sir, I have a question on the engineering segment as well. How is the legacy project execution been going on? We actually guided that it will spill into FY27 as well. How are we positioned there? Do you think there will be margin drag because of this in FY27 as well?

Management : As we have given in the earlier guidance and updates, the project continues to move at the expected pace. A significant part of the project Page 7 of 19 execution has already been done. However, as we have said earlier, the balance of the project will be executed in this financial year. We continue to work on the site and with the customer in line with the earlier

given timelines.

Kishore Kumar

Unifi Capital: And any comments on the margins for the engineering segment?

Management: On engineering margins

, we faced headwinds due to deferral of certain export shipments —approximately Rs. 60 crore—related to the West Asia crisis; several consignments bound for GCC markets were postponed. Consequently, the share of higher cost domestic shipments increased in the final quarter, reducing engineering segment margins relative to the global revenue mix.

Moderator: The next question comes from the line of Nirmam with Unique PMS.

Please go ahead.

Nirmam

Unique PMS: My first is on the EPC business. So, you mentioned that we have some slowdown because of some GCC delivery deferrals. But apart from there, are there any challenges because of which we are seeing some issue on the growth side of things?

Management: No, I think predominantly those were the two headwinds I talked about. Apart from that, our order intake has been quite healthy; in fact, it has been 40% more than the last full financial year, and we expect a majority of those projects to get executed in this financial year and the next. So, apart from those two headwinds, which we called out, we do not anticipate any other major challenges in the engineering segment. We continue to focus on expanding our order book with large, profitable engineering contracts, particularly in international markets.

Nirmam

Unique PMS: Okay, sir. And my second question, sir, is on the chemicals business.

So, we have seen some impact on profitability. And again, you mentioned one was the input price pressure and the second was the Roha. So, if you could comment on the profitability ex of Roha interest and depreciation, so, how are we seeing the outlook there, and if we can maintain our historic level, it will be better?

Management: As noted, the segment faced three primary headwinds: higher interest and depreciation charges at Roha, rising input costs across the segment, and Q4 revenue disruption from the West Asia crisis. We expect a portion of the lost Q4 revenue to be recovered during the current financial year. We continue to monitor the increase in input costs and are working to pass these increases on to customers as soon as possible. Approximately one-quarter of the segment's overall impact is attributable to factors outside Roha.

Nirmam

Unique PMS: Okay, sir. And this last is question on the legacy project. So, that completes by second or third quarter of this year?

Management: We should be able to close it in this financial year. The guidance we can offer is that just to close out in this financial year.

Nirmam

Unique PMS: Okay, sir. Got it. Thank you and all the best.

Moderator: Our next question comes from the line of Tejas with InCred Equities. Please go ahead.

Tejas

InCred Equities: So, I wanted to get some clarity on the margin in the chemical segment. So, like you said that 25% of the that has been there, that is due to Roha expansion. But apart from that, can you clarify what is the bifurcation between the Middle East logistics issue or due to the price increases?

Management: See, I think I will clarify. I said that out of the 4% drop in the segment, three-fourth of that is because of the Roha expenses. Only one-fourth of that was because of the Middle East crisis the input cost increases and some revenue specifically for our resins business was deferred out because of logistics challenges. We expect that to come back in this financial year.

Tejas

InCred Equities: So, I mean, out of the 10% margin decrease that has happened in like the chemical segment, the margins have gotten from 25% to 15, right?

So, out of 10%, 7.5% is due to the Roha expense?

Management : The Roha impact will be just under 7% for the quarter

and what Mr.

Indraneel was explaining was the overall impact for the full year.

Tejas

InCred Equities: Okay. But still, 7.5% is a very high number. Did we not capitalize that cost which was done for the business? I think the routine expense that can impact margins so severely.

Page 9 of 19 Management : No, the entire utility building and the associated infrastructure were capitalized in the month of September'25, while the manufacturing lines got progressively capitalized during the year, with a major capitalization taking place in March of '26. That is why there is a big delta in the bottom line for the Roha.

Tejas

InCred Equities: Yes, but if we capitalize it, then there should not have been any impact on the EBITDA side, right, or is this just that there is no change in the EBITDA, is mainly the EBIT that we have been suffering?

Management : That is what I am saying. I am talking of the segment margin which is basically the EBIT margin. So, for the quarter, it was just under 7% and for the full year, it was around 3%.

Tejas

InCred Equities: Okay, sure. And coming on to the next question, in the engineering segment also, we suffered a lot of margin contraction. So, is almost all of that has contributed due to the Middle East operations only?

Management : Yes — several factors, previously noted, affected the engineering segment. Beyond the Middle East crisis and the deferral of certain export shipments, we are still experiencing impacts from a continuing legacy project that is expected to persist into part of this year. In short, a combination of these factors has reduced the engineering segment's profitability.

Moderator: Our next question comes from the line of Deepak with Sundaram Mutual Fund. Please go ahead.

Deepak

Sundaram Mutual Fund: Thank you for the opportunity. So, I just want to double click on this Roha resin plant. So, have you fully commissioned the 42,600 cubic meter capacity along with full backward integration?

Management: We have commissioned the plant, backward integration is underway, but that does not affect the production of the plant, it will help us improve our profitability. Otherwise, the plant is fully commissioned. As we have said in the past, a significant part of production will be used for exports in the global market, specifically in the US in the drinking water segment for which a particular certification from the Water Quality Association of the USA is required. That has been obtained and hence we expect the revenue from the Roha plant to start picking up from this financial year onwards.

Page 10 of 19 Deepak

Sundaram Mutual Fund: Okay. And sir, you have spoken about some strategic contracts which you have won with some key customer in chemicals division. I just wanted to clarify, was it related to Roha plant or was it related to the overall chemical segment, because why I ask that question is because majority of your capacity addition is coming through that Roha plant so, hence I am asking that question?

Management: So, that particular comment was linked to our other portfolio product lines and offerings in the chemicals segment which is into water treatment specialty chemicals. So, in that segment, we have made that particular remark. , As we have said in the past, this capacity addition in Roha is essentially for the exports market which is where our teams are working with our global customers to get more of their volume and we are confident in doing that as we go forward.

Deepak

Sundaram Mutual Fund: Okay. You have highlighted about the RM inflation and logistic disruption also. With this backdrop, what is our sales and margin

outlook for '27 in both the chemicals and engineering division? And how much CAPEX are we planning to spend in FY27? And by the end of FY27, what would be our gross debt position?

Management: At this point, we cannot provide specific guidance. Consistent with our traditional practice, we expect to offer guidance in the second half of the financial year — it is simply too early to answer these questions

now. Further more, given the West Asia crisis and fast-changing dynamics, we prefer to defer this question. We will be in a position to provide more clarity in the second half of the year. Directionally, sales and margin outlook for FY 27 should continue to improve over the next few months and we continue to monitor the implications of the Global economic and geo political crisis

Deepak

Sundaram Mutual Fund: Okay. What kind of CAPEX are we planning to do in FY27, and since you highlighted that we will be spending some more on that Oman project also, so just on CAPEX number and gross debt position, let us say, by the end of FY27, if Vasant sir could answer, that would be very helpful.

Management: At this juncture, the CAPEX what we have envisaged is more into the maintenance and routine CAPEX, which is in the region of around Rs.30 to 40 crores. As Mr. Indraneel mentioned, as we move forward Page 11 of 19 during the year, we will share with you any new major CAPEX which we have in mind, but that will be later during the quarters. And in terms of the gross debt, presently it is in the region of Rs.384 crores. At the moment, we are not envisaging any major CAPEX unless we go for any plant expansion, which we will inform in due course as and when the plans get crystallized.

Deepak

Sundaram Mutual Fund: Okay. Thank you so much.

Moderator: Next question comes from the line of Harsh Shah with Merisis Advisors. Please go ahead.

Harsh Shah

Merisis Advisors: Just to carry forward from the previous participant, sir, so you told that the maintenance and routine CAPEX for FY27 will be Rs.30 -40 crores and gross debt will be around Rs.384 crores. So, what are our current capacities, which will get completed across different products, if you can give a brief idea about it, that would be helpful?

Management: So, as we said that our current objective is to utilize the Roha CAPEX and the Roha capacity that we have set up. We are mindful of the return on capital employed for the Roha project. And that is what the focus of the company is on. As we work on growing the revenues from the Roha segment, we continue to evaluate other CAPEX opportunities for further expansion. However, we will come back with that information at an appropriate time. For now, our focus is to see how we can improve the return on the capital deployed in Roha.

Harsh Shah

Merisis Advisors: Okay, sir. Thank you so much.

Moderator: Next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor

Kapoor & Company: Namaskar sir. Thank you for the opportunity. Sir, firstly, on the UP Jal Jeevan Mission Project, what percentage of the same has been executed? And if you could just explain to us how the receivable movement being from March ending till date?

Management: I think we heard the question. So, I would say about 30% of the scope is still pending to be executed. The pace of execution remains slow. We continue to execute those projects to the extent of collections received so that we can manage our working capital.

Page 12 of 19 Saket Kapoor

Kapoor & Company: Yes, sir. So how have been the receivable movements at the closing balance for March and the closing balance

today we have received out of the outstanding we had from this project?

Management: We do not typically share any specific such details, sir, but what we can say is post the announcement from the government on the continuation of the Jal Jeevan Mission Scheme, we have seen some start of funds flowing. So, we are hopeful that more funds will start flowing in, and as we see more funds coming in, we will also increase the pace of balance execution.

Saket Kapoor

Kapoor & Company: And secondly, on the consumer products division, I think so our revenues have gone up for this financial year. So, if you could just share

the strategy or the outlook for the segment, and when can we expect this to start contributing profitability to the company?

Management: We remain consistent with our earlier guidance on the consumer products division. As we've said in previous calls, we continue to invest for growth in this segment, and our efforts are showing results: the division has grown 34% year-on-year. Comparing this year's financials to last year, losses in the segment have decreased. The outlook remains positive. We expect to grow further on a similar trajectory, though perhaps at a slightly lower rate given the higher base this financial year. We also expect better bottom-line performance, with the aim of at least breaking even or achieving a modest, low single-digit profit in this business line. All efforts are focused on driving additional top-line growth while improving operational profitability and overall performance of the division.

Saket Kapoor

Kapoor & Company: You are not able to give us a guidance in terms of margin definitely, but for the core segment of chemicals, how is the operating environment currently, and how is our utilization level for the current ensuing quarter wherein we are two-thirds into it today, so if you could just give us some understanding on the business operating environment on the chemicals segment?

Management: So again, as in the past, we have said the chemicals segment continues to be extremely dynamic. As we have said earlier, a lot of parameters drive profitability, and we have to keep a very close watch on all these parameters to ensure sustained profitability performance. In the last Page 13 of 19 quarter, because of the unexpected events leading to the West Asia crisis, we had a significant headwind on the raw material cost in this segment. The teams are working with our customers to see how we can pass on some of the raw material input costs back to the customers through pricing changes, and we expect with some of those measures, the overall profitability will improve, at the same time, we are also de-risking our supply chain by opening up manufacturing centers in other parts of the world close to our markets. We are happy to say that our manufacturing plant in Dammam, Saudi Arabia for the Middle East market has now started commercial production, and we hope to cater to more customers locally from that facility, and we continue to work on that strategy in other parts of the world as well.

Management: The long-term outlook for the segment remains extremely positive for us, and that is the reason why we have invested so heavily into that segment. We do feel that we have not even scratched the surface when it comes to the international markets. While the West Asia crisis or otherwise some temporary headwinds do exist, but the long-term story remains as bright as it was, and I do not think that is something which we are worried about.

Saket Kapoor

Kapoor & Company: To conclude, sir, worst in the margin trajectory is behind us as the March

earnings we have reported for the segment or the headwinds which we faced are still negating our profitability for the ensuing quarter also, if you could just give us some thought process on the same?

Management: I would say that we have been able to mitigate the headwinds we have received, and we expect to see the outcome coming forward. Having said that, as I have always said about this segment, the situation is very dynamic, and at this point in time, other than this, it will be difficult to comment any further.

Saket Kapoor

Kapoor & Company: Okay, sir. Thank you.

Moderator: Our next question comes from the line of Kishore Kumar with Unifi Capital. Please go ahead.

Kishore Kumar

Unifi Capital: Hello! Sir, my question is on the Roha facility. I think we started this investment back in 2021-22, and we implemented it over a period of two, three years now. So, when you are actually guiding for 25% of Page 14 of 19 utilization in the coming years, what kind of customers are we actually targeting to get into? Do we already have some kind of off-take arrangement with them, because when we actually started the

implementation, we would have already got in touch with those customers, are they new customers or existing customers, how do you see this actually trending out in the coming quarters?

Management: The Roha facility was established primarily to serve our export markets.

We decided to build a brand -new facility in addition to our existing Ankleshwar plant because we were receiving demand that exceeded our existing production capacity.

Over the past two to three years, we have been in discussions with several large customers who are inclined to take significant volumes. This includes both existing customers who require larger volumes and new customers. Many of our existing customers, both in India and abroad, have been requesting more supply and higher volumes.

We expect that the Roha plant will enable us to meet this demand, and we aim to progressively increase our share of business with these customers soon, leveraging the capability and capacity that Roha provides.

However, it is important to note that many of these products are used in critical production processes at our customers' facilities. This requires an extended period of trials, validations, and certifications, which can only be initiated after the plant is fully commissioned. Therefore, there is an introduction cycle time that we must respect.

Our teams are actively working with customers across various geographies to ensure we can cater to more of their demand from the Roha facility as soon as the qualification processes are complete.

Kishore Kumar

Unifi Capital: Are these customers are traders or end-users?

Management: It is a combination of OEMs as well as end-users that we cater to.

Kishore Kumar

Unifi Capital: Okay. Sir, my second question is a book -keeping question. So, if I look at the other income for the last Q4, there is a significant increase in the numbers. Is there any one-off there or is it a FOREX gain that we are actually accounting it in the other income?

Page 15 of 19 Management : In the 4th Quarter, there is primarily two elements which has got included. One is the FOREX gain on exports which we have accounted in this quarter. And also we have claims in respect of a EPC contract , that also is forming part of the other income.

Kishore Kumar

Unify Capital: Can you quanti fy which are if actually possible?

Management : May not be able to quantify, but we can say the major chunk is comprising of these two elements in the other income.

Kishore Kumar

Unify Capital: Okay. And also on the o

rd order value that we actually quoted in the

presentation, it is not including the Oman project that we actually got in

Q4, is it not? Any reason for excluding it, sir?

Management : The order inflow and order backlog what we are disclosing is primarily for the standalone entity that is Ion Exchange. We do not include the subsidiary or any associate order flow or backlog in the numbers.

Kishore Kumar

Unify Capital: Got it, sir. Thank you.

Moderator: Our next question comes from the line of Deepak with Sundaram

Mutual Fund. Please go ahead.

Deepa k

Sundaram Mutual Fund: Thank you for the follow -up. Sir, I just want to double check on the chemicals. So earlier you highlighted that due to some logistical issues, there was some delay in dispatches, hence chemicals revenue has seen a minor decline QoQ. Just wanted to know what was the revenue loss which happened in Q4 in chemicals division because of these issues?

Management : We do not provide specific numbers on the revenue loss incurred due to the West Asia crisis. The crisis is ongoing, and we expect the impact to continue into this quarter until logistics and shipping lines resume normal operations. So, we'll need to wait and see how the situation develops. We should be able to share more details by the end of the first quarter.

Deepak

Page 16 of 19 Sundaram Mutual Fund: Okay. And sir, one question I had on engineering. So, this new alliance or tech transfer of MANN+HUMMEL membrane, just wanted to understand, who are we competing here -- are we trying to dislodge any existing competitors through our connection and we will be supplying this to the clients or is it an entirely new product which is currently not being used in India and you are trying to push it forward because of some better technological advancement versus what is being currently used? And what can be the main primary application -- is it more towards power and steel or which kind of standard or substandard subsystems which these membranes will be going into?

Management: These are not new products. These products have been present in the market. Membrane market is growing at the rate of 10%-plus globally, which is one of the fastest growing segments. We hope to assimilate this technology to strengthen the portfolio of our membranes manufactured by us. In the membrane space, we compete with the global technology leaders like DuPont, Hydronautics, Toray, Veolia. These are all global players. We compete against them and we will compete against them in India as well as in all other global markets. The applications for these membranes are many. They are required for recycling, reuse, wastewater treatment, STPs (sewage treatment plants), and brackish water treatment. So, there are many applications for these membranes across the entire range of reverse osmosis, ultra-filtration, nano-filtration. We are confident to leverage the MANN+HUMMEL partnership and the new technology absorption to be able to cater to the global market both with the existing and the new customers.

Deepak

Sundaram Mutual Fund: Since you have highlighted about some of the competitors, what is our pitch here, is it that since we will be manufacturing in our existing facility, so we have certain cost advantage?

Management: Yes, as I mentioned, all the companies you heard about are either US, European, or Japanese. We are one of the very few companies —aside from the Chinese—that manufacture these products. This alliance gives us access to advanced technology and cost efficiency, while also reinforcing the government's "Make in India" vision. It represents our commitment to an Indian mission with a

global outlook. As a result, we expect significant growth not only in domestic markets but also internationally.

Page 17 of 19 Deepak

Sundaram Mutual Fund: Okay. Got it. Sir, on the engineering front, since you mentioned about that large contract win, are we expecting any revenue flow through in FY27 from that project since it is a longer project I understand that?

Management: Yes, we are expecting some revenue from that project. If you remember, this is actually a BOOT concession contract we have received. So, the revenues will come in terms of O&M revenue. A part of that revenue will start coming in slowly from this financial year. However, I would like to remind you that this revenue will come into our joint venture company, Oman, and will be recognized as part of our consolidated revenue earnings. So, you will see at the end of this financial year that there will be a delta growth in our revenues in the Oman joint venture.

Moderator : Thank you. Our next question comes from the line of Dheeraj with InCred Equities. Please go ahead.

Dheeraj

InCred Equities: Hello, sir. I want to again get back on the engineering segment. So, I think most of the issue with the margin compression in this segment was due to the Middle East operations. Is that correct?

Management: No, what we said is we had a headwind or a challenge in the last quarter because of the West Asia crisis. The other challenges were because of the continuing legacy project and the slow progress of the UP project. To be aligned

Dheeraj

InCred Equities: Okay. I think UP was around Rs.300 crores of project remaining. How much have we executed in this quarter?

Management: Quarter -specific numbers we will only be able to share at the end of this particular quarter. As I said, the project execution pace is dependent on the inflows that we receive from the government. Those inflows have started showing a positive trend, especially after the last budget where the government reaffirmed its commitment to the scheme and extended the scheme for the next four years. Since then, we are seeing the fund flow slowly improving and we hope that continues and then we will also be able to speed up the execution of the balance part of the project. But, that will not get over in this financial year, it will at least take the Page 18 of 19 next financial year to complete the project and more so the government has extended the project.

Dheeraj

InCred Equities: But were we not expecting this legacy project to get over before the UP elections?

Management: That was the original plan, but as we have all seen, the fund flow to the project was stopped, and the fund flow has only started from the March after the reaffirmation of funds to the project by the Union Government in the last budget.

Dheeraj

InCred Equities: Okay. And can you just give me a bifurcation like how much of the engineering segment revenue was of this legacy Middle East and these projects, like was it 30%, 40%, 50% so like the severity, can you give that number if possible?

Management : What exact bifurcation you are asking?

Dheeraj

InCred Equities: The percentage of projects in the engineering segment that were related to your legacy projects or your Middle East projects that had an impact on the margins?

Management: The impact of the West Asia crisis on the engineering projects was Rs.60 crores . And the others are in continuation with the same ratio as we had in the last few quarters, both of the legacy project as well as the UP project. That pace has remained consistent over the last couple of years.

Dheeraj

InCred Equities: Okay, sir. Thank you so much.

Moderator : As there are no further

er questions from the participants, I would like to hand the conference over to the management for closing remarks.

Thank you and over to you team.

Management: Thank you all for participating in this earning conference call. I hope you have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our investor relations managers at Valorem Advisors.

Thank you and have a good day.

Page 19 of 19 Moderator : Thank you, ma'am. Ladies and gentlemen, on behalf of Ion Exchange (India) Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.